

Ramkrishna Forgings Ltd. (RKFORGE)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Jul 2022

RAMERISHNA FORGINGS LIMITED

Date: 26 July, 2022

To To

The Listing Department The Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,
Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 001 Mumbai- 400 051
BSE SCRIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call Q1 of FY 2022-23

This is further to our intimation dated 19 July, 2022 w.r.t conference call with the Analysts/ Investors for the Q1 of FY 2022-23 Financial Results.

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call for Q1 of FY 2022-23 Financial Results with the Analysts/Investors, held on Thursday, 21 July, 2022 at 16:30 Hours (LS.T).

Same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

Request to kindly take the same into record.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited==.

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Company Secretary & Compliance Officer

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"Ramkrishna Forgings Limited
Q1 FY 23 Earnings Conference Call "

July 21, 2022

MANAGEMENT : MR. NARESH JALAN – MANAGING
DIRECTOR, RAMKRISHNA FORGINGS LIMITED
MR. LALIT KHETAN – WHOLE-TIME
DIRECTOR AND CHIEF FINANCIAL
OFFICER , RAMKRISHNA FORGINGS LIMITED
MR. RAJESH MUNDHRA – COMPANY
SECRETARY AND SENIOR GENERAL
MANAGER (FINANCE) , RAMKRISHNA
FORGINGS LIMITED
MR. CHAITANYA JALAN – WHOLE -TIME

DIRECTOR , RAMKRISHNA FORGINGS LIMITED
MODERATOR: MR. PRA TIT VAJANI – ICICI SECURITIES

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Page 2 of 16 Moderator: Ladies and gentlemen, good day, and welcome to the Ramkrishna Forgings Limited Earnings Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note this call has been recorded.

I now hand the conference over to Mr. Pratit. Thank you, and over to you, sir.

Pratit Vajani: Thank you, Seema. Good day. Welcome everyone for the Q1 FY '23 result conference call for Ramkrishna Forgings. The company today is represented by Mr. Naresh Jalan, Managing Director; Mr. Chaitanya Jalan, Whole Time Director; Mr. Lalit Khetan, Executive Director and CFO; and Mr. Rajesh Mundhra, Company Secretary and Senior GM Finance.

Now, I would like to invite Mr. Lalit Khetan for his opening remarks. Over to you, sir.

Lalit Khetan: Thank you, Pratit. Good evening, and a very warm welcome to everyone present on the call. We hope and pray for the safety, health and security of you and your loved ones. Along with me, I have Mr. Naresh Jalan, our Managing Director, Mr. Chaitanya Jalan, Whole Time Director, Mr. Rajesh Mundhra, Company Secretary and SGA, our Investor Relation Advisors. Hope, you all have received our investor presentation by now.

For those who have not you can view them on the stock exchange and the company website.

We had a strong start for the financial year with revenue increasing by 57.62% in Q1 FY '23 over Q1 FY '22. The growth was driven by both volume growth, as well as value growth. During the quarter, we registered a 221 basis point improvement in capacity to 77.97% as compared to 75.76% in Q1 FY '22.

We believe with the new order wins we'll keep improving our capacity utilization, which in turn will lead to higher operating leverage and margin expansions. During the quarter we won four new contracts totaling to INR 388 crore from Europe and North America, bolstering our order book. Further, our products have been well received and are generating a lot of interest in the international market, which has resulted in new business context from North America as well as Europe. And also during the quarter we have received a new business order for differential housing case, which has enabled us to move up the value chain and diversifying our product portfolio.

In line with our capital allocation strategy, we have reduced our debt for the quarter by INR 30 crore. Whereas on the dividend front the Board of Directors has declared an interim dividend of INR 0.50 per equity share of face value of INR 2 each. In terms of industry dynamics commercial vehicle sales in United States increased in the June quarter when compared to previous year, truck manufacturers are expected to increase production in second half of the year on the back of pent-up demand for new trucks, as well as fleet replacement.

In domestic market M HCV recovery is on track as the freight rates improve and fleet operators gaining financial strength. Demand in the entire CV segment remains strong, which benefits component suppliers like us. We expect Indian CV market to achieve a good grade in the upcoming years. That's all from my side. We can now open the floor for Q&A.

Moderator: Thank you, sir. We have the first question from the line of Mumuksh Mandlesha from Emkay Global. Please go ahead.

Mumuksh Mandlesha: Congratulations on the good results, sir. Sir, first question is, can you share the outlook for CVs in North America and Europe markets? And how is the traction with the new Ramkrishna Forgings Limited

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Page 3 of 16 customers there? Also led with China Plus One strategy and supply chain constraints what kind of outsourcing opportunities are we witnessing with the customers?

Naresh Jalan: Right now, both in North America as well as in Europe I think with the chip issue getting sorted out I think there is a good demand, and we are seeing OEMs manufacturing more and more vehicles. And demand for the full year, as projected is going to be robust. And in terms of supply chain constraints, I think, we are seeing lot of supplies moving to India from other places of the world and Indian manufacturers getting benefited with this.

Mumuksh Mandlesha: And sir, can you talk about the opportunity of the Railway segment for both in fabrication and the Component segment side? And also within industry which are the sub-segments witnessing growth? And can you share the outlook for them?

Naresh Jalan: In railway company feels that we will be able to grow 100% on what we did last year. And the pipeline and the order book shows that right now the manufacturing of new coaches, as well as wagons have improved considerably and government allocation for new money into this has become extremely good. So, we feel that demand from railways are going to be very high, and company expects to double in absolute terms, the top line what we did last year and this year.

Mumuksh Mandlesha: And for other Industrial segments, sir, can you share, which are doing well? And what's the outlook there?

Naresh Jalan: We don't have any figures in terms of Industrial segments. We cater to as and when requirement comes. So it is extremely difficult to plug a particular Industrial segment. Overall I think demand side, we are seeing good demand in the Industrial segment.

Moderator: We take the next question from the line of Mr. Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain: Congress for strong set of numbers, sir. Sir, we have seen 330 bps quarter-on-quarter jump in the gross margin despite the geography mix, product mix and the higher power cost. So what is the key reason of the gross margin expansion? And will it be sustainable?

Naresh Jalan: Yes, Abhishek. The gross margin, I think is here to sustain. And I think we can expect this levels to remain elevated for the full year.

Abhishek Jain: Sir, this quarter we got the significant benefit of the change in the inventory of around INR 70 crore this quarter. So, will it be sustainable gross margin in the coming quarters?

Naresh Jalan: Abhishek, that's not a benefit, that's the extra production over sales. So, overall gross margin has improved in terms of as we have improved our overall gross margin by almost 200 basis point, that's why you are seeing this performance.

Abhishek Jain: Okay. So, sir, what is the reason for this expansion in the gross margin despite this weaker geography mix and the high power cost? Because of -- is it because of the better increase in the turnover from the heavy press line?

Naresh Jalan: No, Abhishek, I think it is a premix as new order wins is getting converted into regular production. And as we move up the value-added chain I think there is the reason gross margin is improving.

Abhishek Jain: Okay. And sir, this quarter we have seen improvement in the business from the Europe. So currently rising cost in Europe is a big challenge, so how is the outlook for the export in Europe for the forging companies?

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Page 4 of 16 Naresh Jalan: We expect this full year our sales to both North America and Europe are going to be robust.

Abhishek Jain: And what would be the reason for this? Although the truck sales has a slowdown right now in the Europe because of the many trucks are stuck because of this ongoing war in this Russia and Ukraine. So don't you see there will be impact on it in your business as well?

Naresh Jalan: I don't know about how the impact is on what it is, what you are trying to make out of it. But as far as RKFL is concerned, we project that our sales to North America and Europe are going to remain robust. The order pipeline, which we have and the customer feedback what we have is right now that we continue to write the value-add chain and continue to outperform the segments over there.

Abhishek Jain: So how much growth can we expect in the export in FY '23, sir? Can you give some guidelines?

Naresh Jalan: No, I cannot give you any guidelines right now. But whatever right now you are seeing it is a sustainable performance, and you will continue to see this kind of performance going forward for the entire year.

Abhishek Jain: Okay. And sir, we have seen our sharp fall in the steel prices in India and globally. So what impact do you see?

Naresh Jalan: In automotive steel, in India, there has been no price correction yet. As of 1st April, the price remains as such as of today.

Abhishek Jain: So now the steel prices has gone, I mean the HRC prices has gone down to INR 52,000 versus the INR 76,000...

Naresh Jalan: Abhishek, I think, the HRC pricing is not relevant to the automotive component industry. So, I would not like to comment or I have not been able to comment on HRC products.

Abhishek Jain: Okay. Sir, just I wanted to understand the impact on the top line and the margin side because of the correction in the steel prices. So what generally happens when there is a correction of steel prices? What would be the impact?

Naresh Jalan: Steel prices remain unchanged as was is since 1st October 2021.

Abhishek Jain: Okay. So, going ahead the realization would continue to be very strong in both domestic and the export price.

Naresh Jalan: The current realization is going to sustain.

Moderator: We take the next question from the line of Mr. Mitul Shah from Reliance Securities. Please go ahead, sir.

Mitul Shah: Thank you for taking my questions, and congratulations on a very strong performance. Sir, I have two questions on the business side. Though, you highlighted of the Class 8 truck side and overall business performance. What is your view on the LCV segment? And what is our current status in terms of, we were planning to ramp up this segment's revenue?

Naresh Jalan: Already LCVs the product mix change which I elaborated in the earlier question is related to LCV itself. There has been a change in terms of our product mix. And that's already showing up in terms of our realization, and in terms of our top line. And that has a positive impact due to volume growth in LCV segment. And in terms of Class 8, I cannot
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Page 5 of 16 define what Class 8 is doing because we are not a significant player only in Class 8. So overall in terms of North America, I think, we are doing extremely well, and we foresee in near future to do continuously good in North American market.

Mitul Shah: Sir, how much would be LCV contribution in this quarter, approximately?

Naresh Jalan: About it should be close to 5% to 6% in the export portfolio.

Mitul Shah: 5% to 6%.

Naresh Jalan: Roughly.

Mitul Shah: Yes. And on the non-auto side though you highlighted about the Railway segment, sir, oil and gas segment contribution has almost doubled more than doubled in this quarter compared to last year. So, it is very small in terms of overall it's just 2%. So what is your view and can it become a significant?

Naresh Jalan: Yes, oil and gas will continue to grow. And I think probably in this quarter you will see further growth from what we have done. We don't look at things in terms of percentage, but in absolute terms, oil and gas is going to grow further in this quarter. And it will continue to grow for the entire year.

Mitul Shah: And this entirely in North America again?

Naresh Jalan: Yes, it is entirely North America.

Mitul Shah: So, here sir, are we growing with the existing client or we are adding any -- we have added and your major client that's why it has increased?

Naresh Jalan: Our endeavor is to add and keep on growing with the existing clients also. So I would not be able to comment on exact clients, but we have already been giving lot of press releases in terms of addition of new clients. So it is a factor of both addition of clients as well as growing into particular existing clients also.

Mitul Shah: Sir, you have highlighted in your key initiative EV ESG and all. So can you throw some more light on EV what is our presence at present? And what is the...

Naresh Jalan: We have already clearly mentioned in our presentation EV programs, which we are running globally and where we have added. I think in North America, we have added the programs and how many customers, we have both, we have mentioned very clearly. And EV continues to be a very small portion right now of our total business in terms of percentage. But we feel that as the market grows, we will continue to keep on adding EV in terms

of our portfolio.

Mitul Shah: Sir, the question is around this presentation only. Sir, in case of the realization export realization has come down, volume growth is there but this mathematically it's not matching with our export revenue, which has reported high growth again. For example, export revenue growth is around 13.4%, but volume growth is just 12% and even there is a realization -- volume decline is 4% realization growth just 12.3%. So how this revenue can be 13.4%? Basically revenue growth seems to be slightly higher after doing this calculation of ASP as well as volume. So anything we are missing out on this, sir?

Lalit Khetan: So here the total export includes also the freight, which I think you have to eliminate to arrive at the real value. We have to do the adjustment for the freight realized where total export is. This quarter export realization -- last quarter export realization has an element of freight realized from the customer and that adjustment has been arrived at, that's why it will not exactly match.

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Page 6 of 16 Mitul Shah: And sir, lastly on this again production in terms of tonnage, as well as sales this time also it is 36.4% is a production whereas sales is 30.5%. So this as a percentage like wastage has come down. It seems like the final output as a percentage of the production tonnage seem to be slightly higher this quarter compared to last year, as well as the previous quarter. So, any change because of the product mix or any process change or is there anything related to inventory?

Lalit Khetan: Certainly, it has more to do with inventory only. We can see that there is increase in inventory.

Mitul Shah: Okay. So no major change in terms of process or where wastage is coming down or

anything.

Lalit Khetan: There may be marginal numbers on that side, but major is from the inventory side only.

Mitul Shah: Sir lastly, just thought process, in case a U.S. enters a recession next year if at all. So based on your past experience of past one or two down cycle then all these orders of the Class 8 truck and all those, how this cancellation or as a percentage how much have you experienced cancellation goes from the peak level of orders?

Naresh Jalan : I think, we don't work with in case in our mind. So I would not be able to tell you what exactly will happen. But as far as projections and other feedback we have from the customer we remain bullish on the current output and offtake by the customers. So we don't foresee any challenges right now for the next three quarters. And we will see as the time arise. I think right now, in case cannot be built in our business plan.

Mitul Shah: No sir, based on past experience you must have observed whenever any such thing happens so what has been this percentage of as a cancellation?

Naresh Jalan : No, I would not like -- I will not be able to comment on this.

Moderator: We take the next question from the line of Mr. Saket Kapoor from Kapoor Company. Please go ahead, sir.

Saket Kapoor: Thank you for this opportunity. Sir, firstly, sir what are the key reasons for realization being up for export? Is it the currency part of the product mix, particularly, that gives a difference higher realization for the exports?

Naresh Jalan: It is both. It is a mix of currency as well as products change. As we are -- our offtake in oil and gas has improved the realization is better in oil and gas. And as well as light vehicle has contributed higher sales in North American market. And new customers entry at a better pricing in Europe market also has -- it's a cumulative effect of both currency as well as better realization from the customer itself.

Saket Kapoor: And sir, you mentioned

about order intake of INR 388 crore in your release. So what is the current order book, sir, as on Q1? And what is the export and domestic mix that if you could throw some more light?

Naresh Jalan: We don't have any kind of order book right now, we don't maintain that. New order means is basically what Lalit has mentioned, it is basically an estimated annual volume offtake which customer gives us, and based on that, we start the development process. Basically based on that Lalit has given you are INR 388 crore order win. But we don't have because automotive schedules work on basically monthly schedules. So, we don't have any order book concept or we do not have an approximate evolution to that.

Saket Kapoor: So, sir, this INR 388 crore order book this is for executable period. When it is going to get executed?

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Page 7 of 16 Naresh Jalan: It is samples and productions are going to start. Execution period is going to start from next year and it is some contracts are three years or some contracts are five years. And this is what is our annualized volume, estimated annualized volume.

Saket Kapoor: So, this order execution will start FY '23?

Naresh Jalan: Yes. We are already in FY '23.

Saket Kapoor: For FY '24 sorry.

Naresh Jalan: FY '24.

Saket Kapoor: '24. Okay. So, sir, this is only an indication that you have given to us. Whatever business we are going to do over this period of time that is different than what this order is giving.

Naresh Jalan: Estimated visibility for next year from the new customers.

Saket Kapoor: Okay, sir. What is the mix? Is it totally export part or?

Naresh Jalan: Entirely ex port, this is entirely export.

Saket Kapoor: Okay. Sir, in your opening remarks, sir, you were answering one question that the railway, top line is going to double from what you did last year. This is what you indicated?

Naresh Jalan: Yes.

Saket Kapoor: The railway business?

Naresh Jalan: Yes.

Saket Kapoor: Okay. As it is 1% I think in your presentation it was mentioned. So, what was the absolute number, sir, last year?

Lalit Khetan: Last year number for the railway you are looking at correct?

Saket Kapoor: Yes, revenue numbers.

Lalit Khetan: I think last year number was somewhere in the range of INR 50 crore.

Saket Kapoor: INR 50 crore. Okay. Sir, can you give the net debt number sir for this quarter, sir?

Lalit Khetan: This quarter net debt number is around INR 1,300 crore.

Saket Kapoor: And sir, the split between the same? What is the working capital? What is the long -term and the cost of borrowing?

Lalit Khetan: See the total borrowing is INR 1,300 core is a mix, because see if you look at the last quarter number it was around INR 990 crore of the long -term in addition to short -term. Long -term debt has gone by INR 30 crore, and short -term debt remain at the same level almost. And the cost of borrowing has certainly marginally gone up in this quarter by 40 - 50 basis point. The full impact has not come in this quarter for that.

Saket Kapoor: But what will be blended cost of fund?

Lalit Khetan: Blended cost of fund, I think it is near to 7%.

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Page 8 of 16 Saket Kapoor: Is at 7%. And with rating -- post this rating now interest rate is hiked, so we are not expecting any lowering now. Whatever hike will happen that is moderate.

Lalit Khetan: Yes, interest rate is not going to go down right now.

Saket Kapoor: And as a percentage.

Lalit Khetan: Whatever we can pay further that will have an impact on the borrowing cost.

Saket Kapoor: What would be the targeted levels sir, for this INR 990 crore for FY'23?

Lalit Khetan: See what we have clearly said in our capital allocation is strategy a major amount of earning will go towards repayment of debt, and we are targeting ourselves to become net debt free in next three years time. So, we are reiterating that and we are working on that. And you can see quarter -on-quarter reduction in debt level. So full year number, I think still we should wait for one more quarter to have a full -year number on the debt side.

Naresh Jalan: And basically what, Lalit, wants to say, from operations we want to be debt free in next three years' time. There is no -- he is not building in any capital raising to be debt free in next three years.

Saket Kapoor: Okay, sir. And there's also seasonality factor as we have built up inventory this was also evident last June. I think the last June COVID factor was there. So is there a seasonality factor that plays out for us in our business or it is a linear quarter?

Naresh Jalan: It is ongoing process and we don't play basically on inventory or anything it is ongoing process. It's in at first -in first -out basis.

Saket Kapoor: Okay. So what this inventory built up is indicating?

Naresh Jalan: The inventory built up is not be only at the current plant level it is at the warehouse at the customer end, which is our RKFL LLC. So I would not be able to exactly say where the inventories lie right now. So there can be mix of plant inventory as well as inventory lying at the customer end.

Saket Kapoor: And lastly, sir, on the raw material basket, sir what constitutes the major raw material and how are we sourcing done, sir?

Naresh Jalan: No, it is long products basically forging quality steel.

Saket Kapoor: And everything is sourced domestically only, sir. Will depend upon the raw material requirement?

Naresh Jalan: Yes. No, we 100% source raw material domestically.

Saket Kapoor: And number of players from whom we are sourcing, how many players?

Naresh Jalan: I think we will not be able to comment on this.

Saket Kapoor: Okay, sir. As you explained to us in your opening remark and also reiterated the fact about debt reduction and continued good numbers or maintaining these numbers. So what are the key risks to your projections? Like you made business plan for current year, so what are the key risks that may play, may not play out going forward?

Naresh Jalan: Basically if we exist, organization exist performance will come. If we don't exist organization does not exist results will also not be there.

Saket Kapoor: Business environment.
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Naresh Jalan: We feel that the business environment is extremely conducive. And demand will remain robust that's what we have from our customer end. And that we can ensure the investors that that is what is there right now in pipeline feedback we have.

Saket Kapoor: Correct, sir. And for the CAPEX part, how much goes into the maintenance CAPEX currently? And any further capacity augmentation we are looking, sir?

Naresh Jalan: No, right now, if you see our full year presentation last year, we have already outlined our capital allocation policy and we stick to that. Based on that whatever cash flow permits, we will go ahead and do CAPEX. We continue to augment capacity, create capacity and grow the company. But everything will depend how the cash flow permits. And based on cash flow permissions post debt reduction, post paying dividends to investors whatever cash flow is there we will plough back the cash to the company to augment capacity.

Saket Kapoor

: And what is the maintenance CAPEX number, sir? Any numbers absolute number you can share?

Naresh Jalan: It should be around INR 70 crore to INR 80 crore, maintenance CAPEX.

Saket Kapoor: INR 70 crore to INR 80 crore. And sir, with this reduction of debt and quarter-on-quarter which from the cash flow you would be reducing. As a percentage of sales, how should we look at this finance cost number also, sir? Last year it was -- absolute number was INR 153 crore. So for this...

Lalit Khetan : Last year the number was INR 93 crore on the finance cost, right.

Saket Kapoor: Sir, consolidated number.

Lalit Khetan : See if you look at the consolidated number, the last year number was sorry -- give me the number consolidated number let me get on the consolidated. INR 96 crore was the last year's consolidated number.

Saket Kapoor: Yes, sir. Right. Understood.

Naresh Jalan: And this is year we have come with INR 26 crore in the Q1. And it looks like to be remain at the current level only. And even if there will be an increase in interest cost we will be able to save that by reducing our debt. So, this will not go up from this level. I think we will be somewhere in the range of INR 100 crore to INR 105 crore for the full year.

Moderator: We take the next question is from the line of Shubhankar Sharma from Motilal Oswal Private Equity. Please go ahead, sir. Mr. Sharma your line is in talk mode, sir. Please go ahead with your question. Mr. Sharma. Sir, we do not have any response from this line. Moving to the next question. We take the next question from the line of Smita Mohta from Kredent Infoedge. Please go ahead.

Smita Mohta: Okay. So I was asking as the management is saying that the financials next year is expected to be similar to this year's result, if may say so. So which means that the revenue would be rising at near around 67% and the margins at 22%. Is that what the management is meaning? I wanted to confirm the same.

Naresh Jalan: I'm not able to understand the question, ma'am.

Smita Mohta: Sir, the question is for the full year FY '23, right. So, if you all are suggesting that the financials are expected to be same, so should I assume that as the revenue for the full year has risen, it will be in the similar lines for the next year also?

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Page 10 of 16 Naresh Jalan: Ma'am, I'm not commenting on FY '24. FY '23 what we comment right now is that next three quarters are going to be on the expected lines. And we should outperform the expectations. And what results have come out today is sustainable, and it will continue to grow in this fashion throughout the year. In terms of FY '24 we feel that market as today is extremely good. And if this continues, company is going to grow further from where we end FY '23 at.

Smita Mohta : Great. So what I was suggesting sir, is, that if we look at the value by revenue it has risen by 67%. So are you commenting that the next three quarters also your revenue would be rising in the similar pace?

Naresh Jalan: In terms of percentage I'm not telling anything. In terms of absolute number, yes, we will be able to sustain the current revenue mix, as well as the margins for the next three quarters.

Smita Mohta: Okay. Could you bifurcate sir the Class 8 truck sales order that you received from your revenue? Like, what is the percentage of Class 8 truck orders?

Naresh Jalan: No, we don't have any break-up in terms of Class 8.

Smita Mohta: Okay. And margins for the full year, is it expected to be at near around 22%?

Naresh Jalan: We will be able to sustain the current levels of margin for the entire year.

Moderator: We take the next question from the line of Mr. Kushal from Motilal Oswal. Please go ahead, sir.

Kushal Shah: Sir, regarding -- I wanted to understand regarding the realization, when we say that we

expect the current realization to sustain, then, maybe how we are expecting the railway orders to improve to 2x? Is it because of the order flow from the government or we are increasing the penetration in the segment? And the other thing was five factors (inaudible) which can be the most contributing to the growth over three to five years.

Naresh Jalan: In terms of railways, with the new fabrication facility being commissioned in the previous year, we have started getting good orders from railways. And that is showing up in our balance sheet in terms of growth in railways. And I think we will continue to grow in railways in significant way with the current business environment in railways. So I think for next two to three years, we can comfortably say that railway is going to be doing extremely well in terms of our overall portfolio.

In terms of 3 to 4 years' growth plan, I cannot say what is going to happen next three, four years. I would be able to comment on the next three quarters and we expect if the economy remains as such what it is today, we will do extremely well in FY '24 also.

Kushal Shah: Sir, I'm not telling about the external factors, but internal factors where you are considering the next leg of growth to come over three to five years like.

Naresh Jalan: No, internal both in railways, commercial vehicle and we have entered the light vehicle in Indian segment also. And we are trying to penetrate in the passenger vehicle in a significant way. Right now passenger vehicle is insignificant for us. We are trying to grow our passenger vehicle segment, but it is still absolutely very nascent for us to comment on a significant portion in passenger vehicle. And tractor has started doing extreme well for us. So overall, we see the domestic market will outperform in next three to four years time.

Kushal Shah: Sir, and the realization sustainability and how we are expecting that?

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Page 11 of 16 Naresh Jalan: With the current steel pricing, we are not expecting any prices to go up or go down. We expect the realization to sustain at the current levels for next three quarters at least.

Moderator: The next question is from the line of Taral Shah from Kitara Capital. Please go ahead.

Taral Shah: So basis your export order book. So the last five, six quarters your volumes have remained at around 10,000 tonnes per quarter. So when we say there is a strong demand from export market so why these numbers are not increasing?

Moderator: Sir, Mr. Taral's line just got dropped. We are trying to reach him back. We take the next question from the line of Mr. Dipen from DS Investments. Please go ahead, sir.

Dipen: Yes, thank you for the opportunity. I had a couple of questions. Firstly on the fund raise side, we were expecting some announcements from the company about the undraise either by way of bonds or equity. So if you could just throw some light on what should we expect out of that? And the second question is...

Naresh Jalan: We have dropped our fund raising plan right now with the current performance of the stock, we feel. And the expected business volume for next three years, we don't expect any fundraising at the current moment.

Dipen: Okay. Because I think yesterday you had intimated to the stock exchange, you were going to discuss about fundraising.

Naresh Jalan: Yes, we have given a press release today. And in that there is no resolution in terms of fundraising.

Dipen: Okay. And the second thing you have partly answered about the current year's growth rate. In the last

couple of calls we have heard you telling about 20%, 25% growth in the current year. The first quarter has been way beyond that. So anything further qualitative you can tell us about, what we should expect for the current year? Thank you very much.

Naresh Jalan: I think, we have already elaborated that the current performance here to sustain. And we

will be able to outperform going into next three quarters also.

Moderator: And we have Mr. Taral Shah connected in the question queue. Sir, you may go ahead Mr. Shah.

Taral Shah: Got disconnected. So, my question was regarding export volumes. So for last five, six quarters our volumes have remained at 10,000 tonnes per quarter. So, when you say there is a strong order from the export market then why our numbers have remained in this level?

Naresh Jalan: I think the product mix keeps on changing. The tonnage becomes insignificant. In terms of overall revenue you will need to see vis-a-vis what is the market condition in the particular geography. While we continue to say that demand is robust, I do not say about what is happening in the country in terms of economy. I can say, what we are doing in terms of our sustained growth in that geography. So we are not talking about the entire country or as an economy or per sector. We say that we continue to maintain sustainable growth in that geography and our demand is robust. So my pipeline is there.

And product mix in terms of tonnage LCV parts are low weights, oil and gas there are low weight parts, so volumes in that are going up, that may not add volume. And some sectors may not be performing, so their volumes may go down. In terms of absolute number in rupees to see what is the growth.

Taral Shah: So for over the next long-term, I mean two, three years export can contribute how much?

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Page 12 of 16 Naresh Jalan: I could not understand you.

Taral Shah: Sir, for next two, three years currently the export is contributing around 30% or so of revenue, right? So how much it can increase from current level?

Naresh Jalan: No, we will -- the way the company is growing right now we can safely say that we will be able to maintain this kind of premix. Maybe 3% or 4% up and down, but 30% to 40% is going to be the range of exports to the top line.

Taral Shah: Okay. So the moment your export contribution increase from current level so working capital days will increase or reduce?

Naresh Jalan: No, working capital days in exports are higher. We are not doing any bill discounting on anything, so working capital days in terms of exports are higher. And that has been mentioned in last several calls, we have had that the export debtors have at least 110 days to 125 days cycle in minimum. And it can go up to 150 days also.

Taral Shah: Okay. It can go up to 150 days. So there is no scope for improvement from current level, right?

Naresh Jalan: No, in export debtors, we don't see any improvement in terms of debtor days in exports. Unless we start doing factoring or discounting of the business, which is not in our current plans right now.

Moderator: We take the next question from the line of Sangeeta Purushottam from Cogito. Please go ahead.

Sangeeta Purushottam: Good afternoon and thank you for taking my question. Sir, I just wanted to understand your capital allocation policy a little bit. Now what you said is that whatever cash flow is generated will obviously go partly to -- will go partly to pay dividend partly the debt reduction. You will have some working capital requirement from there and the balancing factor will be CAPEX. Had I understood you right?

Naresh Jalan: Ma'am we have said, as you can see in my presentation for last full year, we have mentioned the complete capital allocation policy. We have mentioned that part of the cash flow is going to be paid for debt and working capital and then dividend payout and whatever after dividend, post dividend payout remains we plot in terms of augmenting

new capacity or in the plant.

Sangeeta Purushottam: Okay. So, sir my question is, if that is the case looking at the business outlook which looks quite promising. Not just for FY '23 but according to you for the next two, three years as well, will you have enough funds available to fund the CAPEX requirement or won't you need to borrow funds to do it then therefore debt reduction may not be that appropriate if you're looking at strong opportunity.

Naresh Jalan: Ma'am, with the current business plan and scenario what we are working on, we are working on basically debt reduction for next three years, and that's the policy, which the board has evolved in. And whatever cash flow is less I think that should be sufficient enough with the projections, we are working with our marketing team to funnel our growth for next three years.

Sangeeta Purushottam: Okay, if I might just ask another question related to this, what kind of capacity expansion are you planning over the next three years?

Naresh Jalan: Ma'am, we may not -- in terms of tonnage it may not be significant, I think we are not looking at augmenting a huge tonnage capacity in terms of tonnage. We are looking at adding more capacity in augmenting automation and value-add in the products. So that will improve the bottom lines more significantly than the top line.

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Moderator: We take the next question from the line of Mr. Mitul Shah from Reliance Securities. Please go ahead, sir.

Mitul Shah: Sir, thank you for giving opportunity again. Sir, just as you mentioned that there the requirement of the tonnage capacity addition. Sir, when I look at your presentation your ring rolling and forging has been always in the range of 100% to 115%, even 125% of utilization. Sir, just want to understand up to what maximum utilization can we go for these three segments, ring rolling, forging and press in terms of above 100% what maximum possible?

Naresh Jalan: No, I think, while we say that we are not in terms of adding capacity we also have said that we are working in terms of automation and value-add. So I think that is what is the target of the company for next three years. And in terms of adding capacity in ring rolling or in press I think it's a marketing call. We right now do not foresee any reason to augment fresh capacities in these places. So we will stick to what we have right now. And in case we change our policy or in case there is a new thought process in marketing, we will come back to the investors and inform them.

Mitul Shah: Yes, sir. But in this, for example, ring rolling last year same quarter we went up to 125% utilization. So what is maximum possible utilization level in case if demand is high then can we go up to 115%?

Naresh Jalan: No, I think it all depends on the product mix, Mitul. I think it does not depend -- if we get all the products on -- whenever we declare capacities at the mean level it's not at the top level. So it depends on if all the quantity comes at the topmost weight level it may go up 130%, 135% also. But it all depends on the product mix we have right now. And we do not have any visibility on a monthly basis. So we cannot change that or we cannot do anything about that.

Mitul Shah: Sir, what about machining capacity right now? Utilization?

Naresh Jalan: I think right now machining capacity is 100% being utilized.

Mitul Shah: So there any ramp up or capacity addition required?

Naresh Jalan: That is what I said, we will continue to add capacity in value-add. So, value-add means it's machining or something related to machining only we will keep on adding capacity.

Mitul Shah: And sir, in your presentation that you mentioned about key focus area along with the EV

and niche products. You stated we will focus more on the high margin segments now. So, which are the higher margin segments or products or can you highlight just two three?

Naresh Jalan: No, right now with key initiatives is that we are looking at getting into more assemblies right now or the components, which we are making. And also EV products which are coming into they are high margins, as well as oil and gas is high margins.

Mitul Shah: Sir, any plan to come out with the more sub-assembly type of thing rather than only components?

Naresh Jalan: We have already started into sub-assemblies and full complete assemblies. So the company always looks at opportunities to improve product mix. So that is an ongoing process, which we always keep on doing.

Mitul Shah: That must be a high margin relatively, right?

Naresh Jalan: Yes.
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Moderator: Sir, we take the last question from the line of Mr. Saket Kapoor. This is a follow-up question. Mr. Kapoor, you may go ahead.

Saket Kapoor: What Mr. Harmit was trying to say was the product category in EV sector.

Naresh Jalan: I think, product category. We cannot comment right now, because EV is a very, very confidential portfolio for us. So we would not like to comment on what product portfolio we are going ahead in EV right now.

Saket Kapoor: And out of the total order book mix or the visibility which you have, what would be the contribution from EV? It will be a very small portion only, sir?

Naresh Jalan: No, I think in the last full year presentation we have already given our growth plans in EV. I think, we are looking at close to around -- in terms of percentage if you look. I don't have it right now in front of...

Lalit Khetan: It's 3.5% for the full year FY '23 for the turnover we are looking in the EV and 6% in FY '24.

Saket Kapoor: Sir, about the other income part if occurrence happens in the first quarter, what is the nature of this other income, sir?

Lalit Khetan: It may be some insurance claim or that maybe small claims etc.

Saket Kapoor: Okay. And sir, about the earlier participant did spoke about the utilization levels between the products, which is ring rolling, forging and press. Why on the press side, sir, it remains in this vicinity of say 50% to 65% only, if you could explain? Is it -- it depends totally on the product mix that is correct. But this nameplate capacity of 117,000 it is only for the new vehicle purposes only?

Naresh Jalan: It is numerical purpose only. And it is based on the product mix. But you will be able to see in continued quarters improvement in press utilization also.

Saket Kapoor: Right, sir. And for the FOREX impact, since the rupee has depreciated how do the depreciation of rupee affects our earning, sir?

Naresh Jalan: I think we have already -- couple of times we have said this in our calls that for rupee we do not take a call on the FOREX side basically our policy and we follow with the customer that every quarter the FOREX is plus-minus 5% passed on to the customer, whatever may be. It may be appreciation or depreciation is passed on to the customer.

Saket Kapoor: Sir come again sir. I missed your last line somehow. The forex is?

Naresh Jalan: FOREX is passed on every quarter to the customer plus-minus 5%. So we do not take any call on the FOREX side.

Saket Kapoor: Okay. And there is

no liability also unhedged part generally. Because everything -- because you are sourcing everything domestically so that does not play out for us.

Lalit Khetan: Yes, there is no liability in terms of hedging.

Saket Kapoor: Sir, when we look at your last year number for the full year March '22. And the first quarter, the first quarter, do the first part of June was badly affected by the COVID. So it is a non-comparable quarter, June '21?

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Page 15 of 16 Naresh Jalan: Domestic market was bad due to COVID on that time. Export was could, because India was impacted by the second wave of COVID. So that having some impact on the sales under domestic side in last year.

Saket Kapoor: Because sir I asked this question is because since you are saying, you are exceeding towards that for this quarter, the revenue and the bottom line, which we have maintained that's going to get -- it's going to be maintained, but when we look at your numbers for the last year, it has improved sequentially on a larger trajectory. For posting a INR 253 crore PBT number the second, third, and fourth quarter were indiscriminately very high. But if we even extrapolate or annualized this first quarter number the growth numbers vis-a-vis the March number are not looking very high. So, just wanted to understand how this linearity is going to play out? We would have some big quarters during this three coming quarters?

Naresh Jalan: We will continue to grow quarter-on-quarter.

Saket Kapoor: Correct.

Naresh Jalan: What I have said that we will. To the question, which was asked whether we will be able to sustain? Yes, we will be able to sustain what we have done in this quarter. But I have never said that we will not grow from here. We will continue to grow. Company projects and company envisages that we continue to grow quarter-on-quarter and with the current order book and plans we are very confident to achieve higher growth for the full year.

Saket Kapoor: Correct, sir. Sir, when we read your rating analysis there in this high customer concentration part is mentioned. Wherein in Tata Motors as you mentioned...

Naresh Jalan: I would not like to comment on any particular customer or any...

Saket Kapoor: It is very well documented in rating reckoner that was I was referring. If you allow I may refer it or if not then that's all for me.

Naresh Jalan: No, you can refer it. But we will not -- I will not be able to answer any questions related to that.

Saket Kapoor: Because they have mentioned it that they accounted for your revenue of 25% and 27% for FY '21. So I was just looking with this improved revenue which you are guiding to us this percentage this division factor will continue or Tata Motors business will also be equivalent -- you will have the same share of pie. But since you don't want to comment on a customer...

Naresh Jalan: No, I would not be able to comment on any brokerage report or report you are referring to. And...

Saket Kapoor: I'm referring to India Rating report.

Naresh Jalan: No anything on that sort. And I would not be able to comment on any particular customer.

Moderator: We take the last question from the line of Karishma Makhija from Motilal Oswal. Please go ahead, ma'am.

Karishma Makhija: Yes. Hello, sir. Sir, the gross margin from Q1 '22 to '23 there has been a drop a close to

6%. What is the main reason driving this drop? And two, on the EV segment, which is the sub-segment in EV so from an export perspective we have seen that there will be significant growth in the coming quarters. Is it LCV, is it tractors or trucks or what is your view, sir?

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Page 16 of 16 Naresh Jalan: No in EV we are right now working with three-wheeler, four-wheeler and small truck market. But I cannot comment because it's very extremely confidential. So I would not more elaborate on this portfolio. And in terms of gross margin I think you are seeing it vis-a-vis the last FY '21 Q1 in that domestic market due to second wave of COVID was down and that's the reason export as a percentage of sale was more than 50%. So that's the reason gross margins in export realizations are better and that's the reason in absolute term realization went up or gross margins went up. But if you see compare it with the last quarter of FY '22, you will be able to see we have grown in gross margin on Q-on-Q basis.

Karishma Makhija: Yes. So, you're saying in Q1 FY '22 the exports were higher versus domestic given the second wave of COVID. And...

Naresh Jalan: Q1 '21.

Lalit Khetan: Q1 '22.

Karishma Makhija: Gross margin was around 60.5%.

Lalit Khetan: Yes, Q1 '22 our gross margin was 60% because in exports you have a value of freight also in the realization. That's why raw material cost goes down that's why operating margin looks higher. And as in the entire mix the export was higher than the domestic and in the current quarter it's reverse.

Moderator: Thank you, ma'am. That was the last question. I would now like to hand over the conference to Mr. Lalit Khetan for closing comments. Thank you, and over to you, sir.

Lalit Khetan: Rajesh could you take it over.

Rajesh Mundhra: Yes. We take this opportunity to thank everyone for joining the call. I hope we have been able to address to all your queries. If you have any further queries or information you can get in touch with us or SG A who is our Investor Relations Advisors. Thank you very much for attending our call.

Moderator: Sir, should we conclude?

Rajesh Mundhra: Yes, we can conclude.

Moderator: Thank you. On behalf of ICICI Securities that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

RAMEKRISHNA FORGINGS LIMITED

Date: 3 November, 2022

To To

The Listing Department The Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,
Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 001 Mumbai- 400 051

BSE SCRIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 — Transcript of Earnings Call Q2 H1 of FY 2022-23

This is further to our intimation dated 22 October, 2022 w.r.t conference call with the Analysts/Investors for the Q2 & H1 FY 2022-23 Financial Results (Standalone & Consolidated).

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call for Q2 & H1 FY 2022-23 Financial Results with the Analysts/Investors, held on Thursday, 27 October 2022 at 16:30 Hours (1.S.T).

Same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

Request to kindly take the same into record.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra

Company Secretary & Compliance Officer

A12991

Encl.: As above

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CIN NO. : L74210WB1981PLC034281

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"Ramkrishna Forgings Limited

Q2 FY '23 Earnings Conference Call"

October 27, 2022

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR –
RAMKRISHNA FORGINGS LIMITED

MR. CHAITANYA JALA N – WHOLE -TIME DIRECTOR –
RAMKRISHNA FORGINGS LIMITED

MR. LALIT KHETAN – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER – RAMKRISHNA FORGINGS
LIMITED

MR. RAJESH MUNDHRA – COMPANY SECRETARY AND
VICE PRESIDENT -FINANCE – RAMKRISHNA FORGINGS
LIMITED

MODERATOR : MR. PRATIT VAJANI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '23 Earnings Conference Call of Ramkrishna Forgings Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing star then zero on your touchtone phone. Please note this call has been recorded. I now hand the conference over to Mr. Pratit Vajani from ICICI Securities. Thank you, and over to you.

Pratit Vajani: Thank you, Yashashwini, Good afternoon, everyone. Welcome to the Q2 FY '23 Results Conference Call for Ramkrishna Forgings Limited. From the management we have ; Mr. Naresh Jalan, Managing Director ; Mr. Chaitanya Jalan, Whole -Time Director ; Mr. Lalit Khetan, Whole -time Director and CFO and Mr. Rajesh Mundhra, Company Secretary and VP Finance. Now I would like to invite Mr. Lalit Khetan for his opening remarks. Over to you, sir.

Lalit Khetan: Good evening. And a very warm welcome to everyone present on the call and wish you all a very Happy Dipawali and New Year from the entire Ramkrishna Forgings Team. We hope and pray for the safety, health and security of you and your loved ones. Along with me, I have Mr. Naresh Jalan, our Managing Director; Mr. Chaitanya Jalan, Whole -Time Director, and Mr. Rajesh Mundhra, our Company Secretary.

Hope you all have received our investor presentation by now. For those who have not, you can view them on the stock exchanges and the company website. I will briefly speak about the business landscape and update on performance in the preceding quarter, following which we will be happy to respond to your queries.

Before delving into the company's performance this quarter, I would like to provide some context in the industry. The Indian auto and auto ancillary have faced numerous headwinds in the last two to three years. From managing emission and safety related regulatory changes followed by COVID'19, two semiconductor supply shortages and the most recent steep commodity inflation, the auto industry has seen it all.

During the COVID period, the China -Plus-One theme gained traction with several OEMs around the world constituting and acting on diversifying component sourcing away from China, which began with the United States is posing tariffs and trade barriers to China with Indian OEMs and auto ancillary benefiting from this progress. Because of India's low manufacturing costs, scale of vehicle production and maturity of its auto ancillary industry, companies like us are gaining from it as we have the capacity to meet our demand.

Furthermore, the ongoing festive season as well as adequate rainfall across the majority of the country will shape the industry in the coming months. Infrastructure and real estate are expected to post this industry as is e-commerce as well as transportation and logistics, which are critical to the economy. As a result, there is a lot of optimism about the growth and OEMs are very bullish. Our

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conversations with customers have been encouraging, which gives us hope for the future.

Our international business has witnessed a sustained traction over the last few quarters with new business order flowing in at a steady pace. A strong order backlog from Europe and United States and a healthy recovery for new truck orders in the end month works well for us. And we expect our export revenue to grow by more than 15% in FY '23 as compared to last fiscal year.

I would now like to highlight some business enhancement. As we are all aware of our long-awaited acquisition of ACIL. We expect it to be completed this fiscal year if we receive favorable order in the next one month two months

from the Supreme Court. Our business to the electric vehicles has shown good traction, and it will form 3% to 4% of total revenue in the near future. Our railway business is also showing a good development, and we are confident that it will contribute more than 4% of our total revenue, which is at present 2% only.

Coming to our business operation front, our revenue increased by 32% in Q2 FY '23 over Q2 FY '22 on the back of robust and diverse business. Our EBITDA margins for the quarter were 22.3% and for H1, we are 22.2%. During the quarter, we increased our capacity utilization by 300 basis points to 82% in Q2 FY '23 from 79% in Q2 FY '22, while the sequential improvement was 400 basis points. Such revenue growth and stable margins have been added by improved product mix and managing supply chain cost despite high commodity prices. We are confident that by improving capacity prices, we will be able to deliver similar results in the second half of the year, resulting a higher operating leverage and margin expenses.

We have received five orders amounting to INR 408.5 crores in the first six months of FY '23, and we are confident that we will receive additional orders in the second half of the year due to strong

pipeline and positive business visibility. We are making concerted efforts to diversify our product portfolio and geography by introducing value-added products across the board. During the quarter, we received approval for a fund raise via preferential allotment of convertible warrant of INR 94 crores and the majority of which will be used for reduction of debt. We are at aiming to our capital allocation policy in order to reduce debt and our gross debt position as on 30th September '22 is INR 1,319 crores down from INR 1,577 crores or as on 31st of March 2022. Our target to become net debt-free company by FY '25 remains in tact. And also, as for the policy on the dividend front, the Board of Directors has declared a second interim dividend of INR 0.50 per equity share of face value of INR 2 each.

That is from my side. We can now open the floor to question and answer.

Moderator: Thank you, very much. We will now begin the question-and-answer-session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the

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question queue assembles. We have a first question from the line of T. S Vijay Sarathy from Anand Rathi. Please go ahead.

T. S Vijay Sarathy: So we've seen very strong sequential growth in the revenue to the extent of 17% comparing Q1 FY '23 versus Q2. Now out of this 11% has been by realization. So we had strong growth. Why did we experience 300 bps gross margin fall between the same quarters? Could you please help us understand? That's my first question. And I mean, the realization have -- export realizations would have also been very good. So given this, why margins have fallen sequentially, gross margins?

Lalit Khetan: You're talking about the year-on-year margins. Correct?

T. S Vijay Sarathy: I'm talking of sequential margin, sir Q1 FY '23 versus Q2 FY '23?

Lalit Khetan: The Q1 FY '23, if you're looking at a consolidated number, it has gone down a little bit. But if you look at the standalone, it has gone up.

T. S Vijay Sarathy: Yes, I'm referring to the consolidated number.

Lalit Khetan: Yes. So consolidated number is a little bit down because there has been little lesser profit on the subsidiary front. There has been a little bit traction on the profitability on account of performance of Subsidiary. And that's also marginal. If you look at the half year number is 22.2%, and for the quarter, it's 22.3%. for the standalone an

d consolidated number is in the range of 21.5% and for the last year, there were very less number of Subsidiary for the console and whatever will be the standalone performance, that was the console performance in terms of turnover. And that was also on account of higher export, recalls if you remember, Q1 FY '22, that was due to the second wave of COVID there was very less domestic sales and export percentage was around 60% and that has resulted in the higher margin.

T. S Vijay Sarathy: So what is the steady-state margin that we are looking at, sir? Whatever you spoke about EBITDA margin, so you could highlight that? What is the number if you could?

Lalit Khetan: Certainly, current margin levels are here to sustain. We are going to sustain current margin and endeavor will be to improve upon these margins.

T. S Vijay Sarathy: Sure. And the other small question is, again, between sequentially, Q1 FY '23 to Q2 FY '23, the power and fuel costs have come down from 45.8% to 43.3%, while the activity has gone up, production activity has gone up, what led to this fall in power because I'm given to understand that the per unit is per unit is fixed, so the activity has gone up, why power cost has come down? What is that we have done? And is it sustainable? This is a second question.

Lalit Khetan: M. D. sir, are you taking that?

Naresh Jala n: This is basically on account of better utilization, if you see sequentially the there has been a

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significant improvement in utilization and power and fuel costs are directly affected with the better utilization. As you have -- you also said the power cost is fixed. So if in number of hours we utilize the equipment, the better utilization gives us a better yield in terms of efficiency in the cost.

T. S Vijay Sarathy: You're referring to the per unit cost, per tonne cost, rather, right?

Naresh Jala n: Not per tonne cost.

T. S Vijay Sarathy: Absolute cost also.

Naresh Jala n: Absolute cost of the power vis-a-vis the number of tonnage we produce.

T. S Vijay Sarathy: Does it have a bearing on the kind of press lines that you operate, sir or is it to do with only merely higher utilization?

Naresh Jalan: It is the way our press lines are placed and as well as other utilization, both may take part into it.
T. S. Vijay Sarathy: Finally, you had mentioned some order book in your initial remarks for the first half, I mean is that or you did not mention, I don't know. So could you just help us? You said five orders, new orders, yes?

Lalit Khetan: Five orders are totaling INR 408 crores in the first six months.

Moderator: Thank you. We have a next question from the line of Mumuksh Mandlesha from Emkay Global. Please go ahead.

Mumuksh Mandlesha: Sir, what led to the 19% volume growth sequentially for the exports market? And if you look at the North America CV basic body was flattish sequentially. So what led the strong growth sir, volume growth of exports?

Naresh Jalan: No. Basically, it's because of past order wins now orders are getting converted into revenue. And we have been able to convert them faster and all those conversions have helped us in getting the growth in exports.

Mumuksh Mandlesha: Sir, in the commentary you mentioned China -plus-one beneficiary, Ramkrishna been beneficial that move happening. Sir, can you talk about the opportunity there? And you mentioned some input duty on Chinese inputs from USA market, just can you share a bit on that?

Naresh Jalan: In terms of import duties, we are not aware of any import duties. And I don't think Lalit's opening statement has anything to do with import duties. China plus basically because of the supply chain and COVID restrictions, lot of supplies, customers are shifting their supply chain from China to other places and one of the biggest beneficiary of that is the Indian industry.

And it is not a lone

RKFL, it is across the board, pan -India and across all segments, Indian manufacturing sector is

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getting legs up due to this shifting?

Mumuksh Mandlesha : Sir, just on the update on ACIL. Can you just share what kind of opportunities you see for that business...

Management: And it is very, very early until we get the company, it is very difficult to say about the opportunities. Once we get the company, we will appraise the investors on the opportunities. But as a management, when we have a bid for the company, we are very confident of getting new customers, new sectors and maintaining a good top line and bottom line from the assets over there.

Moderator: Thank you. We have our next question from the line of Varun Basrur from Julius Baer Wealth Advisors. Please go ahead.

Varun Basrur: So, I have two questions. The first question is, if I look at the other expenses on a quarter -on-quarter basis, between quarter one, '23 and quarter two '23 there's been a jump -- any commentary there? Are there any one -off items in these other expenses? Sir, second question while there was very positive commentary which you gave, especially on your export order book and new businesses flowing in. I just want to understand in Europe, has there been any deferments on the existing new programs or on the existing order book? I'm done with my questions.

Lalit Khetan: Yes. So let me address your question on other expenses, which basically other expenses jump is due to the increase in export expenses, because the export ocean freight, which that was in the Q1 last year. And now you're looking at certainly that's why the gap, though it is coming down. But last year, it was quite steep, and it has increased over the quarters. And that level we have not gone back to those levels right now. That's why the re is gap and slowly, it will go down. And on the -- I think Europe and this order Nareshji will answer it.

Naresh Jalan : We are not seeing any cancellations or deferment from our European OEMs.

Varun Basrur: Can I ask one more question? Yes, I just want to ask one more question, where I'm just going through the Cap ex guidance and there's some press lines which are being added. Just what is the incremental Cap ex in tonnage that has been added in the press line or that will be added in the press line?

Naresh Jalan: I think 56,000 tonnes roughly. We don't have the exact calculation.

Lalit Khetan: Yes, sir, effective 56,000 tonnes will be added.

Varun Basrur: Over and above 1,17,000 tonnes?

Lalit Khetan: 1,87,000 tonnes. Total capacity, 1,87,000 tonnes plus 56,000 tonnes.

Varun Basrur: Okay. And this is all added in press, which is 117,000 tonnes today ?

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Management: Yes, it will be added in the press.

Moderator: Thank you. Reminder to participants to press star and one to ask a question. We have a next question from the line of Sunny Gosar from MK Ventures. Please go ahead.

Sunny Gosar : And congratulations on a strong set of numbers. My first question is relating to the freight cost. So you mentioned in one of the previous responses that freight costs have started coming down. And when we -- basically, if you can help us understand what's the freight cost as a percentage of the revenue? And how much benefit can come in the coming quarters due to the decline in the freight cost?

Management: Sunny, the freight cost as a percentage of revenue, you can look at it, it should be in the range of around 15% to 16% right now in terms of export revenue, because it should be linked to export revenue. And it was if you look at earlier it was more than 20% and now it has come down to 15% to 16% level, and it is expected to go down further.

Sunny Gosar: Any ballpark number in terms of how much further it can go down?

n?

Management: It's very difficult to predict -- really difficult to predict.

Sunny Gosar: My second question is on the debt number. So as of March '20 number, which was about, say, INR 1,570 odd there was some factoring component of about INR 150 crores. So in the current gross debt number of September '22, is there any in factoring number or not?

Management: Yes, it is. There are the factoring number. So net debt has gone down by INR 110 crores in H1 FY '23. So the net debt as on 31st March 22 was INR 1,336 crores and currently is INR 1,225 crore.

Sunny Gosar: Okay. So your reported gross debt of about, I think, is about INR 1320 crores, I think. So there 90 crores of factoring

Management: Correct. That's the Tata Motor bill discount basically.

Sunny Gosar: And my third question is basically, if you look at RK Forging historically had has always been classified as an MHCV ancillary -- so if you can help us understand with the new orders in EV and LCV and passenger vehicles, -- so out of the 80% automotive revenue, what would be broadly the mix between, say, your MHCV, which includes India and North America class 8 and your other automotive, which will include LCV, passenger vehicles, class 5 trucking, maybe North America?

Naresh Jalan : Sunny, I think in terms of MHCV, we are no more an MHCV supplier. MHCV as a basket is only 50% of our automotive volume balance 50% of my automotive volume comes from Class 8 , LCV, every vehicle, which is below 9 tonnes basically. It includes all varieties.

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Sunny Gosar: And going forward, will this mix further improve away from MHCV or this business mix will broadly remain likeway?

Management: No, like for North America, we have entered the off-highway segment also, tractor trailer segment these are going to add on into in terms of new varieties, which are going to come in near future?

Sunny Gosar: Right. So basically, MHCV dependence will go down further?

Management: Yes.

Moderator: Thank you. We have our next question from the line of Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain: Sir, currently rising energy cost in Europe is a big challenge. Are any shift of business from Europe to India? And will it benefit to the Indian forging company, for export in the US and Europe?

Management: I think I cannot comment on the other forging companies. In terms of RKFL is concerned, like I said in my earlier questions we are not witnessing any cancellations or deferment in terms of our new order wins and order book, we are experiencing new order intake in a steady manner. And I think one of the major contributors to it is the energy prices, which prevail right now in Europe and US both.

Abhishek Jain: So you want to say that you are getting benefit of increasing energy costs in Europe. That's why the business is coming to the Indian company.

Management: That is one of the factors.

Abhishek Jain: And sir, during this quarter, we have seen a sharp jump in the realization of and around 11% quarter-on-quarter growth. Despite the sharp fall in the steel price is around 25% to 30% -- so what is the reason for the increase in the realization? And how do you see impact of the realization because of the fall in steel cost in the coming quarter?

Management: In terms of realization, I think it is purely -- there is a part play of raw material pricing as well as part play mainly due to change in product mix and new geographies and new order book coming into play in terms of getting into revenue. In terms of future steel prices right now are extremely volatile and extremely difficult to comment how this is going to shape up in the future. But if steel price decreases from here, in similar quantum, the realization also may change.

Abhishek Jain: So why there is no impact on your realization front despite the falling steel prices

. And if I say that

the product mix as well, there's not a significant improvement on the press line utilization. So in that case,

Management: I think, in terms of utilization never speaks of the product mix, utilization speaks of the tonnage being used. Product mix is purely what -- as a company, we know what product mix we are changing.

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Abhishek Jain: So you want to say that the products like the heavy products like axle and all they have gone up?

Management: No, I would not like to comment on that. Basically, company has done better product mix. That's the reason realizations have gone up. And partly due to raw material prices, this has been there.

Management: There was no decrease in raw material prices for us during the quarter. Yes. Because the first H1, there is no decrease in Raw Material price, what we have witnessed last year in the steel we are using.

Abhishek Jain: And sir, as you mentioned that you are going to acquire the ACIL in the coming months. So just wanted what is the cost of the ACIL acquisitions and how much incremental revenue will be from that?

Management: In terms of cost I think we have already appraised the investors, I think regularly basis is around INR 110 crores, which we will need to spend to acquire the assets. And in terms of revenue right now, it is extremely difficult to say. -- in the current environment, what is going to be the revenue.

It is after we get the acquisition completed, we obviously will inform all our investor community on exactly the status and what is the revenue expected out of that

Abhishek Jain: And it is the machining capacity only?

Management: Yes, it's a machining capacity.

Abhishek Jain: And 2-wheelers and tractors?

Management: 2-Wheeler, tractors.

Abhishek Jain: And so what is your Cap ex guidance? You have already done around INR 1.7 billion in the first half, are you are going to acquire the ACIL and it will get around INR 1.1 billion. So for FY '23, what is your Cap ex guidance?

Management: See, for FY '23, we have not considered ACIL so far. Let's ACIL comes, then we will decide on that, and that will be in the SPV. And for RKFL stand-alone, we are looking to spend another INR 100 crores in FY'23 whatever we have spent so far apart from there.

Abhishek Jain: And you are just adding the capacity of around 56,000 tonnes, so most probably all Cap ex would be completed in this year?

Management: It still will spill over to the next financial year also, our Capex will be not completed in this Financial Year.

Abhishek Jain: So for the 56,000, what Cap ex is required?

Management: I don't have the exact number. I think another INR 150 crores, to INR 160 crores will give us this 56,000 capacity, whatever we already spent the money on this Cap ex and another INR 150 crores to INR 160 crores will give us capacity of another INR 56,000 tonnes.

Abhishek Jain: And my last question on this, what is the outlook for the North America classic truck for the next two quarters?

Management: We will not be able to answer specifically to what is going to be the outlook as we can only say

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that whatever we hear right now from our customers across North American geography across all our portfolios, we maintained the same statement that we are running a healthy order book, and we will be sustained to continuously grow on the geographies.

Moderator: Thank you Reminder to participants to press star and one to ask a question. We have a next question from the line of Mitul Shah from Reliance Securities. Please go ahead.

Mitul Shah Sir, first question, again, on average selling price only the realization has improved Sir, can you elaborate something on this product mix change maybe just by one or two example? Does it mean increasing more

machining within a product or a complete change of design or maybe tonnage wise, how you will define better product mix?

Naresh Jalan: It's mostly changed from some products have changed from machining to assemblies and some products from forging to machining. And some we have -- because of current order book, we have been able to utilize better the press, getting more higher tonnage into the same presses. All three have been factors contributing to higher realization.

Mitul Shah: The kind of sub-assembly type of model we start having?

Naresh Jalan: Sub-assembly and assemblies, both.

Mitul Shah: Second question, sir, this quarter, geography wise mix, how was this North America, Europe? We have given half yearly in presentation. Can you just repeat the quarterly for the quarter also?

Lalit Khetan This is almost similar to that what we have done in the half year. Same in the quarters.

Mitul Shah: No major change.

Management: No major change.

Mitul Shah: Sir, outlook on Europe side?

Management: I think outlook is steady, and we will keep on growing.

Mitul Shah: And sir, one thing is that as you highlighted that because of the better supply, particularly in the export geographies our production volume as well as production level of MHCVs in those areas have increased. So it must be to some extent, backlog of past few months where the semiconductor and other component supply were the issue. So probably even next 1 quarter, we can see similar bump -up type of thick. But after that, it may normalize. So what is your judgment that after one or two quarter or it may be from next quarter onwards, it should normalize

Naresh Jalan: I don't think there is anything in terms of normalization of pent -up demand. We are seeing a steady demand. And with new order wins, I think our basket is filled up to the extent we require in terms of keeping on with predicted growth of 20% CAGR a year

Mitul Shah: And lastly, on this realization, you highlighted that it is all product mix. There is no change in the raw material side, right, sir?

Naresh Jalan: No decrease. There is no decrease in raw material.

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Mitul Shah: No decrease right. There is no change. So going forward, probably, it would be a slightly correction as and we earlier highlighted also, it is a pass -through type of thing. So it would be reflected in Q3? Or still there would be some lag effect and may come entirely in Q4?

Naresh Jalan: See, every quarter raw material is increases or decreases. So if the trend continues or decrease, every quarter, you'll see a decrease. And if it stops after one quarter, you will not see after one quarter.

Moderator: Thank you. We have our next question from the line of Shashank Kanodia from ICICI Securities.

Shashank Kanodia: I just wanted to understand on the Cap ex part. So we are operating at roughly 65% utilization as of first half. So was the pressing need for us to do a good amount of Cap ex at this point of time?

And will it be adhering to a broader capital allocation strategy wherein we intend to spend upto 30% to 40% of cash profit for Cap ex?

Naresh Jalan: I think, first of all, we are not augmenting the same capacity, which we already have. We are creating new capacities in new -generation press lines with new technologies and specifically going into cold and warm forging. And in terms of overall utilisation, our capacity utilisation is close to 82%.

So we will need to augment -- and this these are all time taking capacity additions. These do not happen overnight. It takes its own time to first plan, put and stabilize the capacity. So company as a whole is planning way ahead of time so that when capacities are required, we have those.

Shashank Kanodia: And sir, so we have outlined a capital allocation strategy a couple of quarters back. So will this Capex there into that

allocation strategy? Or is it diverting from that front?

Naresh Jalan: We have already committed to it. And in our presentation also, you can see any Cap ex, which will happen that will happen from free cash flow generated by the company during the year, and we'll surely adhere to those plans of debt reduction and allocating balance capital for dividend and Capex.

Shashank Kanodia: So sir, so what kind of debt reduction we can expect for this year, FY '23?

Naresh Jalan: I think we have already had a net debt reduction of close INR 110 crores and company wishes to repay another INR 100 crores of debt by year -end.

Shashank Kanodia: And the target for being debt free by which fiscal year for us?

Naresh Jalan: 2025.

Moderator: Thank you. We have our next question from the line of CA Garvit Goyal from NVest Research. Please go ahead.

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Garvit Goyal: So my question is from the cash flow, working capital management side. I was basically going through your historical numbers. And I found that in last three years, that is 2020, 2021 and 2022.

There has been a significant increase in the percentage of inventory to your total revenue. So can you please explain the reasons and how inventory management or basically the working capital management going to shape up in the next one to two years, sir?

Management: Last three years, if you see the prices of steel and other goods have also considerably gone up. So if you're only seeing on the valuation part yes, there has been an increase. In terms of tonnage,

there has been a decrease. And if you see the sequential growth of the company year-on-year, there are substantial growth. And I don't think inventories you really calculate, inventory has gone up as much as the growth. And going forward also, company emphasizes or feels to preserve cash rather than inventory -- so we are already working on inventory reduction, and this is going to happen over next quarters.

Garvit Goyal: And sir, basically, that 56,000 new capacity addition. You mentioned in the presentation that your Capex for half year, '23 is already INR 153 crore. So this INR 153 crore is the entirety of that capacity? Or is it for any other...

Naresh Jalan: Entirely on that capacity.

Garvit Goyal: And this INR 100 crore you are mentioning in the half -- second half, that will also be for that capacity?

Naresh Jalan: Yes.

Garvit Goyal: And then next year also, you're mentioning INR 150 crore, so...

Naresh Jalan: No, I think, Lalit has said, overall, we feel that another INR 150 crores of Cap ex will be required to complete this 56,000 tonnes of Cap ex. Out of this INR 153 crores have already been spent and another INR 150 crores will be required.

Garvit Goyal: And what is your guidance for the top line by the end of financial year '25?

Naresh Jalan: No, I think we have said that we look and a company's desire is to continue with the growth path which we are in and we look at 20% CAGR growth continuously.

Garvit Goyal: And EBITDA margins, any guidance or do we sustain 22%?

Naresh Jalan: We will be able to sustain these margins and company looks to improve its internal parameters and improve on the margins.

Moderator: Thank you. We have our next question from the line of Darshil Pandya from Finterest Capital.

Please go ahead.

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Darshil Pandya: Actually, both of the questions are answered by Shashank's question as I had the same question for CapEx and inventory level, both of them are answer. Thank you so much. No more questions.

Moderator: Thank you. We have our next question from the line of Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain: Sir, you were talking about a 20% CAGR growth for the next two years. For FY '23, what is your volume growth target?

Naresh Jalan: See, we have a

already sold around 62,000 tonnes in the first half and we are looking at around 68,000 tonnes in second half so 1,30,000 tonnes is our target for FY '23.

Abhishek Jain: And what would be the mix export versus domestic, likely?

Naresh Jalan: That's like in the range of 40% to 42% on the side of exports rest is domestic.

Abhishek Jain: And sir, in last two quarter production was slightly higher than the sales. And as the transit time is now going down for the exports. So are you looking for some destocking in the coming days?

Lalit Khetan : Could not get you Abhishek, can you repeat?

Abhishek Jain: Sir, as a production in the last two quarters that was slightly higher than the sales. And transit time is also going down for the exports as you mentioned. So are you looking further some de-stocking in your export market?

Lalit Khetan: No. See, only issue is the concern of demand from the customers and then what is the consumption is happening. So it depends upon the entirely the demand supply demand scenario. And we are not looking at the, we have a feeling that demand will be more and the export will improve from here quarter-on-quarter.

Abhishek Jain: So generally, how much inventory do you maintain for the export market or how many days?

Lalit Khetan: No, we don't maintain the inventory. We have inventory in Europe a little bit, and that's in the range of INR 50 crores to INR 60 crores, and a little bit in the US, that is INR 30 crores to INR 40 crores. So that's the inventory we are maintaining in overseas market.

Abhishek Jain: And sir, how much of foreign debt in the balance sheet and how much For ex losses this quarter?

Lalit Khetan: We have gained about INR 12 crores of net foreign exchange on this quarter, that is perceiving the loss on account of debt on the restatement to debt on the For ex, but we have the debt also in the euro where we are gaining also. So it's a mix of the entire thing. Net gain is INR 12 crores for the quarter, considering all foreign exchange assets.

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Abhishek Jain: And sir, what was the LCV contributions in this quarter in the first half FY '23 in total revenue?

Naresh Jalan: No, we don't have a breakup of that roughly. But LCV should be closed down 6% to 6.5%.

Abhishek Jain: Sir, my last question is related with this non -auto segment, what is your plan to ramp up your business already for contribution has increased around 19%? So what is your target?

Naresh Jalan: It is going to continuously grow. I think we are looking at making basically non -auto segment at 25%. So I think our endeavor is to continuously improve on that till we achieve a 25% level in terms of our non -auto business.

Abhishek Jain: So what is your current order book in the Railways segment? And what is your revenue target for FY '23?

Naresh Jalan: Railway order book is approximately around INR 100 crores plus, and we are looking at doubling the railway orders in the order book in this year. And I think we are looking at close to INR 200 crores to INR 250 crores in FY '24 in terms of our Railway sales.

Moderator: Thank you. We have a next question from the line of Mitul Shah from Reliance Securities. Please go ahead.

Mitul Shah: Sir, two -three clarification. This 56,000 tonnes new capacity coming, and you said it will be fully operational by next year. So I believe that it will be operational in a phased manner, so what could be the likely capacity by end of current financial year, initial first phase?

Naresh Jalan: I think 50% of the capacity will be ready by March 2023 and balance 50% by September 2023.

Mitul Shah: And as you highlighted, it's a specific purpose type of capacity. So based on existing order, can you just give broader indication?

Naresh Jalan: I think it is very early. I think, obviously, we'll wait for another quarter before we give

guidance on

that. We would like the capacity shape to shape up before we start giving guidance on that.

Mitul Shah: But we must be having a few orders related to that capacity.

Naresh Jalan: We already have development orders in hand, but in terms of if you want exactly what is going to be the volume and revenue and profitability. It is very early for us to comment on that.

Mitul Shah: Okay. Sir, secondly, on the MHCV side, in earlier remarks, you highlighted that MHCV contribution has now come down to 50% of automobile segment. So that is 80%, 50% means as you would want to say that only 40% of the revenue is MHCV right now?

Naresh Jalan: Yes.

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Mitul Shah: And does this include Class 8 truck or it is only domestic MHCV you are talking?

Naresh Jalan: I am talking about entire MHCV.

Mitul Shah: Okay . So 60% is all known MHCV, LCVPV, non -auto everything?

Naresh Jalan: We are not into PV in anyway, we are into LCV, any vehicle from 9 tonnes to below, I'm talking about.

Moderator: Thank you. Ladies and gentlemen to ask a question please press star and one on your phone. We have our next question from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Sir, I've got two questions on my side. One is what is our total order book as on September end? And second is how much are we spending on 4 megawatts of solar, the solar power actually?

Naresh Jalan: In terms of order book, it is very difficult to mention because we work with OEMs who work on three month schedule or a month schedule. So order book, it is very difficult to define what is the order book right now? And in terms of 4 -megawatt solar power plant, we are looking at spending somewhere around INR 12 crores to INR 12.5 crores right now to install this 4 megawatt power plant.

Vignesh Iyer: And this is including this INR 12.5 crores is part of the INR 100 crores you intend to spend, or is it over and above that?

Naresh Jalan: Part of the overall Cap ex spending plan of the company.

Vignesh Iyer: And what was the first six months order we have received, total?

Naresh Jalan: I think first six months is reflected in the topline we have achieved because basically, we don't have an order book as such, basically working with railways, yes, we have an order book of close INR 100 crores, but we work with PSUs, we have order, but when we work with auto OEMs, there is no order book as such, which basically depends on the vehicle plan they produce, and that's on monthly basis on a three months basis.

Moderator: Thank you. We have a next question from the line of Dhruv from Edelweiss. Please go ahead.

Dhruv: Sir, could you please just give the margin bifurcation for all your business segments like in rolling margins and maybe forging and cash margins, if that's possible?

Naresh Jalan: No, that's not possible. We don't work on individual plants. We cannot give you margins.

Dhruv: So also, I just wanted to ask you, currently, we are at 65% capacity utilization for your fresh business. And we are adding 56,000 tonnes of capacity there, but why are we not looking at capacity

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expansion in ring rolling and forging segments where we are at 100 -plus utilization?

Naresh Jalan: Basically, like I said that it is new capacity with new technology and new components with our capacity is basically need based with the discussions with the customer. So we don't feel the need of right now adding any capacities in ring rolling or other places as far as customer indication in terms of future demand

Moderator: Thank you. Ladies and gentlemen to ask a question please press star and one on your phone, now. To ask a question please press star and one on your phone. We have a question from the line of Shaukat Ali from Monarch N

etworth Capital Ltd Limited. Please go ahead.

Shaukat Ali: Sir, a small question from my side. How the effective tax rate is going to fare for the entire year, FY '23? How effective tax rate will fare from here?

Lalit Khetan: Effective tax rate is in the range of around I think we will move to around in the range of 22% to 24% for the full year.

Moderator: Reminder to participants to press star and one to ask a question. Participants are requested to press star one to ask a question. As there are no further questions, I would now like to hand the conference over to the management team for closing comments. Over to you, sir.

Rajesh Mundhra : Thank you. We take this opportunity to thank everyone who has joined our call. We hope we have been able to answer all the queries that were addresses to our management. For further information, you can get in touch with us or Strategic Growth Advisors our investment advisor . Thank you very much, and have a good pleasant evening. Thank you.

Moderator: On behalf of ICICI Securities that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2023

RAMERISHNA FORGINGS LIMITED

Date: 25 January, 2023

To To

The Listing Department The Listing Department
BSE Limited National Stock Exchange of India Limited
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Mumbai - 400 001 Mumbai- 400 051
BSE SCRIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call Q3 & 9M of FY 2022-23

This is further to our intimation dated 18 January, 2023 w.r.t conference call with the Analysts/Investors for the Q3 & 9M FY 2022-23 Financial Results (Standalone & Consolidated).

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call for Q3 & 9M FY 2022-23 Financial Results with the Analysts/Investors, held on Friday, 20 January, 2023 at 16:30 Hours (I.S.T).

Same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

Request to kindly take the same into record.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra

Company Secretary & Compliance Officer

A12991

Encl.: As above

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"Ramkrishna Forgings Limited

Results Conference Call"

January 20, 2023

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. LALIT KUMAR KHETAN – WHOLE-TIME

DIRECTOR AND CHIEF FINANCIAL OFFICER –

RAMKRISHNA FORGINGS LIMITED

MR. RAJESH MUNDHRA – COMPANY SECRETARY AND

VICE PRESIDENT FINANCE – RAMKRISHNA FORGINGS

LIMITED

MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES

Ramkrishna Forgings Limited

January 20, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the Ramkrishna Forgings Limited Results

Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by dialing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Basudeb Banerjee from ICICI Securities. Thank you, and over to you, sir.

Basudeb Banerjee: Thanks to all participants. Good evening all. Thanks to management of Ramkrishna Forgings for giving us the opportunity to host the Q3 FY '23 call, post-Results Call.

Company is represented by top management in the form of Mr. Naresh Jalan, Managing Director, Mr. Lalit Khetan, Executive Director and Chief Financial Officer, and Mr. Rajesh Mundhra, Company Secretary and VP Finance. Over to the management of R.K. Forgings for their initial comments. Post that we'll take the Q&A. Over to you, sir.

Lalit Khetan: Thank you, Mr. Banerjee. Ladies and gentlemen, good evening, and a very warm welcome to everyone present on the call and wish you all a very Happy New Year from the entire Ramkrishna Forgings' staff.

I have with me Mr. Naresh Jalan, our Managing Director, Mr. Rajesh Mundhra, our Company Secretary; as well as our Investor Relations team from Orient Capital. I hope you all have got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchanges as well as on the company's website.

I am pleased to report that our company had a strong Q3 and nine-months FY '23. The Commercial Vehicle Segment has seen steady growth following the festive season due to high utilization of fleets resulting from increased economic and infrastructure activity. The momentum is expected to continue and overall commercial vehicle market is predicted to remain strong, driven by an increase in economic activity and government's emphasis on infrastructure and electrification.

We are also proud to announce that this quarter, we have won three orders worth INR 366 crores from North America and Europe. Out of this one order is for supply of EV component, which demonstrates our confidence in EV space. The demand from these countries has been increasing, and we aim to grow our export by 15% to 20% in this year. North America will continue to do well, and the increasing imports from Europe will continue to give us more opportunities to participate.

In line with the industry, we have seen an increase in demand as well for our products, which has led to significant growth in our revenue and profits. In Q3, we have recorded revenue of INR
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752.30 crores, which represents an year-on-year growth of 24%, while nine-month FY '23, we recorded a revenue of INR 2,165.60 crores, which represents an year-on-year growth of 35%. EBITDA margin for the quarter stands at 22.10% versus previous quarter of 22.30%. Our net profit after tax for the quarter is INR 57.57 crores, which is an year-on-year growth of 27.6%. Our net profit after tax is INR 168.77 crores for nine-months ended FY '23, which is a year-on-year growth of 40.8%.

To diversify our product portfolio, we have continuously taken steps to increase our diversification and to strengthen our foothold in EV space, we have acquired 51% stake in TSUYO manufacturing. This will significantly improve our capabilities and expand our market share in evolving EV segment.

Furthermore, our recent plan to acquire JMT Auto also has got approval from the Committee of Creditors, which is subject to obtaining the necessary approval from the NCLT, New Delhi.

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strong performance is a reflection of the diligence and commitment of our team as well as the continued support of customers and stakeholders. We remain committed to delivering high-quality products, enhancing our content per vehicle, providing superior services to the customers, and we are confident that we continue to see growth in the future.

Thank you for your continued support and for joining us today. We are now ready to take questions from the audience. Thank you.

Moderator: The first question is from the line of Sanjay Dam from Old Bridge Capital.

Sanjay Dam: Congratulations, Mr. Khetan, Mr. Jalan, Mr. Mundhra and team for the wonderful performance.

I just wanted one clarification. In Slide 21 of your presentation, you stated that you are adding 56,300-ton capacity, which would be ready by September '23. And with this capacity, will be able to achieve a top line of INR 5,000 crores at current commodity price. Just wanted to reconfirm that because if I look at the trailing 12-month revenue, we've done about INR 3,000 crores of revenue. So you are saying that with this increase, we'll be able to do INR 5,000 crores, is that correct?

Lalit Khetan: Yes, that's correct.

Naresh Jalan: Yes.

Sanjay Dam: And broadly, I think this quarter is also very significant because we ended up with the highest ever EBITDA per ton so far. I think it would be in excess of INR 58,000 a ton. So going by that yardstick, when we do hit that INR 5,000 crores of topline, that if we are able to improve the EBITDA because of better mix, higher content, etc., that would be a welcome change. But if we even maintain that, we are looking at a broad EBITDA of about broadly about, I think, INR 2,900 crores?

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Naresh Jalan: I think Sanjay, it is very difficult for me to give you EBITDA number.

Sanjay Dam: I understand, sir. I was just seeing that whatever you have?

Naresh Jalan: Overall, whatever we have said in the presentation is that with the addition of the 56,000 tons of capacity, we will be near approximately 2,35,000 to 2,40,000 tons capacity, which is good enough in the way we are improving our value add per content per vehicle and as well as non - auto segments are getting added. We feel that we will be able to touch INR 5,000 crores of revenue. But we are confident of that and depending on the current commodity prices, how it moves during the year. But in terms of EBITDA, it is very difficult to say right now what is going to be the EBITDA per ton.

Sanjay Dam: Yes. But irrespective of whichever way the commodity moves, that can move your top line for sure. But EBITDA per ton should be defendable, right?

Naresh Jalan: Yes, we will be able to maintain our margins, what it currently is.

Sanjay Dam: And the second is, if you could -- now, when you get the NCLT approval for JMT Auto capacity, what is the capital allocation that would be required there?

Naresh Jalan: We have already given in our presentation, the cost of acquisition has been INR 125 crores for us. Out of which INR 70 crores is being paid upfront and balance is going to be paid over the next four years. And we will deploy further INR 50 crores of capital in this by way to do capex in the organization and as well as the working capital.

Sanjay Dam: And what do you expect out of this capacity, sir?

Naresh Jalan: It is a mix of forging and casting capacity with value -add. So I think if we go by the historical numbers, what JMT had published being a listed company, I think at that period with the commodity pricing, what was prevailing at that time, they did a peak topline of close to around INR 375 crores.

So I think with those numbers and with the current commodity pricing, we feel that once we are able to get the plant up and running, we should be able to do anything between INR 450 crores to INR 500 crores topline from that.

Sanjay Dam: Yes, that you should do. And broadly, what is the time line you sense?

Naresh Jalan: We don't know the legal time what is going to be taken in terms of handing over the plant. Once we get the plant, I think it will take us approximately 18 to 20 months to get the plant up and running and in full production.

Moderator: The next question is from the line of Mumuksh Mandlesha from Emkay Global.

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Mumuksh Mandlesha: Sir, you mentioned that exports are expected to grow 15% to 20% for next year. Can you share what would lead to the growth while the underlying market may be flattish, sir?

Naresh Jalan: In terms of exports, we feel that the amount of new customers we have added and whatever orders are there in pipeline and whatever contracts we have won in this year, which will get into production in the coming year as well as the new geographies which have been added, will result in at least 15% to 20% improvement in our exports.

Mumuksh Mandlesha: So it's mainly market share gains and new production to drive the growth, right, sir?

Naresh Jalan: I cannot comment on market share gain. We are gaining new customers, new geographies are getting added. And that is what, exactly I cannot comment on market share gain because these are all new products for us and new geographies. So we don't know what is the market right now there. But basically, with the commitments received from the OEMs or the customers, we can safely say that we should be growing around 15% to 20% in the coming year.

Mumuksh Mandlesha: Sir, on EVs, which are the EV -specific components, company is working on? And what are the plans of investments for the EV products? And also, can you talk about the recent investments, TSUYO? What kind of revenue potential and investments you're planning, sir?

Naresh Jalan: I think we'll answer your question in two parts. One, Lalit will take up in terms of TSUYO. And

then in terms of our current capacity, we are mainly working with our current OEMs for e -axle, as well as differential and motor shafts. These are the few components wherein we are working with our current customers from the current capacity for supplying EV components. In terms of TSUYO, I think Lalit can update you on that more.

Lalit Khetan: From the TSUYO, see we will do the investment in phases in over five years. Around INR 100 crores of investment will be done in TSUYO. And we're making products like a motor controller, differential and e -axle, complete powertrain . And that is the product line we are looking at. And then further, we are looking at high -wattage motors, that will be go to the higher weight vehicles. So that's on the TSUYO.

Mumuksh Mandlesha: Sir, this quarter, non -auto segments like mining and railways have done very well. So what led to the growth, sir?

Naresh Jalan: So basically, the capacity, in our previous calls also, we have said railway is a segment which will continuously grow. And I think it is just a start of the growth right now. You will see every quarter, the railway will keep on adding in terms of percentage and absolute sales as well as the earthmoving equipment side.

Mumuksh Mandlesha: Sir, possible to share the targets for the railways for next year?

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Naresh Jalan: No, I think next year, it's too early for us. We will wait till the full year is getting completed. But for current quarter, which is going on, we can safely say that we will do much better than third quarter, which has ended.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: Great set of results. Yes. So first question is for the third quarter, if you look at the geography mix, the revenue share from Asia is now 90%, while North America is down to 2%. So what is this change, why is

this sudden big change in this geography mix has happened? If you can elaborate on that?

And second question will be, our quarter -on-quarter finance cost is slightly up. So some clarification on that as well. Yes, these are my two questions.

Naresh Jalan: No, in terms of geographical mix, I think Asia is 71%. Europe is 12% and 17% is North America. North America from 21% is down to 17%, but that's basically down only because of -- in terms of absolute numbers, it is not down. But in terms of increase in balance sheet, we had in our earlier calls also indicated that Europe is going to grow fast. And also as customers added in the Asia Pacific are also going to start showing traction. So that is the reason North America sales looks to be down in nine -month balance sheet.

Dhaval Shah: So I was -- if you breakdown, okay, I'll take this offline. No problem. Yes. And on the interest cost?

Lalit Khetan: Yes, Dhaval, on the interest cost, see because in the last nine -months, they were raising, almost 250-basis point rise in the interest done . There has been a lot of raise, almost 250-basis point rise by the RBI. So that -- 225-basis point raise by the FED also. So what has happened is all interest decision has come out in the month of September and October for us in the long -term loan. So there is a little impact on us in this quarter a little bit and that's why this interest cost gone up and working capital cost is constantly going up due to that.

Dhaval Shah: And sir, what is the working capital as on today, how much is the working capital days?

Lalit Khetan: Working capital days right now, I can say that it has reduced a little bit from the last quarter, maybe five to seven days, but almost it's near to what was in the half year.

Dhaval Shah: And so our debt is around INR 1,287 crores, and so by 31st March, how will this number look?

Lalit Khetan: We look to reduce another INR 50 crores by 31st March.

Moderator: The next question is from the line of Abhishek from Dolat Capital.

Abhishek: Congrats for a strong set of numbers. Sir, just wanted to know what is the outlook for the Class 8 trucks and fourth quarter domestic MHCVs volume?

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Naresh Jalan: I think for Class 8 trucks, we see this market to remain strong. And I think with the same levels, I think what we ended year '22. I think '23 also will be same. I don't think the industry is going to grow from what it has been in '22, but it's going to remain flatish in calendar year '23. In terms of MHCV, we see lot of traction in the domestic industry. And I think domestic industry is doing really well, as we speak right now.

Abhishek: And as you are targeting around 15% to 20% growth in export markets, so what kind of the growth you are targeting in the North America and Europe?

Naresh Jalan: No. we will not be able to give growth geographically right now. I think in overall exports, we should be doing close to 15% to 20% higher exports, but it will come basically through new segments, new components, as well as the new geographies which have been added in. And already most of the announcements have been made by us, as we continue to win new orders.

Abhishek: So what is the overall volume growth target you have for FY '24, sir?

Naresh Jalan: FY '24 is quite early for us to say anything. But I think you'll need to wait for the full year for getting FY '24 targets we have set.

Abhishek: So in the export, you mentioned that 15% to 20% growth, so what kind of the growth we can see in the domestic market?

Naresh Jalan: Domestic market is extremely strong as we speak right now. So I think need to wait for the full year to get completed, exports, we can safely say because the calendar year, they work on calendar year and it has ended on December '22, and we have already got projections for this full year from our export clients.

nts.

Abhishek: And sir, in realization terms, we have seen a 5% decline in this quarter just because of the fall in the freight cost or fall in the commodity prices?

Naresh Jalan: Mainly because of the fall in commodity price.

Abhishek: And as the steel prices has corrected 20% to 25% in last six months. So we'll see the further decline because of this?

Naresh Jalan: I don't know exactly from where you've got this 22% to 35% steel decline. So I will not be able to comment on this. As we speak, we have got close to INR 8 to INR 10 kg price reduction, and that is already reflecting in our export sales.

Abhishek: Sir, I was talking about the Indian steel sector that has ramped down from the current...

Naresh Jalan: We have not seen any steel prices decline in India in automotive steel.

Abhishek: And sir, in this quarter, employee expenses has gone down. Is there any layoffs?

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Naresh Jalan: No, there has been no layoffs in...

Lalit Khetan: This is mainly due to the last quarter. It was bonus and the increment impact was there. So it is now normalized. Next quarter, it will be at this level only.

Abhishek: My last question is related with the tax rate. What would be the effective tax rate for FY '23 and '24?

Lalit Khetan: See, FY '23, we are in the highest tax bracket, and we hope in the next year, we will move to 22%-plus surcharge tax bracket.

Abhishek: And this year, it would be around 32%, right?

Lalit Khetan: Yes.

Moderator: We have the next question from Mahek Talati from Yellow Jersey Investment Advisors.

Mahek Talati: So I wanted to ask that steel prices have come down by 40%. So what is the realization in margins you are expecting?

Naresh Jalan : Ma'am, I really don't know from where the figure of steel prices have come . To the previous question, I've already said, for us, steel prices in the domestic industry has not corrected and it is still the same, what was there in previous quarter.

Moderator: The next question is from Mitul Shah from Reliance Securities.

Mitul Shah: Congratulations on good set of performance, growth, all the parameters. The first question is on export incentives, which is sizable around INR 63 crores during the quarter, whereas Q-on-Q export revenue is flat but these incentives jump up more than 21%. So just want to understand how it is there any spillover of the previous quarter or it is linked with the geography related or product -to-product variation?

Lalit Khetan : Mitul, just like to correct you. This is INR 6 crores, not INR 62 crores, INR 63 crores.

Lalit Khetan: And that is on the entire exports, okay. And that comes out to only 2%. That includes duty drawback and RoDTEP. The duty drawback is 1.6% and RoDTEP is 0.7%.

Mitul Shah: The second question is on non -auto side that we are talking lot about this railway part, but other non-auto like mining, earthmoving, farm is contributing more than 8% of the revenue now. So can you give more details here within this segment, how much or would be farm equipment?

How much would be mining or earthmoving or what is the approximate bifurcation?

Naresh Jalan: No, I think it's a difficult, Mitul, to give you a bifurcation within this 8%. But overall, company looks at, our non -auto segment has grown and will continue to grow, I think, in the coming quarters also in the non -segment. Both railways and mining and earthmoving and farm

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equipments will continue to show, are continuing to show traction, and we expect in coming quarters, this to significantly scale up further.

Mitul Shah: Sir, any qualitative aspect in terms of the -- within this farm equipment or earthmoving, what could be major or maybe in terms of growth, why this could be higher than the other segments?

Naresh Jalan: I think all the three segm

ents are doing extremely well. So I cannot put a specific data to any particular segment. So all the three segments are doing extremely well. And we feel that this is right now going to be a qualitative percentage in terms of the overall balance sheet.

Mitul Shah: Sir, lastly, on oil and gas side, what is our development, earlier we were trying to gain market share from the giant competitor, so what is status there, sir?

Naresh Jalan: No. We are already doing extremely well, over 0.9 % in the last year, full year. We have done close to around 1.6% in nine -months. And I think this is going to further grow, to close to around 2% to 2.5% of the entire balance sheet.

Moderator: We have the next question from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: Sir, you mentioned with new capacity, our revenue potential can be INR 5,000 crores. So that is what we are trying to achieve by maybe FY '25, that would be a fair thing to assume, right?

Naresh Jalan: Yes. We are trying to achieve that by FY '25.

Deepak Poddar: So that effectively means the CAGR of 25%, 26% over next two years. That's what we are looking at?

Naresh Jalan: Yes, company basically is visualizing, our company is basically, earnest desire of the management is to touch those figures. And probably, we will be able to throw much more light into it when we end this year and when we start, are able to give you a full year guidance in the full year results.

Deepak Poddar: When we are at about INR 5,000 crores topline , currently, you did mention that this 22% EBITDA margin is a sustainable kind of thing. But given our gross margin is 55%, so I believe that effectively means we would get operating leverage advantage when we reach maybe INR 5,000 crores of topline. So there should be upside risk to this margins maybe over next two years?

Naresh Jalan: No, I don't think there is a risk to the margins. Like I said in my previous answer also that we want and we are committed to maintaining these margins of 22 -plus percentage as we continue to grow. And with whatever current horizon, what we look at in terms of order book or in terms of commodity, we feel confident that we'll be able to maintain the same.

Deepak Poddar: No. so risk in the sense, I was indicating the upside potential because of the leverage rate?

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Naresh Jalan: Obviously, we continue to desire to go ahead, upside in terms of profitability. But we can commit to maintaining the margins, but whatever comes will always be in the investor domain.

Deepak Poddar: And my last question is regarding your debt levels. I mean, as you have mentioned in the past, that we look to become net debt -free by FY '25. I mean, currently, we have about INR 1,400 crores of debt?

Naresh Jalan: No, I think you are wrong, I think our debt is below INR 1,300 crores, I think INR 1,286 crores. We have already -- if you see significantly around INR 300 crores of debt reduction in nine -months, we have done. So we expect to another INR 50 crores reduce in this quarter. So it is a continuous processes. We are on the job to reduce debt.

Deepak Poddar: But net debt free, is what, FY '25 -'26, is that the timeline?

Naresh Jalan: Yes. We still maintain the targets of being a net debt -free by FY '25 -'26.

Moderator: The next question is from the line of Viral Shah from Enam Holdings.

Viral Shah: Sir, my first question is on the debt number of this INR 1,286 crores. Can you just clarify, does this include the bill discounting number also and what is the number of bill discounting?

Lalit Khetan: Yes, it includes the bill discounting number also. All the bill discounting has been included in the debt, whichever, is on there.

Viral Shah: And what would that number be, if you could share that?

Naresh Jalan: We had bill discounting of TATA Motors bill discounting, I thin

k, Viral, that's INR 95 crores.

Viral Shah: INR 95 crores. Sir, secondly, on the capex, I want to understand. So what is the capex outflow that will happen in FY '23 and '24 both?

Lalit Khetan: So we already communicated that INR 250 crore will be the capex plan for the FY '23. And we stick to our capex plan of INR 250 crores. And for next year, it will be in the range of INR 150 crores to INR 200 crores.

Viral Shah: So this INR 250 crores plus INR 150 crores will include the maintenance capex also.

Lalit Khetan: Yes.

Viral Shah: And this 56,000 tons of additional capacity, could you just throw some more light? Is this similar

to the presses that we have? Or are these -- will these be newer presses, what kind of products will these do something of that sort?
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Naresh Jalan: No, basically, in 56,000 tons, Viral, whatever capacity is getting added is basically in cold and warm forging. So, mostly, I would not like to disclose the parts or what components we are.

Basically, it is a new generation cold and warm forging.

Moderator: We have the next question from the line of Mr. Dhaval Shah from Girik Capital.

Dhaval Shah: Sir, the EBITDA per kilo is slightly lower in the third quarter compared to the last quarter. Was there, sir, is this due to some product mix change?

Naresh Jalan: No, there is no product mix change. Basically, prices of commodities have gone down in the export market and the domestic steel price is yet to pass on those results.

Dhaval Shah: So you reduced your selling price, but not yet, but you haven't got the benefit?

Naresh Jalan: Yes. We are still negotiating with the steel plants.

Dhaval Shah: So that generally happens in April and October, right?

Naresh Jalan: No. Every quarter, it happens, it is delayed right now. We are expecting it to happen anytime.

Dhaval Shah: And what is the quantum of reduction you expect?

Naresh Jalan: No, I think we cannot put a number to that, right?

Dhaval Shah: So this, assuming the last quarter number as a number for FY '23, like around INR 50 to INR 53 a kilo. So when you, over next two, three-year period, how will this number grow year-over-year?

Naresh Jalan: I think it's very difficult, you're asking a question which -- it is extremely difficult to answer.

Moderator: The next question is from the line of Abhishek from Dolat Capital.

Abhishek: How much capex will be required for this 56,000 ton capacity?

Lalit Khetan: Abhishek, we have said that we are already going to INR 250 crores capex in this year, and this is an ongoing capex. I mean, that capacity will be up in next year, so another INR 100, INR 150 crores will be required to complete this capex, and that will be it.

Abhishek: I'm asking about the total capex that would be required for the new capacity. It will be around in the range of INR 2.75 billion to INR 3 billion, what you mentioned...

Lalit Khetan: Yes, total capacity for this capex, what we are doing is around INR 250 to INR 300 crores.

Abhishek: And this year capex, you would be able to do around INR 1.0 to INR 7.5 billion of capex as a part of the capex, as a part?

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Lalit Khetan: Could not get you. Could not get you, Abhishek. Can you repeat your question?

Abhishek: For this year capex, for the new capacity, it would be around INR 1.5 billion?

Lalit Khetan: Not billion. I think INR 150 crores, actually.

Naresh Jalan: INR 250 crores for current year and next year, we are projecting close to INR 150 crores to INR 200 crores.

Abhishek: How much is the forex gain or losses in this quarter, sir?

Lalit Khetan: This quarter forex gain is around INR 11 crores.

Abhishek: Sir, from last two quarters you are giving, during the last quarter, you had gained around INR 12 crores, this quarter, also I

NR 11 crores. So what is the reason of this, sort of the forex gain.

Lalit Khetan: That's basically the currency fluctuation. If you look at the last quarter dollar closed at INR 81.38 and this fall quarter ended at INR 82.73, whatever is the unhedged debtor that has been restated with the current rates plus we do some amount of hedging, there we also make gains.

Abhishek: And that is coming into the other income?

Lalit Khetan: That is part of realization.

Abhishek: As part of the realization. And my last question on the inventory in the export market, how much current inventory is lying in Europe and US?

Lalit Khetan: I think that, we don't have the exact number right now, how much we have there, there also. We can come back on that, we can check offline that.

Moderator: The next question is from the line of Shashank Kanodia from ICICI Securities.

Shashank Kanodia: Yes. So I just wanted to check for the capex outlook for next year. It doesn't include the amount for JMT Auto as well as ACIL, right?

Naresh Jalan: It does not include any acquisition.

Shashank Kanodia: So sir, potentially if you have to fit both the acquisitions, what could be the cash outflow for next year on both the fronts?

Lalit Khetan: It will be INR 85 crores for ACIL and INR 70 crores for JMT Auto.

Shashank Kanodia: So another INR 150 -odd -- INR 160 -odd crores, right?

Lalit Khetan: Yes.

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Shashank Kanodia: So sir, doesn't this -- is it aggression from a capital allocation strategy within -- our intent was to primarily reduce debt for next three years, still you are going for acquisition as well as organic growth to capex part?

Lalit Khetan: I think in terms of debt reduction, we are continuously doing a debt reduction, nine -months, close to INR 300 crores of debt has been reduced, and if -- that does not mean we will not grow the company. Whatever cash accruals are there on the book, it is being deployed for repaying debt as well as doing the new capacity addition.

Naresh Jalan: And these are the growth engines where we will be -- opportunity will be there and that has not yet been taken into our possession. And these will be the self -sustaining company, and they will be able to service the debt taken for investment in these companies. So there will be no load on the RKFL balance sheet in terms of debt consolidation.

Shashank Kanodia: And sir, lastly, you have been maintaining that we'll maintain a 22% plus kind of a margin profile, but on EBITDA per ton basis, last three quarters, we've been able to maintain the run rate. So this is kind of sustainable, right, given the fact that we are doing more of value -added and incremental non -auto business?

Naresh Jalan: We don't calculate EBITDA per ton because we are not a steel company, so we don't calculate in that form. So we'll not be able to comment on that.

Moderator: We will move to the next question from Chirag Shah from Nuvama.

Chirag Shah: Sir, my question was on this new capacity that is coming up, the 56,000 tons. If you can help us understand that realization from there, if you have per ton basis or per kg basis, should be similar to what it is that we have or it would be slightly better, given that it's a new technology or a new form of forging that you are having. And second question is. Yes, you can answer, I will ask this later on?

Naresh Jalan: Chirag, I think with this cold and warm forging coming in, I think obviously, these are near net shape components. So this will be better realization components and this -- most of these capacities will be going to -- for exports. So we expect and we realize that these are going to be very high remunerating and high realization items.

Chirag Shah: And by that presumption, we can assume that at least for, if not in terms of margin, but on per ton basis, profitability would be better

than what it is currently. Margin profile can be different

given that you are in the -- you may also do stabilization and or else maybe bring the plant up to the mark of, overall is that a...

Naresh Jalan: Basically, with the capacity utilization improving in this cold and warm forging as the capacity starts performing, we are expecting because of near net shape components and new technology being put up and low manpower cost in this, we expect the margins to be much better than what we have.

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Chirag Shah: And sir, in your assessment, by when do you expect that this capacity can achieve optimal utilization? It will take two years.

Naresh Jalan: It will take 1.5 years.

Lalit Khetan: Almost 1.5 years.

Chirag Shah: One and a half or 2.5?

Naresh Jalan: One and a half.

Chirag Shah: So suppose you start somewhere in Q2 or Q3, from there around in 1.5 to two years, we can assume what kind of capacity utilization?

Naresh Jalan: Yes.

Chirag Shah: And 56,000 is achievable capacity, right, sir?

Naresh Jalan: Yes, it is achievable capacity.

Moderator: The next question is from the line of Rucheeta from iWealth.

Rucheeta: So my question was on the general and other manufacturing expenses, is it priced up in this quarter, even though if we look at Q-on-Q, the sales are kind of flattish. So what is the reason for this spike in your other manufacturing expenses?

Naresh Jalan: The other manufacturing expenses are almost similar to what we have seen in the last two quarters. So I don't think there is any spike in other manufacturing expenses.

Rucheeta: Last quarter, it was only around INR 144 crores, this has gone to INR 175 crores in this quarter.

Naresh Jalan: No, it remains at INR 144 crores only. I think you are looking at standalone result or on a consolidated?

Rucheeta: The consolidated number.

Lalit Khetan : So you looking at the consolidated number, you're comparing with the standalone numbers.

Rajesh Mundhra : No, the consolidated number is also INR 146 crores.

Lalit Khetan : INR 146 crores in the both the quarters, correct.

Moderator: We will take the next question from the line of Raghunandhan N.L. from Emkay Global.

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Raghunandhan NL: Sir, my first question is, company has been doing well, increasing presence in auto, EV and non - auto segments. Can you indicate how you look at a medium -term kind of a revenue share or how you would aspire to have the revenue share over medium term between these three segments?

Naresh Jalan: Company aspires to have a premix of 70% auto and 30% non -auto. And I think what we are looking in next maybe six quarters to seven quarters to achieve those numbers.

Raghunandhan NL: And within auto, how do you see the EV business shaping up, sir, you've been taking several efforts there?

Naresh Jalan: EV business on standalone RKFL basis, we are looking at close to around 3% to 3.5% of our total revenue from auto coming from EV, which is right now 2%, we are looking at doubling this in the next about 12 months.

Raghunandhan NL: And there are several orders that company has won and execution is yet to commence, in FY '24 what kind of revenue addition is expected due to new orders?

Naresh Jalan: No. This guidance of 15% to 20% jumps in exports next year basically, with this new order books, new order wins in new components.

Raghunandhan NL: So if including domestic orders, would it be fair to say that INR 400 crores revenue addition can happen next year because of new orders?

Naresh Jalan: I will not put any number to it, basically 15% to 20% is what we are looking in terms of exports right now and for domestic, I think you will need to wait for the full year results to comment on.

Moderator: The next question is from the line of Chirag Shah from Nuvama.

Chirag Shah: Just one small question on EV side. If you can elaborate over next two, three years, how do you look that portfolio shaping up, what segments you are looking, which regions you are looking at that could the revenue that you get will come in from what segments and which regions?

Naresh Jalan: We are basically working with all our customers in the EV on the passenger vehicle side as well as in pickup trucks and SUVs. So it is in North America, it is in Europe and in India. Right now, we are working in. And we are looking at close to around, maybe 5% of our overall balance sheet in the next two years from the auto side to be contributed from EV in all these geographies.

Chirag Shah: Any specific preference for geographies based on your understanding, your level of discussions, it'd be domestic or it'd be more export -oriented?

Naresh Jalan: I think more, it's going to grow on the export side.

Moderator: The next question is from the line of Kashish Shambhwani from Negen Capital PMS.

Kashish Shambhwani: Firstly, I wanted to understand what is the maintenance capex for us plants, currently?

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Lalit Khetan : Maintenance capex including dies and everything is around INR 50 to INR 55 crores per annum.

Kashish Shambhwani: INR 50 to INR 55 crores, sir.

Naresh Jalan: Yes.

Kashish Shambhwani: And for the top line guidance that you have given, do we also include JMT numbers in that because that will also be consolidated eventually?

Naresh Jalan: No. I think JMT is quite early for us to any comment in terms of revenue. So, we'll wait until the NCLT process is done with.

Kashish Shambhwani: And we have been doing pretty well in the last nine quarters that been coming down. I want to understand, what is the key risks that you envisage which can derail our growth plans in the medium term?

Naresh Jalan: As an enterprise, we do not visualize or we do not think of what can deal derail our growth. And we, as an enterprise, we always look at opportunities to grow and do not have Plan B to understand why we can derail our plans.

Kashish Shambhwani: No, sir. We as investors are also equally optimistic like you. But I wanted to understand what are the key risks in our business?

Naresh Jalan: No, I think I would like to give it a pass. I would not give an answer to this question.

Moderator: The next question is from the line of Dhaval Shah from the line of Girik Capital.

Dhaval Shah: Sir, given the exposure to India and early fourth quarter, this is the quarter in terms of the overall -- the capex spend. Would you, our volumes in the fourth quarter would be flat quarter-on-quarter? Or would we see an increase? Any guidance would you like to share?

Naresh Jalan: No, I think it is pretty early for us to share any guidance. And I think we only can say that we are doing extremely well, and we will continue to do extremely well in current or coming quarters.

Moderator: The next question is from Mitul Shah from Reliance Securities.

Mitul Shah: Sir, can you share LCV contribution currently?

Naresh Jalan: Mitul, right now, I think I don't have that figure. I will ask Rajesh to forward you that in offline.

Mitul Shah: Second thing. In one of the presentations at Slide No.14, we have given various components that is front axle, engine suspension, et cetera. So how much would be engine right now?

Naresh Jalan: It is the 0.9% of the balance sheet, automotive exposure.

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Mitul Shah: 0.9 only.

Lalit Khetan: Yes.

Mitul Shah: And sir, last, just a confirmation. Our current capacity around 190,000 and this additional would be 56,000, so close to 250,000 tons capacity, we will be able to reach to 5,000 crores. Is it right?

Or we are including any other.

Naresh Jalan: No, we are not

including anything else. 250,000 approximate, the tonnage to reach the goal of 5,000 crores.

Moderator: We have Sanjay Dam from Old Bridge Capital with the next question.

Sanjay Dam: So in the latest quarter, we did about 35% of our volumes was export. Broadly in the previous few quarters also has been similar, I think, 32%, 36% and thereabouts. So next year, the volume mix should also -- the exports, do you see in similar lines?

Naresh Jalan: I think we are looking at, Sanjay, growth in exports in -- and if you see vis-a-vis last year, we have grown in exports overall. Last full year, I probably don't have the figures right now, but we have done close to INR 900 crores of exports. And this year, if you see in first nine-months itself, we are near to that.

Sanjay Dam: Sir, I was saying that in the mix of your sales next year, would exports remain similar at around 35%.

Naresh Jalan: Yes, we are looking at 35% to 40% exports to continue in terms of volume and in terms of topline.

Sanjay Dam: Sir, top line, your exports are value wise, value wise exports are much more than the...

Naresh Jalan: No, sir, it is, yes. Yes, that is there. But it's close to around 40% overall exports.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for the closing comments. Over to you, sir.

Rajesh Mundhra: I'll take this opportunity to thank everyone for joining the call. I hope we have been able to address all your queries. For any further information, you can get in touch with us or with our Investor Relations advisers. We wish you all a very happy weekend. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2023

RAMKRISHNA FORGINGS LIMITED

Date: 6 May, 2023

To To

The Listing Department The Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,
Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 001 Mumbai- 400 051
BSE SCRIIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 — Transcript of Earnings Call Q4 & FY 2022-23

This is further to our intimation dated 25 April, 2023 w.r.t conference call with the Analysts/ Investors for Q4 & FY 2022-23 Financial Results (Standalone & Consolidated).

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call for Q4 & FY 2022-23 Financial Results with the Analysts/Investors, held on Friday, 28 April, 2023 at 04:30 P.M. (L.S.T).

Same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

Request to kindly take the same into record.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra

Company Secretary & Compliance Officer

ACS: 12991

Encl.: As above

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"Ramkrishna Forgings Limited

Q4 FY202 3 Earnings Conference Call"

28 April , 202 3

ANALYST : MR. CHIRAG JAIN – EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR -
RAMKRISHNA FORGINGS LIMITED

MR. LALIT KUMAR KHETAN – WHOLE -TIME

DIRECTOR & CHIEF FINANCIAL OFFICER -

RAMKRISHNA FORGINGS LIMITED

MR. RAJESH MUNDHRA – COMPANY SECRETARY &

VICE PRESIDENT (FINANCE) - RAMKRISHNA

FORGINGS LIMITED

Ramkrishna Forgings Limited

April 2 8, 202 3

Page 2 of 21 Moderator : Ladies and gentlemen , good day and welcome to the Q4 and FY2023 earnings conference call of Ramkrishna Forgings hosted by Emkay Global Financial Services . As a reminder , all

participant lines will be in the listen only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Chirag Jain from Emkay Global Financial Services . Thank you and over to you Sir!

Chirag Jain : Thank you Dr. Good Evening everyone on behalf of Emkay Global I would like to welcome you all to this earnings call of Ramkrishna Forgings Limited. Today we have with us from management team Mr. Naresh Jalan – Managing Director ; Mr. Lalit Khetan – Whole -Time Director & Chief Financial Officer and Mr. Rajesh Mundhra – Company Secretary & Vice President (Finance). I shall now hand over the call to Mr. Lalit Khetan for his opening remarks post which we will open the floor for Q&A session. Over to you Sir!

Lalit Khetan : Thank you Chirag. Good evening ladies and gentlemen. On behalf of Ramkrishna Forgings I would like to extend a warm welcome to everyone. We are pleased to report that despite the ongoing challenges in the global economy we have delivered strong results in Q4 FY2023 creating sustainable value for all our stakeholders. India's commercial vehicle segment has witnessed a remarkable growth in recent times with the increase in economic activity and infrastructure development the demand has surged. In addition the government's focus on boosting the manufacturing sector and implementing various

initiatives such as Make in India, Atmanirbhar Bharat has also given a significant impetus to the sector. The commercial vehicle segment in India is poised for further growth in the coming years driven by economic expansion, infrastructure development and adoption of greener technology. We are excited to say that Ramkrishna Forgings & Titagarh Wagons Consortium has received LOA for manufacturing and supply of forged wheels for Indian Railways which is a significant milestone for our Company. The order size 12,226 Crores and it is a long term contract of 20 years which adds to our strong revenue visibility for the coming years. Additionally we have renewed a long term contract with an overseas Tier-1 customer based in North America which included additional new product range. This contract renewal and additions bring the total number of contracts to 8 during the year totaling Rs. 774.70 Crores from various geographies and business verticals excluding the long term order from the Indian Railways.

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Page 3 of 21 Ramkrishna Forgings has also taken a step forward towards sustainability by planning to set up a 7.82 megawatt roof top solar power plant which will help reduce our carbon footprint and contribute to greener future. The total cost of project is estimated to be around Rs. 35 Crores. This investment reflects our commitment to responsible business practices and our dedication to reducing our carbon footprint. We are pleased to see an increase in demand for our products which has led to significant revenue and profit growth. In Q4 FY2023 we have recorded a revenue of Rs. 835 Crores representing a year-on-year growth of 22% and for the full year FY2023 we recorded a revenue of Rs. 3,001 Crores representing a year-on-year growth of 31%. EBITDA margin for Q4 FY2023 is 22.52% expanded by 42 basis points sequentially and we are confident of sustaining the margins and endeavor is to improve upon the same. Our net profit after tax was Rs. 67 Crores versus Rs. 86 Crores year-on-year. The decrease is due to the deferred tax reversal in the previous year. If you correct the tax impact the profit after tax has increased by 25% from the previous year in Q4. We are also pleased to announce that our long term rating has been upgraded by ICRA and India Ratings to A plus with stable outlook. This reflects the confidence of rating agency in our Company's financial state and growth prospect. Thank you all for your continued support. That's all from my side.

Moderator: Thank you . We will now begin the question and answer session . The first question is from the line of Mumuksh Mandlesha from Anand Rathi . Please go ahead .

Mumuksh Mandlesha : Thank you so much Sir for the opportunity . Can you share some light on the railway project what kind of capex plan and how do you see the revenue flow from FY2026 and some light on the profitability side ?

Naresh Jalan: Total project cost on this project will be close to around 1,200 plus Crores and the LOA which we have received from railways is close to around 12,226 Crores for 20 years starting FY2027 onwards that is the reason we have mentioned also in our presentation that we expect to start production from last quarter of FY2026. While railway requirement and confirmed guarantee is for 80,000 wheels per year , we are setting up the capacity for 2 lakh plus wheels and we expect to do a business of close to around 28,000 Crores over next 20 years from this project and profitability right now it is being worked out. I think we can safely say that the current margins which we are doing in standalone basis in RKFL we are aiming for similar margins in the joint venture.

Mumuksh Mandlesha : The additional capacity which you are planning for the field is it will be for export market

or what kind of opportunity you are seeing ?
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Page 4 of 21 Naresh Jalan: I think the 80,000 is for railways self consumption for OE application plus I think there is huge market within India for wear and tear for passenger coaches and as well as the privatization of railways which are happening in Vande Bharat. Right now they are importing wheels so those also will be required and as well as export market is huge and there is right now very limited capacity globally post the Ukraine war so we are already in touch with lot of OEMs globally who buy wheels and I think before the plant commences production we will have a long term contract with these OEMs also.

Mumuksh Mandlesha : Thanks Sir. Can you share outlook for the overseas CV market for next one year ?

Naresh Jalan: I think the overall global market right now in export is strong and we expect it to remain strong over the year.

Mumuksh Mandlesha : Right Sir. Can you provide timelines for the completion of JMT Auto and AC IL acquisition and post-acquisition what would be the capex plan for both the companies ?

Naresh Jalan: I think JMT Auto and AC IL both are from our side whatever we could have done we have done. Right now it is at Indian Legal system so we are hopeful of having this as fast as possible but I think legal process takes its own time so we would not like to comment on exactly the timelines of it. In terms of capex I think both taken together to modernize the plant and bring it up to the shape we expect including both to close to around 100 Crores of capex will be required to get 100% result from both the plants.

Mumuksh Mandlesha : Thank you so much for the opportunity Sir.

Moderator: Thank you. The next question is from the line of Abhishek from Dolat Capital . Please go ahead .

Abhishek : Thank s for opportunity and congrats for a great set of numbers Sir. You have won the new orders from the railway for supplying huge wheels and the total wheels production would be around 2 lakh per annum so what would be the total project cost and what would be your sharing for that ?

Naresh Jalan: I think this JV is at a 51-49% model and share of finances also will be similar and we expect a capex of close to around approximately 1,200 Crores plus minus 5% at the current levels of market.

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Page 5 of 21 Abhishek : The revenue would not be added in your top line it will come into your bottom line ?

Naresh Jalan: Revenue will be added in my consolidated as well as the profitability will be also added in my consolidated .

Abhishek : So it would not be shown as JV profit ?

Naresh Jalan: We will need to bring that 51% of revenue in to my consolidated .

Abhishek : In domestic market basically because of BSVI phase two number was quite strong in Q4 but there is expectation that FY2024 number would be muted so can you give some colour on how the outlook would be for the domestic market in M &HCV segment ?

Naresh Jalan: I cannot comment on the exact market share I can only comment on what RKFL is and we are extremely confident of a strong performance in FY2024 and given the global scenario, given the domestic market and given the order book we right now have and the visibility we have from all our customers we expect to continue our growth trajectory and we produce strong results.

Abhishek : Earlier in Q3 you had mentioned that you are looking for 15 % to 20% kind of growth in the top line in tonnage segment so your guidance is intact despite the strong base in Q4 numbers?

Naresh Jalan: I think my Q4 numbers already are visible in terms of tonnage growth and I think we will continue to have similar growth or as I say that we expect to have a very strong year FY2024.

Abhishek : In last two years the capex was very strong and you have done great numbers in your top line as well going ahead you are coming with two, three acquisitions and plus that you are going to set

up a plant for forged wheels side so what would be your next two years capex target FY2024 -2025 ?

Naresh Jalan: Standalone basis RKFL will continue to grow and continue to deploy cash in terms of whatever we earn we have already defined our capital allocation policy we will be strictly following those capital allocation policy in terms of our debt reduction as well as allocating capital for the growth of RKFL on standalone basis, acquisition we will see as and when it comes. I think right now till we complete the legal process I would not like to comment on

Page 6 of 21 those but in standalone basis RKFL we can very clearly say that we have a defined capital allocation policy and we will follow the policy strictly in terms of debt reduction, dividend and whatever left over cash we will deploy back into the growth of the capacities within RKFL.

Abhishek : Your most of the acquisition on consolidated basis so if you can throw some more light on that how much capex you are looking in the AC IL, JMT as well as your other plants like forged plants and what is your debt repayment plan ?

Naresh Jalan: JMT, AC IL already my acquisition cost has already been in the market domain so unless it comes right now I will not be able to say anything when and how it will happen so we will wait till the Court order comes through and then only we will be able to comment on that and we will surely keep our investors updated as and when the acquisition gets cleared through the legal process and in terms of the wheel project my responsibility is for 51% of the capex spend and part will be funded through debt and equity so equity is the portion which RKFL will bring into that SPV so we are working out. I think we have not yet finalized on the numbers. I think by first quarter we will give you the numbers what RKFL intends to get in equity in that company and what is the debt going to be in the company but that is over next three years which is going to happen.

Abhishek : What is the ROCE of this business, forged wheel business ?

Naresh Jalan: I think right now we will need to wait because I think not even 40% capacity has been sold so we will need to wait for the rest of the contracts and other things to get closer. I think FY2025 we should be speaking on what is going to be ROCE.

Abhishek : Thank you Sir. That is all from my side.

Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian : Thank you so much for the opportunity Sir. My first question on the wheel set side like we are going to sell FY2026 Q4 onwards what would be the average realization for this wheels because we are going to supply for next 20 years what kind of price escalation clause we have with Indian Railways ?

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Page 7 of 21 Naresh Jalan: I think price realization right now we have shared it in the market it is close to around Rs.190 per kg right now and price escalation clause is very clear that is as determined by every quarterly in the RBI index of steel and inflation.

Balasubramanian : Okay got it Sir. My second question on the wheel set side how many wheels we have to sell for breakeven in that project ?

Lalit Khetan : Breakeven at 40,000 wheels per annum.

Balasubramanian : I just want to understand about the wheel set market overall in global forged wheel set comes anywhere between 2.5 to 2.8 lakhs so could you please breakdown that what are the components available ?

Naresh Jalan: I think it is not relevant question right now and it is very difficult for us to answer right now. It is a project which has been just taken up and we are working on it and it is right now very preliminary to give all those information.

Balasubramanian : Thank you Sir.

Moderator: Thank you. The next question is from the line of Pratik

Banthia from Girik Capital. Please go ahead.

Dhaval Shah : Sir my question is related to the slide 20 where you are mentioning about warm forging capability if you could tell us about this new capability which we are adding to our portfolio and we have mentioned under product family about differential gears and differential pinions so how many other players are there in India in this and which customer segment we would be targeting ?

Naresh Jalan : In warm forging since last two quarters we have already started supplies to domestic and overseas customers and primary right now we are catering to the commercial vehicle market and with the new installation which is getting completed in next couple of months we are going to target the light vehicle market also and for which we have already got some contracts and we are in process of getting some contracts globally and within India. To answer your second question I think the biggest player within the Indian market in this segment is Sona Comstar . We are just starting part of this and we will gradually grow in this business and I think we look to make significant progress over next two years and this is the first step to make entire differential assembly as one of our product platforms.

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Page 8 of 21 Dhaval Shah : With this product coming in now our average EBITDA per tonne how will that move like under warm forging what sort of profitability is there in the product?

Naresh Jalan : I think right now in last two quarters we are not very significant player right now so we will continue to work on margins in this and with the installation and modernization which is taking up right now which is going to get completed and I think in the next six months time we are looking at, at least 100 to 150 bps more than what we are on an average doing in our traditional forging setup in warm forging.

Dhaval Shah : Got it Sir. This question is on the balance sheet and the cash flow side. In the current setup and in our organic way which we are going by expansion over the next two years or by three years we will have a significant cash flow coming in so how will our debt on books be and we also have JMT, AC IL where we will be investing 200 Crores plus our railway project also, so over the next three years how the cash flows will be used because you seem to be fairly confident about the growth from the existing setup so how will this cash flow be used?

Lalit Khetan: Whatever we have in the cash flow and we have the future growth plans, our future cash flow will be enough to take care of our acquisitions also and working capital requirement so overall we are not anticipating to increase on that and every year the debt will go down even if you look at the standalone basis it will be at least Rs. 200 Crores we will go down and on the consolidated basis also the overall debt will not increase.

Dhaval Shah : So this Rs. 1,200 Crores debt which is there as on March 31, 2023 so over next three year period this absolute number will keep coming down.

Lalit Khetan: Yes it will keep coming down with growth also and acquisitions also and on a standalone basis it will continue to go down by at least Rs. 150 to Rs. 200 Crores per annum.

Naresh Jalan: As well as also Rs. 1,200 Crores is the gross debt at the net level if you see minus the bill discounting Rs. 1,093 Crores is only the net debt and we expect the net debt to be on the downside going forward with the cash flows which comes out of the operation.

Dhaval Shah : Correct and how much will be our contribution towards this railway project ?

Lalit Khetan: That will be Rs. 180 Crores of equity and that will go over a period of three years.

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Page 9 of 21 Dhaval Shah : So it would not be too stressful for us in terms of cash got it. We have removed the Rs. 5,000 Crores figure from

in the presentation any specific reason ?

Naresh Jalan: Basically we do not want to put a number right now. We are looking at extremely strong growth in next two years and three years with the kind of plans and the vision we have so we did not want to put a number to it. Number may exceed expectation so we do not want anybody to judge the Company based on those numbers.

Dhaval Shah : Correct. Got it. Thank you very much and good luck.

Moderator: Thank you. The next question is from the line of Mitul Shah from Reliance Securities. Please go ahead.

Mitul Shah : Thank you for the opportunity. Sir one clarification of previous question on debt we said that standalone debt will keep coming down and consolidated debt will not go up so can we assume that consolidated debt for sometime would remain at current level or it will also come down ?

Lalit Khetan: Mitul it depends upon lot of things when the acquisitions approval come and when we need to deploy the capex and the capex will be done also in a calibrated manner and those company will have their own earnings also with that capex so everything will pan out in span of time but right now that is very clear and the vision of the Company is very clear that on standalone debt we are going to reduce and on consolidated also we never used to increase the debt but reduce the debt so that will continue because whatever cash flow is available we will try to grow from that only.

Mitul Shah : Second question on raw material side. In fourth quarter RMY sales raw material as a percentage of sales has gone up by 200 basis Y-o-Y as well as Q-o-Q so now it is coming almost eight quarter highest at 50.2% whereas actual raw material price movement is very limited during the quarter so any specific reason any delay in compensation from the vendor or what could be the reason behind it ?

Lalit Khetan: That basically happens due to the product mix because we sell the product of different categories and that is why there is a function of sales realized versus raw material consumed so that is why there is 100 to 200 basis point plus minus quarter-on-quarter and that has nothing to do with right now price movement or any discount from the vendor.

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Page 10 of 21 Mitul Shah : So there is nothing related to delay or lag effect of passing price escalation to vendor. At the

same time other expense also came down significantly Q-o-Q despite our revenues and volume going up so here any specific reason ?

Lalit Khetan: The other expense has gone down due to reduction in ocean freight basically and shipping cost.

Moderator: Thank you. The next question is from the line of Chirag Shah from White Pine Investment Management Private Limited. Please go ahead.

Chirag Shah : Thanks for the opportunity Sir. Congrats for good set of results. Before I ask my question a clarification on this JV so is this a completely ground up plant or some part would be done by RK for forging standalone like a basic forging and machining would be done at the JV level or it is a completely ground up plant ?

Naresh Jalan: It is completely Greenfield project .

Chirag Shah : So everything would be done over there. Sir my question pertains to EU and US customer , so in the past you have been indicating that you are in discussion with few customers and you are very hopeful of adding some of them, any update if you can share on that it would be helpful any new customers you have added ?

Naresh Jalan: I think Lalit has already updated close to around Rs. 700 plus Crores of order wins in this year is basically on whatever we have been able to complete in terms of our customer acquisition is concerned and in terms of revenue if you see already Europe is growing. In absolute numbers if you see Europe is close to 15% now of our total revenue. Starting from a base of zero and within two years we have reached a revenue of

close to 15% from

Europe so I think that substantiates our statement what I have said that we are working on customers and it takes time but customers are getting converted as we move up.

Chirag Shah : I was more referring to number of customers. I understand Sir customer breakthrough could happen immediately or could take number of years it depends upon when and how they want to ramp it up so is there any breakthrough being made that where a new customer has given some trial order or we have got some approval ?

Naresh Jalan: Yes that is the answer to it that we have already converted lot of customers wherein we were doing trials and that is the reason this kind of revenue we were able to achieve in this

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Page 11 of 21 sluggish market also and with the strong growth what we see is basically the marketing activity which we have done over the years from where we are still having a visibility of very strong year going forward.

Chirag Shah : This breakthrough is largely in US or it is more Europe driven ?

Naresh Jalan: It is globally . I cannot put a particular geography to it but in terms of overall performance we expect strong growth and we are extremely happy with the customer response globally.

Chirag Shah : Last question on cold and warm forging so it was supposed to start in Q1 right operationalization of that ?

Naresh Jalan: I think last two quarters already we have started doing warm forging and the latest new equipment which is entrant we are in process of starting that equipment I think from second quarter onwards by that we have already very clearly mentioned all this capex of addition of around 56,000 tonnes will get completed on or before September 2023 and we have already given an entire roadmap by first quarter what is going to get completed and by second quarter what is going to get completed.

Chirag Shah : Sir my question was how should we look at ramp up of this plant?

Naresh Jalan: This is basically ramp up plant. Capex if it is getting completed and commissioned and start up so we have immediate order book to ramp it up and we have given guidelines based on ramp up plan itself that first quarter end we will be able to see the tonnage mentioned, ramp up will happen from second quarter and the second quarter the part which is getting completed from the third quarter we will see the ramp up of those.

Chirag Shah : Basically once you start the asset over like 12 months we can achieve optimal utilization levels or it may take slightly longer time ?

Naresh Jalan: Within six to eight months we can see optimum levels, with the current order book we have we are very confident to achieve that.

Chirag Shah : Is there any addition of customer for this facility we already have one or two customers because you were in active discussion with more customers ?

Naresh Jalan: We already have a complete order book and our production capacity is almost sold.

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Page 12 of 21 Chirag Shah : Thank you and all the best.

Moderator: Thank you. The next question is from the line of Deepak Jain from ENAM Asset Management. Please go ahead.

Deepak Jain : Can you talk about working capital. How it is poised for the next year given that you are

expecting a strong growth on an absolute terms will it remain there or it will expand what is your view on that ?

Lalit Khetan: Working capital Deepak is right now at around 108 days and our endeavor will be to bring down by another 8 to 10 days so we target the working capital days to remain at 100 days going forward.

Deepak Jain : Can you share your outlook on class 8 demand from the industry level ?

Naresh Jalan: No I do not think I would be able to comment on class 8 but overall we see the commercial vehicle market overall in North America is doing extremely well in terms of production. I do not see as an

order book, as a production all OEMs are sold out and offtake of material is extremely good.

Deepak Jain : Thank you.

Moderator: Thank you. The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar : Congrats for a good set of numbers. Sir couple of questions. First question is on the growth side you are saying that next two years will be very good but can you quantify as in this year we did 20% volume growth so can the coming years be similar or can they be better than this also ?

Naresh Jalan: First of all I have never said for two years I am saying for FY 2024 we are expecting strong growth and we stick to that statement in that we would not like to put a number to it. In terms of previous quarter we have given a tonnage guidance of 15 % to 20% growth we would like to stick to that. I think we are expecting continued volume growth and revenue growth in this year and we feel that the performance we have been able to achieve we will continue with strong performance in FY 2024 also.

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Page 13 of 21 Ankur Kumar : Sure Sir. Next question is on the margin. Gross margin has come down this year compared to the last so any reasons and what is our expectation on that front ?

Lalit Khetan: No gross margin from last year it has improved , if you look at EBITDA per tonne it has improved by Rs. 2,500 per tonne.

Ankur Kumar : Sir I was asking in terms of gross margin percentage ?

Lalit Khetan: Percentage wise there was a cost pressure this year that is why the EBITDA margin has gone down by 100 basis points from the last year but from here on it will sustain at this level or improve from this level.

Ankur Kumar : Sure Sir and tax rate will be 23 % or 25% next year ?

Lalit Khetan: Yes next year we will be moving to 25% tax rate, the 22% plus surcharge.

Ankur Kumar : Sure Sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda : Sir I have three questions. The first question is in Europe and North America what would be our CV dependence in terms of business, my second question is if you could give the tonnage growth outlook for Europe, US, and Asia separately if possible and is there any deflation element in FY2024 whereby there can be any price reduction for us to understand the top line ?

Naresh Jalan: I think first of all in terms of Europe and North America or maybe India as overall order book 70% of my order book is from automotive sales and this entire automotive sales is from different type of commercial vehicles only, M & HCV or CV or LCV. We are not into PVs and I have clarified that in earlier quarters also we are in only commercial vehicle market across the globe in automotive segment. North America or Europe we also cater to the off-highway industry, oil and gas and long haul trailer bodies as well as we have just entered oil and gas in gulf countries so that is also a market which we are looking to grow considerably. In terms of deflation all our contracts are tied up , in terms of inflation we are not affected.

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Page 14 of 21 Pritesh Chheda : Sir my question was as on today whatever you understand will there be a deflation in your realization next year driven by steel price ?

Naresh Jalan: I think steel price quarterly is a reset. In case there is a reduction in steel price the top line may go down , in case there is an increase in steel price top line will go up but my margins and other things are not dependent on basically steel pricing.

Pritesh Chheda : Your volume growth outlook for tonnage growth in Europe, US and Asia ?

Naresh Jalan: We do not have a bifurcated tonnage as of now but surely we can ask our CFO you can have a one-on-one call with him to get all this inform

ation.

Pritesh Chheda : My last question is there is a working capital improvement for a certain extent driven by better payables can you explain the rise in payables what kind of credit and where are we getting ?

Lalit Khetan: Rise in payable is basically due to the higher volumes also and there is no such rise in debtors commensurate to that. That is why it is there. If you look at my payable from last year to this year it is in proportion to our revenue growth so there is no significant rise in payable in that way and if you look at my debtors, debtor has not rose that significantly and that is why there is an improvement in overall working capital cycle.

Pritesh Chheda : Okay Sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Kaushik Mohan from Ashika Stock Broking. Please go ahead.

Kaushik Mohan : Congratulations for the good set of numbers. I just wanted to understand some guidance not on the exact number wise what would be your revenue mix on the railway and oil and gas ?

Naresh Jalan: I think we are looking at almost doubling our sales to railways in this year so I think whatever percentage right now we are close to 3% right now, we are looking at 5% plus this year from railways and in oil and gas also we expect at least 100 to 150 basis points increase in share of business from oil and gas.

Kaushik Mohan : Sir another question I like how is the railway payment happening if you bill it today like how long will they take to put the cash in your bank?

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Page 15 of 21 Naresh Jalan: From the date of dispatch from my plant the payment is received in my bank account within 25 to 26 working days.

Kaushik Mohan : I just wanted to understand another thing you have partnership with Titagarh for wheels how much percent of that entire project will be your revenue ?

Naresh Jalan: 51%.

Kaushik Mohan : What will be the cost and how is the production going to happen and what is the plan on that?

Naresh Jalan: I think capex plan is close to around Rs. 1,200 plus Crores and we expect the production to start from last quarter of FY 2026.

Kaushik Mohan : How is your EBITDA margins over there ?

Naresh Jalan: Right now I think it is pretty nascent to speak on the EBITDA margins we would work on it and come back basically in FY 2025 for that.

Kaushik Mohan : Thanks for this.

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Congratulations Sir on good set of numbers. I have two questions from my side. The first one is I just want to know the tax rate as of now we are paying somewhere around 30 % plus around 31-32% that is probably one of the reason being deferred tax coming in I just want to know are we going to continue in the same slab for FY 2024 or we are going to switch to a 25% slab like many other companies in manufacturing are doing ?

Lalit Khetan : We are going to shift to 25% tax rate in the next financial year.

Vignesh Iyer: My second question is just to understand from just purely utilization point of view our press is running almost like on 94% forging has been consistently doing above 100% I just want to understand from where would the next leg of growth come ?

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Page 16 of 21 Naresh Jalan: 56,000 tonnage is going to get added in next six months' time and out of that within this quarter I think close to around 20,000 plus tonnes is getting to get added and start production, total 53,000 tonnes is going to get completed within the first six months and as well as the utilization level 94% which has been shown I think we will revise those percentages also in next six months time so overall we see that things are going to be much better in this year.

Lalit Khetan: Plus there is lot of capacity left in our fabric

ation plant ramp up where we are doing the

production for railways where we have lot of capacity left out to grow in railway segment so that is not added in tonnage.

Vignesh Iyer: That is separate okay. Yes that is all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Navin Matta from Mahindra Manulife. Please go ahead.

Navin Matta : Thanks for the opportunity. Sir I think the question I think we all trying to grapple with is that next year potentially some of the industry bodies in US are saying that at class 8 might see a decline so just one way of trying to understand this is in case assuming that the market is flat how much can we outgrow based on our order book or market share gains that we are

looking at ?

Naresh Jalan: First of all I have not heard that any OEM has come out and said that they are going to see market degrowth next year or this year no OEMs have come out and said that and second is that we are not into alone class 8 in the North American market we are across all platforms of commercial vehicles, class 8 forms one of the part and with our past experience in the current order book we are extremely confident that the way we have improved our content per vehicle we will be extremely doing well and we are confident of outperforming the market but we cannot put a percentage how much we will be able to outperform the market.

Navin Matta : Understood Sir and just based on our product mix improvement do we see scope for further margin improvement from current levels?

Naresh Jalan: We expect to retain and improve both. You will see continued outperformance in terms of margins. I think we continue to work on improvements in terms of our structure of working and I think this will result in continued improvement in bottom line of the Company.

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Page 17 of 21 Navin Matta: So it should be kind of more cost controlled opex cost control is what we are trying to indicate that we can kind of improve margins from that side is that understanding right ?

Naresh Jalan: Yes.

Navin Matta : Got it Sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Mitul Shah from Reliance Securities.

Please go ahead.

Mitul Shah : Thanks for followup opportunity. Sir question on this railway business in new JV it would be forging and machining everything in house ?

Naresh Jalan: Yes everything has to be in house.

Mitul Shah : Second question on the EV strategy can you give what is our current revenue contribution and for next two years as already EV are now becoming sizeable in the Indian markets particularly in the two wheelers and PVs so we are anywhere entering into this two wheelers and PVs also ?

Naresh Jalan: We are not entering two wheeler we are entering PVs and I think right now we are not in PV so we are not affected with the PV strategy right now but EV continues to be a big focus for us and we have already updated in our presentation where we are in EV and what is the future for us , how we look at EV going forward for RKFL.

Mitul Shah : On this EV this new investment 51% for TSUYO Rs. 100 Crores we are planning to invest with a revenue potential of Rs. 500 Crores so would that be in a phased manner or you expect in last one or two years ?

Naresh Jalan: TSUYO has done close to around Rs. 12 plus Crores already in the last financial year and I think this year also we expect at least three folds jump in the top line from TSUYO and gradually we are putting in money and our Rs. 100 Crores investment is based on some assumptions and capex plans at TSUYO to graduate from only motor supplier for a complete solution of e -axle and transmission in next five years from TSUYO, but TSUYO will form a formidable arm for RKFL as we continue our investment in TSUYO till the tune of upto 51% it will become one of the significant arms of RKFL in terms

of our EV

portfolio and EV visibility is concerned.

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Page 18 of 21 Mitul Shah : Lastly on this what would be break even revenue for this TSUYO ?

Naresh Jalan: TSUYO is already breakeven.

Lalit Khetan: We are in profit already in profit.

Mitul Shah : Thanks.

Moderator: Thank you. The next question is from the line of Rahul Shah from PK Capital. Please go ahead.

Rahul Shah : I just wanted to ask regarding this North American customer where you have a n LTA can you just give me the broad contours of that deal is there going to be a price revision with steel compensation or manufacturing cost increasing in India ?

Naresh Jalan: I think all our global contracts are backed by steel and inflationary changes steel is every quarter and inflationary changes every once a year. Inflation and energy is every once a year.

Rahul Shah : Second question is you have installed some solar capacity in the plant is there any impact on this on the bottom line like what percentage of your energy cost is taken care by solar now?

Lalit Khetan : Solar we have just placed the order and I think we expect the installation to get completed in nine months time. Once that happens to that tune cost of electricity/ energy is going to come down.

Rahul Shah : Thank you.

Moderator: Thank you. The next question is from the line of Chirag Shah from White Pine Investment Management. Please go ahead.

Chirag Shah : Thanks for the opportunity again. Sir just one clarification. You indicated that the press capacity is likely to get restated right so basically your operating efficiency is improving over that ?

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Page 19 of 21 Naresh Jalan: Not only operating efficiency which is improving we are improving in terms of automation which we are putting in will improve the efficiency. We are right now working and gauging exactly to what tune the capacity can be revised at and accordingly in coming quarters the capacity will be revised.

Chirag Shah : So is it possible to indicate by when do you expect to come to a conclusion on this because you are still on operating leverage side ?

Naresh Jalan: I think you can safely say that at least in my press plant capacity is going to go up 8 % to 10% but by August 2023 this entire exercise is going to get completed. Second quarter should at least see 10 % to 15% jump in capacity from the press plant.

Chirag Shah : Similarly on the ring rolling side how much you can stretch it more ?

Naresh Jalan: I think we are working in ring rolling at the optimum.

Chirag Shah : Any thought of adding more capacity for ring rolling ?

Naresh Jalan: No.

Chirag Shah : This is helpful Sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Sir you have mentioned that your debt has gone down but if you see the numbers in interest cost that has gone up quarter -on-quarter basis and Y -on-Y basis so is it the impact of the increase in the yield or is that last minute of change in the working capital that is why it has gone down ?

Lalit Khetan: Abhishek if you look at our all four quarter performance the debt has not gone down in the last minute and it has gone down on each quarter if you look at all the four quarter number and interest cost has only gone up due to the increase in rate and it includes bank charges also that increase is due to the higher utilization of limits or non-fund based limits.

Naresh Jalan: With the increase in top line Abhishek we have to use more LCs to get raw materials so LC usage bank charges are also included in the interest rate as well as while we are reducing

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Page 20 of 21 our debt we are not reducing our limits, limits stay intact and to get renewal of those limits we need to pay commit

ment cost to the banks so those charges are also built into that.

Abhishek: How much increase in the interest cost in last one year because of the change /increase in interest cost ?

Lalit Khetan: It is almost 30% Abhishek it has gone up from 6% to around 8%.

Abhishek: As you mentioned that steel and energy contracts are renewed on yearly basis so this year many contracts would be revised ?

Naresh Jalan: We are still working with the OEMs. I think it will take another one or two months where we will have a clear visibility because different countries have different mechanisms for energy and electricity and inflation so we are working with the OEMs. I think we should be clear in next month or so.

Abhishek: In most of the cases the prices are revised based on the indexations and that is renewed on average three to six months . Is it not with you ?

Naresh Jalan: That is for raw material basically and for inflation and energy it is dependent country specific so we need to produce our own invoices and the increases which has happened in India in gas, electricity and other denominators and they are verified and then they are worked on so it takes its own time.

Abhishek: Thanks Sir. That is all from my side.

Moderator : Thank you . The next question is from the line of Akshay Karwa from Anand Rathi . Please go ahead .

Akshay Karwa: Thank you for the opportunity . Just a question on capex so what is capex for FY 2024 and FY 2025 ?

Naresh Jalan: FY 2024 like we have said whatever post dividend and debt we are looking at debt reduction of Rs. 100 Crores to Rs. 150 Crores , post debt reduction and dividend payout whatever cash is there we will deploy that cash back into the system to grow the capacities both in terms of forging as well as in terms of value add.

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Page 21 of 21 Akshay Karwa: That is all from my side.

Moderator: Thank you. As there are no further questions I would now like to hand the conference over to the management for closing comments. Over to you Sir !

Rajesh Mundhra : Thank you all. I take this opportunity to thank everyone for joining the call. I hope we have been able to answer all your queries and questions . For further enquiry and information, you can get in touch with us or with our investor relationship advisors. Thank you and have a great pleasant weekend .

Moderator: Thank you . On behalf of Emkay Global Financial Services that concludes this conference . Thank you for joining us. You may now disconnect your lines .

Call: Jul 2023

RAMKRISHNA FORGINGS LIMITED

Date: 28 July, 2023

To To

The Listing Department The Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,
Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 001 Mumbai- 400 051

BSE SCRIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call Q1 of FY 2023-24

This is further to our intimation dated 17 July, 2023 w.r.t conference call with the Analysts/ Investors for Q1 of FY 2023-24 Financial Results (Standalone & Consolidated).

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call for Q1 of FY 2023-24 Financial Results with the Analysts/Investors, held on Friday, 21 July, 2023 at 04:30 P.M. (I.S.T).

Same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

Request to kindly take the same into record.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra 9

Company Secretary & Compliance Officer

ACS: 12991

Encl.: As above

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CIN NO. : L74210WB1981PLC034281

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"Ramkrishna Forgings Limited

Q1 FY '24 Earnings Conference Call"

July 21, 2023

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. CHAITANYA JALAN – WHOLE -TIME DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. LALIT KHETAN – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER – RAMKRISHNA FORGINGS
LIMITED

MR. RAJESH MUNDHRA – COMPANY SECRETARY AND
VICE PRESIDENT -FINANCE – RAMKRISHNA FORGINGS
LIMITED

MODERATOR : MR. CHIRAG JAIN – EMKAY GLOBAL FINANCIAL
SERVICES

Ramkrishna Forgings Limited

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Moderator: Ladies and gentlemen, welcome to the Q1 FY '24 Results Conference Call of Ramkrishna Forgings Limited, hosted by Emkay Global Financial Services.

As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, and then zero on your touchtone phone. Please note this conference call is being recorded.

I now hand the conference over to Mr. Chirag Jain from Emkay Global Financial Services.

Thank you, and over to you, sir.

Chirag Jain: Thank you, Bikram. Good evening, everyone. On behalf of Emkay Global, I would like to welcome you all to this earnings call of Ramkrishna Forgings Limited.

Today, we have with us from the management team, Mr. Naresh Jalan, Managing Director, Mr. Lalit Khetan, Whole -Time Director and Chief Financial Officer, Mr. Chaitanya Jalan, Whole -Time Director, and Mr. Rajesh Mundhra, Company Secretary and Vice President, Finance.

I shall now hand over the call to Mr. Lalit Khetan for his opening remarks, post which, we will open the floor for the Q&A session. Over to you, sir.

Lalit Khetan: Thank you, Chirag. Dear all, on behalf of Ramkrishna Forgings, I would like to extend a warm welcome to everyone. I have along with me Mr. Naresh Jalan, our Managing Director, Mr. Chaitanya Jalan, Whole -Time Director; and Mr. Rajesh Mundhra, our Company Secretary. The Company has worked hard and stayed determined during these ongoing global challenges. We are flexible and successful organization that thrives on challenges, and we take advantage opportunities that come our way, such as extending our business, improving productivity and making sure our customers are satisfied.

We have become an important part of the global market, even though the world economy is little weak right now. The good news is that the things will get better with time. We are committed to gaining more customers and getting ready for the business growth when the market conditions improve. We are also increasing our capacity to support this growth. As a Company, we are prepared for the future.

Over the past months, we've achieved significant milestones that have further solidified our position in the industry and propelled us towards greater success. I'm pleased to announce that we have recently incorporated a new company, Titagarh Rail Wheels Limited in consortium with Titagarh Rail Systems Limited. This strategic partnership brings together the expertise and resource of both organizations, paving the way for new opportunities and accelerated growth in the sector.

Our consortium with the TWL has signed a significant contract work with Ministry of Railway Government of India under Aatmanirbhar Bharat initiative. This contract entails the supply of Ramkrishna Forgings Limited

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1.54 million forged wheels further solidifying our commitment to supporting the growth and modernization of the Indian railway sector. We take immense pride in contributing to the development of our nation's infrastructure and being a part of this transformative initiative. The Board has also approved acquisition of Multitech Auto Private Limited and its wholly -owned subsidiary Mal Metalliks Private Limited. The company has a capacity to manufacture 21,600 metric ton per annum machine SG & CI castings and bar draw facility of 6 ,000 metric ton per annum. This acquisition marks a significant step forward in the Company's growth strategy and that expanding its product line and fortifying its presence in the passenger vehicle, light commercial vehicle and heavy commercial vehicle segments.

During this quarter, the Company has secured a prestigious order of EUR 4.5 million from a prominent European

railway passenger coach manufacturer. The achievement highlights the trust and confidence the global industry leaders place in our capabilities and products.

In addition to these, I am delighted to share that our Company has commenced commercial production of 13,700 tons per annum of R A shaft press line and 10,100 tons for the 5 -inch Upsetter. The significant extension in our production capacity totaling 23,800 tons per annum will strengthen our ability to meet the increasing demand for high -quality post components in the automotive industry.

With this addition, our total production capacity now spread 210,900 ton per annum, reaffirming our commitment to delivering excellence to our value customers. We are also pleased to share and happy to witness a rise in demand for our products and services, resulting in substantial growth in both revenue and profits . In Q1 FY '24 , we recorded revenue of INR 836 Crores, approximately representing a year -on-year growth of 28%.

Our EBITDA margin for Q1 FY '24 is 22.4% expanding by 35 basis points year -on-year. We are confident of sustaining and improving this margin. The net profit after tax was INR 77 crores for Q1 FY '24, which is year -on-year growth of 63%. This will be added by the lower tax rate also.

As we move forward, we remain committed to innovation, operational excellence and customer satisfaction , we will continue to invest in advanced technology, enhance our manufacturing

capabilities and we strengthen our relationship across the industry. With the foundation we have built and the achievements we have accomplished, I am confident that we will continue to excel and thrive in this dynamic and competitive market.

Thanks, and thanks for your continued support. That's all from my side.

Moderator: Thank you, sir. Should we now open the floor for questions?

Lalit Khetan: Yes.

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Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take our first question from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

Mumuksh Mandlesha: Congratulations on the good number, sir, and thanks for giving the opportunity. Can you share the outlook for FY '24 for Ramkrishna? And also what would be the outlook for the India and US CV industry?

And in terms of new orders, how do you see the ramp-up of the new orders? What would be the new orders that will ramp-up in the next two years, sir?

Lalit Khetan: I think, Mr. Jalan not on the call.

Naresh Jalan: Yes. What we see as a market is extremely robust right now within India as well as in North America. And in terms of RKFL, we are extremely confident to exceed growth expectations, which we had set at the end of FY '23 full year results. So we are on track, and we are doing better than what we had guided for.

Mumuksh Mandlesha: Got it, sir. And sir, how do you see the ramp-up of this new cold forging capacity? And which products it would cater in segment, sir?

Naresh Jalan: The cold forging capacity is going to start generating revenue only next year, FY '25. I think in the presentation also we have highlighted that this year that by end, the cold forging facility is going to come up, and next year, we are going to -- we have already received the firm order book for the entire capacity, but the revenues are going to be in place in FY '25.

Mumuksh Mandlesha: Any quantum to share what kind of a potential you're seeing from this new capacity?

Naresh Jalan: No. We would not like to put a number to it, but this will be entirely to EV and PVs.

Mumuksh Mandlesha: Okay. And sir, can you guide what would be the capex expectations for the FY '24 and FY '25, and also the investments for the acquisition, sir?

Lalit Khetan: Sir, FY '24, we are looking to have a capex of around INR 300 Crores to INR 350 Crores. And the acquisitions still are in t

he NCLT stage. So let it come like JMT Auto and ACIL. As we have already given the guidance on what we would like to invest on that, but we are not commenting on that once let it come from NCLT first.

On the TWL consortium, there, we have a project cost of around INR 1,200 Crores to INR 1,400 Crores out of that 30% will come from the equity and that has to be contributed over a period three years by the each partner. So one-third can be contributed each year by the each partner.

Mumuksh Mandlesha: Got it, sir. And just on the JMT, as you expect very soon to happen, sir, any data to share on the revenue and profitability of this business, sir?

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Naresh Jalan: No, we would like to share the data only when -- after getting NCLT approval. Because I think, Indian Legal System, we do not have any clarity in terms of time lines. So we have not built any expectation in terms of what business and how much business we can do. We would comment only after we get the complete handover of plant.

Mumuksh Mandlesha: Got it, sir. And just last...

Moderator: I'm sorry to interrupt. Sir, please come back to the question queue. We'll take a next question from the line of Raghunandhan N from Nuvama Research. Please go ahead.

Raghunandhan NL: Thank you sir for the opportunity & Congratulations on great set of numbers. My first question is on Multitech acquisition. So you had indicated in the presentation that additional revenue of 5 billion to 6 billion can be contributed in the first two years. If you can give some color, whether what gives you the confidence for this kind of revenue visibility? And on Multitech, if you can give some more detail, how is the existing profitability and debt position?

Lalit Khetan: Yes. Coming to the numbers, if you would like to Multitech there is a gross debt of around INR 45 Crores as on date. And EBITDA margin is in the range of 14% right now. And the top line for the FY '23 is INR 300 Crores-plus.

Raghunandhan NL: Correct, sir. And what gives that hope or visibility of that improved revenue potential? Any color you can add there?

Naresh Jalan: No, I think Raghunandhan, this casting is going to be complementary to what we have installed in terms of forging capabilities. And I think, our entire endeavor to buy casting was with the mindset of -- in the next two years to get into a complete assembly, the assembly supplier are

when being a component supplier, being -- getting into product platforms and casting, manufacturing our own casting and assembling it with forging, we are going to enter two biggest markets of trailer axle and differentials.

And I think, we are extremely confident that within next one -year, we will be able to start production and we can go into full volumes in next two years in those two platforms, which are growing market going ahead.

Raghunandhan NL: Good to hear that, sir. Wishing you all the best. My second question, like Company had garnered order wins of about INR 7.7 billion, INR 770 Crores in FY '23. Can you roughly indicate how much of new orders will commence in FY '24? Would it add, say, INR 150 Crores, INR 200 Crores additional revenue, because of the new order?

Naresh Jalan: Almost, I think Raghunandhan, it's going to be 40% of last year's what order wins. I think from second quarter onwards, you start seeing that in revenue as you may have seen some part has already started kicking in the last quarter itself, and that's the reason we have been able to do better exports vis-a-vis year-on-year.

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And second, third, means for the next nine months, we see our exports growing much better than what we had expected because of most of these orders getting into -- getting converted into supplies.

Raghunandhan NL: That's wonderful, sir. Last thing on -- just a house-

keeping part. Export incentives is on the higher side. Is it likely to sustain? And another housekeeping, other income is on higher side, whether it includes any one-off like forex gain?

Lalit Khetan: Yes. Other income you have rightly said, it is on the basically loan liability foreign exchange loan, forex loan. There is a gain. That's why this other income is on the higher side. So that depends upon the foreign exchange rate. Rest other gains or you can say export incentive, that will be sustainable.

Naresh Jalan: And in terms of forex gain, that is only, I think, to the tune of INR 3 Crores and not the entire amount. INR 3 Crores is only the foreign exchange gain in the...

Lalit Khetan: Other income.

Raghunandhan NL: Got it, sir. Just a clarification here, export incentive as a percentage also looks higher. So when you say it is sustainable, if you can throw some light there?

Lalit Khetan: Just -- Raghunandhan, let me go to that slide because...

Raghunandhan NL: So generally, if I look at last two quarters, export incentive is in the range of INR 6 Crores to INR 7 Crores per quarter. This quarter it's about INR 13 Crores. So is there a change in rate or something like that?

Lalit Khetan: No, Raghunandhan, what you're looking at INR 12 Crores number that includes other income of INR 4 Crores something, okay?

Raghunandhan NL: Okay. Got it. Thank you so much for clarification. I'll come back in the queue.

Moderator: Thank you. We take the next question from the line of Garvit Goyal from Nvest Research.

Please go ahead.

Garvit Goyal : Sir, my question is on the margin side. In the last three years, regular decent improvement in our EBITDA margins due to operating leverage. And now we are focusing on warm forgings and as you mentioned in the recent presentation in cold forging as well, which is obviously a high-margin thing. Plus you are also saying the JV will give you the similar margin.

So my question is considering all these factors, can we assume the OPM percentage will see upward direction from here like this 22% kind of margin will be a base margin for the company going forward?

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Naresh Jalan: Yes. These margins which are there is going to be sustained, and we are looking at -- our aspirations are to go into much better margin trajectory, but at least 50 basis points to 100 basis points, you will see, keep on changing year-on-year basis.

Garvit Goyal : And sir, we are entering into the railway part like this new company that we are catering to. So we are planning to cater railway as an industry going forward. So my question is on the debt realization side, like working capital days, how it will shape up with this kind of projects we are taking?

Naresh Jalan: I think in terms of railways, payment is much better than what we are doing right now. So 98% or 95% of the payment comes within seven days of receipt of material in the railways. So I don't -- in terms of debtor days, I think it is much -- going to be much lower than what it is currently being a stand-alone basis in RKFL. In the railway business, the debtors are going to low, working capital not going to get stuck-up in the system in terms of debtors in the long run?

Garvit Goyal : And sir, you mentioned volume growth of 15% to 20% last quarter. Now you are saying it may exceed, right? So what kind of number we would like to put on?

Naresh Jalan: I am not saying that we will exceed. I am saying we are extremely confident of achieving and bettering that number of what we had guided in the full year call.

Garvit Goyal : Understood, sir. And one last question on the CV industry, like in this particular quarter, in India, India CV industry. Y-on-Y, there is a muted growth of 3%. So how do you see this particular thing, like going forward in this particular year?

Naresh Jalan: I am not basically tracking w

hat industry is growing at. I am tracking what RKFL is growing

at, and we are extremely confident to better our overall growth numbers of 15% to 20% volume growth for coming four years.

So with the capacity getting augmented continuously and with the new generation of forging, which is coming in, we will continue to add new segments, new components, which will add growth much better than what industry is doing. So that's the reason we are not dependent much on what percentage the industry is going, but if the industry remains stable, we will be able to do much better than what we have guided for.

Garvit Goyal : So how many years do you see the stability of these growth numbers 15% to 20%?

Naresh Jalan: I think basically we are working to it for the next three years' time.

Moderator: Thank you. We take our next question from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: Great set of numbers. A couple of questions. Firstly, sir, on this acquisition, if you could give us more details regarding their, you know, how are the financial metrics with regards to the asset turn and the working capital? How is it for this set of products?

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Secondly, what sort of synergies can we have with this acquisition? So I was just going through the website, so it also mentions Ramkrishna as their client. So yes, so I mean if you can tell us the synergy and the 14% EBITDA margins were reported can it be improved further? Yes, these are my first two questions.

Naresh Jalan: I think in terms of margin, we are extremely confident in the next two years to significantly improve the margins on stand-alone basis in Multitech, I think at least 200 to 250 basis points improvement in next two years in terms of margin on a stand-alone basis.

Synergy basically with the acquisition of Casting and with the acquisition of Multitech, now we are almost except the sheet metal, and tyres and engine, we are available across all platforms in any vehicle, which is moving on road.

And with -- like you have seen in the slide that RKFL is one of their customers. So we use their component to make assemblies, some assemblies which we have already started. So now we can aim with this casting to get into much bigger product platforms, which can be highly EPS accretive for RKFL on a stand-alone basis going forward in the next two years.

And I think in our presentation, we have already shown two different platforms in coming future, which we will be launching within RKFL's purview with the support of Multitech's casting. And I think that's going to be a big game changer going forward for RKFL.

Dhaval Shah: Interesting. And what do they do in railways? Is it a larger product segment for them, or is earlier trailer?

Naresh Jalan: It's a small product segment for them in railways. So we will -- railway requires quite a good amount of castings also. So basically, with this, now we can go to a customer and offer them entire gamut of components or product assemblies, which are required in forgings and castings by a customer to manufacture a vehicle.

Dhaval Shah: Okay. And sir, this company also has a 100% subsidiary. But while mentioning, you always mentioned stand-alone number of INR 300 Crores. And I think the subsidiary also has significant amount of revenue. So what is the size of the subsidiary? And what is that into?

Naresh Jalan: I think this INR 300 Crores revenue capture the subsidiary revenue; we have just knocked off entire related party transactions getting the two companies. And this is the revenue, which is including outside sales except the related party transaction is INR 300 Crores.

Dhaval Shah: Okay. So in Mal Metalliks is included into it?

Naresh Jalan: Yes. Everything is included consolidated and INR 300 Crores with close to 14% margin is the current operational -- and their asset tu

rn is close to around 1:3.

Dhaval Shah: 1:3 asset turn, and working capital?

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Lalit Khetan: Working capital is around 60 days. Net working capital is around 60 days.

Dhaval Shah: Okay. Thank you. I will come back into queue.

Moderator: Thank you. We'll take a next question from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Congratulation for the strong set of numbers in very challenging time, sir. Despite a weak MHCV domestic industry volume, the volume remained strong in this quarter. Is it because of the new business wins – win in the domestic market?

Naresh Jalan: I think, Abhishek, both in terms of new order wins as well as new product launches, which we have done over in this quarter. And I think for us, I don't know from where the slowdown or a weak market is right now coming from. We see, we are going into Q2 with a very strong demand scenario, and we expect the full year to be extremely strong in terms of our own manufacturing is concerned.

Abhishek: As industry participants, I mean, the OEMs are guiding around 7% to 10% volume growth in the M HCV segment. So most probably that you outperform the industry growth because of the new businesses?

Naresh Jalan: Yes. And we will continue to do that. And I think like, I answered the previous call, we stick to our guidance, and we can confidently say that we will be doing better than what we have guided for.

Abhishek: Sir, can you explain what would be the growth rate in domestic versus export in FY'24? Or what can be the mix?

Naresh Jalan: We basically, mix should be on the same 60%, 40% or 62% to 38% here and there, but we continue to look at 60% -40% domestic and exports market as. And both the sectors are doing extremely well for us. So we continue to do that right now.

Abhishek: And you have mentioned that total capex would be around INR300 billion to INR350 billion in FY '24. This is including the capex for this railway projects?

Lalit Khetan: No. What we have said INR 300 Crores, INR 350 Crores is for capex, what the RKFL is doing, whatever the investment that will be separate.

Abhishek: Okay. And so most probably that you will go for the equity dilutions because of this, because there will be...

Naresh Jalan: No, there is no question of any equity dilution. We see operational cash to be deployed prudently into the system to basically augment capacity, create new investments and create new opportunities. But there is no equity dilution even in thought process in coming days, coming months or the coming year.

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Moderator: Thank you. We take the next question from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah: Congratulations on a very strong performance, and thank you for opportunity. Sir first question is on raw material side, as raw material already started cooling off. But when we look at your raw material per ton basis, there is an increase of 3% on a sequential basis, 3.3%. So can you explain this?

And on the production side also similarly, when we look at your production number versus your sales volume, there is a huge difference. For example, there were segmental, the volume number is 38,000 tons, which is more or less flat, compared to last quarter. But the production is significantly down from 48,000 tons to 44,000 tons. So can you clarify these two things, sir?

Naresh Jalan: So in terms of production, I think first, 7 to 10 days in the month of April, we take maintain to - annual maintenance of most of our presses. As well as you are aware that due to extreme heat during month of April and May until mid of June, ultimately, labor fatigue or this heat, there was a production disruption or slowdown in terms of production is concerned.

So I think 42,000 -odd tons, which we have achieved is extreme

ly good as per our achievement,

we can say. And in terms of sales, I think that the floating inventory is always there and that's -

- we are trying to debottleneck so that whatever we produce, we can 100% sell.

And in terms of RM prices, we don't -- I don't know from where you've got the 3% number of raw material cooling -- raw material prices dropping. Yes, when we see the television or the news shows, yes, we see that steel prices have gone down, we are basically buying steel at customer -directed suppliers and cost. So basically, we have not seen any decline in alloy steel market till now. And if and when it comes, you will automatically see the reflection in our balance sheet also as the steel price decline.

Mitul Shah: Sir your price has gone up that is what I'm clarifying that prices of the steel forging was...

Naresh Jalan: See, basically the price of steel has gone up on -- because of alloys, nickel, moly, whatever we use, they are basically alloy element pricing, which may have increased at that period of time.

Mitul Shah: Understood. Sir my second question on a long -term basis. When we earlier highlighted two -- sorry, sir, when we highlighted for non -auto segment contribution to reach to 30% overall in

the next two years. But now this acquisition, again, entirely from the auto side. So further, it will reduce our non -auto contribution below 20% or maybe close to 12%, 15%. So what would be a road map or strategy going forward?

Naresh Jalan: I think the road map in terms of getting into 30% non -auto business is intact and we will be able to achieve that on a stand -alone basis of RKFL . In terms of acquisition or investment, which we have made into this, this is basically getting into new platforms and new businesses or product lines rather than being a component supplier.

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So do you need to look at both the things in a separate way. In terms of RKFL who are only -- today, one of the leading players in making forgings and components, we are targeting to get into non -auto, auto and we will achieve this figure of 30 to 70 mix, but additional Multitech will give us also a bigger volumes in terms of reaching the product line category, which we were never at.

So we will be able to get into the B2C market of making our own products and branding that at RKFLs brand name and selling this into the market.

Mitul Shah: Lastly, sir, out of all this AC IL, JMT as well as this recent Multitech, any of these companies has any meaningful non-auto contribution at present or in a shorter period, can we do some ramp -up there for non -auto side?

Naresh Jalan: JMT has a very meaningful non -auto presence, but we will be able to comment only when JMT comes in. Multitech has only 5% to 7% non -auto segment. but opportunities of supplying castings to railways and other off -highway and other applications are huge.

And probably the management bandwidth of the company we have acquired was not that big to go into those markets. With our own expertise in market, obviously, we will be targeting that market. And I think overall, I can -- we are very confident that we will be able to stick to our guidance for 70, 30 non -auto and auto business.

Moderator: Thank you. We take your next question from the line of Andrey Purushottam from Cogito Advisors. Please go ahead.

Sangeeta Purushottam: Yes, hi. This is Sangeeta Purushottam, Andrey's partner. Sir, I just wanted to ask you about your plans to reduce debt to zero, which is what you had guided earlier by I think, '25 or '26. And in the presentation, I noticed that the guidance now is that your, you know, you plan to bring it down to 1:1 debt -to-EBITDA, so are you now willing to live with higher levels of debt, has the thinking changed a little there? Could you just elaborate, please?

Naresh Jalan: Ma'am, I think you are going backdated when we were raising

equity, we had thought that one -

year back when we were in a round for a QIP, we were at that period of time, we were looking at raising equity and paying off the debt and being a net debt zero company.

But with the operations doing extremely well since last six to seven quarters when -- with the free cash flow which we have in system, we want to grow the business rather than diluting equity. And that's the reason our presentation states and we have been repeatedly since last several quarters in our call also has said , the company targets by FY '25 end to be debt -to-EBITDA 1:1.

So we are not looking at higher debt. Basically, we are looking at a lower debt. We used to that have a higher Debt : EBITDA and we are looking at the next couple of quarters or say six quarters from now and seven quarters from now to get the debt -to-EBITDA 1:1. So obviously , we are looking at debt reductions with the growth we have also in mind.

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Sangeeta Purushottam: Right. Okay, sir. No, because I remember asking the same question actually about three or four quarters ago, I think. And at that time, you had said that your internal cash flows would be sufficient to pay down debt and your target was to bring it down to zero. Back now, I'm assuming that you're willing to just reinvest back in the business and you're comfortable with keeping some debt on the books, right? That's what...

Naresh Jalan: Ma'am, four quarters or five quarters that you are quoting, we exactly have said that, but we have said that we will not then reinvest money into the Company. We will generate enough cash to pay back the debt. And still, if you see , if we are generating that kind of cash and if we do not augment fresh capacity and we keep the growth stable as where it is now, obviously, we will have enough money to pay off the debt. But I think we would rather want to grow the company, grow the balance sheet rather than being debt zero Company.

Sangeeta Purushottam: Right. Okay. And in terms of your average interest cost, what would it be right now?

Lalit Khetan: It's around 8% ma'am. 8% per annum.

Sangeeta Purushottam: Okay. And is that likely to remain the same or any chances of it coming down?

Lalit Khetan: I think, interest rate has peaked out, so it will not go up from here as we see there may be marginal corrections going forward maybe in the next two, three quarters.

Sangeeta Purushottam: Okay. And there any rating changes expected? Or...

Lalit Khetan: Rating was changed in the month of February.

Sangeeta Purushottam: Okay.

Lalit Khetan: I think revision now after three or one or two more quarters.

Moderator: Thank you. We take the next question from line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Congratulation on a great set of results. Sir, I think most of my questions have been answered.

So I do have a few basic questions. So are -- new acquisitions being consolidated by what time or when will the acquisition be through of Multitech?

Naresh Jalan: Multitech acquisition, SPA has already been signed today. The change of equity and handover of the organization is going to happen by month end. So we can expect at least eight months of consolidation in this year.

Darshil Jhaveri: Q2 will have revenue of Multitech or what we can expect, right?

Naresh Jalan: Yes.

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Darshil Jhaveri: Okay. That's great. And I just also want to ask, sir, any risk that you see -- that can be a roadblock to us on a path to growth? Any risks that you could, see?

Naresh Jalan: I am extremely optimistic and with the market performing so well for us, I don't see any risk unless there is a sudden change in the government or policies of the government. Ultimately, we are all going to get affected. But unless global situation remains what it

is today, we don't see any risk to it.

Darshil Jhaveri: Okay, that's great to hear, sir. And just on the new JV with railway, so how would the time line work? Like how would we allocate capital or what? Where will we start our production? Could you just give some rough...

Naresh Jalan: I think, Lalit has already given the figure that we will be funding this project, 30% equity and 70% debt. Out of the 30%, the 50% contribution we will need to bring that in next three years' time, and we are looking at to start production by FY '26 -- calendar year '26 mid, we hope to start the production, our first batch for approval.

Darshil Jhaveri: Okay. Great sir. That answers all the questions. All the best for future quarters.

Moderator: Thank you. We take our next question from the line of Simar from Negen Capital Services. Please go ahead.

Simar : So the expansion into the warm forging capabilities looks promising. Can you provide me more insights into the product mix along with that the customer segments that are targeted for this new capability? And when do you anticipate reaching optimal utilization, if that might also for.

Naresh Jalan: The warm forging facility, which we have augmented is catering to basically differential parts, differential gears parts only. And the main segments right now, we have already started bulk supplies to commercial vehicles. We have already started submitting samples in the tractor industry and also in the PV industry.

So we look at targeting all the three industries, and I think we are right now at almost haul around 25% utilization in this capacity. And I think by the fourth quarter of this year, we should be around 50%. And next year, we are looking at to run it in a full volume.

Simar : Okay. How much do you expect them to contribute to the revenue growth and the margins in the near-term?

Naresh Jalan: I think more than revenue, we are looking at margins from this. And I think in terms of tonnage, I think it is very difficult to say because the warm forging is -- because the market we are catering from CVs to passenger vehicle, so there is a different tonnage all -- and it is all about number of pieces we can sell, and we are looking at basically extremely high margins from this. So that I think will start showing in our balance sheet from third and fourth quarter of this year.

Simar : All right. Thank you. And wish you getting success and growth in the future. Thank you.

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Moderator: Thank you. We take our next question from the line of Chirag from White Pine. Please go ahead.

Chirag : Sir, congratulations for good set of numbers and a very good presentation, sir. I have actually three questions. First, a slightly broader one on the management bandwidth. How are you looking to address? Because when I look at your presentation over the last four years, you have entered into many new products, added new segments and once the acquisition happens, further more additional segments will happen. So between traditional business and new businesses, how are you managing your people strength? And what are you doing...

Naresh Jalan: Every business comes with people only. And I think RKFL is a thoroughly professional run company with the entire leadership team within the organization, which handles each and every segment and every portfolio independently. So obviously, every platform is manned by a leadership team. So I don't think there is any people challenge. I think, people are there in the business, and they are growing as the business grows.

Chirag : And sir, if you have to look at from a five -year perspective, between this traditional forging business that we have, plus when I say traditional the press business that we had run including the cold and warm forging from that plus the railway and the non -auto thing. So how should we look at the broader picture of

-- or what you aspire to have it over a five -year view between all

these four, five pieces that we have. And I 'm excluding the acquisitions that are yet to happen?

Naresh Jalan: Chirag, we are looking at growing in terms of 15% to 20% volume year -on-year continuously for next three to four years' time. The visibility and the landscape we have created for ourselves , we are very confident to have 15% to 20% volume growth. And for this, I think in terms of capital, in terms of equipment, in terms of people, I think we are on it and we are completely laid out road map to achieve those targets.

Chirag : Okay. Sir, last q uestion, so just a clarification on this cold and warm forging. So these 25,000 tons that you have mentioned in the presentation is the additional capacity, right? We already had some cold forging capacity up and running?

Naresh Jalan: No, we d o not. We have zero cold forging capability right now. We have warm forging capability right now. We are installing a cold forging capability for which we have already received complete sold -out order for seven years, which we'll start operations from FY '25 first quarter.

Chirag : Okay, sir. Sir, one last question if I can squeeze in? See, on this differential business, the differential business that we're referring to is more of a differential axle side of the business or it will be differential assemblies for passe nger vehicle differential gear assemblies for...

Naresh Jalan: We are looking for differential not only for passenger vehicle, we are looking for commercial vehicle, we are looking for even electric vehicles. All the three segments, we are going to have our own product line in next two years' time.

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Chirag : Sir why I was asking is traditionally in the ICE category, differential assembly business is done in-house. And in EVs clear....

Naresh Jalan: With the coming days, everybody is offloading everything outs ide and want to have only assemblies.

Chirag : So even in ICE you are expecting this change and I presume this is more domestic driven for next 12, 18 months or it's -- okay.

Naresh Jalan: Both export and domestic driven it will be.

Moderator: Thank you. We take a next question from the line of Kaushik Mohan from Ashika Stock Broking. Please go ahead.

Kaushik Mohan: Congratulations for the good set of numbers. I have a very specific question in the Q1 in your presentation that you have mentioned that railway s have increased their revenue contribution, it comes out to be 3.2 percentage. With the visibility of wheel segment division and some more divisions of railway segment. What do you think, as a total revenue, what can be the percentage of this segment can be?

Naresh Jalan: I think railway should be doing anything between 4% to 4.5% in this year on a full year basis.

Kaushik Mohan: Okay. Sir, my second question is on the, what kind of margins that you have in the wheel segment with our new business?

Naresh J alan: I think it is too early for me to comment on the wheel business. We will go with the tide, and I think let us first establish the plant. We are still negotiating for the equipment. We are still negotiating for the every detailing is going on. So it i s right now not prudent for me to comment on profitability of the plant.

But I can only tell you that this plant in two years of operation will be EBITDA positive and I think we are looking at a five -year payback for the entire investment we made from the wheel plants.

Kaushik Mohan: Okay. Thanks for that. And the last one final question, sir I just wanted to understand what kind of volume growth that we are expecting for the year?

Naresh Jalan: I think we are looking at, at least 15% to 20% minimum volume growth this year from our current operations.

Kaushik Mohan: Okay. This is the minimum side, right, sir?

Naresh Jalan: Yes.

Moderator:

Thank you. We'll take a question from the line of Priyum Daga from VT Capital. Please go ahead.
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Priyum Daga: So my question was regarding the new acquisition Multitech Auto Private Limited. So the company did the turnover of around INR 300 Crores in FY '23, and we are paying around INR 205 Crores for relatively equity. So my question was regarding why the promoter is going to sell the company at a price is of around 0.7x. I mean that's quite cheap. So what is the thought process behind the promoter of that company selling to us?

Naresh Jalan: I think you should go and ask the promoters of that company. How can I tell you what is there in the mind of the promoter of that company? And why selling at that price. How can I comment on that? We know that we have done a good deal. But obviously, I cannot say what is running through the promoter's mind and why he is selling it at that -- this price.

I can only tell you that I have bought a good asset at a good price, and it is going to be value accretive for me and my investors in RKFL, but I cannot comment on why and what makes the promoter of Multitech sell the company.

Priyum Daga: Right. The other value is quite effective hence the question, but yes, that was my question. Thank you so much, sir.

Moderator: Thank you. We'll take a next question from the line of Chirag from White Pine. Please go ahead.

Chirag : Sir, I had a question on one of the acquisitions that you indicated TSUYO and it seems to be more on the motor and controllers. Sir, any thought process why you are looking at that space because that seems to be a crowded space in general?

Naresh Jalan: No, I am not looking at that space. I am looking at -- to be a consolidator at EV. Motor controllers, differential and e -axle, these are the complete platforms in the next two years. Rationale behind buying TSUYO, so we have already given in our earnings call previously. Basically, it is only a starting or stepping stone into a bigger platform of supplying complete differential e -axle and motor controllers.

So we are not looking at just motor controller in an isolated form. This is one of the platforms we have entered to make us bigger space in EV to supply this entire set of platforms, which makes our overall exposure into EV in a bigger way.

Chirag : And again, the focus of this entity would be more domestic at least in the initial three, five years?

Naresh Jalan: Yes, initially, for three years, it is domestic.

Chirag : And one last question, if I can. So the journey from component to assembly, are there any changes in the business model, the way you approach the customer, and the approval process is how much time, if you can elaborate on that? Because it has a significant impact on your positioning with that particular OEM where you're able to make this journey?

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Naresh Jalan: I think whatever platforms we are entering, it's a non -OEM business of -- the trailer axle is a non-OEM business. Differential, we are working with OEM to supply them the differential assembly. We are not looking at being a competitor to the OEM, we are looking to work with the OEM to get into a bigger platform stage.

Chirag : No. Because they must be doing that, right, like already somebody...

Naresh Jalan: OEMs are not manufacturing trailer...

Chirag I'm saying, the assembly, OEM may be acquiring via an assembly model already, right?

Naresh Jalan: No, trailer axle is a B2C business done independently with the people who make trailer bodies.

Chirag : Okay. Sir, that is a wide space available like nobody is focusing right now. So that's how you are looking to...

Naresh Jalan: That's not an OEM business. That's a B2C business, and we are -- and highly profitable business, we are wanting to enter in a big way in the B2C business.

in.

Chirag : And when do you think all the pieces will fall in place for you as...

Naresh Jalan: We are looking to get approvals for this or, say, there is a system of approval of the axle. We expect by March approval to be in place and next year to start hitting the markets with our own production, but full volume will take at least two years' time before we reach peak volumes in this.

Chirag : And this will be more domestic driven?

Naresh Jalan : Yes, it's mostly domestic driven.

Chirag : Domestic driven. Okay. Yes, sir, you're saying something, sorry.

Naresh Jalan: So basically, this is -- basically what I wanted to say that this is a business -- non-OEM business, a B2C business and it's a brand play. And I think, we are extremely confident that the brand RKFL or brand Ramkrishna is doing extremely well right now in the commercial vehicle

industry. So we will be able to garner at least 15% to 20% market share in next two to three years.

Moderator: Thank you. We take our next question from the line of Garvit Goyal from Nvest Research. Please go ahead.

Garvit Goyal : Sir, just a clarification kind of like we did PAT of INR 78 Crores in this quarter. So are we able or are we confident to maintain this run rate going in the next three quarters?

Naresh Jalan: I'm not able to understand your question, please.

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Garvit Goyal : I was talking about the run rate of PAT, like we did INR 78 Crores in this quarter. So can we maintain at least this run rate in the next three quarters?

Naresh Jalan: No, I think our tax rate, Lalit can comment on it exactly.

Lalit Khetan: So coming to the -- I think you're asking about the PAT run rate. So PAT run rate is certainly going to improve from here on because we have given a guidance on the volume growth. So when there will be a volume growth certainly there will be improvement in overall EBITDA and PBT margin, and it will have an impact on the PAT itself. So it's not going to remain here, I think it will improve from here on .

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question -and-answer session. And I would now like to hand the conference back over to the management for closing comments. Over to you, gentlemen.

Rajesh Mundhra : Thank you. We take this opportunity to thank everyone for joining the call. We wish all a very happy weekend. And we hope that we have been able to address all your queries. For any further information or assistance, you can get in touch with us or our Investor Relation Advisors. Thank you very much for joining the call.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Emkay Global Financial Services, that concludes this conference. Thanks for joining with us, and you may now disconnect your lines.

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Call: Jan 2024

RAMKRISHNA FORGINGS LIMITED

Date: 25t January, 2024

To To

The Listing Department The Listing Department
BSE Limited National Stock Exchange of India Limited
PJ Towers "Exchange Plaza" C-1, Block G
Dalal Street Bandra- Kurla Complex, Bandra (E)
Mumbai - 400 001 Mumbai- 400051

BSE SCRIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir / Madam,

Sub: Announcement under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Q3 FY24 Earnings Conference Call

This is further to our intimation dated 15th January, 2024 w.r.t earnings conference call with the Analysts/ Investors for Q3 of FY 2023-24 Financial Results (Standalone & Consolidated).

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Conference Call for Q3 of FY 2023-24 Financial Results with the Analysts/Investors, held on Thursday, 18th January, 2024 at 04:30 P.M. (1.5.T). Same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

This is for your kind information and records.

Thanking You.

Yours truly,

For Ramkrishna Forgings Limited

Rajesh Mundhra

Company Secretary & Compliance

ACS: 12991

Encl: As above

- REGISTERED & CORPORATE OFFICE <I

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CIN NO. : L74210WB1981PLC034281

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"Ramkrishna Forgings Limited Q3 FY24 Earnings Conference Call "

January 18 , 2024

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR ,
RAMKRISHNA FORGINGS LIMITED
MR. LALIT KUMAR KHETAN – WHOLE -TIME
DIRECTOR & CHIEF FINANCIAL OFFICER ,
RAMKRISHNA FORGINGS LIMITED
MR. CHAITANYA JALAN – WHOLE -TIME DIRECTOR ,
RAMKRISHNA FORGINGS LIMITED
MR. RAJESH MUNDHRA – COMPANY SECRETARY ,
VICE PRESIDENT (FINANCE) , RAMKRISHNA FORGINGS
LIMITED

MODERATOR : MR. JAIMIN DESAI – EMKAY GLOBAL FINANCIAL
SERVICES

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Results Conference Call of Ramkrishna Forgings Limited hosted by Emkay Global Financial Services.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jaimin Desai from Emkay Global Financial Services.

Thank you and over to you, sir.

Jaimin Desai : Thank you. Good evening, everyone. On behalf of Emkay Global, I would like to welcome you all to this Earnings Call of Ramkrishna Forgings Limited.

I would like to welcome the Management and thank them for this opportunity. We have with us today, Mr. Naresh Jalan - Managing Director; Mr. Lalit Kumar Khetan - Whole-Time Director and Chief Financial Officer; Mr. Chaitanya Jalan - Whole-Time Director and Mr. Rajesh Mundhra - Company Secretary and Vice President (Finance).

I shall now hand over the call to Mr. Lalit Kumar Khetan for the "Opening Remarks." Over to you, sir.

Lalit Kumar Khetan : Thank you, Jaimin. Good evening and welcome to everyone present on the call. I wish you all a very happy New Year from the entire team of Ramkrishna Forgings. I hope you all have got an opportunity to go through our "Financial Results and Investor Presentation," which have been uploaded on the Stock Exchange as well as on the Company's website.

I am pleased to report that our Company has a strong Q3 and 9-month FY24.

The Commercial Vehicle segment :

The crucial pillar of the national economy is undergoing a significant transformation. This is fueled by technology, mega trends such as alternative fuels, electrification and industry modernization. Factors such as the surge in online retailing, government policies, logistics services and expanded network of improved highways, industrial growth, all these contribute to the strategic growth of this segment. We, at Ramkrishna Forgings, are flexible and we consider ourselves an organization that tries on challenges. We take advantage of opportunities that come our way, such as expanding our business, improving productivity and making sure our customers are satisfied. We have become an important part of the global market, even though the world economy is a little weak right now.

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The good news is that things are getting better with time and we are committed to gaining more customers and getting ready for business growth when the market conditions are improving. We are also increasing our capacity to support this growth and as a Company, we are prepared for the future. Over the past months, we have achieved significant milestones that have further solidified our position in the industry and propelled us towards greater success.

First and foremost, we successfully raised Rs. 1,000 crores for the QIP which received an overwhelming response from the prominent domestic and foreign institutional investors. The fundraising marks a significant step in our Company's growth, allowing us to reduce debt and advanced manufacturing initiatives. The support from the investor reflects their confidence in us imposing our commitment to sustainable growth. During this quarter, we successfully secured approval of NCLT rally for the acquisition of ACIL Limited. This is strategic move, consolidates our foothold in the industry, promising the collective alignment of capabilities and resources, further enhancing our manufacturing strength.

Furthermore, our aim is to create a sustainable future clean energy initiative. To achieve this, we took

steps towards carbon neutrality by investing in renewable energy. We partnered with Prozeal Green Energy to install a 7.82 MW Solar Rooftop Power Project. We believe in the power of clean energy to drive positive change and through initiatives like these, we can create a more sustainable future for generations to come. In line with the industry, we have seen an increase in demand as well for our products and services, which has led to significant growth in our revenue and profit.

In Q3 FY24, we recorded revenue of Rs. 902.9 crores on the standalone basis which represents Y-o-Y growth of 20% while for 9-months FY23, we recorded revenue of Rs. 2,603 crores and for this standalone Rs. 2,603 crores, which again represents 20% year-on-year growth on the 9-month number also.

EBITDA margin for Q3 FY24 stands at 22.98% as compared to 22.1% in Q3 FY23. The EBITDA margin expanded almost by 90 basis points and overall EBITDA margin for 9-month FY24 stands at 22.80% against 22.2% in 9-months FY23 and the total expansion was almost 60

basis points in 9-month period, and we are confident of sustaining the margin of approx. 23% plus in the coming quarters.

Our net profit after tax is 82.34 for Q3 FY24 against Rs. 57.6 crores in Q3 FY23, which is in year-on-year growth of 43%. Our net profit after tax is Rs. 238.8 crores for the 9-month FY24 compared to Rs. 168.8 crores for 9-month FY23 which is again a year-on-year growth of 41%.

The strong performance is a reflection of the diligence and commitment of our team as well as the continued support of our customers and stakeholders. We remain committed to innovation, operational excellence and customer satisfaction. We will continue to invest in advanced

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technology, enhance our manufacturing capabilities and strengthen our relationship across the industry. With the foundation we have built and the achievements we have accomplished, I am confident we will continue to excel and thrive in this dynamic and competitive market.

Thank you for your continued support and for joining us today. We will now take questions from the audience. Thanks.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Raghunandan NL from Nuvama Institutional Equities. Please go ahead.

Raghunandan NL: Sir, my first question was on the domestic revenue, there is a growth of 32% and underlying domestic M&HCV production has grown by 9%, be it versus the underlying industry, what has led to this, is it execution of new orders in auto and which segments in non-auto has done well?

Naresh Jalan: I think in terms of the overall domestic business growth, our railway has grown, if you see the presentation railway has grown, our revenue in railways have in this quarter been much better than earlier quarters and also for Highway, domestically has done extremely well and in automotive segment, we have gained market shares as well as we have gained new businesses and new components within the content. Altogether, it has led to growth in the domestic segment.

Raghunandan NL: And in the presentation, when you are explaining about the non-auto segments, there is one portion Others which has also seen a big growth, within others what are included, sir?

Lalit Kumar Khetan: And others, steel, cement, then this coal washery segment, all these industrial products basically are the others.

Raghunandan NL: And sir, going forward, will there be any temporary issues for dispatches, or will there be any increase in logistics cost due to the Red Sea issues and also relating to that this logistics cost would be a pass through for you and how much would be the like?

Lalit Kumar Khetan: No, I think right now, Raghu, we are still working on it. In terms of logistic cost, most of the

costs related to our Europe dispatches have been impacted. For US dispatches, we have not been much impacted. We are still speaking to the customers. In terms of our agreement with the customer, we don't have any such pass-through system of increase or decrease in the logistic cost, but while during the first phase of Ukraine war also when there was a considerable increase in debt cost our customers cooperated and had shared the cost. We are similarly working with the customers to share the increase and I think we will have a positive outcome, but it may take some month or so before we have any answer to it.

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Raghunandan NL: And in terms of FY24 and 25, Lalit sir, can you give some guidance on the investments on CAPEX?

Lalit Kumar Khetan: I think if you go our presentation, we will have already guided for a considerable increase in our working capacity. We have announced a setting up of 8000 Ton press in FY25 and which will be operational by December '24 and basically overall budget in terms of CAPEX is yet to be finished, but it will be in line with what we are doing in this current financial year of close to around Rs. 400 to Rs. 450 crores in the coming year also.

Naresh Jalan: That will take care of investment and CAPEX altogether should be in the 400 to 450 regions for FY25.

Lalit Kumar Khetan: Basically, we are not speaking anything related to standalone now. At a consolidated level, we will be spending close to Rs. 400 to Rs. 450 crores in terms of our CAPEX.

Raghunandan NL: And sir, my last question on new acquisitions, MultiTech, JMT, ACIL, can you provide some detail on current revenue profitability and also any order wins here which provides a better visibility for future?

Lalit Kumar Khetan: I think in Multitech Auto, we have already provided in our presentation. We have got a full quarter revenue of Rs. 92 crores almost from Multitech Auto and already it has seen 200 basis points EBITDA jump since we acquired. I think previously MAPL, MultiTech Auto had an

EBITDA of around 14% and we have already had much EBITDA efficiency and almost 16% of EBITDA and we are aiming to improve the capacity from current 24,000 tons to 70,000 tons by the financial year end of FY25 and we are looking at almost Rs. 600 to Rs. 650 crores revenue from Multitech Auto in the coming year. We are aspiring to achieve 18% EBITDA from our casting business. Regarding JMT Auto also we have given a complete line, I think this quarter we will have more revenues from JMT Auto and first quarter onwards, we have given a guideline by when we are starting the forging and other things in JMT Auto post refurbishment and we aim to have Rs. 400 to Rs. 500 crores revenue from JMT Auto by FY26. A CIL acquisition has been completed in the month of January this year only and I think it currently has a revenue of close to around Rs. 4.5 to Rs. 5 crores on a monthly run rate means Rs. 15 crores per quarter. I think customers are intact as well as the plant is up and running, so we are going in for extensive refurbishment on that plant. So, we are hoping that next year in FY25 we should do good revenue with both EBITDA from ACIL. I think we will be able to better explain ACIL revenue in the concall we have post the full year results.

Moderator: Thank you. We will move on to the next question that is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

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Mumuksh Mandlesha : Sir, in Q3, the export growth has slowed down to 4% Y-o-Y, what has led to the slow growth and how do you see the outlook ahead?

Lalit Kumar Khetan : Sir, Y-o-Y we have grown in exports by 4.1%, basically quarter-on-quarter there is a decline, but Y-o-Y, I think we are grown by 4.1% in exports.

Mumuksh Mandlesha : So, compared to previous quarter growth has come down, just want to understand?

Lalit Kumar Khetan : That is a phenomenon every year. I think third quarter because of the Christmas holidays and other things, the inventories at most of our exports in Europe and the US, there is lesser consumption, and we are back on track in this quarter onwards. So, basically, if you see every year, 4th Quarter and the first two quarters of the financial year do extremely well, third quarter is every time flattish or there is a degrowth quarter-on-quarter basis.

Mumuksh Mandlesha : Sir, on this new press of 8000 tons and also some small presses, just want to understand the capacity is significant increase of around 40,000 metric ton, so can you indicate what kind of small presses are there, sir?

Naresh Jalan: Basically, we are installing a 4000-ton press and two small presses in warm and hot forging. So, 8000 press itself will give us close to around 32,000 tons of volume.

Mumuksh Mandlesha : And what kind of revenue potential from this capacity would there be?

Naresh Jalan: So, if you see go by the average realization also of Rs. 2 lakh, 40,000 tons at 80% utilization also can give us close to Rs. 600 crores of revenue.

Moderator : Thank you. The next question is from the line of Vishal from Swan Investments. Please go ahead.

Vishal : Sir, I have one question regarding what is the outlook we are seeing in terms of both domestic market as well as exports in the near term as well as for FY25 period?

Naresh Jalan: I think the environment is challenging, but in terms of customer and content gain at RKFL, we are doing extremely well, and we continue to thrive on our potential on new order wins and converting this order wins into new supplies and I think the guidance which we started in the first quarter of financial year of FY24, I think we are well on track to achieve our numbers or surpass those numbers.

Vishal : On the volume terms, we will be able to surpass these numbers in FY25?

Naresh Jalan: I think right now, we are still to complete FY24, so once we complete FY24 then only we will give guidance for FY25, but we don't see any down tick in terms of our utilization or overall

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sentiments in the market. We see that the market is going to remain strong and resistant and we will continue to excel on the capacity which we are implementing.

Vishal : Sir, my second question is regarding, thanks for sharing inputs on JMT Auto, sir wanted to have some inputs on what would be the margin trajectory and what is our aim to take this margin in next one or two years for JMT Auto?

Naresh Jalan: JMT Auto, I think this year we cannot predict the margin because the capacity is still going to get started and we hope to achieve only Rs. 150 to Rs. 200 crores of revenue from that, but by FY26, when we are starting to get 400 plus revenue from that, we are looking at almost 25% margin from that.

Moderator : Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah : Sir, my first question is on this outperformance, follow up to previous question of Raghu, despite

production slowdown in M&HCV more than 20% outperformance we achieved , so do you think that this type of outperformance will continue and any specific this quarter wise one-time impact in this quarter or sustainable 20 -25% outperformance possible for next 2-3 quarters ?

Naresh Jalan: Thank you Mitul for this question. I think at RKFL, we are in for a long run and we continue to outperform the market and I think we are looking at long-term sustained growth rather than one-time growth. So, whatever our figures are or whatever growth we have, you say it will be a steady and stable and sustainable growth.

Mitul Shah : So, this healthy double digit will continue even if industry may

undergo some slowdown in FY25 ?

Naresh Jalan: As far as we are concerned, we don't see any slowdown in RKFL .

Mitul Shah : Sir, second question is on this 25,000 tons warm forging, cold forging , so how the ramp up can we expect it will be like a full ramp up by second half FY25 or it will be relatively slow in FY26 we will see full capacity utilization because we already have some pre -orders for this specific capacity, right?

Naresh Jalan: We already have a full order on this, but in terms of sample making and sample dispatches and sample approval, you will see full utilization of this entire capacity from 4th Quarter of financial year FY25, but you will see considerable utilization starting third quarter and 4th Quarter should show you almost (+90%) utilization.

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Mitul Shah : Sir, lastly on this ring rolling in our presentation, we have given almost 150% utilization for these 24,000 installed capacities , so up to what extent this utilization can further increase, or this is the optimum and despite every time it is coming 130%-140% type of utilization , we are not increasing any capacity here , so any specific reason behind that?

Naresh Jalan: To increase any capacity in terms of utilization because we are almost at peak market share and as well as we are able to get premium from the customer on these parts , but we are working on a lot of VAVE (Value -Analysis/Value Engineering) activity in terms of reengineering the entire line and very soon with the kind of automation or other things we are doing in this kind , our capacity in this line will go up to 30,000 tons, which will basically bring down the utilization of 148% to 110 % or 115% , but we are not in any way increasing the capacity or adding any further equipments for ring rolling or spending any large CAPEX in building up capacity for ...

Mitul Shah : Sir, just follow up that with 30,000 capacities , what could be the maximum output possible or what can be the 150% type of utilization is possible in case of huge demand?

Naresh Jalan: No. I think utilization level of 148, what you are seeing ,will drop to 110 or 115, but overall, I don't think we will be able to go anything above 130 % plus.. That is only what we will be achieving.

Moderator : Thank you. The next question is from the line of Jaimin Desai from Emkay Global Financial Services. Please go ahead.

Jaimin Desai : Sir, you alluded to tough external environment , can you please give some more color around this, where exactly the softness that you are seeing? I understand that we have very strong growth drivers for our own business because of order wins, etc., but just with relation to the environment where exactly the softness that you are seeing?

Naresh Jalan: No, we are not seeing any softness related to our business. So, in external environment, I think this war and this disruption due to this Red Sea and all other things are an ongoing affair right now since last 1-1/2 years we are bearing the brunt of first Ukraine war and then now this Red Sea disruption, but I think in terms of softness, we don't see any softness while market may not grow, but we don't see any softness in them with the kind of order wins we have had and the pipeline which we have right now for new auto rates to come in next couple of quarters. We don't foresee any slowdown in terms of our stake, or our growth plans getting hit by any external environment as such.

Jaimin Desai : So, even in the case of let us say North America Class 8 truck market, you do not expect any growth challenges in next year or maybe beyond that for the market itself?

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Naresh Jalan: I am getting slow down since last one year, but in terms of my balance sheet or my dispatches or my customers, we have not seen any effect in our calls for our new

dispatches. So, we will

not be able to exactly per say what is happening in the class 8 market , but overall, we see no slowdown in terms of demand. I think the market is pretty stable and we are doing extremely well with the kind of new content and new order wins we have in our pipeline .

Moderator : Thank you. The next question is on the line of Chirag Shah from White Pine. Please go ahead.

Chirag Shah : Sir, first question is just a simplification if you can help us so say, current revenue that we have and I am just annualizing the 9-month number , if I have to take a 2-year view, what is exactly the capacity or revenue capability that we have in standalone as well as at consolidated level? Either in terms of revenue or in terms of tonnage , however, you would like to highlight , so if you can first help us understand standalone because there are too many projects which are coming, some are coming in standalone, some are coming in consolidated , so if you can help us border view it will be helpful , sir?

Naresh Jalan : Chirag, I think it is very difficult for me to put any number to what future guidance is. We will be more upfront to post the full year results, but we can very confidently tell you we are looking at 15 to 20% volume growth exactly in our overall balance sheet or overall business is concerned , we are looking at 15 to 20% volume growth.

Chirag Shah : And would it be right to assume that this 15 %-20% volume growth would be more driven by subsidiaries given the ramp up that you are looking at over there given I am putting JM T, AICL everything over there ?

Naresh Jalan: No, I think every balance sheet has its own potential to grow and they all are 100% subsidiaries of RKFL. Overall, at a consolidated level 15 % to 20% volume growth which standalone RKFL will also deliver and in terms of other balance sheets also will deliver. So, overall , at the consolidated level also we are looking at almost 15 to 20% growth in the current days. That is the guidance we started in April FY24, and we still maintain that guidance and I think any revision in terms of guidance upwards or we will be able to come up with more certain answer post the full year results.

Chirag Shah : And sir, if possible, at the end of the year, just in terms of production capacity ramp up, if you can enter , it would be helpful because your capacity seems to be growing at a reasonable fast pace, so you are ready for 50% kind of growth over next two years once this program, the CAPEX programs are done over next 12 months, their minimum. So, that is why I am asking what I want to send the capacity ramp up , if you can explain later on, it will also fine at the end of the year ?

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Naresh Jalan: Chirag, if you go by the presentation, each and every Company is potential and the revenue potential and by when we expect things to happen, I think Company wise we have very clearly mentioned in the presentation ; however, we take your suggestion and I think we will try to more be certain with what is the full year .

Chirag Shah : And sir, second question was on JMT, say Rs. 2 00 crores this year and next year at . 25 to Rs. 600 crores revenue indication that you had, it implies that there are approvals in place, the capability , once you put the CAPEX in JM T, it is more about delivery rather than getting customer approvals , is it the right way to look at it?

Naresh Jalan: I think Chirag, we are already in with the CAPEX in J MT 3 months have passed and another 3 months to go. I think first for mid -April, I think FY25, we will start production in phased manner in JMT and that is the reason we have indicated about Rs. 200 crores of revenue this year and the potential of this plant is to reach to or anything between Rs. 500 to Rs. 600 crores of revenue . In terms of approval, we need to go for rea

pproval, which we have already started, and we are already in discussion with the customer.

Moderator : Thank you. The next question is on the line for Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain : Sir, my question is regarding that railway business , so what kind of the revenue you are projecting in FY26 or FY27 from this business and what would be the EBITDA margin from this business ?

Lalit Kumar Khetan : Which railway business actually, there are couple of them , you want to know about any particular business or railway as a whole ?

Abhishek Jain : Railway wheels?

Lalit Kumar Khetan : Railway wheels, I think it is still very early for us to tell you. I think the plant is going to, if you see the presentation only by FY26 and the plant is going to get commission and start. So, I think it is too early for us to tell you what the potential revenue and the EBITDA from that plant is right now .

Abhishek Jain : So, what is your target ROCE for that business?

Lalit Kumar Khetan : ROCE we are looking at 4 .5 to 5.

Abhishek Jain : In initial year, right ?

Lalit Kumar Khetan : Yes.

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Abhishek Jain : And my next question is related with this carbon emission norm that is going to implement in UK and other European countries from 2024?

Naresh Jalan: That is only for steel sectors . For forgings and other things, which is 2026.

Abhishek Jain : So, there won't be any impact of this in 2024 related with the sourcing of raw materials or anything else?

Naresh Jalan: Nothing. I think it is related to only steel and for forging and other things , it is 2026 January and we are getting prepared for that.

Moderator : Thank you. The next question is from the line of Jaimin Desai from Emkay Global Financial Services. Please go ahead.

Jaimin Desai : Can you throw some color on the growth opportunities in non -auto side , for example , in railways apart from the wheel project and in areas like oil and gas ?

Naresh Jalan: I think in railways , we are looking at almost doubling our revenues in the next 2 years from where we are right now . Every year , we will be almost doubling our revenue from railways and I think the railway with the kind of modernization which is happening in India, I think sky is the limit and it is up to us how much we can in cash or this opportunity in delivering right parts to the railways and finding right opportunities within this modernization. So, we are working very diligently with the railways, and we are trying to in cash these opportunities and right now putting a number specific in terms of growth it is very incorrect, but I can only tell you that the way things are shaping up and way the demand is shaping up . Doubling of sales to railways is the very small thing which we are talking about. I think opportunities are much more in terms of how we are able to deliver and in cash the opportunity.

Jaimin Desai : And in oil and gas?

Naresh Jalan: Oil and gas also, yes, it is steady business for us. I think right now we don't see any exponential growth in oil and gas, but it is a steady business wherein we have been able to continue our steady operations . With JMT coming in , with the businesses with what JMT was doing in oil and gas I think that place wherein we are going to grow very fast and that is going to be an additional revenue in oil and gas from North American customer, which JMT earlier was doing close to that was Rs. 100 crores plus business which JMT was doing. I think we are getting that customer back very soon and that the oil and gas business from JMT will be a big business which will be consolidated in the balance sheet of RKFL .

Jaimin Desai : And from a margin and return ratio point of view, non -auto segment would be comparable to autos?

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Naresh Jalan: I think non -auto is obviously a better margin gain and as our non -auto businesses continue to improve and in terms of percentage to our sales, our profitability should grow.

Moderator : Thank you. The next question is from the line of Vidrum Mehta from ASK Investment Managers. Please go ahead.

Vidrum Mehta : Sir, post the QIP money, what would be your current gross and net debt?

Lalit Kumar Khetan : So, I assume they become Rs. 593 crores with the net debt and by March it will be less than Rs. 500 crores.

Vidrum Mehta : Sir, secondly, of the 20% topline growth on the standalone business which we clock for Q3, could you help us in terms of understanding the bifurcation with respect to pure volume driven growth or from new products or from market share gains from the existing customers like can you bifurcate that 20%?

Naresh Jalan : It is very difficult to say what market share came from what customer or whom, but in terms of new components, I think almost growth for 5 to 6% has come from new businesses which we have won in domestic industry in terms of our content and exports have been steady exports. I think if you see year-on-year 4.1% , we have grown in terms of exports and that also largely driven by new customers wherein our supplies have started in this quarter and in this quarter , you will see further gains coming in with this place and I think overall in terms of market share gain, it is very difficult to tell from whom we have gained market share, but we are continuously working with customers to get into new product lines and new contents and both in domestic and in export and in domestic industry, things turn around very fast because of our local presence as well as our foothold into and the relationship which we enjoy with the customers.

Vidrum Mehta : Sir, so would it be safe to assume that roughly 5 % to 6% of the new business growth which we achieve on an annualized basis and new order wins also helps us in terms of booking the revenue apart from the organic M&HCV growth which the industry clocks ?

Naresh Jalan : No, I think the industry growth, I think it is very difficult to say, now, we grew against the industry growth, but in terms of existing components we have been able to gain market share .

The new component which I said 6% is absolutely new , like for M&HCV we have started manufacturing suspension components. So, these are the sectors which we are entering new in

terms of forging . So, this is the 6% which we are getting. So, obviously the existing components we have been able to increase our performance with the customer also with the new content which we have been able to create in terms of forging that is helping us in terms of our overall gain in terms of the overall, if you see (+30%) growth that is the reason we have got.

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Vidrum Mehta : Sir, secondly on the domestic M&HCV front , like we keep on hearing that after two or three years of a good M&HCV growth in the domestic business expectation is that for FY25 for probably we could see a flattish to mid-single digit growth for M&HCV , but in terms of average tonnage, it is going to go up. So, number of M&HCV sold could be flattish , but in terms of tonnage wise, the carrying capacity could be higher , given that situation would our tonnage be better in terms of growth for 25, so should be absolute M&HCV number or should we look at tonnages for reflecting the growth?

Naresh Jalan: So, I think with the overall what we feel that overall tonnage growth is going to be the way forward to look at the growth in the M&HCV industry and if the tonnage growth, we will continue to grow because the requirement of number of axles will increase with the high tonnage vehicles.

Vidrum Mehta : And sir, lastly on the restructuring part wherein we are doing some, w

e are going to acquire a

land of Mal Metalliks Private Limited which is a step down subsidiary and we intend to commence trailer axle assembly over there which will help us in terms of getting some operational efficiencies, could you throw some color on that on the qualitative as well as on the quantitative front, how much benefit could we get out of that ?

Naresh Jalan: These are all 100% subsidiaries, and we are going for large scale restructuring. I think in February you will hear much more in terms of restructuring . We will not be maintaining so many subsidiaries like ACIL, JMT, MultiTech , Mal Metalliks . So, this is only the first phase of consolidation which is happening, but the overall consolidation in terms of ACIL getting merged in RKFL or JMT getting merged in other subsidiaries we will only be carrying 100% subsidiary of our RKFL which is going to be the casting business and rest all the businesses are going to get merged in RKFL very soon. So, this is the first part of restructuring which we have done. I think overall restructuring you will be able to hear end of February in which only we have one subsidiary of RKFL that is the casting division.

Vidrum Mehta : Sir, can you share the breakup in terms of revenue from the subsidiaries for this quarter like standalone we already know and consolidated we have the number, the difference would be from the subsidiaries , so subsidiary wise revenue, if you could share?

Naresh Jalan: I think Multitech Auto is close to around Rs. 92 crores, RKFL LLC around Rs. 29 crores and Globe is around Rs. 60 crores.

Lalit Kumar Khetan : What happens that RKFL LLC range, the good things supplied from RKFL India, so lot of it got eliminated , so overall number will get eliminated by Rs. 25 to Rs. 30 crores in that consolidation. That is why the number whatever you add up will come at Rs. 1,087, but actually Rs. 1,057 crores .

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Naresh Jalan: At the consolidation level, LLC numbers basically are getting knocked off because of Ind AS, so basically 1050 you are seeing and around Rs. 29 crores getting knocked off, which remains as inventory in LLC.

Moderator : Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah : Sir, my question is on as we almost completed all these three acquisitions and majority of the payment is done , so what would be the investment amount for this FY24 and at the same time on CAPEX also we have done majority of CAPEX also, capacity expansion in this year, so what would be CAPEX for this year and next year would be purely maintenance CAPEX or anything meaningful apart from that?

Naresh Jalan: Mitul, I think overall CAPEX this year should be approximately around Rs. 450 to Rs. 460 crores in FY24 and in FY25 also if you see your presentation, we are setting up a capacity for 8000 - ton press. Also, we will require maintenance CAPEX both in ACIL and JMT on an ongoing basis and the casting capacity which we have freshly augmented . So, the overall we are looking at similar CAPEX from free cash flow of around Rs. 400 crores in the next year also. I think we will be able to give you some exact numbers once I think on the full year results, once we finalize our entire budget in terms of overall cash flow what we have and what does the CAPEX spend out of that free cash flow .

Mitul Shah : Sir, just for clarification, this Rs. 450-Rs. 460 crores this year includes investment, right?

Lalit Kumar Khetan : No, so the Rs. 450 crores is only the CAPEX investment , this year is separate because you can understand Rs. 200 crores earlier we paid for MultiTech, 125 for JMT and their earlier investment in the railway projects to the extent of 70 -75 or so Rs. 400 crores already in terms of investment without ACIL , I think we have done this year and an

other Rs. 450 crores in terms of

CAPEX . So, altogether it is 854 this year from next year, it will become 400 to 450 for the CAPEX and investment together.

Moderator : Thank you. The next question is from the line of Sagar Sahu from Jefferies. Please go ahead.

Sagar Sahu : I just wanted more information on what is happening on the electric vehicles front, I understand that you were looking to develop some electric vehicle specific components like the axle, and you had also invested in an electric vehicle component startup , so any more information that you can give us on that front?

Naresh Jalan: So, I think we are doing almost 3 to 3.5% of our revenue from E V which we are supplying to overseas customers, but basically they are undercarriage components and developing our own motor controller and e -axle with transmission , this is R&D which is ongoing , I think the motor Ramkrishna Forgings Limited

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and controller Company we have acquired that is TSUYO which is a startup Company and we are already working on in terms of our own transmission and e-axle. I think in next 3-6 months' time, I think you will hear more about it in terms of , right now, it is a II on trial stage means vehicle trial stage, so we don't have a concrete answer in terms of the size we can achieve in terms of market size we can achieve in this. So, once we have the trials and other things through from the vehicle , then we will be able to give you more color into it , but our aim is in next 2-3 years to develop the entire motor controller e-axle along with the transmission and as a kit supply to the three -wheeler and four -wheeler market.

Moderator : Thank you. The next question is on the line of Darshika Khemka from AV Fincorp. Please go ahead.

Darshika Khemka : Sir, as far as I understand our margin expansion in FY22 and 23 was a combination of two factors , one being operational things that the Company has done and also the tailwinds from the industry, would you be able to bifurcate and sort of help us break down that how much has come from tailwinds and how much from Company related efforts and how much of that basically would be sustainable ? What I want to understand is that once this industry tailwind goes away, would our margins fall ?

Naresh Jalan: I think in terms of margin, I cannot give you anything related to what is tailwind and what is , but if you see constantly for 16 quarters, we have been maintaining a margin of 22% and above and I think very slowly but steadily we are working towards our goal of 25% margin and that is the way we are developing our own components or the utilization of our plants are being worked out accordingly . I don't see any headwinds to our margin trajectory while we do not say what is the tailwind which can happen to it, but I can very safely say that we aspire to be 25% plus EBITDA margin making Company , while we will be able to safely maintain the current margin trajectory going forward .

Darshika Khemka : And I had one more question , what was the CAPEX that we have incurred for the warm forging expansion?

Lalit Kumar Khetan : So, warm forging , we have already done the capacity of 10,000 tons . Right now , what we are putting up a small capacity of about 3000 ton on the warm forging and the CAPEX has already been completed . I think we are going to commence the line very shortly.

Darshika Khemka : Can you help me with the CAPEX number on that?

Lalit Kumar Khetan : I don't have right now the specific number on that line, so we can clarify that offline .

Moderator : Thank you. The next question is from the line of Rakesh from Bahana Equity Advisors LLP. Please go ahead.

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Rakesh : Sir, can you know our current order book?

Naresh Jalan: We don't have any order book. We work to schedules and I think we fr

om our export customers ,

we get 6 months forward schedule and from domestic customer , we get 2 months forward schedule, and we work to schedules only and we do not have a particular order book. We have only the order book related to our railways which is close to around Rs. 250 crores right now from railways. Other than that, we do not have any firm order book from automotive sector or off-highway . We work to only schedules we receive from customers.

Moderator : Thank you. Ladies and gentlemen that was the last question. I now have the conference over to

Mr. Rajesh Mundhra for his closing comments.

Rajesh Mundhra : Thank you. I take this opportunity to thank everyone for joining the call. I hope we have been able to answer and address all your queries . For any further information , kindly get in touch with us or our investor relationship advisors. Thank you very much.

Moderator : Thank you members of the management team . Ladies and gentlemen, on behalf of Emkay Global Financial Services, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

RAMHKRISHNA FORGINGS LIMITED

Date: 9 May, 2024

To To

The Listing Department The Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,
Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 001 Mumbai- 400 051

BSE SCRIIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and
Requirements) Regulations, 2015 - Transcript of Earnings Call for Q4 and FY 2023-24

This is further to our intimations dated 27 April, 2024 and 29 April, 2024 w.r.t conference call with
the Analysts/Investors for Q4 and FY 2023-24 Audited Financial Results (Standalone &
Consolidated).

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the
Earnings Call for Q4 and FY 2023-24 Audited Financial Results with the Analysts/Investors, held on
Thursday, 2 May, 2024 at 04:30 P.M. (I.S.T).

Same is also being made available on the website of the Company at www.ramkrishnaforgings.com.
Request to kindly take the same into record.

Thanking you.

Yours faithfully,

For RAMKRISHNA FORGINGS LIMITED

RAJESH MUNDHRA

COMPANY SECRETARY

& COMPLIANCE OFFICER

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CIN NO. : L74210WB1981PLC034281

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"Ramkrishna Forgings Limited

Q4 FY '24 Earnings Conference Call"

May 02, 2024

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. CHAITANYA JALAN – WHOLE-TIME DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. LALIT KHETAN – WHOLE-TIME DIRECTOR AND

CHIEF FINANCIAL OFFICER – RAMKRISHNA FORGINGS
LIMITED

MR. RAJESH MUNDHRA – COMPANY SECRETARY AND

VICE PRESIDENT -FINANCE – RAMKRISHNA FORGINGS
LIMITED

MODERATOR : MR. RAGHUNANDHAN - NUVAMA WEALTH
MANAGEMENT

Moderator: Ladies and gentlemen, good day, and welcome to the Ramkrishna Forgings Q4 FY '24 Earnings Conference Call hosted Nuvama Wealth Management. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Raghunandhan from Nuvama Wealth Management.

Thank you, and over to you, sir.

Raghunandhan: Good evening, everyone. Welcome -- on behalf of Nuvama Wealth Management, I would like to welcome you all to this earnings call of Ramkrishna Forgings, I would like to welcome the management and thank them for giving us this opportunity. We have with us today Mr. Naresh Jalan, Managing Director; Mr. Lalit Khetan, Whole-Time Director and Chief Financial Officer; Mr. Chaitanya Jalan, Whole Time Director; and Mr. Rajesh Mundhra, Company Secretary and Vice President, Finance.

Before we begin, may I remind you of the safe harbour the management may be making some forward-looking statements that have to be understood in conjunction with the uncertainty and the risks the Company faces. I shall now hand over the call to Mr. Lalit Kumar Khetan for opening remarks. Over to you, Lalit, sir.

Lalit Khetan : Thank you, Raghu. Ladies and Gentlemen, A very warm good evening, and welcome, everyone, present on the call. I hope you all have got an opportunity to go through our financial results and investor presentation, which have been uploaded on the Stock Exchanges as well as on the Company's website. We are pleased to report that the Company has delivered steady results for the fourth quarter and financial year ended FY '24.

Firstly, let me give you a brief into the latest trend in the global commercial vehicle market. The global CV market is expected to grow by 4% in volume and 6% in value from calendar year '23 to calendar year '29. This growth is primarily fuelled by the expanding e-commerce sector, which is driving demand for light and medium duty vehicles.

Furthermore, the development of smart cities and infrastructure projects like highways will fuel the demand for heavy-duty vehicles. India CV market is experiencing exceptional growth, letting it fastest-growing CV market globally. Initiatives such as Make in India, National Electric mobility, Nissan plant, BS VI laws and vehicle scrappage policy are set to further accelerate this growth. This policy not only encouraged, but also promote innovation and sustainability within the Indian CV market.

Indian forging industry continues to be dominated by automotive sector holding a commanding 62% market share in forger components. In terms of value, the automobile sector contribution stood at USD 3.6 billion in calendar year '23 and slated to reach to USD 5.4 billion in CY '29, exhibiting a strong CAGR of 7%.

The overall market is projected to expand by 39 lakh metric tonnes by CY '29, driven by increased demand from automotive segments supported by a growing working population and

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rising per capita income. Now let me highlight some key achievement of our Company has made in the last quarter. The Company achieved a significant contract worth USD 220 Million, that will be executed over a period of 10 years, making our entry to a new vertical within forging sector, the strategic move focus on supplying Tier 1 customers in the light vehicle segment across North America, enhancing our global footprint and revenue stream.

Furthermore, we obtained our Board approval for commencing manufacturing and supply offices in Mexico, enhancing our operational capabilities

and market reach. We have also

received a substantial order of prestigious Vande Bharat train set valued at INR 270 Crores, this order to be supplied to the BHEL TRSL consortium making a pivotal moment in our journey towards accelerating rail infrastructure development. Moreover, we remain committed to sustainability and corporate social responsibility. We continue to launch initiatives to reduce our carbon footprint, promote diversity and inclusivity at work and support local communities. Now let's look at our financial performance for the quarter and year ended FY '24. In Q4 FY '24, we achieved a revenue of INR 886.16 Crores on a stand-alone basis. This revenue is down by INR 20.75 Crores due to the Red Sea issue, as the ships are stuck in the channel, otherwise, revenue could have been higher by INR 20.75 Crores in the quarter. And similarly, for the year, INR 3,489.60 Crores, that could have been higher by that amount. However, this represents a

year-on-year growth of 16%. Our EBITDA margin for Q4 stands at 22.7% as compared to 22.5% in Q4 FY '23 and the EBITDA expansion of 20 basis points is year -on-year. Similarly, our EBITDA margin for FY '24, which stands at 22.7% versus 22.3% in FY '23.

We would like , also like to highlight our export performance i n Q4 is very good and we have been able to achieve highest ever sales in exports in Q4 FY '24 that which you can see in our presentation that we have achieved INR 400 Crores of export sales, which we never achieved in the history of RKFL. And this level of export sales is very much sustainable in upcoming periods. We are very confident of that.

Lastly, our net Profit After Tax saw a strong growth with INR 87.3 Crores in Q4 FY '24, which is a 31% year -on-year increase compared to INR 66.81 Crores in Q4 FY '23. For FY '24, our net Profit After Tax stood at INR 326.1 Crores, reflecting a 38% year -on-year growth from INR 235.6 Crores in FY '23. At Ramkri shna Forgings, we are ready to seize this growth opportunity by leveraging our strength and innovation, operational excellence and strategic partnerships. We are confident in our ability to adapt, innovate and create value for our stakeholders while making a positive impact on the industry and society. Thank you for your continued support and for joining us today. We will now take questions from the audience. Thank you.

Mode rator : Thank you very much. We will now begin question and answer session. The first question is from the line of Mumuksh Mandlesha from Anand Rath. Please go ahead. [inaudible 0:07:45]

The next question is from the line of Mitul Shah from DAM Capital.

Mitul Shah : Good afternoon Sir and thank you for the opportunity . First of all, congratulations for strong set of performance. And thanks for very elaborate presentation this time giving all the details, including subsidiary -wise Cap ex. Sir first question is on, is there any restructuring of the cost Ramkrishna Forgings Limited

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because raw material gross margin seems to be very different quarterly and entire cost seems to be shifted to other expenses. Is there any restructuring?

Lalit Khetan: No. Mitul, there is no restructuring. If you look at this quarter, export percentage, export has grown substantially higher and realization i n export reached more than the domestic market and ratio has significantly improved from 63.37 to 58.42 , that's why you can see this raw material number is looking like that because the gross value is that. And that's the consequent results on the other expenses where it is mainly increase d due to the freight has increased so we have got a INR 17 Crores hit on export expenses due to that.

Mitul Shah : So in general, when export increase or export gross margins are much better, but other expenses on the export side are slightly higher. So EBITDA level, it is more or less maintained. Is it like that?

Lalit Khetan : It's compensated on the EBITDA level.

Naresh Jalan : One more thing just to add to that Mitul this quarter, we have been hit by this Red Sea issues and freight cost has been higher than natural. We had to pay some extra set because of rerouting and all this. So that also has been added to the cost of order.

Mitul Shah : So sir, can you quantify approximately what would be that onetime impact of freight cost or Red Sea impact?

Naresh Jalan : I think that's not a onetime cost right now till we are already in discussion with our customers to realize some part of the freight . So I think this will rationalize by about 10% to 15% going forward. But right now, until the discussions are concluded, we will see this kind of freight cost going forward until the Red Sea issue is resolved. So Red Sea impact, is going to stay unless this war stops or there is some cringing over there. So this impact, unless and otherwise customer is ready to face the extra freight of it, which we are very sure that we will be able to have some consideration from the customer to fill in the kitty.

Mitul Shah : Okay. Sir, second question on average realization. In terms of domestic, quarter -on-quarter, there is an improvement. Export has fell despite currency being favorable, so any price rationalization or product mix or how one should look at that.

Naresh Jalan : I think exports, we have been almost \$35 cost reduction from 1st January has impacted the realization. The Indian key market has not our all the exports are tied up to the international steel market. So international commodity or international steel market on 1st January has declined by \$35 .So that, impact, has been felt in the realization part of it.

Mitul Shah : Okay. And sir, lastly, whatever you can give some outlook on the three of these subsidiaries recently merged with.

Naresh Jalan : I think all the three subsidiaries right now, Multitech Auto, I think we have given in our presentation details. Multitech is performing I think better, you can see the margins have considerably improved after we took over, almost year -on-year, if we see. There is a 200 basis points improvement in margins in Multitech and we are running the plant to full capacity and Ramkrishna Forgings Limited

we expect individually in Multitech the market -- the balance sheet to grow almost by 20% in the current financial year.

In terms of JMT, we are going to start production from this month onwards, 1st May onward we are -- May onwards we are partially starting production. And from July onwards, we are going to be full production in JMT. We expect this anything between INR 100 Crores to INR 150 Crores top line from JMT in this full year. ACIL has already started manufacturing. And I think in the last quarter also, we have around INR 7.5 Crores from ACIL. This year, we are looking at almost INR 120 Crores of sales from ACIL.

Mitul Shah : And sir blended subsidiary margin of all this put together around 15 %

Naresh Jalan : I think consol level the margins which you see right now we are expecting at least 150 basis points improvement in overall margin at this level.

Mitul Shah : From Q4 level?

Naresh Jalan : Yes, Q4 level. 100 to 150 basis points improvement in margin for the consolidated level.

Mitul Shah : Sir, thanks a lot and all the best.

Naresh Jalan : Thank you.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi.

Mumuksh Mandlesha : Thank you Sir for the opportunity and thanks for detailed presentation. Sir, on the recent order wins in the PV segment on the Mexico plant and the North America to INR 20 Million order.

Can you share what would be the current revenues from the PV segment? And what is the expected revenues from this new order wins over the next two to three years? And can you share some thoughts on the profitability for the PV

segment will it depend from the overall business

and particularly with the other new Mexico plant how there will be the profitability ?

Naresh Jalan : So recent this Mexico plant is not yet been operational. We have just located us space and everything. I think equipment and other things will take another four to five months' time. This year, we are expecting only INR 8 Crores to INR 10 Crores from our Mexico plant.

And following year, we are looking at substantial revenue to grow from Mexico plant operations. So right now, we can not assess the visibility of that part. Going forward, I think we will be updating the investors on quarter on quarter. In terms of our overall PV exposure, right now, PV is close to 2% or 2.5% passenger vehicle. We expect a double -digit PV in next two years' time with the current order wins and the order wins, which we have had totally, I think going forward, we should look at a double -digit PV in next two years time.

Mumuksh Mandlesha : On this Vande Bharat order of INR 270 Crores, what was the time line for this order? And also, will this be the fabrication capacity, which will be used for the service order ?

Naresh Jalan : So Vande Bharat order is to be supplied by -- from our current capacity only. We are going to submit samples in the -- first samples by the over this year. And first batch serial production in Ramkrishna Forgings Limited

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-- by December this year. And following this contract for this INR 270 crores, is valid -- to be supplied within next two financial years, so it will be covered up to FY '26.

Mumuksh Mandlesha : Okay, sir. And just lastly, on the capex side, on the standalone basis, are you planning to spend about INR 350 Crores to INR 400 Crores annually, what will be the breakup of this capex?

Naresh Jalan : I could not understand what exactly you mean by a break up or?

Mumuksh Mandlesha : Break up sir. What could be the breakup of the capex will it be the capacity expansion, the Mexico plant?

Naresh Jalan : No, I think cumulatively, we are looking at almost INR 400 plus crores of capex this year. That includes standalone on the RKFL side in terms of addition of capacities in the Mexico venture as well as in the capacity in a brownfield activity in our current Plant.

Moderator: Thank you. Next question is from the line of Mr. Raghunandhan from Nuvama Wealth Management.

Raghunandhan : Thank you Sir for the opportunity and Congratulations on the strong numbers. Sir, firstly, on the light vehicles. As you indicated, given the receipt of orders, you would look at the contribution of light vehicles or passenger vehicles to increase in revenue. If you take a medium - term aspiration how would you see the share of light vehicles going up? And also, if you can talk about whether it will have a similar kind of profitability ?

Naresh Jalan : Light vehicle in terms of overall balance sheet on the consolidated level, including Multitech and other places, we're seeing at almost more than double digits in the next two years' time. And I think in terms of profitability, we are looking at sustained profit, what we are doing right now in a similar way to work it.

Raghunandhan : Got it. Sir, in the medium term, we have the cold forging capacity, which is likely to be operational in quarter one of FY '25. The project is fully booked by orders. How do you see this ramp up of order execution? Can we see the peak level of execution in FY '26 and for this capacity, what would be the peak revenue?

Naresh Jalan : I think in terms of cold forging samples and other things are going to start going out from quarter 2 of the year. We expect quarter 4 onwards 100% utilization to start from that facility. We are looking at full production or full utilization in FY26 -27. And at peak, we are looking at almost INR 250 Crores topline from this.

Raghunandhan: INR 250 Crores, sir?

Nares

h Jalan : Yes, sir.

Raghunandhan: Got it. That would be like a 2x gross asset turnover and in terms of JMT Auto given that the forging division is starting in April and machining division in May, can you please indicate that in terms of discussions with the earlier customers of JMT is this on track?

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How are you seeing the response of customers and your confidence level in terms of ramping up the utilization?

Naresh Jalan : I think we are very confident in terms of the overall how JMT is shaping up. I think it has taken a little more time because of the deterioration in terms of equipment and infrastructure, but now almost everything is complete and is going to get completed in the next 2 months time.

Most of the customers have confirmed back and we have already started -- getting reaudited by the customers. So one by one the audit has been lined up and gradually we will see most of the customers and we want to come back is going to be back by I think October. So we are looking at almost going to back to almost 80% for utilization in FY '26.

Raghunandhan: Got it. Sir, with reference to the Vande Bharat order. Congratulations on that prestigious order.

In terms of the time line, would it be roughly is there clarity whether it will be a 3 year, 5 year?

What could be the length of the order, sir?

Naresh Jalan : No, this order is for next 2 years' time. This is order is only for 32 train sets, but actual requirement is for 200 train sets. So after building the prototype and supplying the prototype and it gets validated, we feel that this 32 set opportunity is going to get converted to at least 100 to 150 train sets. So if that really happens through we will be booked up to 2029.

Raghunandhan: Wonderful sir. Wishing you all the best for that. And in terms of ACIL and MAPL would it be possible to approximately indicate the revenue and margins for the quarter?

Lalit Khetan : For the current quarter, Raghu, FY '24 Q4.

Raghunandhan: Yes, Q4, sir.

Lalit Khetan : If you look at MAPL INR 90 Crores was the turnover for Q4 and the margin was somewhere around 16.5% on the EBITDA side. ACIL is just a small turnover of around INR 9 Crores for the quarter. And I think the EBITDA margin was almost nil on this level, and it will improve once the scale up comes from the EBITDA side.

Raghunandhan: And sir, like the earlier indicated target of INR 125 Crores for ACIL and INR 525 Crores for MAPL, would you believe they are on track?

Naresh Jalan : Yes, it's on track.

Raghunandhan: Wonderful. Sir, lastly, in terms of the quarterly results, so you explained the realization improvement. In terms of other income, what led to the other income jump, sir?

Lalit Khetan : So Raghu, it's contained two, three element other income. One is on account of foreign exchange on non operating assets. So it can always come and go, but there is interest income because we had the QIP and we have fund parked in liquid fund. So the entire fund could not be utilized on time and even you can see on the 31st March we have lying cash on the balance sheet.

So going forward, this interest will go down and similarly finance costs will also go down. So these are the major two components for the other income.

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Raghunandhan: Got it sir. And in terms of gross margin it was a very strong number for the quarter, almost 54.3%. In terms of FY '24 it was 51% around that and FY '23 was 52%. Roughly, what would be the sustainable range you would say, for the gross margin?

Lalit Khetan : So Raghu, it will be somewhere around only 50% kind of thing maybe 1% here and there. So that is -- we will try to further improve upon that. This quarter 54% is only due to the increase in export domestic ratio majorly. So if you look at the per tonne EBITDA that is almost similar

to what we have in the last quarter. So it will -- I would say a little better than the last quarter. So this kind of EBITDA per ton ne margin is quite sustainable and we will have all our endeavor to improve the mar gin further.

There may be change in the gross margin depending upo n the export domestic mix, b ut going forward we feel this export is sustainable. So export remains that and if domestic also improves which we are very confident of so there will be a little chan ge in the margin on the northward side in terms of towards 50% side.

Raghunandhan: Got it sir. Thank you so much and fall back to the queue.

Moderator: Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead. Yes Mr. Mitul you go for your question. We will move to the next. The next question is from the line of Saket Saurabh an Individual I nvestor.

Saket Saurabh: Thanks for the opportunity. So I've been an investor with RKFL for now almost 8 years and would really like to congratula te the management for expertly navigating the Company through these prime times and I really appreciate your support Sir. Hello. Am I audible?

Lalit Khetan : Yes. Thank you, Sa ket. Please go ahead.

Saket Saurabh: Yes. So my question was there was one of the announcements from your end that were eng aged leading management consulting firm for almost 18 months . So coul d you talk us through what could be the focused area where they are enabling or sup porting the firm a nd what has been the progress so far on that front?

Lalit Khetan : So Saket, I don't think we can discuss much on the depth . Results you will see in the upcoming period about the improvement that we can't go into the specifics the areas they are working on. It's really difficult for us to divulge all that.

Saket Saurabh: Okay. Fair point. And any update on the electric PV order that went on for because there have been certain developments on the customer front where they have talked about a certain realignment of their focus. So any further inputs if you can share on that front?

Lalit Khetan : Can you repeat your question?

Saket Saurabh: Yes. So there was a project from our largest PV player which went on hold electric -- largest PV electric player which was announced and then it went on hold. So any further updates on that front?

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Naresh Jalan : No, I think there is no update on that front. We will inform the investor at the right opportun e time.

Saket Saurabh: Okay. Thanks once again for sharing the detailed presentation really helps a lot. Appreciate your support.

Moderator: Thank you. The next question is from the line of Richa from Equity Master. Please go ahead.

Richa : My question is related to the domestic and export mix . Where do you see this mix three years from now? And if you could also give some sense of the margins because export margins are better. So on a gross margin basis, what kind of differential would be there between domestic and export?

Naresh Jalan : I think in the next three years horizon, we are looking at almost 50% in terms of exports and domestic . In terms of exports, I think there is higher margin and better realisation opportunity for us . And with the mix changing and more trust on exports , we expect at least 100 to 200 basis points margin improvement going forward.

Richa: Okay. And what is the differential between gross margins in domestic and export?

Lalit Khetan: So it's very difficult to tell because it is product to product will differ. But that the export margin and export sales contain the element of sea freight also. So, that's why it goes higher by that.

Otherwise, it's 100 to 200 basis points more than the domestic margin.

Richa: Okay. And sir, what about your auto and non -auto mix similar timeline, 2 to 3 years down the line? And my understanding is that non -

auto has better margins. So if you could just give a sense of the margin between auto and non -auto as well? Hello?

Lalit Khetan: Hello?

Richa: Yes. I'm not sure if my question was audible . I was asking..

Lalit Khetan: The non -auto and auto, if you look at the current quarter number, we are at 77.1 auto versus a 77.9 last quarter. So, there is again an improvement in quarter -on-quarter in auto and non -auto.

And it will continue. We have already seen, also my auto and non -auto will be 70 -30 is the first target, then 60 -40 over a period of 4 to 5 years. So, we stick to that guidance. And certainly, margins are better. And we have already given the blended margin where we will be in the next 4-5 years. So, we s tick to the margin guidance also.

Richa: Okay thank you and all the best.

Moderator: The next question is from the line of Chirag Jain from Yogya Capital .

Chirag Jain : Thanks for the opportunity. Sir, I have a query. Sir, how are we l ooking at reducing our net

Lalit Khetan: So you have already looked at , Chirag , at INR 522 Crores in the net debt on the stand -alone side and INR 818 Crores on the consolidated , and we have given a guidance for FY'25 and '26, which you are very much seeing in our presentation, if you have gone through the presentation.

Chirag Jain: Okay. So we stand on that?

Lalit Khetan: Yes.

Chirag Jain: Okay. Sir, also, we have a high number of payable days. So do we pay something extra for getting such a high line of credit?

Lalit Khetan: No, it's not there. So, if there will be extra, that will have an impact on the margin. We do elongate our credit a little bit and it is in commensurate with the size of the operation the Company is doing and so, there is no such issue. We do not pay anything for the credit period.

Chirag Jain: Thanks that's all from my side.

Moderator: The next question is from the line of Sangeeta Purushottam from Cogito. Please go ahead.

Sangeeta Purushottam : Actually, related to the numbers put on slide number 28. Now, given the breakup of the growth in the domestic market and the export market. Now, it seems as if we've seen some kind of a slowdown in the domestic market and your growth driver has really been exports.

It would be very useful if you could give us a sense as to how you see these two markets panning out over the next one to two years. And secondly, would it be fair to assume that your acquisitions will play a key role in driving your growth also in the next one to two years and what percentage of your growth can come from those?

Naresh Jalan : Now, I think in domestic market, the market has stabilized and we will see growth going forward. And I think the market is looking to see growth and in the opening statement, Lalit has already said that in the coming year, we could see at least 10 % to 12% growth in the industry. So, overall, we are looking at growth. And in terms of our acquisitions or the Company with whatever we have acquired over the last one year, in terms of aligned, we are looking at 15 % to 20% volume growth in terms of our consolidated numbers .

Sangeeta Purushottam : So as a combination, you should be doing about 15% to 20% volume growth in the next year, that's your guidance.

Naresh Jalan: Yes.

Sangeeta Purushottam: Okay. And sir, you have given in detail all your capex amounts that are consolidated and subsidiary level as well as the consolidated debt. Now, how is your working capital likely to move? And does that...

Lalit Khetan : Yes, please, carry on. Complete your question.

Sangeeta Purushottam : Yes. So would you -- if you add your working capital investments to this, then would you be able to bring down your consolidated debt as you have indicated?

Lalit Khetan : Yes. So if you look at my working ca

pital debt, it is 85 to 90 days right now networking capital debt and it will remain in these levels only. And considering those levels of working capital requirement, we have given our guidance on consolidated debt in the presentation.

Sangeeta Purushottam : Okay all right. Thank you.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi . Please go ahead.

Mumuksh Mandlesha : Thank you so much for the opportunity again. Sir, in Q4 quarter, the domestic revenue saw a decline both at Y -o-Y and sequentially . What has led to the decline?

Lalit Khetan: Can you repeat your question, please?

Mumuksh Mandlesha : Yes. So, the domestic revenue for this quarter led to the decline, sir, sequentially. Can you explain the reason why we saw a decline, sir?

Naresh Jalan : So I think we are well aware that last quarter, there was considerable slowdown, I think, in terms of commercial vehicles or the entire commercial vehicle, including LCV , in domestic market, which led to a considerable slowdown. I think we have done much ahead. And beyond Q uarter , they have degrown, basically, in the domestic market. While we have continued to maintain what we have done in the last quarter and we feel that we have done much better than in terms of expected line , we have done much better.

Mumuksh Mandlesha : Sir, was there any impact of the inventory reduction at the OEM end, which impacted your volume?

Naresh Jalan : Both inventory as well as sales were affected of the OEMs. And you can very well see with the monthly numbers which came out for the January, February & March . So, obviously, that has

impacted both in terms of the inventory cut -down as well as sales numbers. I think we are very confident that we have done much better than the industry average. We will continue to strive for that.

Mumuksh Mandlesha : Sir, you had mentioned about the freight cost impact for this quarter. Can you again re -quantify that amount, sir? What was the amount for this quarter?

Lalit Khetan: Can you repeat your question ?

Mumuksh Mandlesha: Freight cost this quarter, which was impacted , what is the amount, sir?

Lalit Khetan: So this quarter, it is higher by INR 17 Crores from the previous quarter.

Mumuksh Mandlesha : And sir, you also mentioned about the Red Sea impact on the revenue side due to the shipments being delayed. What was that amount, sir, for the Q4 and the previous year?

Naresh Jalan : We have already mentioned in the balance sheet that INR 20-plus Crores is the impact. It has not been recognized as sales because of the Red Sea impact.

Mumuksh Mandlesha : Okay. For this quarter?

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Lalit Khetan: Yes.

Mumuksh Mandlesha : Thank you so much for the opportunity.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital .

Dhaval Shah : Hello Sir, what is the current gross asset turnover and how do you see that changing over the next couple of years as our product mix changing within auto and also other segments hinging up, cold forging scaling up plus oil and gas also coming in . So overall, there is -- as we move more towards a better value -added product over the next three year period, how do you see this gross asset turn changing for the Company ? And what is it currently?

Naresh Jalan : No, I think first of all, we don't take a 3 -month view.

Dhaval Shah : Three years, sir. I said three years. Three years.

Naresh Jalan : Lalit can we provide him the numbers, please?

Lalit Khetan: Yes, so, Dhaval , we don't calculate the asset turn on the gross asset number. I think that's the misnomer because assets are even 20 -year-old and 30 -year-old and which have been fully depreciated. So, how we can calculate that on the gross asset turnover? So, that's why we take it on the net asset value.

You have very well seen it's a 1.9 plus in the net asset turnover.

So, we will continue with that.

We don't believe in the gross asset concept. Okay. And from here, we have already given guidance that we will be somewhere around 2.5 to 3 on net asset turnover in the next two to three -year time. That we have also said on our earning calls.

Dhaval Shah : Okay, up to 2.5 to 3. And that will be mainly driven by which segment? If you can highlight, like, what will be the, what will change because that's a huge change we are going to see. So, if you can talk a bit about that ?

Lalit Khetan: So, it will be a mix. As you know, see, we have already given guidance on the auto, non -auto, how it's going to grow, how the growth will come, 15 % to 20 % on the total overall tonnage side. So, I think it's very difficult to maintain on what will be the futuristic sector -wise and that we don't do.

Dhaval Shah: Correct . Helpful Sir. Thank you.

Moderator: The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah: Thank you for the opportunity again. Sir one clarification on cold forging side, when you indicated full ramp up in FY '26. So there would be 25,000 tonnes?

Lalit Khetan: Yes, 25,000 will be the capacity for cold forging, yes.

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Mitul Shah: And you also highlighted revenues of around 225 crores kind of number. So, that is translating into roughly 1000 per kg kind of numbers. So, that's why I'm surprised that from current level of 250 per kg for cold forging, is it like a nearly 4x type of revenue per kg?

Lalit Khetan: Not at all, not at all. What you are saying number of so 25,000 tonnes, if we take it INR 200 per kg, it's a INR 500 Crores kind of revenue from where you have got the number INR 900 Crores.

Mitul Shah: No, sir. You highlighted that 1000 per kg full potential of that cold forging in the call earlier.

Naresh Jalan: We have said, I think, Mitul, I think you have wrongly understood, we have said INR 250 Crores top line, we are going to get from cold forging in the first -- next year of operations.

Mitul Shah: So that is what I'm asking that to 25,000 tonnes, we'll get INR 250 Crores is it like that?

Lalit Khetan: No, Mitul. 250 Crores will be somewhere around 10,000 to 15,000 tonnes per annum. Then INR 250 Crores revenue will come.

Mitul Shah: Okay. So then they will be full 100% utilization right.

Lalit Khetan: Yes. so ramp -up will not happen in 1 or 2 quarters. It will take little time.

Mitul Shah : And second, sir, just if you can just give more details on the export side for this quarter, it's a decent double -digit growth on Y -o-Y as well as sequential whereas even in U.S. also Class 8 truck numbers are not very great. So from where this growth is coming, is there any non auto element in the major contributor or within are we gaining some sizable shares or any geography - wise new addition?

Naresh Jalan : I think there are new order -- last year, the order wins whichever they have started showing results. And these are basically those orders which are getting converted to sales. And that is showing this kind of growth. And I think this -- like Lalit has said in his opening statement, this growth is sustainable going into the current financial year.

Mitul Shah: Okay Sir thanks a lot.

Moderator: The next question is from the line of Shantanu Mantri from Think Investment. Please go ahead.

Shantanu Mantri: Hi Sir. Congratulations on a very steady and consistent work . Sir, my question is mainly on exports. So I think for FY '24, we've done around 59,000 tonnes, right? And based on our current order backlog, what will be the most conservative revenue growth that we see? I mean for FY '25, are we comfortably doing 70,000 tonnes based on whatever our current order backlog, which is like around 20% growth?

Naresh Jalan : Shantanu, I would not like to put any definite number to it, but company

is aspiring to at least

have a 15% to 20% volume growth and overall. And I think premium for export to domestic is going to start change every quarter, and I think we are looking at least this year to have at least 200 basis points change in terms of the mix in terms of increase in exports and reducing domestic in terms of the overall balance sheet is concerned.

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Shantanu Mantri: Got it. So when you're saying overall 15% to 20% growth of consolidated level, so that's like on a domestic level, if the industry is growing 10% to 12%, ideally, we should also be doing that and then exports should be slightly better. correct, overall understanding is correct, right?

Naresh Jalan : Yes.

Shantanu Mantri: Okay that's it from my side.

Moderator: The next question is from the line of Raghunandhan from Nuvama Wealth. Please go ahead.

Raghunandhan: Thank you Sir for the opportunity again. Sir, in terms of efforts to diversify towards non -auto. Last 2 years, we have seen the share increasing for railways, mining, earth and construction equipment in exports we have seen for oil and gas going up, trying to understand over the next 3 to 5 years, how do you see the share of non -auto increasing in overall share of revenue?

Naresh Jalan : Raghu, I think in next 3 to 5 years, we are looking at almost 60%, 40% i.e 60% automotive and 40% on non- automotive. That the Company aspires to and we are working very diligently to achieve this. And out of this railway is going to be biggest element of growth going into next 2 to 3 years .

Raghunandhan: Got it, sir. Thanks so much for that. And a related clarification on the investment into JV for railway -- compared to the last presentation, this presentation, the investment level is slightly higher over the next 2 years. Just trying to understand, was it the spillover of FY '24 going to '25? Or is there any increase in investment happening there.

Naresh Jalan : No, I think total investment earmarked is close to around 200 -- anything between INR 210 Crores to INR 240 Crores. So each year, we are looking at INR 70 Crores plus investment whatever has been not been investment has been pulled over to this year. So I think Lalit can give you the exact number what we have invested last year and what next 2 years we are looking at?

Lalit Khetan: So Raghu, that's slightly at a higher number because -- we have a little bit added on the promoter contribution on the project cost -- project side has reduced the debt number little bit but overall project cost remains same. And last year there is a spillover because if you look at the last presentation, there is a INR 8 Crores spillover to the next year in terms of investment. So it's a mix of that.

Raghunandhan: Got it, sir. And in terms of the capacity, because the capacity is large and apart from the government orders, even non -government orders, export sort of potential trying to understand if you can talk about your efforts there and who are the potential customers for the wheels?

Naresh Jalan : I think, Raghu, we would not like to spell out the names, but we can very confidently say that we at RKTR are not adding customers as of now because we feel that the market demand is very strong and we can get much better realization than what we have got for railways. So we are waiting for the capacity to be up because we still have more than 1.5 years for the capacity to start so we would, at the appropriate time, start intake of orders, we would first start with the Ramkrishna Forgings Limited

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railway, which is going to be our first year commitment. And then start onboarding new customers so that we can get a better realization than what we have got for railways.

Raghunandhan: Got it, sir. And this will be both, right, better realization as well as bigger wheels in terms of size.

Naresh Ja

Ian: Yes. It is mostly from North America and Europe. So Europe is smaller because it is more on the metro side, but North America is from the wagon and other places. So I think that is a bigger way.

Raghunandhan: Got it. Sir, coming to ACIL, there is the proposal to add six-cylinder crankshaft machining facility, also that additional first 20,000 metric tonnes, which can have a value add about INR 300 Crores. So relating to that, whatever capex has to be incurred, is it already part of the subsidiary capex indicated? Or is it over and above that?

Lalit Khetan: No, it's part of that, whatever we have indicated in subsidiary capex for the future. It is part of that Raghu only. So nothing beyond that we estimate.

Raghunandhan: Got it. And just a last question. In terms of stand alone capex, again, compared to the earlier presentation or estimate, there is a small increase in stand alone capex. So anything to call out there?

Lalit Khetan: No, not specific. So there are a lot of equipment we keep on adding, and it happens time to time, depending upon the customer's requirement due to that this has happened.

Raghunandhan: Got it, sir. And just a clarification, how much would be the maintenance capex every year, sir?

Lalit Khetan: So it should be around INR 40 Crores to INR 50 Crores every year on the maintenance side.

Raghunandhan: Got it, sir. Very helpful, sir. Thank you so much. I'll fall back to the queue.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Rajesh Mundhra: Thank you. I take this opportunity to thank everyone for joining the call. I hope we have been able to answer and address all your queries. For any further information, kindly get in touch with us or our investor relationship advisers. Thank you very much for sparing your time and joining our call. Thank you.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Jul 2024

RAMKRISHNA FORGINGS LIMITED

Date: 31 July, 2024

To To

The Listing Department The Listing Department

BSE Limited National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,

Dalal Street, Bandra-Kurla Complex, Bandra (E),

Mumbai - 400 001 Mumbai- 400 051

BSE SCRIIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations a

Requi Regulations, 2015 - Earnin, 1I Transcript - Q1 FY 2024-25

This is further to our intimation dated 19 July, 2024 w.r.t Earnings Conference call with the Analysts/Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for Q1 FY 2024-25.

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call with Analysts/Investors held on Wednesday, 24 July, 2024 at 04:30 P.M. (1S.T) on the Unaudited Standalone and Consolidated Financial Results for Q1 FY 2024-25.

Copy of same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

Request to kindly take the same into record.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra

Company Secretary

& Compliance Officer

ACS: 12991

Encl.: As above

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CIN NO. : L74210WB1981PLC034281

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"Ramkrishna Forgings Limited

Q1 FY '25 Earnings Conference Call"

July 24 , 202 4

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. CHAITANYA JALA N – WHOLE -TIME DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. LALIT KUMAR KHETAN – WHOLE -TIME DIRECTOR

& CHIEF FINANCIAL OFFICER – RAMKRISHNA FORGINGS LIMITED

MR. RAJESH MUNDHRA – COMPANY SECRETARY & VICE

PRESIDENT -FINANCE –RAMKRISHNA FORGINGS LIMITED

MR. MILESH GANDHI – ADDITIONAL WHOLE -TIME

DIRECTOR , MARKETING – RAMKRISHNA FORGINGS
LIMITED

MODERATOR : MR. RAGHUNANDHAN – NUVAMA WEALTH MANAGEMENT

Ramkrishna Forgings Limited
July 24, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Ramkrishna Forgings' Q1 FY'25 Conference Call hosted by Nuvama Wealth Management . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Raghunandhan from Nuvama Wealth Management. Thank you and over to you , sir.

Raghunandhan: Good afternoon, everyone. On behalf of Nuvama Wealth Management, I would like to welcome you all to this Earnings Call of Ramkrishna Forgings. I would like to thank the management for giving us this opportunity. We have with us today, Mr. Naresh Jalan , Managing Director; Mr. Lalit Kumar Khetan , Whole Time Director and Chief Financial Officer; Mr. Chaitanya Jalan , Whole Time Director; Mr. Milesh Gandhi, Executive Director, Marketing and Mr. Rajesh Mundhra , Vice President Finance and Company Secretary.

Before we begin, may I remind you of the safe harbour . The management may be making some forward -looking statements that have to be understood in conjunction with the uncertainty and the risks the company faces. I shall now hand over the call to Mr. Lalit Kumar Khetan for opening remarks. Over to you, Lalit, sir.

Lalit Kumar Khetan: Ladies and gentlemen, good evening and a very warm welcome to everyone present on the call. I am honoured to be joined by Mr. Naresh Jalan our Managing Director. Mr. Chaitanya Jalan and Mr. Milesh Gandhi, Whole Time Director and Rajesh Mundhra our Company Secretary. I hope you all have got an opportunity to go through our financial results and investor presentation which have been uploaded on the stock exchanges as well as on the company website. We are happy to report that the company has delivered steady results for the first quarter. Firstly, let me give you a brief into latest trends in the global market. The global forging market had experienced robust growth in recent years and with a projected increase from INR 94.74 Billion in 2023 to INR132.06 Billion by year 2028 that reflects a CAGR growth of 6.7% over this period.

The market is also going to reach 17.6 lakh metric tonnes by 2028 -29 with a CAGR of 5.4% during the period 2024 to 2029. The automotive sector holds a significant share of about 61.8% of forged components within India and forging market in terms of volume for the year '23 in terms of value the automotive sector contributed approximately \$3.6 Billion in 2023 and this is expected to grow to about 5.4 Billion by 2029 at a CAGR of 7.6%.

Now, let's look at our financial performance for the quarter and year ended Q1 FY '25. In Q1 FY '25, we achieved a revenue of INR 868.5 Crores on the standalone basis which represents a year-on-year growth of 4%. Our EBITDA margin for Q1 FY '25 stands at 23.1%, adjusted for impact of one -off expense of INR 17.5 Crores as compared to 22.4% in Q1 FY '24. The EBITDA margin expanded by 70 basis points year -on-year and we are confident of sustaining margins of approximately this 23% plus for the forthcoming quarters.

Further, our net profit after tax stood at INR 73.1 crores for Q1 FY '25 compared to INR77 Crores in Q1 FY '24. Looking ahead, there is a lot of optimism for the future. We see positive trends across different areas including freight movement, freight rates and activity in industry,
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cement and iron ore sectors. Major projects like dedicated freight corridors are also expected to boost sales of commercial vehicles. With government finances improving and focus on growth related programs, we can expect this positive trend to continue.

At Ramkrishna Forgings, we are ready to

seize the growth opportunity by leveraging our strength in innovation, operational excellence and strategic partnerships. We are confident in our ability to adapt, innovate and create value for our stakeholders while making a positive impact on the industry and society. Thank you for your continued support. And before we go to the Q&A, I request my colleague, Mr. Milesh Gandhi to update you all on the market. Over to you, Milesh. Milesh, are you there?

So let me update the audience on the market. So just for the benefit of the audience we would

like to -- we have got a visibility of new order inflow of INR 526 Crores during the quarter from North America. That is out of that, CV contains INR 201 Crores; LV INR 109 Crores and EV INR 16 Crores and balance is non-auto that is INR 200 Crores from North America. If you look at Europe, we got an order inflow of INR 287 Crores and that's mostly from the CV, EV was only miniscule 1% of that.

Then coming to India, we have an inflow of INR 442 Crores from the CV side and INR 284 Crores from the railway side. And from INR 442 Crores order inflow, INR 362 Crores is from the CV side, INR 80 Crores is non-auto, Apart from that railway is INR 284 Crores. From rest of the world, there is an inflow of about INR 140 Crores of orders on the CV side. That's the visibility we have on the order in Q1 FY '25 on the additional order side. That's all from my side. Thank you. And now we can take the Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead sir.

Mumuksh Mandlesha : Yes. Thank you so much for the opportunity. Sir, I just want to understand the rationale for this acquisition of the Resorres Libertad Mexico company. Just want to understand what's the reason behind that acquisition, sir?

Naresh Jalan: We will acquire this company to start up in Mexico. This company has no business and help to set up a legal entity in Mexico for us it would have taken us 1 year time and to start business. So, we have acquired a legal entity registered in Mexico who has no manufacturing operations right now. So basically you may have seen that acquiring this, we have changed the name and of this entity and now we will start our Mexico operations which we had informed the investors in last year, in this entity.

Mumuksh Mandlesha : Got it, sir. Sir, on the order book, congrats on a strong order book for this quarter, is it possible to share sir what would be the annual order book that would get executed say by FY '26 or '27, post this addition sir?

Naresh Jalan: This -- 100% this order book is executable in every year. This is total order book which has been INR1,200 -plus-Crores. It's basically a 4 -year order. So, basically if you see that almost INR 300-plus-Crores is executable every year starting next year onwards.

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Mumuksh Mandlesha : Okay. No, I mean, let's say cumulatively sir in the past year also, any cumulative number you would have, sir?

Naresh Jalan: No, I -- we would not -- these are basically the new orders which we have got in this quarter. Previous -- past is already on stream and is already converted in businesses and you will be able to see this in coming quarters in terms of incremental tonnages.

Mumuksh Mandlesha : Got it, sir. Sir coming on the results sir domestic revenue this quarter was very muted broadly in line with the underlying industry. We didn't see much outperformance. Is there any mix impact like a lower tonnage segment has grown more than the higher tonnage? Why is...

Naresh Jalan: No, I think basically there is a small dip in the overall revenue which you see in the domestic is a mix of basically lower offtake as well as raw material price decrease which has happened in the domestic

market.

Mumuksh Mandlesha : Okay. And, sir on the one-off of INR 175 Million which you mentioned in the presentation what is this one-off, sir?

Naresh Jalan: Lalit?

Lalit Kumar Khetan: Yes. So, that INR 17.5 Crores one-off expenditure is basically a contribution to a party for elections.

Mumuksh Mandlesha : Okay. And this quarter gross margin has seen improvement while the broadly export and domestic revenue was Q-on-Q broadly unchanged in the mix-wise what could have led the improvement, sir?

Lalit Kumar Khetan: Well, you can see the price realization on the export side if you see the export realization has improved that has led to this kind of improvement.

Mumuksh Mandlesha : And this price realization basically the price hike which you've got?

Naresh Jalan: It is a mix of price hike as well as it is a mix of new order wins which we have started converting into businesses.

Mumuksh Mandlesha Yes. That's all from my side. Thank you so much for this.

Moderator: Thank you sir. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead sir.

Mitul Shah: Yes sir. Thank you for the opportunity. Sir, my first question is on the subsidiary. It seems that there is a decent margin improvement on Q-on-Q basis. So can you give more details on this?

And if you can give subsidiary wise, few key numbers?

Lalit Kumar Khetan: So Mitul coming to that we just want to update you that we have started operations in JMT Auto and the name of JMT Auto has been changed to Ramkrishna Casting Solutions Limited. So that

company has started operation. We have done an improvement in terms of margin in Multitech also and the operations in ACIL is also being ramped up. So all the three contributed to this
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improvement in margin. And I can say the marginal improvement from all the subsidiaries has led to this kind of improvement in the consolidated numbers .

Mitul Shah: So it is the operational efficiency kind of thing or there is a raw material benefit also part of this?

Naresh Jalan: No, it is only operational efficiency.

Mitul Shah: Okay.

Naresh Jalan: And, Mitul, just to update you it is just a start. I think we had -- when we acquired these companies also we had said that it is a start of a new journey for us. And going forward with the experience we carry and with the team we have it will be a continuous improvement in the subsidiaries in terms of margin improvements. And you -- and in the future also you will see the same trajectory being followed and there is lot of headroom in terms of overall margin expansion in the subsidiaries .

Mitul Shah: Okay. Sir one clarification this contribution to a party related amount is sitting in the other expense, right?

Lalit Kumar Khetan: Yes Mitul that is in other expense.

Mitul Shah: Okay. Sir second question is on the railway side. What is the status on this Vande Bharat order which earlier you highlighted about INR 270 Crores executed over '25 and '26? And any further update on that in terms of potential in this year getting more orders?

Naresh Jalan: No, I think, in terms of Vande Bharat it has just started. I think we have already started making protos. And in the coming quarter we are going to submit the protos for validation. And from then what is the time -- whatever time it takes for validation and we have -- like we have said in 20 -- next year and the following year we have to complete this order.

Mitul Shah: So this INR 270 crores would be in FY '26 and FY '27?

Naresh Jalan: Yes. And it will be in line with whatever Vande Bharat are made. But this -- once this validation of bogie happens it will open also new opportunities for us directly into the Indian Railways.

This is a private sector order which we have got. But the - once the validation and our design is approved it will open also an opportunity

after 6 months in current railway manufacturing of the Vande Bharat. And other private sector orders also which government is in process of going forward.

Mitul Shah: Sir which are these components? Can you highlight a few?

Naresh Jalan: No it is entirely assembled bogies in which -- under frame of the Vande Bharat. It is in full complete assembly. So it is not a particular component it's entire assembly which we are going to make and sell.

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Mitul Shah: Okay. Great, sir. Lastly on sir what is update on this Ramkrishna Titagarh JV and when we are expecting first product to come out operation to begin and what can be the first year revenue potential?

Naresh Jalan: So I think right now it is moving as per our vision. And I think we look at FY '26 last quarter to be the first batch of productions for railway validation to start rolling out and it is on track and on time.

Mitul Shah: Yes sir. Thanks a lot and all the best.

Moderator: Thank you sir. The next question is from the line of Rohit Singh from Nest Analytics Advisory. Please go ahead.

Rohit Singh: Thank you for the opportunity. My question on the demand outlook for the current year and what is the volume guidance for FY '25?

Naresh Jalan: No, I think in terms of demand we still stand by our commitment of 15% to 20% volume growth year-to-year. So FY '24 to FY '25 we feel that we will be able to achieve and do better than what we have predicted it.

Rohit Singh: Thank you.

Moderator: Thank you. The next question is from the line of Akhil Gulecha from Pkeday Family Office . Please go ahead.

Akhil Gulecha : So my question is a bit generic. So pardon me for that. The last few years, a major growth has come from exports. So can you please explain very specifically like why have all of these export orders come to India and why have they specifically come to us Ramkrishna Forgings? What

are we doing that is so different than our competitors in India or globally?

Naresh Jalan: I think I cannot answer your question why the customers are coming to India. I think what we can say that we have set up a world-class facility and we are marketing that accordingly in the global world and the customer who are looking for diversification or introducing world-class technology are buying products from us.

Akhil Gulecha : Okay. Understood. So, is there anything specific because the growth has come recently in the last few years as opposed to earlier on. So, anything that has changed significantly? Is it the high energy prices globally? Is that why we are gaining market share one of the reasons?

Naresh Jalan: No, I think it has not come only in the last year. If you see last 4 to 5 years we are constantly growing in terms of exports. And we continue -- I think we are thriving to continue to do that in next of the years.

Akhil Gulecha : Okay. Because even in domestically when I compare you to other listed players in the similar industry, you have grown much faster than all of them. So there is something that you are doing right? So I'm just trying to understand other than world-class facility or good process, what is it that you're doing right that others aren't able to replicate?

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Naresh Jalan: I cannot tell you why others cannot. But I can tell you, it means that we are doing good marketing and good -- we are good suppliers.

Akhil Gulecha : Okay. So is there anything else in this industry which gives a significant competitive advantage or is it just the process and efficiency that is better?

Naresh Jalan: Yes, it is only a question of process and efficiency and a good marketing team.

Akhil Gulecha : Okay. Is there a significant pricing difference as well or is that similar across most players?

Naresh Jalan: I'll not comment on anybody's pricing, sir, please.

I think I would rather stick to what I am doing and what we can do.

Akhil Gulecha : Okay. Understood. That's it from my side.

Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian : Good evening sir and thank you so much for taking my question. Sir how much margin growth in this quarter witnessed overall and on the Ramkrishna Titagarh side earlier the project cost is around INR 1,250 Crores, INR 1,300 Crores in that range. Is there any escalations in that project cost? These are my first question?

Lalit Kumar Khetan: So right now what we are looking at the project cost of the Ramkrishna Titagarh side the project is around INR 1,800 Crores right now. So, the project cost is INR 1,800 Crores.

Balasubramanian : Okay, sir. Sir, on the margin side, sir?

Lalit Kumar Khetan: Margin side in terms of?

Balasubramanian : The overall margin growth in this quarter because last time we have guided 15% to 20% kind of volume growth for FY '25. So are we in the track?

Lalit Kumar Khetan: Yes. We are very much on the track for achieving the 15% to 20% volume growth for the FY '25.

Balasubramanian : Okay, sir. And sir on the export side we are targeting 50 -50 kind of mix on domestic and exports . And I just want to understand which are the regions we are targeting whether in Europe, Asia or U.S.? Like, what kind of opportunities we have, if you could share like an approximate mix region-wise?

Naresh Jalan: No, I think, we are not targeting any specific region. We are marketing around the globe, wherever OEMs are there and wherever forging is required.

Balasubramanian A.: Okay, sir. Sir, on that Red Sea impact last quarter, we have seen some impact. We are also in the discussion with customers for 10% to 15% like rationalizations. So, what kind of impact we are seeing in this quarter?

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Naresh Jalan: I'm unable to understand your question.

Balasubramanian A.: Sir, last quarter, we had some impact because of Red Sea on the delayed shipments around INR 20 Crores kind of impact?

Naresh Jalan: No, the impact was -- I think impact was INR 20 Crores and I think still the impact remains similar in the similar range and that has become a regular precedent. I think Red Sea issue unless the war stops, I think there is nothing which can be done. So, it has become a regular course of business right now. So, INR 20 Crores to INR 25 Crores will remain always in mid-sea or material -- so, that is the kind of capacity or inventory we have built in the system.

Balasubramanian A.: Got it, sir. Sir, like we're also in the discussion with customers to rationalize 10% to 15%. It is done or we are still in the discussion?

Naresh Jalan: We are still in the discussion.

Moderator: Thank you. The next question is from the line of Vidrum Mehta from ASK Investment Managers. Please go ahead.

Vidrum Mehta: Just want to understand on the demand front...

Naresh Jalan: Your voice is not there. Can you speak a little loud, please? We cannot hear you.

Vidrum Mehta: Sir, just wanted to understand on the demand front; so for Q1, our volume growth is 1%. For FY '25, we are guiding for a volume growth of 15% to 20%. So, what is helping us remain confident that for the remaining 9 months? Or if you can help us understand what is the visibility in terms of volume growth, which we can see in the remaining 9 months?

Naresh Jalan: So, if you are saying it is 1%, I think you are comparing quarter -on-quarter. So, basically, for the full year basis may, I can -- we are very confident and we have the visibility of the complete order book as well as offtakes from the customer on a steady flow basis, we are seeing that happening. And that is the reason we are confident of achieving 15% to 20% volume growth.

Vidrum Mehta: So, is it be

cause of the new order book, we remain confident of achieving this volume growth?

Naresh Jalan: Past order wins have already started showing traction in terms of supplies. And we are very confident that overall, whatever volumes have been projected on those new orders are starting to show results. So, we are very confident that we will be able to meet expectation and do better than what we are estimating in terms of 15% to 20% volume growth.

Vidrum Mehta: Okay. And also, sir, if I look at the domestic revenue breakup. So, domestic market revenue is down 3%. And you alluded to the fact that it is partly attributable to the raw material price decrease and as well as lower offtake in your opening remarks. But in that case, so should we assume a lower realization per tonne?

Naresh Jalan: Yes, I think we have already shared, I think if you can see in our presentation, we have given our domestic realization as well as export realization. And you can see that in that domestic realization is on a downward, has gone down.

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Vidrum Mehta: No. So, I am just asking from a full year point of view. So, for FY '25.

Naresh Jalan: No, I think -- see, raw material prices is completely pass on for us. And basically, we cannot comment how the market will shape up into coming quarters. And in India steel prices is completely not in sync with the global market. It is completely supply and demand curve. If the demand is -- in domestic market is higher in the coming quarters, we may see increase also. So, in that case realization may go up also. So currently, we don't see -- we cannot comment on what steel pricing is going to be there in India in coming quarters.

Vidrum Mehta: So, 15% to 20% growth is broadly what we are asking or we are estimating is with respect to volume and that should flow to revenue that is what is a fair assumption?

Naresh Jalan: Yes, 15% to 20% in terms of volume. Basically whatever raw material price is there plus the conversion is going to flow into the revenue.

Vidrum Mehta: Okay. And sir, can you help us subsidiary revenue for Multitech and ACIL for this quarter?

Lalit Kumar Khetan: Coming to the Multitech it's about INR 86 Crores and for ACIL it's about INR 17 Crores of the revenue for the quarter.

Vidrum Mehta: INR 86 Crores and INR 17 Crores?

Lalit Kumar Khetan: Yes.

Vidrum Mehta: Yes. So, sir, if I look at the full year FY '24 Multitech revenue, I guess it reported INR 360-odd Crores, correct?

Lalit Kumar Khetan: INR 350-odd Crores, yes.

Vidrum Mehta: So, are we seeing any signs of improvement? Because the run rate of INR 85 Crores, INR 90 Crores is broadly maintained in Q1 as well?

Naresh Jalan: So, I think this is just the first quarter. And, as you know, first quarter because of heat and everything extreme summer the casting production goes down. I think you will be able to see significant changes in coming quarters.

Vidrum Mehta: Sir, why I am asking is, basically because in the analyst meet, we had shared our vision for '25 and '26, wherein the revenue from Multitech was significantly higher. So, are we in that trajectory in terms of...

Naresh Jalan: We still maintain the same.

Vidrum Mehta: Okay. And sir, if you could just repeat once again the order inflow, which you shared in your opening remarks it would be really helpful?

Naresh Jalan: I think, Miles has joined, I think. Probably, Miles can speak more on the order intake.

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Milesh Gandhi: Yes. So, good evening. I wanted to convey that in this quarter there has been a good order inflow with regard to the company's forward plan. We have been able to have good order wins across the globe not only in India and also overseas and both in auto and non-auto segments. To be specific the order inflow are to be executed over a period of 4 years e

xcept railways, where it is
as per contract value.

Against the current order flow that we have received in this quarter, it is worth INR 1,679 Crores, in which North America constitutes to around INR 526 Crores order inflow wherein it comes from the CV segment is around INR 201 Crores from the light vehicle segment it is INR 109 Crores and also from the EV in the auto side it is worth INR 16 Crores. And we have had order books inflows from non -auto segment for INR 200 Crores that mainly comes from the mining, earthmoving and other segments.

Moving forward with Europe, we had an order inflow of around INR 287 Crores mainly coming from the CV side and from EV we had an order flow of about INR 3 Crores. From the rest of the world, we find around INR 140 Crores order flow from the CV market. And to mention about India. In India, we had an order flow of around INR 442 Crores in which CV is worth INR 362 Crores and non -auto is around INR 80 Crores. That is mainly from the farm equipment and other segments.

Lastly, with regard to railways, we are finding a good order flow too. And in this, we have an order flow around INR 284 Crores. That is with regard to the undercarriage and other items that we supply to the railways. Thank you from my end.

Moderator: Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah: Sir, my question is again, on the average realization, wherein we are indicating a decline. But in export side it has gone up. That is the first question. And second, sir, in terms of Q -on-Q, what is the direction for Q2? Can we expect some further decline in average realization or what could be the quantum?

Naresh Jalan: No, in terms of exports, I think, in terms of product mix change and addition of new customers, wherein order announcements had been made in previous years have started showing traction and that is the reason realization in exports have improved. In terms of domestic, seeing the current trend, what is available right now, we don't expect any reduction in terms of realization. But we never know what is going to happen with the steel market. And as of now, when we speak I don't think any downside risk is there to realization for the quarter.

Mitul Shah: That means in export also, we have similar pass -through for all the clients or that is a mix of few?

Naresh Jalan: For raw material in exports are not India -centric. It is basically in terms of exports indexes. In terms of North America, we follow North American index and for Europe, we follow European index. So based on those indexes, we don't see a major dip in terms of any realization happening in coming -- in current quarter.

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Mitul Shah: Okay. Sir, considering the further investment required in the subsidiaries, what is the balance sheet situation at the end of first quarter in terms of net and gross debt? And how much investment we expect for next 3 quarters -- balance 3 quarter during the financial year in subsidiaries?

Lalit Kumar Khetan: So, considering, Mitul, the gross debt and net debt for the quarter if you look at it is a little bit elevated by almost INR 100 Crores on the consol basis due to the investment made in the subsidiaries. And we have already shared earlier also the debt levels will remain at the level what we are in the FY '24 in the full year by the end of full year. So, it will be more or less on the same level what we ended in FY '24.

Mitul Shah: And what will be full year investment and capex for '25?

Lalit Khetan: So, we have already guided, if you remember, our last quarters, we have -- about INR 500 Crores will be invested in RKFL standalone in terms of capex . Apart from that, about INR 135 Crores-odd in the subsidiary, and there will be about INR 100-odd-Crores investment in the Ramkrishna Titagarh joint venture project by way of

investment that we have already guided
and we will continue to stand by those numbers.

Mitul Shah: No change in that?

Lalit Kumar Khetan: No change in that, yes.

Mitul Shah: Yes, thanks.

Moderator: Thank you. The next question is from the line of Chirag Shah from White Pine Investment Management Private Limited . Please go ahead.

Chirag Shah: So sir, 2 questions. So , one basic housekeeping question. So, in consolidated, we have a line item called cost of services. If you can just indicate what exactly it is? And does it move in line with your raw material costs or there is some lead/lag over there? And it pertains to what part of the business?

Lalit Kumar Khetan: So you very well know that we have an hospitality business.

Chirag Shah: Yes.

Lalit Kumar Khetan: That's why we have cost of services as line item in consolidated financials .

Chirag Shah: Okay. So I thought it is related to some services that you give in the export market, great. Sir, second question is just an update on how should we think about the ramp -up of the various subsidiaries. We are in the ramp -up phase and you have given an guidance earlier, I'm aware of that. But incrementally, how should one look at the ramp -up, at least from next 2 to 4 quarters perspective? Because...

Naresh Jalan: Chirag, I think in terms of our Investor Presentation, we stick to the guidance which we have made in that and we have nothing to add or say further to the Investor Presentation already made.

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Chirag Shah: And sir, one last question, sir. On the railway side, or maybe even off -highway, if you want to expand? Is there any new product or anything that you are working or which is in advanced stage of approval or validation kind of a thing? If you would like to share, how are you looking to further expand our product bouquet?

Naresh Jalan: No, I think, we have nothing to share in this. As a company, we have a policy to continue to work on products and new customers. So, I think as and when we have to add anything, we would usually come back to.

Chirag Shah: Okay, sir. So , on the margin side, on the subsidiary level margins, it is purely linked to the ramp -up, right? The operating leverage plus efficiency will be reflected as and when revenue scales up. That is the right way to look at?

Naresh Jalan: It is already showing traction, I think, for the quarter itself, we have 23% -plus margin, basically operational efficiencies and cost reductions, whatever is going on, I think it's already showing traction in the balance sheet and it will continue to be showing going forward also.

Chirag Shah: Thank you, sir, and all the best.

Moderator: Thank you, sir. The next question is from the line of Ankur Poddar from Svan Investments . Please go ahead.

Ankur Poddar : Sir, I have one question regarding the employee cost for the stand -alone business. So, we have seen almost 18 % Y-o-Y increase in the employee cost, and on a Q -on-Q basis also, there is a 6%, 7% increase. So any -- similar to what you have mentioned that in other expenses, there is some extraordinary. So, is there any -- some one -offs sitting here, and what is the trajectory we should assume going forward?

Lalit Kumar Khetan: So coming to the employee benefit expenses, if you're looking on quarter -on-quarter increase is about INR 3 Crores increase, Ankur. So that's mainly on account of the pay -for-performance we pay to our employees, due to that, this increase is there. And we've already said there is a one-off expenses in the other expenses. That's why the elevation in other expenses.

Ankur Poddar : Okay. But there is Y-o-Y that is around 18% increase from INR 44-odd Crores in the last year to almost INR 52 Crores. So, that is one. And also in other expenses INR 126 Crores last year to INR 200 Crores. So you said INR 17 Crores was other expenses, was e

xceptional item. Apart

from that, there is also other expense seems to be elevated a bit. So, can we throw some light there what strategy we can assume going forward here?

Lalit Kumar Khetan: So, to be specific there, if you look at that, there is a growth in volume and sales. Our store space and processing charges also are part of this other expenses, and there has been increase in both. That is a significant increase during the year on the stores and processing charges. And then you can see the increase in shipping costs .

When you are looking at Q1 FY'24 versus Q1 FY '25, there is an INR 17 Crores increase in terms of shipping costs, INR 17.5 crores at one -time cost and other on the stores and processing. All these combined is the increase of INR 75 Crores, if you look at Q1 versus Q1 year -on-year.

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Ankur Poddar : Okay. Sir, how are you seeing – in the Balance Sheet what is currently the working capital cycle? And how are you seeing this freight rate moving ahead in the second half of the year? Freight rate in terms of shipping rate, I'm trying to say?

Lalit Kumar Khetan: So, shipping costs are right now hardened already and it's not softening so far. I think it has a lot to do with the Red Sea crisis and the ship movement. So it depends upon that. So, we don't know where we will at the end of year on the shipping cost side . But what was the another part of your question?

Ankur Poddar : Working capital cycle for ?

Lalit Kumar Khetan: Working capital is around 90 days. Net working capital is around 90 days, and that will continue to remain at 90 days cycle.

Ankur Poddar : Okay. And sir, what would be the roughly cash balance in the balance sheet?

Lalit Kumar Khetan: So, we do not carry any cash balance, maybe INR 20 Crores to INR 25 Crores kind of thing in the collection , otherwise, right now, we don't have a cash balance. We have a lot of unutilized balance in terms of bank lines. So, we keep our bank lines unutilized rather than keeping cash on the balance sheet.

Ankur Poddar : Thank you so much, sir. And all the best.

Moderator: Thank you. The next question is from Atul from ULJK Financial Services . Please go ahead.

Atul: So, my question might be repeated. I would like to understand, we have reported a 3% decline on Y -o-Y basis in domestic revenues. So, what were the reasons behind this decline? That would be helpful.

Naresh Jalan: I think we have already explained in the call. The reason is raw material price decrease as well as there has been a lower offtake from the customer. Both have basically added to the 3% decline in domestic output.

Atul: Okay. Yes, sir. And my second question is on our inorganic strategy, which you are following, sir. So, so far, this strategy has been working quite well for us. So in coming time, are we looking for any more acquisitions, if you could put light on that?

Naresh Jalan: As a company, as a policy, we are always looking for opportunities wherein we can incrementally grow. So, as of now, we don't have anything in pipeline. As and when we have anything, we will surely come back to you.

Moderator: The next question is from the line of Balasubramanian . Please go ahead.

Balasubramanian : Sir, in the Multitech Auto, we have seen some quarter -on-quarter decline, and we have guided around 20% growth in this year with a 200 basis point margin improvement. What is the current margin stand at, sir? And what kind of levers are there for margin improvement?

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Lalit Kumar Khetan: So I think your question is related to Multitech Auto, so Multitech Auto, see, what we have guided in terms of growth, revenue growth, the guidance remains the same, the 15% to 20% growth in terms of Multitech Auto also. Right now, we are currently operating at around 16% plus EBITDA margin, and there

will be a further improvement of 100 basis points to 200 basis points in EBITDA in Multitech Auto going forward.

Moderator: As there are no further questions from the participants, I now hand the conference to management for closing comments.

Rajesh Mundhra: Thank you. I take this opportunity to thank everyone for joining the call. I hope we have been able to answer and address all your queries. For any further information, kindly get in touch with us or our investor relationship advisers. Thank you very much for sparing your time and joining our call. Thank you.

Moderator: On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

----- XXXXX -----

Call: Oct 2024

s RAMKRISHNA FORGINGS LIMITED

Date: 30 October, 2024

To To

The Listing Department The Listing Department

BSE Limited National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,

Dalal Street, Bandra-Kurla Complex, Bandra (E),

Mumbai - 400 001 Mumbai- 400 051

BSE SCRIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Earnings Call Transcript - Q2 & H1 of FY 2024-25

This is further to our intimation dated 21 October, 2024 w.r.t Earnings Conference call with the Analysts/Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for Q2 & H1 of FY 2024-25.

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Earnings Call Transcript for the Analysts/Investors Meet held on Thursday, 24 October, 2024 at 02:30 P.M. (L.S.T).

Copy of the same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra

Company Secretary

& Compliance Officer

ACS: 12991

Encl.: As above

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CIN NO. :L74210WB1981PLC034281

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"Ramkrishna Forgings Limited Q2 & H1 FY 2025

Earnings Conference Call "

24 October , 2024

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR

MR. CHAITANYA JALAN – WHOLE -TIME DIRECTOR

MR. LALIT KHETAN – WHOLE TIME DIRECTOR AND

CHIEF FINANCIAL OFFICER

MR. MILESH GANDHI – WHOLE -TIME DIRECTOR

MR. RAJESH MUNDHRA – VICE PRESIDENT , FINANCE

AND COMPANY SECRETARY

MODERATOR : MR. RAGHUNANDHAN NL – NUVAMA WEALTH
MANAGEMENT

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Moderator: Ladies and gentlemen, good day, and welcome to the Ramkrishna Forgings Q2 FY '25 and H1 FY '25 Conference Call , hosted by Nuvama Wealth Management. As a reminder, all participants' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.

I now hand the conference over to Mr. Raghunandhan from Nuvama Wealth Management.

Thank you and over to you, sir.

Raghunandhan NL: Thank you. Good afternoon, everyone. On behalf of Nuvama Wealth Management, I would like to welcome you all to this earnings call of Ramkrishna Forgings. I would like to thank the management for giving us this opportunity.

From the management team we have with us today Mr. Naresh Jalan – Managing Director; Mr. Chaitanya Jalan – Whole -time Director; Mr. Lalit Khetan – Whole Time Director and CFO; Mr. Miles Gandhi – Whole -time Director, and Mr. Rajesh Mundhra – VP (Finance) and Company Secretary.

Before we begin, may I remind you of the Safe Harbor. The Management may be making some forward -looking statements that have to be understood in conjunction with the uncertainties and the risks the company faces.

I shall now hand over the call to Mr. Lalit Kumar Khetan for “Opening Remarks ”. Over to you, Lalit, sir.

Lalit Kumar Khetan: Thank you, Raghu. Welcome, all of my investor friends on Q2 FY '25 and H1 FY '25 Earnings Call of Ramkrishna Forgings Limited.

In the midst of rising geopolitical tension and ongoing global economic uncertainty, we have continued to make steady progress in our strategic efforts. While maintaining a strong financial performance, we are undertaking multiple initiatives to further strengthen our business model and equip ourselves with levers to ensure sustained growth in the quarters ahead. As you are aware during last year, we acquired Multitech Auto, JMT Auto, now renamed Ramkrishna Castings and followed by acquisition of ACIL earlier this year. We are focused on integrating these acquisitions and have established a plan to streamline our corporate structure. In Q2, we divested 100% stake in our travel company, Globe All India Services Limited to Yatra Online for a cash consideration of Rs. 128 Crores . These funds, unlocked from non -core assets , are being invested as growth capital.

The Board of Directors has also approved an investment of Rs. 57.5 Crores to establish an aluminum forging capability around 3,000 metric tonnes per annum at Jamshedpur, primarily to serve the EV segment. This will significantly enhance our presence in EV market. This is in addition to our previously announced plans to enhance capacity by our hot forging capacity by Ramkrishna Forgings Limited

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40,000 tonnes, and cold forging capability by 25,000 tonnes. Additionally, the company in Mexico, which we acquired in Q2, has been renamed as Ramkrishna Forgings Mexico. This will serve as an operational hub for some of our international business in North America and bring us the additional business in the entire North American continent.

Apart from above, we have done significant CAPEX in upsetters, cold forging and 8,000 tonnes hot forgings press capacity during H1. Further, we have also invested in ramp -up of production of our subsidiaries, that is Ramkrishna Castings and ACIL. We have also built-up stock for the new developed products for the order wins in the recent past and for the assembly vertical. This stock built -up, coupled with the ramping up of production in subsidiaries, has also led to a little bit increase in inventory during H1 '25. Further, inventory has also gone up due to the build -up of stock in transit and at warehouses due to

the Red Sea issues.

All the above combined events have led to an increase in consolidated debt by Rs. 282 Crores in H1 FY '25. But the same is likely to normalize in the upcoming period as we anticipate seeing the benefits from the above initiatives in the coming quarters, with more substantial momentum expected from FY '26 onwards.

For investors, the key takeaway is that our growth will become increasingly multi -dimensional with an expanded range of end user industries. RKFL now has multiple growth avenues, which are also seeing exciting potential in non-automotive segment, mainly railway and farm equipment and assemblies. Additionally, we are positioning ourselves to scale up in the electric vehicle industry also. The ongoing integration and growth initiatives are expected to gradually improve our EBITDA and margin profile.

In the above backdrop, let us go over to our financial performance for the second quarter of

Financial Year 24-25. During the quarter, raw material prices have decreased by 4%, which has also resulted in lower realization per tonne and also impacted top line to that extent. Still, we have been able to achieve the highest ever top line for the company in the quarter.

We report revenue of Rs. 1,053.63 Crores on a consolidated basis, representing 17.2% year -on-year growth. EBITDA at Rs. 232.75 Crores represent an increase of 16.2% year -on-year basis. The consolidated EBITDA margin for Q2 FY '25 stood at 22.09% and the same has moderated by 20 basis points year -on-year. We believe that we will be able to improve upon the above margin in the near future. Profit after tax, including exceptional item, is Rs. 189.77 Crores in Q2 FY '25 compared to Rs. 82.2 Crores in Q2 FY '24, which is a rise of 130% year -on-year.

That's all on the financials from my side. Now I will request Milesh Gandhi to update the investors on the order win during the quarter. After that, we can have the floor open for the Q&A. Milesh, over to you.

Milesh Gandhi: Good afternoon. A very good afternoon. Milesh Gandhi here.

I would like to convey that we have secured orders during the quarter worth Rs. 1,522 Crores to be executed over a period of 4 (four) years. Against the Rs. 1,522 Crores orders, we have Ramkrishna Forgings Limited

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received from North America orders worth Rs. 1,475 Crores , in which we have secured Rs. 1,312 Crores from the auto segment and from the non -auto segment we have fetched orders worth Rs. 163 Crores . From India, we secured Rs. 47 Crores orders in which non -auto represents Rs. 39 Crores and railway represents Rs. 8 Crores order win.

This is from my side. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Thank you, sir, for the opportunity and happy festive season to the management and congrats on the strong order wins for this quarter . Sir, firstly, this quarter we have seen very good growth from the domestic revenues. Can you help us understand because the MHCV which was very muted this quarter , so we not ably outperformed that market. I just want to understand which orders have seen the ramp -up and which segments are doing well in domestic markets, sir?

Naresh Jalan: I think in this quarter we have seen a degrowth in the commercial vehicle sector, but we have grown because of share of business going up in a lot of businesses and also new pipelines of new components which we have introduced in our business scenarios, that has resulted in strong revenue from the domestic sector.

Mumuksh Mandlesha: And so, this kind of outperformance we expect to maintain based on these new orders ramp -up, right, sir?

Naresh Jalan: We expect to grow from here. I think domestic business will further

grow from here.

Mumuksh Mandlesha: And sir, this year first half has been around 7% growth on the revenue side and we have a target of 15% growth. So, do you see this year it'll be a little lower than the guidance, but from next year onwards we should see much better growth, right, sir?

Naresh Jalan: No. I think we will stick to our guidance of 15% to 20% growth. And if you see, realization from raw material basically has gone down by 4% in this quarter. That also has resulted in lower revenue. But overall, we expect 15% volume growth for the full year.

Mumuksh Mandlesha: And just on the overall medium to long term, sir , you talked about multiple segments expected to do well for Ramkrishna. So, I just want to understand, do you see the pace of growth of 15% to 20% further increasing over medium to long term, sir?

Naresh Jalan: I think we are right now well positioned for 15% to 20% growth. And with new sectors coming in, like two -wheelers and passenger vehicles in the coming months and coming quarters, we will see further growth coming from the automotive sector, which were not present. So, all these levers will help us to maintain the growth trajectory with the capacity additions which we are having. This will surely help us in getting into the trajectory on a continuous growth basis.

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Mumuksh Mandlesha: So, one year target also would be there, sir, 15% to 20% is what we are looking out, sir, in terms of growth side?

Naresh Jalan: Yes, we are confident of 15% to 20% year -on-year growth also.

Mumuksh Mandlesha: Just lastly, sir, on the other expenses, last quarter we had this one -off item of electoral bond trust and the freight costs were higher. This quarter also we saw other expenses on the rise only. So, any reason for the high other expenses, sir?

Lalit Kumar Khetan: So, other expenses, the only reason this quarter is due to that export expenses, the carriage cost has increased on exports during the Quarter , so that's why it looks flat quarter -on-quarter. That

decrease of one-time expense has been offset by the increase in export carriage cost.

Moderator: Thank you. The next question is from the line of Shaleen Kumar from UBS. Please go ahead.

Shaleen Kumar: Thank you so much for the opportunity. Sir, this is more of a near to medium-term question. Like we are facing challenges in the HCV market and it's like both domestic as well as global, that's what we have been hearing, right? So, understanding that, how do you see us delivering the growth which you are talking about, right? If let's say this continues for this year as well as the next year. I mean, that's the one of the big concerns which I feel we have been hearing from investor community. So, how do you see that?

Naresh Jalan: I think in the CV sector, it remains flat or where it is today also we are sure to grow by 15% to 20%. I think with the introduction of new components as well as new assemblies, we have been able to get better share of businesses. And this better share of businesses is resulting in a strong momentum in the domestic order book growth for us and revenue growth for us. So, we are very confident with the addition of capacities and the new, more automated lines and more value engineered lines, we will be able to still further grow in terms of our value add with our existing customers and continue to add on to our order book.

Lalit Kumar Khetan: Shaleen, I would like to add a little bit here, we have a lot of new product development being done above the past order wins, which will also help us in fueling this growth. Plus, the capacity we are putting on the cold forging and aluminum forging also will give us that kind of growth.

Shaleen Kumar: Sir, about the acquisitions which you have done like ACIL and JMT, are we getting exposure to the new segments or new clients as well?

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Shaleen Kumar: Yes, we are getting exposure to new segments, new clients across the globe right now. I think Miles in his opening statement has announced that around Rs. 1,500 Crores of new order book which we have won for this quarter, almost Rs. 1,300 Crores is from the North American industry. So, they are all from new clients and new businesses.

Shaleen Kumar: Is it possible to share what the new segments are or the clients? Anything, I am not sure, if you can share something there.

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Naresh Jalan: Shaleen, can you repeat the question? I could not hear you.

Shaleen Kumar: Sir, is it possible to share the names of these segments or the clients, anything that is possible from your side.

Naresh Jalan: It is basically automotive segment, Shaleen.

Shaleen Kumar: Clients, sir, any new clients that you've added? I do not know if you can share that again or not.

Naresh Jalan: No, we actually cannot name the clients.

Shaleen Kumar: Okay. Sir, just switching on now, Rs. 100 Crores for aluminum. Sir, can you talk about like economics of this segment? And second, Rs. 100 Crores, at least I think it's a starting point, right, and that's my understanding, you can correct me. So, do you think that if it's a starting point and more just testing the product going to the market, we should be able to do much more bigger CAPEX here and the opportunity is much bigger here?

Naresh Jalan: Shaleen, we are just I think at the starting point, there's 3,000 tonnes of capacity addition in aluminum and with only around Rs. 60 Crores of CAPEX, this is just we are testing waters. And while our customer, for whom we are building this capacity, is wanting much more bigger capacity, but we would want to test waters because we have never ever ventured in non-ferrous ever before. So, we want to enter into non-ferrous in a very cautious mode because of the volatility in the pricing and other things.

We would want to test waters with a small capacity of 3,000 tonnes and then put a larger sum of money, but the opportunity is, I think, almost 30x of the capacity which we are putting in right now. So, it is just a tip of the iceberg, and I think gradually we will see much more bigger CAPEX coming into it and much bigger non-ferrous activity starting post this is done.

Shaleen Kumar: And sir, in terms of profitability, returns, is it comparable better or inferior compared to the current?

Naresh Jalan: In terms of EBITDA Percentage margins, it is lesser because the commodity pricing is much higher than current commodity. But in terms of realization or in terms of return ratios, it is much faster than what we are doing for our customers currently.

Moderator: Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah: Sir, thank you for the opportunity and congratulations on a very strong performance. Sir, first question, again, clarification on this 15% plus volume growth. Based on the first half number, then it implies that second half growth would be like a 20% to 25%. So, do we have that type of order in hand starting from October itself or it will be back ended in Q4? And we have concrete visibility on this second half, this type of growth of about 25%?

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Naresh Jalan: Mitul, we are very confident on what we are commenting. And more than that, I think we would not like to substantiate, but we would only say that whatever we are saying, we have a concrete plan for that and we will be able to meet what we are saying for 15% plus growth.

Mitul Shah: Second question on, sir, casting business where we have now increased our focus, including CAPEX and all. So, the majority of these are new clients or existing clients we are trying to cross-sell? How much clientele base would be overlapped and how much would be incremental clients, sir, where we can also cross-sell our forging products also?

Naresh Jalan: I think by next year FY '26 we will be having almost 60,000 tonnes of casting capacities, and we are going to sell casting both domestic and international. Right now, we have no international business as such. We have just started getting orders from international businesses. We are focusing both on our existing clientele as well as the new clientele. So, it is a very, very exciting opportunity for us, and our overall aim is to double our capacity in the next two years. And we have confirmed visibility from our existing clients also and we have extremely strong RFQ pipeline from new customers.

Mitul Shah: But sir, would there be more new clients or the majority would be existing and maybe about 20%, 30% only new clients?

Naresh Jalan: I think, Mitul, whoever gives me business, whether it is existing or new, it does not make a difference for me. As far as I am concerned, I am ready to set up a capacity of 60,000 tonnes. We are on path. By next year, we should be having this capacity. And we are confident, our marketing team is confident of selling the entire capacity.

Mitul Shah: Yes, sir, great. Sir, I am just trying to analyze whether there is a possibility of cross-selling forging products to these new clients, from that perspective I was trying to understand.

Naresh Jalan: No, basically, Mitul, we are always looking for new clientele. So, I think this new order wins we have announced right now from North America, these are from new clientele. So, obviously this forging, also we are pitching castings to also the m. So, cross-selling, because RKFL as one, we have different bouquet of products to offer to them. It is up to client to choose which one they want to source from RKFL.

Mitul Shah: Lastly on railway side, we are hearing slowdown and some ramp down by government orders getting delayed, etc. Anything on that for our JV business?

Naresh Jalan: We are not into wagon building, so we cannot comment anything on the wagon side of it. But in terms of passenger, I do not think there is any slowdown. I think the entire focus of government CAPEX is improving passenger comfort and passenger safety. So, their focus and ramp-up is continuously there and we have a very strong pipeline in terms of order book from the railway. So, we are not at all impacted by any news which is coming in terms of there is going to be a slowdown in railways.

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Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead.

Jyoti Singh: Sir, just like you mentioned, we are having an impact from the Red Sea side. So, I just wanted to get the idea on the Red Sea side that which country and geography is benefiting with the export, because we are not able to export at this time.

Naresh Jalan: So, we have never said that we are not able to export. We are obviously able to export. Our sea time or transit time has increased because of the Red Sea issue, because the ships are taking divergent route. That's the reason our transit time has increased, but it is not that we are not able to export.

Jyoti Singh: So, we are exporting full-fledged?

Naresh Jalan: Yes, yes, we are exporting full-fledged, and we are doing extremely well in exports.

Jyoti Singh: So, sir, isn't China benefiting as they can export directly?

Naresh Jalan: We cannot comment on this. I think it is extremely difficult for us to comment about China.

Moderator: Thank you. The next question is from the line of Raghunandhan from Nuvama Wealth Management. Please go ahead.

Raghunandhan NL: Congratulations, sir, for another set of strong numbers. Sir, firstly, in terms of subsidiary performance, MAPL in Q1 had seen Rs. 86 Crores of revenue with 16% kind of

margin. Can

you talk about the Q2 performance and whether we are on track for the Rs. 5 billion target for the full year with a 17%, 18% margin?

Lalit Kumar Khetan: So, Raghu, coming to the subsidiary performance, yes, we have just started ramping up the subsidiaries JMT and ACIL. And if I look at the performance, Multitech is already established.

And we have done a turnover of about Rs. 94 Crores in this quarter in Multitech and about Rs.

30 Crores in JMT and Rs. 20 Crores in ACIL. There has been some elimination due to the material being shipped from RKFL to the other entity or another entity for the value -add. So, that's why the consol number is Rs. 1,053 Crores . But this is going to improve significantly in upcoming quarters.

And coming to the Rs. 5 billion target of top line, I will say we are very much on course. We have already disposed of our subsidiary Globe , so that will have a commensurate impact on that. Otherwise, if there is a material decrease or a raw material decrease , that can have an impact. Otherwise, we are very much on course for the top line guidance what we have given on the consol basis.

Raghunandhan NL: Good to hear that. Sir, in terms of your product portfolio, you have been continuously expanding and adding new products . And in one of your slide, other categories you have displayed products

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relating to the trailer axle assembly and suspension. Just if you can spend a little time explaining the potential for these products.

Naresh Jalan: I mean, trailer axle assembly, we have just launched in this quarter, and we have achieved a sales of almost Rs. 20 plus Crores . This is a Rs. 2,000 plus Crores market and growing at a very rapid pace of 17% to 20% every year . And it's that we are expecting to at least by this year -end or first quarter of next year to get to almost 25% market share in this segment . And we have patented our axles and this is a proprietary item going directly to the consumer , and we expect a very large growth in next two years to come from this portfolio. And in coming months in this quarter or maybe by next quarter, we are launching some more proprietary parts which is going to be exceptionally good for our growth in terms of our assembled verticals which we are launching.

Raghunandhan NL: That's good to hear, sir. And in terms of order book in this space, you would be in a discussion with the customers and what would be the status kind of orders you would have already received?

Naresh Jalan: No. It is a B2C segment and directly to the consumer , this is not with the OEM. So, there is no confirmed order book. It is tailor -made to the requirements , but we expect quarter -on-quarter at least 40% to 50% growth till we achieve a 25% to 30% market share. And for us, the current market today in India is close to around Rs. 2,000 Crores for this.

Raghunandhan NL: Got it, sir. Wishing you all the best there. And sir, in terms of the railway business and we had the Vande Bharat related orders of Rs. 270 Crores , so would it be right to understand that these orders would be executed over FY 26-27?

Naresh Jalan: Yes, it is right , it is going to be executed over FY 26-27.

Raghunandhan NL: And one clarification on the aluminum forgings. So, the capacity we are putting up would be backed by the order, sir?

Naresh Jalan: It is already backed by an order. The entire capacity of 3,000 tonnes is completely backed by a firm order for 5 (five) years.

Raghunandhan NL: In terms of our growth, the share of North America has been consistently going up and we have been doing very well , both in terms of order wins and growth in that particular market. Your thoughts on how the demand is there, how do you expect the outperformance to continue? Recently, there were comments by Volvo that the 2025 North America EV market should see a positive growth. So

, in terms of what you are hearing from the clients, how is the share of business increasing?

Naresh Jalan: Raghu, right now the market is flattish. We are growing and we are doing exceptionally well because of our marketing has been able to penetrate new segments and new customers in North America. And that's the reason we are growing. And with setting up of a facility in Mexico, we expect this to further consolidate and grow. We are extremely bullish on our North America segment with setting up of this facility, which is going to be upstream from this quarter onwards.

And next quarter onwards, we are going to see revenue coming in from that sector. So, the

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current pipeline and the current visibility which we have, gives us extreme confidence that in North America we will continue to grow and continue to consolidate in coming quarters and coming years.

Raghunandhan NL: And in terms of the PV space, how do you see your share in the PV space to increase and which regions will contribute to that?

Naresh Jalan: PV space, I think, Raghu, we have just entered. It is very, very minuscule right now. But I think the biggest PV chunk is going to come by FY '26, both from North America and from India.

Moderator: Thank you. The next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: Hi, team , great set of numbers. My question is for Mr. Gandhi. Sir, I read somewhere that in

2027 the North American heavy commercial truck market is having some emission norm change.

So, could you share your thoughts on it with respect to that norm change, how would the customer buying be, how does it happen, how does it work there?

Milesh Gandhi: So, I heard your question. See, whenever any norm change comes in, there is always a pre-buy that is always expected. But obviously, when the norm change comes in '27, '26 is going to be a very strong year and North America has already been spelling so. But because of many of the infrastructure demands and the way America is trying to rebuild itself, the demand is going to be very strong for the next 2 (two) years. And we foresee even if the change is going to happen, but the demand will still change when the emission norms get changed. I hope I answered you.

Dhaval Shah: Yes. And this is for Class 8 specifically, or is it for other classes trucks also?

Milesh Gandhi: Class 8 makes the maximum effect because the long haul comes under the Class 8, so that is going to be the primary market. And vocational trucks along with dirt trucks also come into the same freight. So, it is going to be an effect across.

Dhaval Shah: So, you feel that due to pre-buying, the growth could be better in calendar year '26?

Milesh Gandhi: I did not hear your last point.

Dhaval Shah: I am saying, because of the pre-buying the growth could be better in calendar year '26?

Milesh Gandhi: America has been stating very clearly that demand is going to be good over a period of time in the forthcoming years. So, even I think the demand will continue to remain so. And I think the pre-buy can always give better numbers, but with the amount of demand and on account of the construction and with regard to infrastructure, that should continue in the same pace.

Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC. Please go ahead.

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Rakesh Roy: My first question regarding, sir, you are setting up a new plant in next 12 months of 3,000 tonnes, sir. So, mostly we are focusing on EV segment or other also? On EV segment, what we are going to make?

Naresh Jalan: I think we are focusing on EV segment. What we are going to make, I think we would not like to name the product. Basically, it is the transmission components which we are going to make, but exactly the component we cannot name.

Primarily, the entire capacity is for EV segment.

Rakesh Roy: And can you highlight, sir, the North America truck market in specific to the Class 8 truck market, how is it doing and for next 12 months what is your outlook?

Naresh Jalan: I think we will not be able to comment on Class 8 in particular, but overall, as far as RKFL is concerned, we are doing extremely well in the North American market. And we foresee going forward also our operations and our volumes from North America is going to continue to remain strong.

Moderator: Thank you. The next question is from the line of Prateek Bhandari from ART Ventures. Please go ahead.

Prateek Bhandari: Hi sir, thank you for the opportunity. I just wanted a break-up of order wins during the quarter, if you can just repeat the same.

Naresh Jalan: Milesh, can you repeat it, please?

Milesh Gandhi: So, I will repeat what I stated. Against the Rs. 1,522 Crores orders that is to be executed over a period of 4 (four) years, for North America we won Rs. 1,475 Crores orders, in which auto constitutes to Rs. 1,312 Crores and non-auto constitutes to Rs. 163 Crores. Further, from India we secured order of Rs. 47 Crores in this quarter in which non-auto is around Rs. 39 Crores and railways specifically is Rs. 8 Crores.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Hello. Thank you for the opportunity, sir. Sir, one question, is there any update on the Ramkrishna Titagarh JV, what is the expected timeline of our first product?

Naresh Jalan: I think we are doing extremely well in terms of our Titagarh JV is concerned, and project is moving as per timeline.

Khush Nahar: Sir, if I am not wrong, that would be FY '26, I think?

Naresh Jalan: Last quarter of FY '26 we will start producing wheels and delivering to railways.

Moderator: Thank you. The next question is from the line of Mr. Raghunandan from Nuvama Wealth Management Limited. Please go ahead.

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Raghunandan NL: Thank you. Raghu here again. So, sir, on the CAPEX and investment side, first half this year we have done Rs. 400 Crores plus of CAPEX, and investment has been Rs. 100 Crores plus. How do you see the CAPEX for the full year? And also, in terms of the debt, if you can talk about

how you see the debt reducing as working capital normalizes and your efforts on improving the cash flows?

Lalit Kumar Khetan: So, Raghu, on the investment side, I think we have largely done on the investment with subsidiaries. There will be a small amount on the subsidiary side. And what we have given the guidance of about Rs. 500 Crores of CAPEX initially, it may increase by another Rs. 50 Crores during the year. And on the subsidiary side, it remains the same. On the investment side also we only need to invest on the JV with Ramkrishna Titagarh, and for that also we have given a guidance of Rs. 100 Crores for the full year. We have already given Rs. 53 Crores in the first half, so another Rs. 47 Crores or Rs. 50 Crores is going to that.

Raghunandhan NL: And in terms of the EV space, how would you look at the aspiration you would have to improve your presence on the EV given that you are putting in more efforts? It helps both on the diversification side and also is opening up new opportunities for you. Over a medium term, how would you look at EV contribution to your overall business?

Lalit Kumar Khetan: So, Raghu, on the EV side, I have already explained that initially we have just started and this aluminum forging is for the EV. We are also doing currently EV but specifically this aluminum forging will go a long way on the EV side. Let us first stabilize and then we will comment on how we are moving ahead on the EV. Let's just wait for some time.

Naresh Jalan: But I think Ra

ghu, just to update on what Lalit said, our internal vision in next 2 (two) years by FY 27, is that our 15% to 20% revenue should be coming from EV or hybrid vehicles. That is the vision we are working with and I think we are on track to achieve our vision.

Raghunandhan NL: And would TSUYO also form part of that vision?

Naresh Jalan: Hello?

Raghunandhan NL: You had one investment in TSUYO.

Naresh Jalan: No, TSUYO investment, I think last call also we have said, we are not expecting anything from that. We have withdrawn from that investment and Rs. 10 Crores which we have paid and we will be getting the refund.

Moderator: Thank you. The next question is from the line of Vidrum Mehta from ASK Investment Managers. Please go ahead.

Vidrum Mehta: Firstly, season's greeting to you and the entire team of RK Forging. Sir, my question was more related to the standalone business revenue growth of 10% which we reported as against MHCV industry volume which reported high -single-digit or a double-digit decline. So, if you could Ramkrishna Forgings Limited
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share broadly what could be the growth in terms of, if you can break the growth with respect to the new products, the increasing share of business and pure organic volume growth?

Naresh Jalan: I think it is extremely difficult for us to break it down in terms of product, but we can only say that overall in terms of our ambitions and our hard work for the last few years in terms of getting into more value-added products and assemblies have resulted in higher share of business across the vehicles and that has resulted in an extremely strong domestic market for us and getting into strong volumes with even the drop in overall MHCV demand. And I think going forward also, we foresee the same pattern to continue with the kind of work we have done, and our continued progress in new product development and getting into higher value-add. We will continuously work on the same momentum to get us a higher share of businesses and a strong domestic market. Vidrum Mehta: So, sir, in that case, how much should we outperform the overall industry, could you give some sense on that?

Naresh Jalan: No, I think we do not have a definite number to it, but I think we are working towards our overall objective of 15% to 20% year-on-year growth for near foreseeable future. So, with this kind of thought process, we are on the track to continuously keep on adding new products and as well as keep on working on the existing products to offer better solutions to our customers by which we can gain market shares.

Vidrum Mehta: Sir, secondly, I understood the point on the volume growth that we expect 15% to 20% growth. But obviously it is because the lower RM cost is resulting into lower realization. And so, if I look at for H1, our realization is down roughly 3% odd, despite volume higher in H1 of FY '25. So, how you look at realization or probably the RM basket moving in H2 of FY '25?

Naresh Jalan: I think it is extremely difficult. I think raw material price is something which we cannot comment on. We would love to have stable raw material, but I think it is next to impossible for us to comment on whether raw material prices are going to fall from here or going to correct further from here or not. So, we have to live with that. We only can say that we would continuously keep watch on it and we will, on our side we will be able to only keep on maintaining our conversion margin and keep on adding value to the products by which we are going to try and see whatever best we can achieve in terms of our top line.

Vidrum Mehta: Sir, in terms of procurement, would it be a quarter lag or how should one look at it?

Naresh Jalan: No, it is a quarter lag.

Vidrum Mehta: It's a quarter lag, right?

Naresh Jalan: Yes.

Vidrum Mehta: And sir, one more question from my end. So, you gave a breakup of

revenue from the subsidiaries, which works out to be north of Rs. 140-odd Crores, but the reported number states Ramkrishna Forgings Limited
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that it is Rs. 100-odd Crores, if I just subtract consolidated minus standalone. So, you said there is some related-party transfer or --

Naresh Jalan: No, basically, like a lot of forgings are going from the parent company to the subsidiaries, but ultimately they have not been sold to the customer yet, so that sales have been knocked off.

Vidrum Mehta: So, how much percent should we assume in this knocking off?

Lalit Kumar Khetan: That I have already told, about Rs. 40 Crores has been knocked off, and that number itself stays.

Vidrum Mehta: So, broadly that should continue in coming quarters as well, right?

Lalit Kumar Khetan: No, so it depends upon the ramping up and how much the material is produced and sold. The number will certainly change, the percentage will change.

Naresh Jalan: It will drop somewhat because lot of samples and other things have been developed in this quarter. So, that has slowed down, but that will get further ramped up in this quarter wherever sample approvals and other things have come in. So, all those inventory items will get liquidated, and it will come into regular cycle. That is the reason we have mentioned in our presentation also, the working capital is going to moderate, which is seen at an elevated level right now, is going to moderate in coming quarters with all these samples getting converted into bulk supplies.

Vidrum Mehta: So, sir, then Rs. 5 Billion target of top line from subsidiaries is including that or excluding that?

Naresh Jalan: No, we have never said Rs. 5 Billion revenue from subsidiaries, I think Lalit, can you clarify?

Lalit Kumar Khetan: So, you are talking about Rs. 5 billion consol, that guidance is given by me earlier also, including my driver subsidiaries that has already gone. And certainly, you have to look at the consol number and certainly, I said you have to adjust it for the raw material impact. So, considering 15%, 20% growth, we are there almost for that kind of number. But certainly, now it will be not a Rs. 5 Billion, it can be somewhere between Rs. 4,500 Crores to Rs. 4,600 Crores kind of thing, right now, on the consol basis for FY '25, considering that adjustment.

Moderator: Thank you. The next question is from the line of Karan Gupta from InvestSavvy Portfolio Management. Please go ahead.

Karan Gupta: So, first question is on the inventory receivable side, compared to H1 of last year, H1 of this year has increased significantly. So, can you comment on that? And the second one on the CAPEX breakup across the facilities you are starting or increase in capacity. So, that is the second one.

Lalit Kumar Khetan: So, looking at those receivables, if you look at it on a consol basis, it has gone up by Rs. 119 Crores and that's mainly due to a little bit on the certainly a delay in receipts from the overseas customers, which is likely to moderate and improve in the upcoming quarter. So, I will say it's a marginal impact in terms of days because there is an increase in sales also commensurate with Ramkrishna Forgings Limited
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revenue. So, it's about Rs. 80 Crores to Rs. 94 Crores increase, which is likely to correct it in the next quarter.

So, coming to the next part of the question, that's on the CAPEX. The CAPEX I have already mentioned, there are CAPEX on cold forgings for 8,000 tonnes press line, and upsetter capability. And we have made significant progress on all these capacity. Apart from that, there is CAPEX in the ramping up of JMT, that is Ramkrishna Castings. We have already started the production in Ramkrishna Castings and we are in the process of adding up the capacity there. And same is with ACIL, ramping up of the capacity is happening up

and the renovation of facilities is happening up. All this together has led to this kind of CAPEX.

Karan Gupta: The last one is, can you just give some economic number of your aluminum capacity? What will be the asset turn? What will be the kind of margin and realization part?

Lalit Kumar Khetan: So, we have already given that segment, there is a Rs. 57 Crores investment. And as optimum capacity utilization, it can give me around Rs. 250 Crores of top line. You can understand that it will be around 4 plus kind of asset turn. And in terms of percentage margin, certainly EBITDA will be lower, but in terms of realization it is much higher in terms of EBITDA per tonne. And that's why, if you look at, it will be a payback of less than 2 (two) years, if you go on the full capacity.

Moderator: Thank you. The next question is from the line of Harsh Saraff from Yashawi Securities. Please

go ahead.

Harsh Saraff: I have one clarification question. If you could provide an update on the bogies that were planning to assemble for the Vande Bharat?

Naresh Jalan: You are talking about the bogie frame basically ?

Harsh Saraff: Yes.

Naresh Jalan: Bogie frame, I think this month we are submitting the prototypes for Vande Bharat. And I think post the approval of prototypes, this will go into bulk production.

Harsh Saraff: And just one clarification question on the comment you had made earlier. Have you said that you have divested from the TSUYO partnership and Rs. 10 Crores investment has been refunded?

Naresh Jalan: We have divested from TSUYO partnership.

Moderator: Thank you. The next follow-up question is from the line of Prateek Bhandari from ART Ventures. Please go ahead.

Prateek Bhandari: Sir, about this aluminum forging press line, what quantum of CAPEX have we done?

Naresh Jalan: We are going to do Rs. 60 Crores almost of CAPEX for setting up this plant.

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Prateek Bhandari: On that we are somewhere expecting Rs. 250 Crores of top line ?

Naresh Jalan: Yes.

Prateek Bhandari: And you stated that the payback period will be two, two and a half years, roughly?

Naresh Jalan: Yes, roughly.

Moderator: Thank you. The next question is from the line of Puneet Zaveri, an individual investor. Please go ahead.

Puneet Zaveri: Just one question on your aluminum forging capacity. You said that it's a small capacity, right now of 3,000 tonnes. Just wanted to understand how big is this opportunity within India? Any kind of number that you would have for the domestic aluminum forging capacity in India currently?

Naresh Jalan: No, we are not setting up this facility for manufacturing any products for Indian OEMs, it's for overseas OEMs. And the total available opportunity in overseas market is 20x of the capacity which we are setting up for the customer which we are doing this. So, I think this is only a tip of the iceberg which we are setting up. And I think as we gain experience, we will add on more capacity.

Puneet Zaveri: So, is there any kind of, at least in the short term, maybe the next 12, 18 months, do you see that once after this customer as well, this will only be used mostly for the overseas facility and only when the demand comes in the domestic market is when you will then put up additional capacity.

So, is that a safe assumption to make ?

Naresh Jalan: I think the demand in the domestic market is also there, but we are setting up this capacity for overseas. But once we gain experience in non-ferrous, I think post the development and post some bulk supplies for a few months, once we are confident of delivering goods, we will extend our CAPEX in this line to cater to the domestic market as well. So, opportunity overall globally is extremely huge. So, I would not be able to look substantiate or comment on exactly what is the total opportunity. But I can only say, we

are setting up a very small capacity and opportunity

for it is extremely big. And you will see in coming years a large amount of CAPEX being allocated to set up more capacities in aluminum in RKFL.

Puneet Zaveri: So, just one clarification, sir. Your current capacity, the opportunity is 20x with the current customer, right, which you are setting up the capacity for?

Naresh Jalan: Yes, 20x.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Rajesh Mundhra : Thank you. We take this opportunity to thank everyone for joining the call. We hope that we have been able to answer and address all your queries. For any further information, kindly get

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in touch with the Investor Relationship Advisors. Thank you very much for sparing your time and joining us on the call. Thank you and have a good weekend.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

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Call: Jan 2025

RAMKRISHNA FORGINGS LIMITED

Date: 24 January, 2025

To To

The Listing Department The Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,
Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 001 Mumbai- 400 051
BSE SCRIIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation of the SEBI (Listings and Disclosure Requirements) Regulations, 2015 - Earnings; all Transcript - M of FY 2024-25

This is further to our intimation dated 10 January, 2025 w.r.t Earnings Conference call with Analysts/Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for Q3 & 9M of FY 2024-25.

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Earnings Call Transcript held with Analysts/Investors on Friday, 17 January, 2025 at 17:30 Hours (LS.T).

Copy of the same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra

Company Secretary

& Compliance Officer

ACS: 12991

Encl.: As above

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CIN NO. :L74210WB1981PLC034281

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Q3 & 9M FY' 25 Earnings Conference Call Transcript

Friday, 17 January, 2025

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR

MR. CHAITANYA JALAN – WHOLE -TIME DIRECTOR

MR. LALIT KUMAR KHETAN – WHOLE TIME DIRECTOR

& CHIEF FINANCIAL OFFICER

MR. MILESH GANDHI – WHOLE -TIME DIRECTOR

MR. RAJESH MUNDHRA – COMPANY SECRETARY &

VICE PRESIDENT (FINANCE)

MODERATOR : MR. MANAV SHAH – NUVAMA WEALTH MANAGEMENT

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Moderator: Ladies and gentlemen, good day, and welcome to Ramkrishna Forgings Q3 FY '25 Earnings Conference Call hosted by Nuvama Wealth Management.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone.

I now hand the conference over to Mr. Manav Shah from Nuvama Wealth Management. Thank you, and over to you, sir.

Manav Shah: Thank you, Steve. Good evening, everyone. On behalf of Nuvama Wealth

Management, I would like to welcome you all to the Q3 FY '25 earnings call of Ramkrishna Forgings.

I would like to thank the Management for giving us this opportunity. From the Management Team we have with us today, Mr. Naresh Jalan – Managing Director; Mr. Chaitanya Jalan – Whole -time Director; Mr. Lalit Kumar Khetan – Whole Time Director and Chief Financial Officer; Mr. Mitesh Gandhi – Whole -time Director, Marketing; and Mr. Rajesh Mundhra – Vice President (Finance) and Company Secretary.

Before we begin, may I remind you of Safe Harbor. The Management may be making some forward -looking statements that have to be understood in conjunction with the uncertainties and the risks the company faces.

I shall now hand over the call to Mr. Lalit Kumar Khetan for Opening Remarks. Over to you, Lalit, sir.

Lalit Kumar Khetan: Thank you. Good evening and best wishes to all participants for a happy and prosperous New Year.

Amid continued macroeconomic challenges, I am pleased to report a robust performance for the third quarter. The demand for Light Vehicles and Two-wheelers remains encouraging in both domestic and international markets, though demand for Commercial Vehicles has moderated comparatively.

Despite the moderation in CV demand, we have achieved strong volume growth driven by increased business share across several customers and momentum from new component pipelines. We are able to achieve this due to focus on value -added products and excellence in product engineering.

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Our strategic focus on diversification continues to move ahead. We are excited to share that our offerings for two -wheelers and passenger vehicles are set to launch in the upcoming period, adding further growth avenues in the automotive sector while reducing our current high dependence on commercial vehicles.

The quarter has seen further progress on integration and capacity ramp -up of our recently acquired subsidiaries including tying up of financing. These efforts will result in enhancement of capacities in Forgings while adding capabilities in Castings allowing us to diversify beyond predominantly Forging -based business.

We have already announced that the Aluminum Forging facility of 3,000 metric tonnes at Jamshedpur in the last quarter. This initiative will cater to the Electric Vehicle segment forming a foundation for our plan to address opportunity in this segment. Additionally, we are going to commence very shortly the Cold Forging capability of 25,000 metric tonnes and in the very near -term Hot Forging capability of 40,000 metric tonnes.

In North America region, Ramkrishna Forgings Mexico has also commenced its operation positioning it as a strategic hub to serve our international business in the region.

As previously indicated to you all, we expect growth momentum to accelerate in the first half of next year or rather to start in the next financial year. Our initiative includes diversification within the automotive sector and steady expansion into non -automotive segments such as Oil and Gas, Railways and Farm Equipment positions us well for balanced and sustained growth.

To summarize it, the

growth drivers in the near and medium term will be the new products, new customers, new verticals being served and new capacities.

Now let me share our financial performance highlights for the third quarter of Financial Year '24 -25:

Consolidated revenue for the quarter stood at Rs. 1,073.78 Crores, representing year -on-year growth of 8% in value terms and 13.9% in volume terms. Consolidated turnover for 9 month period is Rs. 3,086.89 Crores versus Rs. 2,730 Crores. That is a 13% growth on a year -on-year basis.

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Due to the increase in raw material prices, the realization for the 9 -month period is lower by 3%. Otherwise, the revenue for this 9 -month period may have been higher by 3% in this period.

EBITDA for the quarter stood at Rs. 231.52 Crores on a consolidated basis versus Rs.

219.72 Crores, an increase of 5.4% year -on-year, and EBITDA margin stood at 21.6%, which is moderated by almost 30 basis points from the previous quarter. And this is mainly due to the expenditure incurred by the company in its Mexico subsidiary which has just started operations and that's almost a Rs. 5 Crores expenditure in Mexico. Otherwise, EBITDA would have been higher by Rs. 5 Crores in this quarter. Consolidated EBITDA for 9 -month period is Rs. 668 Crores versus Rs. 607 Crores in the year -on-year basis. That is a 10% increase on a year -on-year basis. Profit after tax is Rs. 99.61 Crores in Q3 FY '25 compared to Rs. 86.86 Crores, that is again a 14.7% increase year -on-year basis.

Just one financial highlight. The company has also got a Double A Stable rating from CRISIL during the quarter for long -term debt and A1+ for short -term debt. Our leverage remains comfortable with adequate headroom to support our growth plans. With that, I conclude my remarks and would like to hand over to my colleague Milesh who will provide an update on our recent business wins . Over to Milesh.

Milesh Gandhi: Thank you, Lalit Ji. We have secured orders during the quarter for Rs. 697 Crores to be executed over a period of 4 years. This mainly comes from the non -auto sector. That's from my side.

Lalit Kumar Khetan: Thank you, Milesh. Steve, you can now take it forward and open the house for the Q&A.

Moderator: Thank you, sir. We will now begin the question -and-answer session. The first question is from the line of Chirag Shah from White Pine Investments. Please go ahead.

Chirag Shah: Thank you for the opportunity and sir, congratulations for the good set of numbers in this tough environment. Sir, my first question is with respect to slide 41 where we have shown almost 50% increase in installed capacity by end F Y25. I just wanted to understand, based on the current demand environment plus the new business order that you expect, by when can we see the optimal utilization of this incremental capacity? And if you can throw more color in terms of granularity, from this segment, how do you look at this utilization?

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Naresh Jalan : Our FY '25 capacity addition whatever is happening basically it is different from Forging and Casting . I think Lalit in his opening statement also has said that the capacity addition is across subsidiaries and parent in terms of RKFL and we have assured businesses whatever new order wins we have had and this capacity which has been put up has already been declared in different times in past quarters of 8,000 metric tonnes plus Cold Forging , which is now going to start in this month onwards. And similarly, addition of Casting plant of 30,000 metric tonnes capacity, which has already been informed to stock exchange. We have order pipelines accordingly. New order wins which have been announced is basically catering to these capacities itself.

Chirag Shah: Sir, my question was, over 2 years can we assume that

utilization can happen? Because

it will not happen at one go, right? Once you start, have the capacity say by March 25, it will take some time for it to stabilize and then ramp it up.

Naresh Jalan : No, we are estimating these capacities to be up and running, and I think capacity utilization in staggered manner is going to be utilized. I think we are looking at almost getting to 80% plus utilization by the last quarter of FY '26.

Chirag Shah: So, that basically means almost 30 -35% kind of a potential volume growth in FY'27 if the demand environment supports.

Naresh Jalan : We are looking at almost 15% to be precise. We are looking at approximately 15% year-on-year growth for the next two years.

Chirag Shah: Next two years. This is helpful. And the second question is on the profitability. See, I understand margins, but in general, be it on per tonne basis or per kg basis, is there a scope to further increase our profitability and not focusing on EBITDA margin as such percentage -wise, but given the way the quality of product is improving for us, the traditional EBITDA per tonne profit metric that we had .

Naresh Jalan : Chirag, in this quarter itself, our gross margin has been much better than the previous quarter. If you calculate and see, the gross margin has improved considerably. And going forward also, gross margin is going to continuously, is a continuous effort. Maybe it may not happen every quarter, but you will see significant expansion in gross margin in coming quarters and years.

Chirag Shah: And sir, last question, if I can, or a suggestion, sir. Now that our focus is on consolidated performance and the share of standalone is likely to keep on reducing in overall scheme of things, in the presentation, if you can figure out a way of giving a consolidated volume data, operational volume data, it would be helpful, sir. Because

in all our discussions , we focus on consolidated performance and our presentation is

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more about standalone volumetric data. If possible, over a period of time, if you can just figure out how you can add the volume data of the subsidiaries or on consolidated basis, it would be helpful, sir.

Naresh Jalan : Sure, we will try and do it.

Moderator: The next question is from the line of Shaleen Kumar from UBS. Please go ahead.

Shaleen Kumar: Nareshji, can we get a status on the ACIL unit, like are they operational or what's the status?

Naresh Jalan: ACIL business?

Shaleen Kumar: Yeah, ACIL business, sir.

Naresh Jalan: ACIL business, I think from this quarter onwards, the current quarter as we speak, is going to start making profits. I think till last quarter, it was not making profits. I think we had incurred in the last quarter almost around Rs. 5 Crores losses over there. But most of our products in two -wheelers as well as farm equipment s have been approved as we appo ached at the end of December , 2024 . And this quarter onwards, with RKFL 's own forging, this subsidiary is going to start performing and is supposed to do well. And we are expecting at least a growth of 25% to 30% in terms of top line and significant improvement in bottom line from this company.

Shaleen Kumar: Sir, 25% to 30% growth in ACIL unit or RK FL?

Naresh Jalan: ACIL.

Shaleen Kumar: ACIL growth?

Naresh Jalan: Yes.

Shaleen Kumar: And ACIL, how much has ACIL done?

Naresh Jalan: ACIL in last quarter I think did Rs. 16 Crores. This quarter we are expecting in absolute terms to be as closer to Rs. 30 Crores. This is around anything between Rs. 27 Crores to Rs. 30 Crores we should be there. Next year, we are looking at considerable growth because of full year performance. We should be somewhere around in ACIL around Rs. 200 crores plus.

Shaleen Kumar: This is both the plants we are talking about or only one plant.

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Naresh Jalan: ACIL, only one plant is there, ACIL.

Shaleen Kumar: Manesar.

Naresh Jalan: Manesar is the only plant in ACIL.

Shaleen Kumar: The Jamshedpur unit?

Naresh Jalan: Jamshedpur does not have ACIL plant.

Shaleen Kumar: No, new unit. Wanted to get the status on the new unit of Jamshedpur plant? What is the scene over there of Plant No. 8?

Naresh Jalan: Plant No. 8 is the Casting plant which we are setting up. I think that is going to be up and running since April '25 onwards, the capacity is going to go into production. And we have a strong order book of castings from there and we are looking at almost by 3rd Quarter to reach 70% utilization from that capacity. And by last quarter, we should be doing almost to the t une of 85% to 90% utilization from this capacity.

Shaleen Kumar: What kind of a revenue are we looking at in this?

Naresh Jalan: We are going to sell machined castings. So, I think Lalit can tell you that. The average realization should be close to Rs. 130 -135 per metric ton ne in terms of casting. Lalit, if I am right, please.

Lalit Kumar Khetan: Sir, it is a little more. It will be somewhere around Rs. 150 per metric tonne .

Naresh Jalan: Rs. 150 per metric ton ne is going to be the and that is what we are looking at from that capacity in next year.

Shaleen Kumar: Sir, there is a big fall in our export volume sequentially. Is it largely because of the auto side, CV side?

Naresh Jalan: No, Shaleen, every year if you see, because being a Christmas , New Year month, there is a 15-day holiday, so we get only 2.5 months of working. So, basically that is a phenomenon every year. It starts from the 1st Quarter, 2nd Quarter, because we operate from April to March, they operate from January to December. So, end of December, 15 days probably there is practically no off -take or dispatches. So, accordingly we need to readjust our dispatches of inventories. A nd that's every year if you s ee our exports, the strongest quarter for us is the current quarter which is going on and the last quarter

means 3rd Quarter for us is the leanest quarter.

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Shaleen Kumar: Last question, I have many more but let me ask last question and then I will go back in the queue. Sir, can we get a little bit more color on the new order book which you talk about some Rs. 600 Crores plus which is non -auto? So, in terms of which segment, which geography, any more sense on that?

Naresh Jalan: It is more on, Milesh are you there?

Milesh Gandhi: Yeah. So, when I stated that we have received this Rs. 697 Crores order book during this quarter, Rs. 600 Crores has come from the mining and earth moving segment, around Rs. 54 Crores have come from oil and gas segment and around Rs. 43 Crores have come from railway segment.

Shaleen Kumar: Sir, this mining segment, is it domestic or export?

Milesh Gandhi: This is complete export.

Shaleen Kumar: Complete export. Okay. Just last question before I go back in the queue. Sir, trailer axle, how much has it contributed to the run rate etc?

Lalit Kumar Khetan : So, Shaleen, the trailer axle this quarter is about Rs. 28 Crores.

Shaleen Kumar: Almost Rs. 10 Crores ?

Lalit Kumar Khetan : This quarter is Rs. 28 Crores.

Naresh Jalan: And trailer, Shaleen, to be more substantive on trailer axle, I think we are doing extremely well. And we are looking at almost doubling our sales from trailer axle in the coming financial year. I think this sector is doing extremely well. Our product launches have been extremely good. The product has been well accepted by the market. And in nine months of sales, we have reached quarterly sales of around Rs. 27 Crores to Rs. 28 Crores. And we are looking at almost doubling the sales in the coming financial year on a quarter -on-quarter basis.

Shaleen Kumar: This is very encouraging, sir.

Moderator: Th

ank you. The next question is from the line of Kanchi Shah from MC Research.

Please go ahead.

Kanchi Shah: Sir, is it possible that you can give us the breakup of revenue segment like how much was from the commercial vehicle, passenger vehicle, non -auto, etc.?

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Naresh Jalan: No, I think we have in our presentation given the details in auto, non -auto. We have given the entire break up, like domestic auto, railways, mining and miscellaneous. And in exports, we have given auto and oil and gas and others. So, basically in auto, it is difficult for us to break up into PV, LV and all these sectors .

Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Sir, I have two questions. One was I wanted to check on what is your long -term view on like exports, like what is your target especially coming from the auto sector in the export segment? It has been slightly declining, and we know that auto sector in general outside India has been on declining trend. So, just wanted to check, are you planning to move to increase share in the export?

Naresh Jalan: Our continuous endeavor is to continuously improve in terms of all the segments, but I don't see a decline in terms of our exports in the auto sector and we continue to gain new orders, new segments within the auto sector and continue our vision of growing our exports into automotive plus non -automotive. With the new automotive order wins, we are growing our business in export, but that does not mean that our exports to automotive segments have declined.

I think if you only see in the third quarter , but I don't see that there is a decline in terms of our fourth quarter exports to auto segment. In nine months, we have done almost, last year we did 37.4% in terms of our automotive export. This year, we have done almost 37.8% automotive exports. So, I think we are well on track with the growing top line. We are maintaining our percentage in terms of the overall contribution in revenue.

Lalit Kumar Khetan: Just to add here, we have done exports of Rs. 1,172 Crores for the 9 -month versus Rs. 1,070 Crores for the previous. So, there is a growth of almost 9.5% in the current year in the exports revenue, and that is mainly consisting of auto only.

Vijay Pandey: Thank you Sir. I just wanted to confirm about the pricing, the average realization, if you can just guide us how the realization will look like for the fourth quarter for FY

'26. Is it going to be broadly in line or do you expect to increase it?

Naresh Jalan: No, I think right now it is very difficult to comment. Realization is directly linked to raw material pricing, and it will depend on how the raw material steel continues to perform and if steel declines, I don't think there is going to be any decline. We are more concentrated on our conversion margin, and I think in terms of our conversion margin, we are keeping on increasing and that is the reason our realization still remains intact .

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While there is a raw material decrease in the last quarter , our realization has not been much impacted in terms of the overall drop in steel prices.

Vijay Pandey: So, in the case of the steel prices increase, we will be able to pass on the price increase?

Naresh Jalan: Yes.

Moderator: Thank you. The next question is from the line of Dhawal Shah from Girik Capital. Please go ahead.

Dhawal Shah: Sir, great set of numbers. Congratulations. Only one question I have. If you can help us understand the cost saving initiative which we had taken by onboarding a consultant. So, how is that progressing and is it getting, the benefits are getting lost in the other operational expenses which we are doing for our expansion plus Mexico and plus other subsidiary investments?

So, except of that, where is the cost saving benefit visible on the P&L?

Lalit Kumar Khetan : Dhawal, see, the cost saving benefits are continuing and the result will certainly come in the P&L in the upcoming year as we are already at a quite advanced stage in the progress. So, just wait for some time , then we will elaborate more on that.

Moderator: And just one more. This utilization is about 80% by the fourth quarter of next year you mentioned on the consol level. Am I correct?

Naresh Jalan: No, it is for the casting plant.

Dhawal Shah: Of the casting plant. Okay.

Naresh Jalan: Yes, which we are just setting up the capacity.

Dhawal Shah: And the expanded capacity which is 392 including subsidiary, on that utilization, what you had commented.

Naresh Jalan: 392 includes casting facility. Right now, casting facility inclusive it is 2,66,000 metric tonnes. And that is going to move to 3,92,000 metric tonnes. So, individually, I think in terms of casting capacity, 62,000 metric tonnes, we are looking at almost 80 plus percent utilization in the coming year. And in forging, we are looking at almost 15% growth in the coming year from where we end this year.

Dhawal Shah: So, currently, since the console volume is not mentioned, the existing forging is only 4,000, right, in the subsidiary under RKCSL?

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Lalit Kumar Khetan : Yes, correct. RKCSL, we have only 4,000 forging capabilities right now. 18,000 metric tonnes is under commissioning. So, this will also get added before March , 2025 .

Dhawal Shah: So, this would be, so there we have started the production, out of this 4,000 how much?

Lalit Kumar Khetan : Yeah, so if you look at the precise number, I am not sure. Dhawal, I don't have the exact number. We have produced around 500 to 600 metric tonnes of forging in this quarter.

Moderator: The next question is from the line of Devvrat Mohta from Capital International. Please go ahead.

Devvrat Mohta: Just one quick question, I wanted to understand between Q2 and Q3, on a consol basis EBITDA did not really grow a lot, like what's happening on a quarter -on-quarter basis, like why is it not growing?

Naresh Jalan: No, EBITDA has grown, Devvrat. I think if you see the overall expense side, there are few things which are, if you see, the raw material decrease which has happened in this quarter is basically close to around Rs. 3,000 per metric tonne in the domestic side and in export close to Rs. 4,500 per metric tonne, which has hit our inventory available with us plus the warehouse and what was material in transit. So, all this has been accounted for in this.

And second is our other expenses which have gone up by almost Rs. 13 Crores, which includes around Rs. 7 Crores is on account of labour wages, means the blue collared labourers which are basically contractual labourers, the minimum wages which has gone up in India for that and plus Rs. 6 Crores for the expenses which we incurred for setting up our entire booth in Hanover , Germany fair. So, all this taken together if you see, the

overall impact has been close to around 2.5% of the EBITDA which we could have got in case these expenses would not have been there.

Devvrat Mohta: So, Nareshji, how much would be the impact from just this Q -o-Q inventory impact on a consol basis? Just the inventory. Not Hanover and labo urr cost.

Naresh Jalan: Inventory hit is close to, Lalit, what is the exact inventory quantum hit?

Lalit Kumar Khetan: So, it will be somewhere around Rs. 12 Crores to Rs. 13 Crores, value terms.

Naresh Jalan: Close to around, both taken, labo ur wages, Hanover and this taken together is close to around 2% of the EBITDA. Basically, that is what we feel, 2.5%.

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Devvrat Mohta: But the labo ur wage is a recurring thing, right?

Nar

esh Jalan: No, that is not a recurring thing. Basically, what happens is that there was a substantial VDA increase in this quarter because of the election. It was not there for the 6th month and suddenly in the month of October , 2024 the back effect was given and from 1st October it was increased. So, entirely came in one quarter at one stroke.

Devvrat Mohta: So, then this will not, so next quarter, for example, this will not recur , is it?

Naresh Jalan: In the current quarter this will not incur .

Devvrat Mohta: So, this is a Rs. 6 Crores one time because of whatever, because of whatever reason .

Naresh Jalan: Yes, and the Hanover , Germany fair also is the onetime expense which happens only once in 3 years.

Devvrat Mohta: So, you think basically all of these 3 things put together is about 2% of EBITDA margin?

Naresh Jalan: Yes, what we feel.

Devvrat Mohta: Understood and in this your FOREX loss that you have, you basically explain that steel is a pass through, effectively a pass through.

Naresh Jalan: With the one -month lag, we have to pass on.

Devvrat Mohta: You pass it on. So, on whatever inventory that you have, you take a write down, but when you sell it, it's already sold at a particular, can you explain the contract a little bit, just exactly how it works?

Naresh Jalan: No, basically material which is in sea and in my warehouse, in like Europe , in Ramkrishna Forgings LLC is the warehouse which we have in U.S., whatever inventory is sitting there, on the day we invoice, that is the day the rate is applicable, whether it is increase or decrease. So, we need to take a hit in the inventory plus whatever material like 2 mon ths inventory for all the exports, in some case it is 30 days, in some case it is 40 days, we need to maintain inventory in our plant to basica lly adjust to ramp up or ramp down. So, that inventory also gets a beating on that.

Devvrat Mohta: But for example, if you buy steel at Rs. 100 and you sell it at, I mean, the day the sale is made, the steel is at Rs. 98. The Rs. 2 inventory that is sitting in your books, you take a hit on it.

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Naresh Jalan: Yes.

Devvrat Mohta: So, my question is, eventually you get paid for this or you don't get paid for it?

Naresh Jalan: No, I don't get. No, if there is a steel decrease, in Rs. 100, if there is Rs. 3 steel decrease, then I get paid on Rs. 97 and if there is a Rs. 3 increase, I get paid whether I bought it at Rs. 100, I will get it at Rs. 103. So, either side, if there is an increase, I get paid extra, and if there is a reduction, it will get deducted.

Devvrat Mohta: And this is basically on whatever steel that you have, which is either lying in your godown or it's on the sea basically?

Naresh Jalan: Yes.

Devvrat Mohta: So, basically adjusting for this, your EBITDA should have been roughly, I mean, Rs. 20 Crores to Rs. 25 Crores higher.

Naresh Jalan: Rs. 22 Crores higher, roughly.

Moderator: Thank you. The next question is from the line of Viral Shah from ENAM Holdings. Please go ahead.

Viral Shah: Sir, first, just wanted to check on the net debt number. What would that be at the end of the quarter?

Lalit Kumar Khetan: So, net debt number right now will be Rs. 440 Crores at the end of quarter.

Viral Shah: So, it's flat largely on a quarter -on-quarter basis?

Lalit Kumar Khetan: No, so it's up by almost Rs. 250 Crores quarter -on-quarter.

Viral Shah: This is the consolidated number, right?

Lalit Kumar Khetan: I was talking about the standalone. The consolidated number is somewhere around Rs. 1,500 Crores.

Viral Shah: Secondly, can you just throw some light on the working capital? How is it? I think in the previous quarter it was slightly elevated. So, how are you seeing the working capital coming along?

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Nares

h Jalan: I think it is still elevated, Viral, because of the Red Sea issues, transits, whatever were delayed, still remains. I think this quarter we will see a fairly good reduction in the debtor days.

Viral Shah: So, where do you see this debt number by the end of the quarter?

Nareesh Jalan: I think it will be flattish.

Viral Shah: It will remain flattish.

Nareesh Jalan: Yes. It is elevated because of the debtors, and I think by the financial year end it will get to flattish.

Viral Shah: When you mean flattish, it will remain at this level? Is that?

Nareesh Jalan: No. I think we are looking at close to around Rs. 1,240 Crores consolidated debt levels by the financial year end.

Viral Shah: Second, just a clarification on the casting announcement that you made. So, in one of the slides, you have said that your capacity by the year end will be 3,92,000 metric tonnes including casting capacity expansion from 33,600 metric tonnes to 62,400 metric tonnes. Does this number include the 30,000 metric tonnes expansion also? Does this not include?

Nareesh Jalan: This includes the 30,000 metric tonnes capacity, which we are planning to put up.

Viral Shah: So, just mathematically, if I subtract 62,400 metric tonnes.

Lalit Kumar Khetan: There is a little adjustment there. It has to be 63,000 metric tonnes. There is an error in the printing. It has to be 63,600 metric tonnes instead of 62,400 metric tonnes.

Nareesh Jalan: 1,200 metric tonnes by mistake has gotten missed out.

Moderator: The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: So, my first question was, so I see that in the last three quarters, our gross margin increased substantially to 58%, 57%. So, what are the major attributes for this increase in gross margin compared to our earlier years?

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Nareesh Jalan: No, basically the addition of new portfolios, which are coming in like trailer axle, suspension and all these items, which we have started and majorly moving into large assemblies is helping us to improve our gross margins.

Khush Nahar: So, going ahead, we see further improvement, like what kind of sustainable EBITDA margins we can do.

Nareesh Jalan: I think it is not going to be every quarter to be precise, but yes, for the full year, next year, we are looking at a substantial improvement.

Khush Nahar: In our EBITDA margins?

Nareesh Jalan: In our gross margins.

Khush Nahar: Gross margins, okay. And sir, any particular reason depreciation is a bit lower than last quarter. Quarter 3 FY '24 versus '25.

Nareesh Jalan: Lalit?

Lalit Kumar Khetan: On the EBITDA margin?

Nareesh Jalan: No, depreciation.

Khush Nahar: Absolute depreciation.

Lalit Kumar Khetan: Absolute depreciation, there was a correction last year. If you look at last year, we did the adjustment in the machine assets life. We have increased the useful life. That was done in March '24 numbers. So, that's why it is quarter-on-quarter. If you look at year-on-year, it looks decreasing. Otherwise quarter-on-quarter, it will be increasing. So, it has gone down from the March '24 quarter.

Khush Nahar: So, is the current level sustainable quarterly run rate ratio?

Lalit Kumar Khetan: Yes.

Moderator: Thank you. The next question is from the line of Aditya Gupta, an individual investor. Please go ahead.

Aditya Gupta: I, first of all, wanted to inquire about the current estimated go-live dates of the various plants. So, we have the 25,000 metric tonnes cold forging line and the 14,250 metric

tonnes that I am guessing we are saying should come up this quarter. Is that right?

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Naresh Jalan: It is going to come up in this month itself. We have already submitted our samples and already we have started manufacturing samples. O

nce we start serial production, which

probably I think is going to be in this month itself, we are looking at almost by last week of this month go -live in cold forging.

Aditya Gupta: As well as the 14,250 metric tonnes ?

Naresh Jalan: 14,250 means?

Aditya Gupta: 14,250 metric tonnes forging.

Lalit Kumar Khetan: Upsetter capacity of 14,250 metric tonnes is also under commissioning. This will also commence within this quarter.

Aditya Gupta: This quarter. Understood. And can you give similar go -lives for the 40,000 metric tonnes hot forging aluminum, the 18,000 metric tonnes ?

Naresh Jalan: I think the 8,000 ton nes press and aluminum forging s both are going to go live by July coming year. Sorry, in this current year by July.

Aditya Gupta: July '25.

Naresh Jalan: Yeah, July '25.

Aditya Gupta: And for the subsidiaries we have 18,000 metric tonnes forging capacity and 28,000 metric tonnes casting capacity.

Naresh Jalan: 18,000 -ton forging is going to go live in this quarter itself by the end of this quarter in the subsidiary, and in casting, it is going to go live by April '25 almost about 80% of the capacity and balance is going to go live by July '25. So, the capacity expansion of from 2,66,750 to 3,92,000 metric tonnes plus almost by July we are going to be done with all these things, and the entire capacity is going to be in place.

Aditya Gupta: And the old expansion in the subsidiary of 28,800 is the same thing that we are now are saying is a 30,000 -capacity increase. I am just ensuring.

Naresh Jalan: Yes.

Aditya Gupta: And just one same thing like on the 25,000 metric tonnes cold forging, I think from about a year ago we have been saying that we are fully booked in advance in terms of order for this capacity.

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Naresh Jalan: Yes.

Aditya Gupta: And in spite of that we have delayed this plant by almost a year.

Naresh Jalan: I think we have not delayed the plant. It is basically because of the Red Sea issue, first of all, the plant came in three months delayed and because of the kind of automation and complexity it is to establish the plant, the equipment manufacture took almost six months' time and now since December we are already making samples and other things. We are going to go live like by this confidently telling you by the month end, January end we are going to start serial production and any new project or any new technology which we bring in sometimes have their own complications and that is the reason it takes more than estimated time. That is what has happened over here.

Aditya Gupta: And just one last question from my side. Like because of the current uncertainties around trade regulations particularly for the U.S., any thought work that we might have ongoing for our Mexico plant and earlier as well we had mentioned that we might invest more over there from a CAPEX point of view. Just wanted to hear what your thoughts are around the same?

Naresh Jalan: No, I think our Mexico operations are going as per plan. I think it is slightly delayed, but it is on track, and we are expecting that to go full on in the coming year, and we have already received almost a 5 Million US Dollar new order of conversion over there in our Mexico operations. So, we are looking at this as an exciting opportunity in Mexico, but regarding this trade issue, which after the regime change, we are hearing lot of things, but I think it is whatever we are manufacturing in Mexico will be sold by us within Mexico. And I don't know what my customers ultimately are going to do with the product, how they are going to take it to U.S., or what they are going to do. So, I am not much concerned about that. So, I would not like to comment in that.

Aditya Gupta: Makes sense, and just on the same line, like lot of our growth over the last few years has been export based and so like

on similar line, do you foresee, like, what's your thought process on risks or challenges that might come from these?
Naresh Jalan: No, I think not only in exports, we have grown both domestically and both in exports. And I think in the opening statement of Lalit as well as my statement in the presentation, we have very well highlighted our next level of growth from PV and two wheelers in the domestic segment and the farm equipment are going to be one of the biggest catalyst for growth in the coming few quarters and as well as coming couple of years and as well as the non -auto segment new order wins which has happened in North America to the tune of close to around Rs. 600 crores. So, obviously, all these

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things taken together we are very confident of our performance both in the export and the domestic segment.

Moderator: Thank you. The next question is from the line of Manav Shah from Nuvama Wealth. Please go ahead.

Manav Shah: Just one question. Can you share the order wins for the quarter and the breakdown of it?

Naresh Jalan: I think now it is already there in our presentation, and I think Mileshe has also in his opening statement. Mileshe, can you again elaborate it?

Mileshe Gandhi: So, in this quarter, Rs. 697 Crore order book has been received to be executed over a period of four years in which I specified Rs. 600 Crores came for an export order for mining and earth moving industry, Rs. 54 Crores came from oil and gas, and from railways we got a Rs. 43 Crores order book.

Moderator: The next question is from the line of Chirag Shah from White Pine Investment. Please go ahead.

Chirag Shah: Lalitji, just one question on this INR depreciation. If you can help us understand, how does it help us because there is a reasonable depreciation off late. So, we must be doing some forward contracts. So, when does the benefit start flowing in P&L?

Lalit Kumar Khetan: So, Chirag, see, you are talking about the foreign exchange gain basically. So, certainly it is helping us. And see, we have a policy of hedging exports also. So, we have a policy of hedging 50% to 60 % of the exports, but simultaneously we have the import, we have the packing credit also that offsets also some of our gain. So, we are consistently gaining on the dollar, but you know the currency is very volatile, but we are keeping us quite on the edge and monitoring it and for the nine months we have gained Rs. 20 Crores on the absolute terms in the currency negating all the import factor also. So, net gain for the nine-month period is about Rs. 20 Crores on the currency side, and we hope to continue with the currency gains every quarter.

Chirag Shah: So, sir, in a very simple way if the recent INR depreciation say in last whatever one month, the benefit of that will be visible six months down the line, right?

Lalit Kumar Khetan: That will be visible, but Chirag, that will be somewhat offset with the import obligations we have.

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Naresh Jalan: Chirag, also this is basically, entire currency gain is not with us. Every quarter our price is reset also with the currency adjustment plus minus 5%, so entire is not coming to our kitty. Our exports gain are partially offset by imports. And the currency basically if you see the devaluation which has happened, it has happened globally for all currencies. So, to basically compete with our customer, we cannot expect the entire currency gain to come to our balance sheet. Otherwise, we will not be able to get new business from our customer looking into the competition which we have globally.

Chirag Shah: No, sir, this is a good strategy, perfect strategy. Sir, one last clarification. Recently, there was an announcement of creation of SPV for a railway wheel. So, is it the same continuation to the earlier JV that

we had or this is something over and above that?

Naresh Jalan: No, no, it is in continuation to the JV we have. Basically, the railway wheel contract has been assigned to the SPV and now the SPV has taken up the manufacturing of the wheels.

Chirag Shah: So, the SPV means JV, right?

Naresh Jalan: Yes.

Moderator: The next question is from the line of Vidrum Mehta from ASK Investment Managers. Please go ahead.

Vidrum Mehta: Sir, firstly, can you help us with the Q3 revenue for subsidiaries that is Multitech and JMT?

Lalit Kumar Khetan: Certainly, Vidrum, so, see, Rs. 952 Crores is the revenue for the company and if you look at RKCSL (JMT), revenue was somewhere around Rs. 42 Crores and ACIL is Rs.16 Crores and Multitech is somewhere around Rs. 100 odd Crores. So, that is the revenue, but there is an elimination also because of the interrelated party. So, that's why it is around Rs. 1,073 Crores on the consol number.

Vidrum Mehta: Sir, you alluded to the fact that in your opening remarks that the CV demand is relatively moderated or muted and you expect the recovery from H2. So, just wanted to understand is it H2 of FY '26 or H2 probably of CY '25?

Naresh Jalan: No, no, I think to be precise we are already seeing an elevated demand from this quarter in the commercial vehicle and what Lalit wanted to basically more elaborate that we are expecting the calendar year, means second half of this calendar year to be very robust seeing all the election and other things being over and budget also over. So, we

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feel that post the budget allocation and everything, the demand is going to be extremely elevated in the commercial vehicle sector.

Vidrum Mehta: So, what kind of growth do we envisage?

Naresh Jalan: No, in terms of RKFL, we are looking at almost 15% year -on-year volume growth in the coming year also, and if you see precisely overall in the consolidated level, in the volume terms we have almost had 13% growth and we still feel that in this quarter, post closure of this quarter, we should be almost 15% plus which we had envisaged when we started the year. So, we will be 15% plus in terms of volume growth and next year also we are looking at 15% plus growth year -on-year.

Vidrum Mehta: Sir, on the consolidated basis I agree, but I guess this year we are consolidating some of the subsidiaries and that is why the volume looks higher.

Naresh Jalan: No, I think if you see in the subsidiaries, I think ACIL does not have forgings, RKCSL (JMT) has miniscule forging right now, like Lalit has said, only 500 metric tonnes of forging. In Multitech casting we have done extremely well. We have increased our casting. If you see the overall in full year results we have been able to achieve in 9 months, almost in 9 months. So, we have been able to ramp up everywhere.

Vidrum Mehta: Sir, what I was referring to is, I guess when we were guiding for 15 % to 20% volume growth, it was more to do with the standalone volumes, which we were referring to. You can correct me if I am wrong and for the 9 month roughly we have grown by 7% on the volume front.

Naresh Jalan: No, in RKFL, on a standalone basis, I think we have grown almost by 8.5%. Lalit?

Lalit Kumar Khetan: Yeah, around 8%. Only 8%.

Naresh Jalan: Only 8% in terms of RKFL on a standalone basis and this is mainly due to, I think, our cold forging getting delayed and as well as slight subdued demand in the domestic market. If cold forging would have started, I think, which we had guided to start in month of September , 2024 , we would have added almost 6,000 metric tonnes volume in the last 3rd Quarter. So, cold forging which has not started has eliminated almost 6,000 tons of forging from there, from a capacity of 24,000 metric tonnes which we are setting up.

Lalit Kumar Khetan: And Vidrum, being the fourth quarter, we see a significant uptick

in terms of RKFL

standalone because cold forging is getting started and volume will be more. So, we will be certainly getting a much better uptick.

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Vidrum Mehta: And sir, trailer axle revenue you said Rs. 28 Crores will be for Q3 and that will be part of standalone, correct?

Naresh Jalan: Yes, part of standalone.

Vidrum Mehta: So, if I adjust that probably the growth looks very subdued. Last year in Q3 trailer axle was not a part of our business, right?

Lalit Kumar Khetan: Can you please repeat the question?

Vidrum Mehta: Sir, trailer axle revenue is Rs. 28 crores for Q3. And that is a part of standalone business. If I adjust that, the growth for the standalone looks flattish because last year trailer axle was not a part of our business.

Naresh Jalan: But to be precise, I think trailer axle also requires forging. So, with forging capacity only. So, utilization from forging capacity, from there only the forgings are going to come.

Lalit Kumar Khetan: So, the trailer axle capacity of tonnage also is added also in our tonnage also, and if

you look at the current quarter tonnage also, Vidrum, so domestic volume is 35,000 metric tonnes in the quarter, then the 27,000 metric tonnes of the previous quarter and 28,000 metric tonnes for the quarter. You can see the increase in tonnage that includes the trailer axle also. And that is part of domestic sales, previous quarter also, this quarter also. So, what we see is the Rs. 570 Crores of sales, over Rs. 537 Crores that includes in both the quarter trailer axle.

Vidrum Mehta: Sir, CAPEX number for '25 would be Rs. 650 odd Crores, which last time you had guided, or will it change because of this new capacity expansion plan?

Lalit Kumar Khetan: Little bit due to that expenditure and that will be added of the casting plant. Otherwise, that will be near to that only.

Vidrum Mehta: And for '26, how much should we assume?

Lalit Kumar Khetan: So, give us some time. We will update it on the next con call for FY'26 because lot of things are happening. We will give you a correct update on that for FY'26.

Naresh Jalan: But I think, Vidrum, next year with almost all the projects getting whatever we are adding is going to get completed by July, 2025, we don't see significant CAPEX happening in next year. There is going to be I think this whatever capacities we are putting in is going to be for next two years more than enough. Any capacity addition

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which is going to significantly happen is going to happen only in FY '27. So, FY '26 we don't see any significant except these projects which are up and running and to get completed by July this year.

Vidrum Mehta: Sir, lastly can you share the cumulative order book which you have in your books right now which is to be executed over the next 3 –4-year period? What would be that number?

Milesh Gandhi: So, for this quarter, we have already communicated as to what is the order win which we have. But I think he is trying to ask for a holistic view, right?

Naresh Jalan: Holistic what? I think in the last two quarters what we have got, he is asking for the total order book.

Milesh Gandhi: Yeah. So, in the last quarter if you see, we had communicated, we got a Rs. 1,522 Crores order book to be executed over a period of four years in which basically a good chunk of around Rs. 1,475 crores came from North America and around Rs. 47 crores business from India. And in this quarter, we have got Rs. 697 Crores in which around Rs. 600 Crores is against exports market for mining and earth moving industry and Rs. 54 Crores from oil and gas and Rs. 43 Crores from railways. So, I think you can add upon Rs. 1,522 Crores plus Rs. 697 Crores is what we have been able to get the order book.

Naresh Jalan: These are the new businesses?

Miles

h Gandhi: Yes, for the new business.

Vidrum Mehta: Yes sir, in addition to that in Q1 also we got orders worth Rs. 1,679 Crores.

Lalit Kumar Khetan: Yeah, Rs. 1,679 Crores for Q1. Altogether it is Rs. 3,900 Crores for the 9 -month period.

Vidrum Mehta: So, I was just referring to the overall order book which you have right now in your books. In the last 4 or 6 quarters, adding up all those 4, 6 quarters.

Naresh Jalan: We don't maintain this way, Vidrum. I think we basically go because once this basically our annual projections which we get from the customer and then based only for the railway we have a firm order book and rest of the order books move into a six-month scheduling system.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

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Rajesh Mundra : Thank you very much. We take this opportunity to thank everyone for joining the call. We hope that we have been able to answer and address all your queries. For any further clarification or information, kindly get back to us or reach our investor relation advisors. Thank you very much for sparing your time and joining us in the call. Thank you and have a good weekend.

Moderator: On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcript and may contain transcription errors. Certain statements made or discussed on this call may be forward looking in nature and must be viewed in conjunction with the risks and uncertainties

that the company faces. The company does not undertake to update these forward-looking statements publicly. Please also note that this document has been edited without changing much of the content, to enhance the clarity of the discussion. No unpublished price sensitive information was shared/discussed on the call.

Call: Jun 2025

RAMKRISHNA FORGINGS LIMITED

Date: 7 June, 2025

To To

The Listing Department The Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,
Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai - 400 001 Mumbai- 400 051

BSE SCRIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure
uirements) Regulations, 2015 - Earnings Call Transcript - Q4 & FY 2024-25

This is further to our intimation dated 28 May, 2025 w.r.t Earnings Conference call with
Analysts/Investors on the Audited Standalone and Consolidated Financial Results of the Company
for Q4 & FY 2024-25.

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Earnings
Conference Call Transcript held with Analysts/Investors on Monday, 2 June, 2025 at 8:30 Hours
(1S.T).

Copy of the same is also being made available on the website of the Company at
www.ramkrishnaforgings.com.

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra

Company Secretary
& Compliance Officer

ACS: 12991

Encl.: As above

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Ramkrishna Forgings Limited

Q4 & FY'25 Earnings Conference Call Transcript

Monday, June 02, 2025

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR

MR. CHAITANYA JALAN – WHOLE -TIME DIRECTOR

MR. LALIT KUMAR KHETAN – WHOLE TIME DIRECTOR

& CHIEF FINANCIAL OFFICER

MR. MILESH GANDHI – WHOLE -TIME DIRECTOR

MR. RAJESH MUNDHRA – COMPANY SECRETARY &

VICE PRESIDENT (FINANCE)

MODERATOR : RAGHUNANDAN , NUVAMA WEALTH MANAGEMENT

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Moderator: Ladies and gentlemen, good morning, and welcome to the Ramkrishna
Forging Q4 FY '25 Earnings Conference Call, hosted by Nuvama Wealth
Management Limited.

As a reminder, all participant lines will remain in the listen -only mode and
there will be an opportunity for you to ask questions after the
presentation concludes. Should you need assistance during the

conference call, please signal the operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.

I would now like to hand the call over to Mr. Raghunandhan from Nuvama Wealth Management Limited for opening remarks. Thank you, and over to you.

Raghunandhan: Good morning, everyone. Thank you for joining the call. We are pleased to host Ramkrishna Forgings Q4 FY '25 Earnings Call.

From the management team, we have Mr. Naresh Jalan, Managing Director; Mr. Chaitanya Jalan, Whole-Time Director; Mr. Lalit Kumar Khetan, Whole-Time Director and Chief Financial Officer; Mr. Milesh Gandhi, Whole-Time Director; Mr. Rajesh Mundhra, Vice President Finance and Company Secretary.

We thank the management for giving us the opportunity. Initially, we'll start the call with opening remarks from management, and then we'll open for a Q&A session. Over to you, sir.

Lalit Kumar Khetan: Yes. Thank you, Raghu. Good morning, everyone, and thank you for joining us on this call to discuss the Q4 FY '25 earnings. I trust all of you have had a chance to review the earnings documents that we have shared earlier.

Financial year 2025 was a year defined by both challenge and progress. Despite a complex macroeconomic environment, we made good progress on multiple fronts. It has been a good year in terms of orders wins and customer addition as we have reported around Rs. 4,600 Crores of new orders during the year, which has been well diversified across geographies as well as across end user industries of auto and non-auto and railway. My colleague, Milesh will speak later on this.

Coming to capacity addition, I am sure you all would recall that in January, we commissioned our cold forging capacity of 25,000 tonnes and in March, we commissioned our hot forging and warm forging balance capacity of 14,250 tonnes. With this new capacity on-stream

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right now presently capacity is at 268,400 metric tonnes at RKF L stand-alone.

And on 27th March, NCLT approved the merger of ACIL into the parent entity and with the Appointed Date of 20th February '24. This is a key milestone in our plan to simplify our business structure. The final step, merging Multitech Auto and Mal Metalliks into Ramkrishna Casting Solution is underway and will be completed during this year.

Now let me share some financial highlights for the fourth quarter. We have reported a consolidated revenue of Rs. 947 Crores, lower by 3% on a year-on-year basis. EBITDA, excluding other income, was Rs. 99 Crores in Q4 compared to restated EBITDA of Rs. 188 Crores for Q4 last year. Profit after tax is Rs. 200 Crores in Q4 FY '25 compared to Rs. 65 Crores in Q4 FY '24. And however, this PAT was added by the deferred tax quoted on account of merger of ACIL amounting to Rs. 223 Crores.

Coming to the financial highlights we reported consolidated revenue of Rs. 4,034 Crores, higher by 9% compared to the previous year. Full year consolidated EBITDA stood at Rs. 560 Crores compared to Rs. 770 Crores for FY '24. Profit after tax for the year is Rs. 332 Crores compared to restated PAT of Rs. 283 Crores in FY '24.

In April '25, India Ratings has upgraded the Company's long-term bank loan rating to IND AA with a Stable Outlook from IND AA - and also affirmed the short-term rating to IND A1+.

Now regarding the inventory discrepancy, the Company has received the Interim Joint Fact

-Finding Report from the independent external agencies, which have confirmed that certain erroneous entries in production and non-recording of rejections at some plants have resulted in overstatement of inventory as book stock of these inventories were higher than the physical stock. The discrepancy amounts to Rs. 220 Crores for FY '24-'25 and Rs. 50 Crores for '23-'24 as accounted for in the accounts. And the same has been accounted for in the financial results

of the Company for the quarter and year ended March '25 and March '24, respectively.

I would like to state here that, as the management team, we firmly believe that there will be no further significant accounting on financial impact on the books of account arising out of the balance part of the joint fact - finding study being carried out by the independent external agencies.

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The approximate adverse impact net of tax on net worth of the Company is around Rs. 202 Crores, which is around 6.73% of the Net Worth of the Company as on March 31, 2025. The Promoters remain fully committed to bridging this shortfall, reaffirming its dedication to safeguarding the interest of all stakeholders. Details of remedial actions to be undertaken by the Promoters will be covered by our MD, Mr. Naresh Jalan.

Now I hand over the proceeding to Mr. Naresh Jalan, our MD. Thank you. Over to you, sir.

Naresh Jalan: Thank you. Good morning to everybody. Thank you for taking time to join the call.

The interim fact -finding report has come and in response to that, we have implemented corrective measures, including enhanced auto -recordings and stricter controls and improved processes across our manufacturing process. This is the first instance for the Company in its history since inception and we will ensure and do what all is required to ensure that this never happens again and continue to adhere to highest standards of Corporate Governance while conducting affairs of the Company. As indicated and committed, the Promoters would come forward to make good the shortfall arising due to the inventory discrepancy.

In order to facilitate that, the Board of Directors have approved the issuance of 9,75,000 Warrants to Promoter entity convertible into Equity Shares of 9,75,000 of a Face Value of Rs. 2 each at a price of Rs. 2.100 aggregating to Rs. 204.75 Crores. And as Promoter entity, we commit to get this entire money before the end of this financial year.

Now I request Mr. Mitesh Gandhi to update the investor group in terms of the order wins and the market conditions currently.

Mitesh Gandhi: Good morning. Thank you, Nareshji. I would like to communicate the order wins in Q4.

The Company received new order wins worth Rs. 710 Crores for a program life being 4 years. Against the total order win, 74% are from automotive segment while 23% is coming from the non -automotive segment, which is in line with the diversification strategy of the Company. We are also looking forward to the next level of growth that is coming from the passenger car segment.

We believe the revenue stream will start from the Financial Year '27 in a big way. At the same time, we have also received orders from Indian Railways for the supply of fully assembled bogie frames. This bogie

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frames assembly will help us to demonstrate the full potential of our fabrication business. That is the natural progression from the individual frames and bolsters to the fully assemblies which makes it complete. That's from my side.

Lalit Kumar Khetan: Thank you, Mitesh. Raghu, now we can open the floor for the Q&A session.

Moderator: Thank you. The first question comes from the line of Manish Ostwal from Nirmal Bang Securities Private Limited.

Manish Ostwal: My first question, this inventory -related issue. So, the reported number is

much higher than what we said at the time of the last call and in the notes to account, the management said they do not see any significant impact still the joint fact -finding committee report is not finalized. So, on what basis we are saying that? And secondly, can you comment on the higher number than what we indicated earlier?

Naresh Jalan: A joint fact -finding interim report by the independent external agencies

has already been published based on the PV which they had conducted. And post this, right now, only root cause analysis of fact finding exercise, which is going on, which and we are sure that, that is basically to estimate the reasons why this has happened. So, there is not going to be any financial impact in the balance sheet. We are absolutely firm and sure that there is not going to be any financial impact in the balance sheet based on whatever we have seen, and we have provided 100% of what we have been given from the third party.

And in terms why the reasons, I think reasons for why it has happened, it is still, I think, only a week left when we will have the first full final report, and the same will be made public to understand the actual reasons and find reasons for the same.

In terms of why the quantity has gone up, we had given our estimates based on whatever, we, at that period of time, were able to assess. But as we had said that period of time also, the assessment is still under progress. And during this third-party PV, we had closed down all our operations for a couple of days, and we conducted the entire piece-to-piece PV across all locations.

And every single piece was accounted for, so that every single thing that should have been provided. And so that in near future or near decade, never again this may occur. So, we have taken a prudent step to close operations for a couple of days and ensure that every single thing is provided off and in future, this never ever occurs again.

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Manish Ostwal: Quite a statement, sir. And the second question on this gross debt and the working capital increase we have seen during the year in March 2025 versus '24. So, any specific reason of this kind of working capital increase? And where do you see the working capital days to settle in FY '26 and over the medium term, sir?

Lalit Kumar Khetan: So, in terms of working capital increase, if you look at the overall working capital, it has gone up by almost Rs. 400 Crores during the year. And we have discussed in the past, that is mainly due to increase in transit time and Red Sea issue.

So, the goods are taking more time in the sea, plus as you know a lot of new development has happened during the year due to these new customer wins and new orders for which bulk supply are yet to start, but the account has been built up on all those accounts. And in upcoming period, you will see an improvement on this account. And this is because the increase in turnover will help to improve the moderation in inventory on these accounts.

Naresh Jalan: Also, I think one thing which should be noted that the new developments, which went into pipeline over in last quarter, to fill up the warehouse in overseas market, we had to ship parts, which is getting consumed in this quarter. And once consumption starts, automatically normalization of the working capital or the debt will start happening.

And in terms of future, we can assure the investors with the current cash flow, which we see in terms of our business and the way the business is performing right now and with the kind of robust pipeline, which we believe we have and with the kind of customers we have been able to build, we feel that we will be able to reduce substantial debt, including working capital going forward in coming days and coming months. By the year-end, basically, FY '26, a substantial reduction will

happen in terms of the overall debt is concerned.

Moderator: The next question comes from the line of Mitul Shah from DAM Capital Advisors.

Mitul Shah: So again, first question on stand-alone Q4 revenue. We believe that there is no onetime adjustment in revenue. Entire inventory-related impact is in raw material side, right? So, the contraction in revenue is too high compared to the peer group Bharat Forge and all those leaders reported number. At the same time, commercial vehicle production Q-on-Q was also reasonably good. So, any specific reason apart from this inventory-related thing?

Lalit Kumar Khetan: Mitul, I would like to explain this. See, after this inventory issue, whatever happened and discrepancy, we have now decided to go or take more changes with any recognition policy. And in this quarter, we have not accounted for the goods, which has left the factory but not reached the customer's place. So, on that account, about Rs. 100 Crores of revenue has not been recognized in this quarter.

And going forward, we will follow this policy only. And apart from that, you know that there has been a duty imposed in the U.S. And so, in a lot of goods, and from the March, the duty of 10%, we are paying on our goods. So, since March, whatever the goods, we are paying duty in the U.S. is being recognized on payment of duty. Earlier, once it left India, we have recognized sales.

As now the terms are delivery and there was no duty earlier, so it was getting recognized. So Rs. 70 Crores on account of that has not got recognized in this quarter. So going forward, it will be a normal practice, and there will be no impact of this accounting in the future. And that amount has been built in basically from debtor to inventory.

Naresh Jalan: Mitul, to answer you very straightforward whatever you asked for, Rs. 170 Crores approximately has not been recognized. Looking into prudence of future, as said in my earlier statement, we have taken cognizance of whatever has happened. And going forward, to get into best practices, we have basically reset our entire recognition model and Rs. 170 Crores in all has not been recognized as revenue, which will be recognized in coming quarter. And going forward, this is going to be the policy.

One reason basically is the duty which have not been paid at the port, the revenue for the same has not been recognized. And second, for the goods which have left our plant, but has not reached customer end has not been recognized as sales. So, taking both together, it's close to Rs. 170 Crores plus, which has not been recognized in revenue in the quarter 4.

Mitul Shah: Okay. The question is then FY '26 revenue, do we still maintain that guidance of about 15% to 20% revenue growth potential?

Naresh Jalan: I am absolutely sure that we are looking at 15% to 20% revenue growth in FY '26. This revenue recognition policy which has changed in 1 quarter, this is going to now be always there. So obviously, this Rs. 180 Crores is going to get recognized in this quarter, leaving no stones for future reorganization in the revenue recognition policy?

Mitul Shah: Right, sir. And just lastly, on the balance sheet side, it's almost now Rs. 1,800 Crores, Rs. 2,000 Crores type of a debt. Of course, you explained about working capital, but still it remained elevated over the last few years. So, any road map in next 2 or 3 years, where do you want to bring it?

Naresh Jalan: I don't want to give you a 2 - or 3 -year road map. Basically, by FY '26 end, we can assure you or the entire investor fraternity, you will see substantial debt reduction. There are a couple of reasons because of that. One, the warrant money coming in. Second, due to tax refund, which we will get based on the ACIL merger. Third, the

free cash flow from the debtor and

as well as we are at the end of our capex cycle. I think by September end, all capex, which you are seeing right now, basically 8,000 -tonne press or aluminum forging press, all these things are going to come to an end. July or mid -August, all the presses are starting and will start giving revenues.

So, we don't look at any substantial or any meaningful capex going into second half of the year. So, we are absolutely sure, by the end of FY '26, there will be substantial reduction in the overall debt of the Company.

Moderator: The next question comes from the line of Chirag Shah from White Pine Investment Management.

Chirag Shah: Good that the disclosures have really improved from the Company and

you are upfront on that. I really appreciate that. Sir, 2, 3 questions. One, how should one look at the new margins and ROCE, ROE guidance? You had indicated that you will act on this based on the findings and conclusion of the same. So, have you formed a thought, or you want to wait for the final forensic report to share your sustainable return on capital and margin guidance that you used to share earlier? So that's question number one.

Naresh Jalan: Chirag, I think in terms of margins and other things, I think this was one - off incident. This does not dent Company's overall performance or growth aspects going forward. One -off incident does not take away from us our capability to produce. And the kind of pipeline and the kind of projects which we have implemented gives us confidence of going forward, a robust top line as well as robust bottom line.

In terms of percentage, I would not like to comment. But in terms of guidance, I would still maintain that we are going to create healthy margins and which in coming quarter onwards, we will be able to demonstrate.

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Chirag Shah: Okay. Sir, why I was asking is because there will be a permanent resetting of your gross margins, right, because of the accounting, not accounting lapses, but whatever errors which have happened. So that's why I was asking the question that there will be a permanent rebasing of your margins, and it will have its impact on ROCE.

Naresh Jalan: No, I think, there is not going to be any permanent, with onetime inventory, excess inventory which was there in the system or say, basically, that has got removed. So, I don't think that really creates any gross margin issues or anything. Basically, we would like to reset the balance sheet. We have onetime cleaned up the balance sheet.

And whatever provisions or whatever write-offs we had to take, we have taken that upfront looking into the future and looking into the better prospects going forward of the Company. So that does not absolve us from the responsibility of going ahead and creating better margins, healthy margins and good conditions. Basically, this reset is giving us more opportunity to do better things than concentrating on what has gone by.

Chirag Shah: Yes. And the second question is if you can just share some thoughts on how did this Rs. 2,100 pricing was determined? I'm asking like it is significantly out of the money. It is more than 3x the current price or something like that. So how was it determined that if you can share some thoughts?

Naresh Jalan: Basically, Chirag, this is as promised or as agreed in the previous call and as agreed and as committed to my investors, we will look at the minority shareholders' benefit and to ensure minimum effect to the minority shareholders. As such, if you see this pricing has been arrived with an objective of only having 0.5% overall equity dilution so that it is not affecting the overall investor community who has put trust in RKFL for past so many years.

So we did not want that one such issue should dent the entire confidence of our investor community and that's the reason

this premium has been

paid, to basically give a message to the overall investor community that promoters are withstanding with the Company, they would want the investor community to be assured that we are not here to make short-term gains or looking at the future of the Company, I don't think we have paid a huge premium out of it. I am very sure with the coming years of performance of the Company in coming couple of years, I will not be out of money. We will be in the money in going future.

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Chirag Shah: And sir, I presume that you have full intent to convert, right, to subscribe it, it's not that we'll allow it to lapse. That is my question.

Naresh Jalan: In my opening statement itself, I have said that this entire money will come within this financial year. It is not going to take 18 months' time as been prescribed in the warrants. I can stretch it up to 18 months. I have very categorically said that because I need to borrow money. So, I don't have a ready line set up to get the money tomorrow itself. So, taking that time into my hand, we have basically taken it as a warrant. Otherwise, we could have done it as a preferential issue of equity shares if I would have had ready money in my account. So, I will need to borrow through LAS or something. So, we have basically taken time, but I am absolutely sure, and I commit to get this entire money before March '26 is completed.

Chirag Shah: No, sir, I really appreciate your stance on this and your disclosure. Sir, one last question, if I can. Based on the findings till date, is this more of a system error, it is more of a human error? And is the error at the production level or is the error at the accounting/what you call interdepartmental transaction level? If you can share some light, it would be helpful.

Naresh Jalan: So whatever findings till now we have in hand, I can tell you it is not intentional. It is not a purposefully made error. The Company has grown faster than its system. I can only give you only a very simple answer that Company has grown faster than its system. And that is my fault that we have not been able to bring in or get more robust system as the Company grew. That's the learning lesson we have taken, and we are fixing the system in a robust manner that in future, with the growth, my system is also upgraded in such a manner that in future, this never occurs again.

Moderator: The next question comes from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: So very happy with your messages, the way you've articulated everything. It's given a very strong message across. Sir, a couple of questions on the balance sheet. So, you mentioned about the non-recognition of Rs. 170 Crores of revenue. So, does it lead to the similar impact on the inventory and higher receivables and plus the borrowings? Is my understanding correct?

Lalit Kumar Khetan: So, Dhaval, it has nothing to do with the borrowings. So certainly, revenue has a contra-impact on the inventory. So, when the revenue will be

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recognized, inventory will increase to that extent. Certainly, the margin value is reduced to that extent. Rest all is same, normal.

Dhaval Shah: Okay. On the EBITDA margin front, I mean, sir said about stronger margin. But would you like to share anything in terms of the numbers? I mean, the earlier guidance which were given regarding 0.5% to 1% increase every year. So, do we hold by that guidance? And when we look at utilizing the full capacity, are we still aiming at around 24%, 25% EBITDA margin by FY '28?

Naresh Jalan: Dhaval, in terms of my aspirational margin, we still are intact of getting to 24%, 25% margin by FY '28. And in terms of quarter-on-quarter, I would not like to give you any next quarter or overall next 2 quarters' guidance, but I can only

confidently tell you by end of FY '26 and FY '27, you will see us getting back to much above what we were in the past, and we continue to strive for excellence and our endeavour and our entire effort on a war footing is to basically do whatever is required to negate what has gone by in terms of one incident and one incident cannot rock the overall boat of our future and 4,000 people of RKFL. So, I am very confident that going forward, margins will be robust. And my 24%, 25% vision for margin for FY '28 still remains intact.

And with the kind of activity we have done in terms of capacity and with the kind of activity which my marketing has done in terms of bringing in new railway business, in terms of fully assembled supply of bogie frames and the kind of strong customer base, which we have built over the last couple of quarters in terms of getting into PV, which is going to show in FY '27 in full scale, you will see a significant improvement and a robust margin profile going forward.

Dhaval Shah: Noted, sir. And sir, last question regarding the kind of business

environment you are noticing for the U.S. market. It's been a couple of months since the tariff talks have happened. So, what sort of conversations you're having, a, with the customers, the short-term outlook? Did they stock on inventory?

How are they giving out the purchase orders now? Second is, have we won any new business after the tariff announcements have happened in the month of March? And thirdly, in terms of negotiating after June, July onwards when the 3-month pause is over, who is going to bear the tariff? And how are we going to work around it?

Some mode of discussions which the customers will be having at their side? Any insights from there? If you can share, it will be really helpful

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because right now, it's a lot of variables, everything is very volatile. So, some direction will help from your side.

Naresh Jalan: I think, Dhaval, to answer your questions, a couple of things. One, at the right moment, we have set up our Mexican entity. I can tell you this Mexican entity is going to be the golden goose for us for the next 3 years' time. We are seeing huge traction for our Mexican entity to do value-add over there, while we send forgings from here from India to U.S. and to Mexico and get it fully machined and supply from there.

Second, we have had no order reset right now from any of our customers and no customers have come back to us asking for price decreases or absorbing the tariffs. Tariffs, whatever is going to get applied is going to be paid by our customers. Yes, overall, the market demand in U.S. is subdued. But whenever we speak to any of our customers, we are of the opinion and they are also of the opinion that very soon or maybe in a couple of months, they feel that it is going to be a hockey stick recovery, which is going to be extremely fast. If you see the market right now over there, it has gone below the replacement. And as soon as things settle down, I think you will see a hockey stick recovery in the North American market. And we are extremely confident of that.

In terms of new order wins post this tariff, yes, we have had order wins post this tariff from a couple of new customers in North America. We would not like to name the customers, but it is on the off-highway side, it is on the PV side and also it is on the CV side. All the three sides, we have won new contracts, both from March till right now in the month of May. And as well as in our Mexican entity, we have won a very large order, for basically conversion of castings to finished product and supply from our Mexican entity. Right now, market is down, but we don't see that going forward you may see any movement, maybe it may happen in the next 2 months, it may take 3 months, but it's not that it's very far away. The recovery i

n the market is going to be very, very steep.

Moderator: The next question comes from the line of Devvrat Mohta from Capital International.

Devvrat Mohta: I have two questions. So firstly, on your revenue recognition that you mentioned, the Rs. 170 Crores impact in this quarter. So effectively, what that means is that, I mean, what you're saying is that the sales at the end of Q4 was impacted, which sort of flows through to Q1. And then there will be an impact in the end of Q1, which will flow through Q2. So, on a go-forward basis, I mean, this Rs. 170 Crores essentially, you should go back

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to whatever run rate you were pre all of this on a revenue basis. Is that right?

Naresh Jalan: Yes. You're absolutely right, sir. Rs. 170 Crores plus means exactly number is close to Rs. 173 crores is what we have not recognized as revenue, which is going to flow into this quarter. And this is going to be a continued effect, which is now, has been reset and there is not going to be any more new reset going forward in this revenue recognition.

Devvrat Mohta: Understood. And the second question that I had was, again, I think

someone asked you before on margin. So , given the number of moving parts that have happened through the course of this year, I mean, what is the right base level of margin to start thinking about? I mean, if I look at your restated number for March '24 , March '24 restated number was you were at 20.9% EBITDA margin.

I mean, is that roughly ballpark the right kind of base benchmark to use going forward? Or do you think that I mean, I'm just trying to understand like what is the base number to start with, given the number of moving parts that...

Naresh Jalan: Yes. I think the five quarters number are not the right judgment, basically having inventory write -offs during this quarter, that's not the right judgment in terms of getting into the assumption of what margins we are at or what we can be. Sir, as stated i n my earlier answer, we are still intact with our aspirational margins of 24%, 25% going into FY '28. And with the kind of new capacities of heavy forgings, alumin ium forgings, cold forging, whatever we have installed and is in progression, I would not be able to comment on quarter -on-quarter basis or next quarter. But overall, in terms of yearly basis, we still believe , and we are of the firm view that we will be able to maintain our margin and we will be able to build on that going forward.

Devvrat Mohta: Sir, sorry, when you say maintain your margin, I mean, is it FY '24 number when you say maintain, FY '24 the base in your mind? Or is FY '23, what is the base , I mean, when you say maintain margin , will it be on FY '24 level?

Naresh Jalan: Sir, the base in my mind is FY '24, but we have to still build on that case. And I think that's the base which we are working with.

Devvrat Mohta: Got it. Understood. And then one more last question for me is just your capex was quite elevated in FY '25. You said, I think to someone else's question that you're coming to the end of the capex cycle, you said largely

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will be done by September. So, for FY '26, how much capex do you expect for the full year, FY '26, FY '27?

Naresh Jalan: Total full year, including maintenance, Rs. 100 Crores to Rs. 150 Crores is going to be the capex for whatever is in the WIP that is going to get completed before end of September. So , all these capacities are going to be in place, and we are going to be up and running. Rest all is going to be Rs. 100 Crores or Rs. 150 Crores, whatever is going to be basically on account of maintenance or line balancing, no additional capex, at least for next 1.5 years. Mid till FY '27, we don't see major capex coming in.

Devvrat Mohta: Got it. So INR100 Crores to INR150 Crores of maintenance. How much is

the balance, whatever is due in FY '26 from your growth capex that you've done in the last, so I'm just trying to arrive at like what is the total capex for FY '26, if you include maintenance capex ?

Naresh Jalan: That is Rs. 100 Crores sir, pending, I think everything is showing in WIP. To finish that off, maybe Rs. 50 Crores, Rs. 60 Crores or more required and rest is Rs. 100 Crores. In totality, what I'm speaking is close to Rs. C100 Crores to Rs. 150 crores is going to be the total extra money spend above the WIP, which is showing already in the balance sheet.

Devvrat Mohta: Okay. So, it is Rs. 150 Crores that includes maintenance capex plus whatever is pending to finish off WIP project?

Naresh Jalan: Yes, sir. Yes, yes, sir.

Devvrat Mohta: Okay. And the corresponding number in FY '25 was almost Rs. 976 Crores or something. So , from Rs. 976 Crores, it's going to Rs. 150 Crores.

Naresh Jalan: Yes, sir. Sir, major of the cash flow, to answer your question, sir, from warrants, tax refunds and free cash flow, which is generated post the interest payment in the coming year because this year also we presume, we should be tax -free based on our ACIL m erger. So , all this money mostly will be either utilized Part will be utilized for working capital and balance will be utilized for repaying the debt.

Moderator: The next question comes from the line of Ranjit Aggarwal from Nilgiri Investment Managers Private Limited.

Ranjit Aggarwal: I really appreciate the follow -up comments and the capital commitment that the management has made. But forgive me, but unless and until I

understand what actually happened, it's very difficult to believe that it is going to be back to where it was earlier. Now the question really is, I mean, I'm sure the Company like you would have SAP, you would have an

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internal auditor, you have bankers, the best of the bankers who conduct annual inventory audit.

So how did this lapse? And it didn't happen over 1 quarter or over 1 year, it happened over more than 1 year. I don't even know if it went beyond 2 years. So, if there is something specific that you can share how this happened, and it's not even a small amount, it will really help me to understand that going forward, things cannot and will not be repeated.

Naresh Jalan: I think to answer your question, yes, we have SAP. We have internal audits. Yes. As I answered to your earlier question of one of the investor fraternity that with the growth, we don't deny that there has been lapses. We don't deny that we are at fault. We take full responsibility of the fault, which has happened.

So, there is no denying of the fact that there has been lapses and there has been controls which have been missing. With the kind of growth we have had over the last 5 years, yes, we have not built a robust system to ensure that this growth also takes care of the systematic issue which should ensure that no such things occur.

So, we are extremely unhappy ourselves like you are. We are extremely sorry for what has happened. But reasons for the same is not intentional. It is not purposeful. It is basically lapses, which is on ignorance, lapses which have happened.

And right now, I can assure you the kind of controls we are putting in, the kind of systematic controls in terms of removal of manual feeding in the system, removing the manual intervention in the system, putting the system on the auto mode directly linked to the production equipment, is the way forward, which we are working on.

And I think in the next 3 months' time, by end of September, most of our systems will be out auto fed rather than doing manual feeding is concerned. So, I can assure you that this kind or any such kind of incident will never come in future.

Ranjit Aggarwal: Right, sir. Thank you again for reassuring your commitments. I have a few

quick questions, if you don't mind. I mean, just bear with me, please. Has any bank come to you saying they would like to withdraw their limits or reduce their limits?

Naresh Jalan: No, no such banks have come. And as well as if you see, when banks are concerned with the money, promoters are bringing in upfront money into the system. So, to the tune of that, banks have been reassured that

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promoters stand by their commitment and the money is coming into the system.

And as such, also, I would like to reiterate one thing that you will be able to see when the fact-finding report comes, it is an error. It is no leakage of money from the system. I would like to reiterate that there is no theft.

There is no leakage. There is no manipulation or nothing wherein money has flown out of the system.

So, it is an error which has occurred. But still as a moral responsibility, as a promoter of the company, I took full moral responsibility of the same and have funded the amount. And banks are concerned with the money in the system and the money is coming back into the system in a manner which is non-dilutive for the entire investor community.

Ranjit Aggarwal: Right, sir. I think that is very well appreciated. Last one, do you have any obsolete inventory or rejected WIP or any sort of inventory which can't be put to use on your books right now?

Lalit Khetan: We always have a policy for the obsolete inventory or unusual inventory, and we make it as a scrap and there is no such inventory left in the

system. And that is a continuous practice we always follow and a policy also to provide for the slow -moving inventory.

Naresh Jalan: One more thing, sir, one more thing to add to your question. I would like to reiterate, sir, as answered also earlier, all provisions, maybe anything related single piece also has already been provided. And there, I would like to stress that there is not going to be a single piece provision, whether obsolete, whether lost, any such inventory issue has been addressed. We have not tried even to save a single penny out of it. Everything what was required has been provided.

Moderator: We take the next question from the line of Raghunandhan from Nuvama Wealth Management Limited.

Raghunandhan: We appreciate management commitment on investment of Rs. 205 crores through warrants. A few housekeeping questions to Lalit sir. Sir, for FY '25, can you share within the revenue mix, how would be auto, non - auto? And generally, you give some guidance about within non -auto, railway, mining, oil and gas, others. If you have that numbers handy, please do share.

Lalit Khetan: So Raghu, I will just say auto and non -auto is maintained at 78 % right now, okay? And I will share separately the mix, because I have not been able to work out due to the positive time on the other revenue. But it is

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more or less on the trend what we have in the last quarter on the other segment. There is no significant change.

Raghunandhan: Got it, sir. And for full year FY '25, if you can also share the revenue for Multitech, JMT and ACIL?

Lalit Khetan: So, ACIL revenue is already merged in RKFL Results. So, the revenue of RKFL includes the revenue of ACIL. About Multitech and JMT combined together for the full year. And so, I think a lot of elimination happens at consol level. But in isolation, if you look at JMT was about Rs. 140 Crores and Multitech was about Rs. 360 -odd Crores.

Raghunandhan: Got it, sir. And what would be the margin, sir, for Multitech?

Lalit Khetan: So overall margin for the full year for the Multitech was more than 15%. And for JMT, we have a very nominal margin, but from this quarter onwards, you see JMT is showing its full potential as JMT is getting ramped up quite significantly, and you can see a significant

margin contribution from JMT in the FY '26.

Naresh Jalan: To just add on to Lalit's answer, in JMT Auto it was an NCLT company. It has taken us over more than a year to get back into shape. And also because the company was closed, all the customers had shifted back their business to some other suppliers. Now getting back all those customers, we have been able to get one of the biggest oil and gas customers from North America back in RKCSL (JMT Auto). Samples have already gone there.

And we expect from next quarter onwards, significant sales to come in oil and gas directly from JMT Auto as well as off -highway business, purchase order samples and everything is almost under completion, and we will see significant revenue coming from off -highway sector also from JMT Auto, which is now RKCSL from next quarter onwards.

Raghunandhan: Congrats on the oil and gas order. Sir, lastly, within exports for FY '25, 41% of revenue is export. Broadly, if you can break it up to North America, Europe and others?

Lalit Khetan: So out of the entire 41%, we will attribute 26% to North America, about 30% to Europe and 2% to others.

Moderator: The next question comes from the line of Mithun Soni from GCC Holdings.

Mithun Soni: Sir, just one clarification I needed. Of course, as we said, it was an error whatever happened because of the system ramp -up being slower than

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the growth. But the error was in cost calculation. Like, for example, there is a cost team, which will do the cost analysis of what is the raw material

and XYZ and then that is passed to the revenue team, the revenue is recognizing it and accordingly, the inventory gets adjusted.

Is there like there was a revenue which was recognized, but against which the inventory was not there or over recognition of inventory revenue would happen. I mean I'm still not able to understand what is the error. I understand it's an error, but what is the error?

Lalit Khetan: Mithun, just to reply to your question. So, there is no revenue recognition question in place. This inventory error has nothing to do with the revenue recognition. All that is recognized whatever moves out of the factory and reach to the customer's base. And that has been billed and paid by the customer.

There is no ambiguity in that. So, we have always earlier thought this was an error in recording of production and error in recording of rejections of inventory, which has made book stock of inventory higher than the physical stock, which has been correct ed.

Mithun Soni: Just to understand. So basically, what you're saying is that the system over recorded the inventory?

Lalit Khetan: Yes. You may say. Recorded more inventory and more production than the inventory.

Mithun Soni: But let's say, if we record more production, then technically, the cash should be there in the system, basically production when you're recognizing, then you have the raw material. If you have the raw material.

Lalit Khetan: There is no cash question comes here because see, if you have produced only 100, but we call it 102. So, it's only notional.

Mithun Soni: No, but let's say, core raw material is better?

Lalit Khetan: So, it will be raw material consumption out of accounting there is...

Mithun Soni: No, no, sir, please understand what I'm saying, sir. You have bought a basic raw material steel, okay? You know there is x amount of steel, which you bought. And against that, when you convert, there is x amount of scrap and x amount of finished products which you have finally made. For the steel which you have bought, you have paid cash, okay?

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Now if the output or the production, which we say that the inventory was produced more, it will not tally because you have not bought so much amount of metal. And the cash has also not gone

out of the system

because since you have not bought the metal, you have not paid for it. So excess inventory got created, so the analysis of input/output ratio went for a toss?

Lalit Khetan: Yes, you are directly or entirely correct. So certainly, there was a lapse on the analysis part of this also.

Naresh Jalan: Basically, I think to answer your question, this first issue came to light only because input/output ratio went for a toss. And that's the reason the issue was highlighted in the system. And when we started digging deep, and that's the time we realized that this mess has come into the system. Basically, if input/output ratio would not have changed or input/output ratio would not have significantly impacted, there would not have been an alarm raised internally in the system that this issue is prevalent. So, you were absolutely right that input/output ratio.

Mithun Soni: I understand. So, what you're saying is the sales were happening at its own pace. Whatever we were ordering was happening, we were making. But you were saying that the production was also happening at the same time that you were buying for the order which you received, you buy the metal, you will convert it into finished goods, there will be scrap. But then there was over reporting of the products made.

Naresh Jalan: There are a couple of things, I think, when you will see the final exclusive summary of the fact-finding report, it will be more clear to you. But to be safe on the side while not commenting on what comes out of it, there are a couple of things that it was over reporting of the production as well as underreporting of the rejections both combined together have accumulated into this.

And as rightly said, this is not an error which has happened over a quarter or over a year. It is an error which has happened over a couple of years.

But in order to have a final number to it, we did a full physical inventory of every single piece in the system and came to conclusion and have provided this in last 5 quarters.

Moderator: We take the next question from the line of Bharat Shah from ASK Investment Managers Limited.

Bharat Shah: While the final report would emerge, as you mentioned, in some time, and I hope it confirms everything that has been narrated just now. I don't have

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a question today, so I just wanted to make an observation. Every failure or every challenge is a source of opportunity. A failure is a source of opportunity to make things far more robust and prevent brittleness to come in.

I hope this has been a significant and a rude kind of a shock, but it doesn't have to remain that way, if we convert this challenge into a big opportunity by making our systems tight, by making things more efficient. And in fact, given that this opportunity has created confusion about margins, but which you talked about at length, I think it gives us a fresh opportunity to look at our cost structure, our pricing, our efficiency so that as soon as possible, we get back to the kind of profitability and capital efficiency that we believe would come forth with the rising scale and the sophistication of the kind of products that we are offering.

In short, while indeed, this has been a rude kind of, very impolite kind of interruption, which has occurred, but it doesn't have to remain that way if we take the right and constructive lessons out of it?

Naresh Jalan: Thank you, Bharat bhai. Being a veteran from the industry, your comments or your observations are absolutely right, and we respectfully take these comments on the right earnest. And I personally promise the overall fraternity of the investors who have backed RKFL that this is one such incident and a rude incident and a bad incident, which has aggressively been looked at by us.

We have spent sleepless nights over the last 2 months. And first time ever

r, we have had 8 days practical closure of our plants for a complete audit of every single thing, every physical count of everything. And I can assure the investor community that this is never ever going to happen ever. And we are putting in absolutely robust systems and integration before end of September to ensure that this incident is a past and a forgotten incident and will never ever reoccur in times to come.

Also, I would like to assure you personally that we are working absolutely diligently because we are responsible to our people in RKFL, our investors, our customers. So, taking all this into account, we are now going to pace our growth with the system growth also. We are just not going to grow in terms of capacity. We are going to grow in terms of overall building the robust system to ensure that system creates profit rather than all these things.

Bharat Shah: Deeply appreciate. And I also appreciate your statement earlier that there has been no cash leakage and there has been no theft or manipulation,

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which has occurred. And therefore, despite no cash leakage from the system, if you have chosen to put as promoter the funds back into the money by restoring the Net Worth because implicit assumption is that the investors believe the profits which were there for these 2 years, even if there was no cash erosion, these profits at least were presumptively there. And therefore, now that they are not there, you have chosen to put it back into the system. I think it's an act of definitely good behaviour. I deeply appreciate.

Naresh Jalan: Thank you very much, sir. Thank you. Thank you, sir.

Moderator: Ladies and gentlemen, we take that as the last question and conclude the question -and -answer session. I now hand the conference over to the management for their closing comments.

Rajesh Mundhra : Thank you. I would like to thank all the participants for taking out time to join our earnings call. I hope we have been able to answer and address your queries. For any further information, kindly get in touch with us or with CDR India. On behalf of Ramkrishna Forgings Limited, we wish you all a very wonderful week ahead. We look forward to interacting you again in the next quarter. Thank you very much for taking out your time again. Thank you.

Moderator: Thank you. On behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcript and may contain transcription errors. Certain statements made or discussed on this call may be forward looking in nature and must be viewed in conjunction with the risks and uncertainties that the company faces. The company does not undertake to update these forward-looking statements publicly. Please also note that this document has been edited without changing much of the content, to enhance the clarity of the discussion. No unpublished price sensitive information was shared/discussed on the call .

Call: Aug 2025

RAMKRISHNA FORGINGS LIMITED

Date: 8 August, 2025

To To

The Listing Department The Listing Department

BSE Limited National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers, "Exchange Plaza" C-1, Block G,

Dalal Street, Bandra-Kurla Complex, Bandra (E),

Mumbai - 400 001 Mumbai- 400 051

BSE SCRIP CODE: 532527 NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - i Transcript - Q1 of FY 2025-26

This is further to our intimation dated 29 July, 2025 w.r.t Earnings Conference call with Analysts/Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for Q1 of FY 2025-26.

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Earnings Conference Call Transcript held with Analysts/Investors on Friday, 1 August, 2025 at 17:00 Hours (I.S.T).

Copy of the same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra

Company Secretary
& Compliance Officer

ACS: 12991

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INDIA'S

GROWTH

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CIN NO. : L74210WB1981PLC034281

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"Ramkrishna Forgings Limited

Q1 FY '26 Earnings Conference Call ."

August 01 , 2025

MANAGEMENT : MR. NARESH JALAN – MANAGING DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. LALIT KHETAN – WHOLE -TIME DIRECTOR AND

CHIEF FINANCIAL OFFICER – RAMKRISHNA FORGINGS

LIMITED

MR. CHAITANYA JALAN – WHOLE -TIME DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. MILESH GANDHI – WHOLE -TIME DIRECTOR –

RAMKRISHNA FORGINGS LIMITED

MR. RAJESH MUNDHRA – VICE PRESIDENT , FINANCE

AND COMPANY SECRETARY – RAMKRISHNA FORGINGS

LIMITED

MODERATOR : MR. JOSEPH GEORGE – IIFL CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Ramkrishna Forgings , hosted by IIFL Securities Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Joseph George from IIFL Capital. Thank you, and over to you , sir.

Joseph George: Thank you, Muskan. Good evening, everyone. On behalf of IIFL Capital, I welcome you all to the 1Q FY '26 Results Conference Call of Ramkrishna Forgings. I also welcome the senior management.

From the management team, we have Mr. Naresh Jalan, Managing Director; Mr. Chaitanya Jalan, Whole -Time Director; Mr. Lalit Khetan, Whole -Time Director and CFO; Mr. Miles Gandhi, Whole -time Director; and Mr. Rajesh Mundhra, VP, Finance and Company Secretar y. Now I will hand over the call to Mr. Khetan to take the call forward. Over to you, sir.

Lalit Khetan: Thank you, Joseph. Good evening, everyone, and thank you for joining us on the call to discuss the Q1 FY '26 results. I trust all of you had a chance to look at the earnings that we have shared earlier.

Financial year '25 -'26 has commenced on a challenging note. There has been a lot of noise on tariffs and the resulting volatility and uncertainty, coupled with macroeconomic challenges has caused an environment where customers are hesitant to spend and OEM s are cautious in the projections. As a result, we also have struggled witnessed sluggishness in demand from our customers.

To begin with, what's top of the mind of everyone are the tariff recently announced by the U.S. administration, including those on automobile and auto component imports. While the specifics will continue to evolve, we believe these measures will primarily impact demand in the short run. There could be a scenario where some opportunity open up, but there will be some disruptions in demand and supply.

We have all seen the announcement from President Trump that tariff of 25% will commence from August 1 and are closely monitoring the development to ensure that we comply with all applicable regulations and any potential depression for our customers is mini mized.

Secondly, the other development that has emerged, and this will impact all markets is the potential disruptions due to supply chain complexities and heavy reliance on China for rare earth material , if China imposes restrictions, automakers could encounter certain challenges.

On the top of these 2 developments from a global perspective, coming to the India market, we have seen the quarter 1 of the current financial year, mixed trend with the headwinds and muted industrial output, a bit slowdown in some of the industrial sectors , the IIP numbers, etc. For Ramkrishna Forgings Limited

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commercial vehicles, we saw volume decline in the overall market, though at RKFL, we have been able to improve on our domestic performance. And further, I would like to add commercial vehicle segment has been under pressure lately, but signs of recovery are also emerging. Coming to capacity addition, we commenced the Financial Year at the present capacity of 2,68,400 tonnes and we are in the process of adding 8,000 tonnes press line and 3,000 tonne aluminium forging facility that will add capacity further by 4 0,000 metric ton nes and 3000 metric tonnes during this year.

Now let me share some financial highlights for the first quarter. We reported consolidated revenues of Rs.1,015 Crores that is higher by 6% on a year -on-year basis. EBITDA, excluding other income, for th

e Quarter is Rs. 149 Crores, which is lower by Rs. 20 Crores compared to EBITDA of Rs. 169 Crores for Q1 FY '25.

EBITDA margin consolidated stood at 14.6% and lower by 300 basis points year -on-year. And Profit After Tax (PAT) for the Quarter is Rs. 12 Crores compared to Rs. 55 Crores in Q1 FY '25. The above profit is impacted mainly during this quarter on decrease in realization and change in export domestic mix. And the impact together of this change in mix and the realization is about Rs. 40 Crores, which we have highlighted in our presentation also.

Further, there are impact on the inventory valuations also on the warehouses overseas due to correction in indexes. Apart from that, there is a forex loss accounting in our JV, Ramkrishna Titagarh Rail Wheel s due to the import of machines, and now the machine has already reached the site. So, we have to account for the forex loss. And for our share, we have to account for a loss of Rs. 6.66 Crores in this Quarter.

Apart from that, we have also incurred a Rs. 5 Crores loss in Ramkrishna Forging Limited on account of import of machines, which are under installation. So altogether, there is an impact of about Rs. 52 Crores on the profitability during the quarter.

Now I hand over the proceeding to Mr. Miles Gandhi for having you an update in marketing. Over to Miles.

Miles Gandhi: Thank you, Lalitji. I would like to brief the audience. The company received new orders worth Rs.660 Crores in Quarter 1, program life being 4 years and for Railways, we received an order of Rs. 23 Crores for the 1 -year period.

Against the above, export orders are worth Rs. 502 Crores and domestic orders are worth Rs. 158 Crores. In the domestic orders of Rs. 158 Crores, Rs. 99 Crores come s from the off -highway segment, Rs. 59 Crores come from the commercial vehicle segment.

In the exports, against the Rs. 502 Crores, Rs. 307 Crores comes from the passenger vehicle segment, that is the PV segment, and this also includes orders directly from American OEM.

Apart from that, Rs. 195 Crores comes from the commercial vehicle segment and predominantly from Europe.

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We would like to mention in line what we had committed in the last quarter, kindly note that 47% of our new Order Book for the Quarter 1 comes from the Passenger Car Segment and another 15% comes from the Automotive Segment . We are maintaining healthy position in our Commercial Vehicle Segment , too, by increasing our penetration in the European market. That's from my side. Thank you.

Lalit Khetan: Thank you, Miles. Now I'll hand over the line to the moderator for having the Q&A session.

Moderator: The first question is from the line of Mitul Shah from DAM Capital , please go ahead .

Mitul Shah: Thank for the opportunity. Sir, I have a few questions, starting with U.S. tariff -related impact. In this quarter, how much impact if someone has to gauge about that, we have to absorb the tariff before it gets negotiated or settled down between us and OEM customer? And what was the ef fective tariff rate we applied during the quarter on whatever we exported to North America or U.S.?

Naresh Jalan: Mitul, for Quarter 1, our tariff rate for Light Vehicles, Light LV and Passenger Vehicles was 25% flat as in auto tariff. And for Commercial Vehicle , it was 10%. And I think going forward also, as we see right now, the new tariff which has been announced is not going to be applicable on auto , auto has been kept as separate field.

So, auto will continue to attract 25% in terms of Passenger Vehicles and 10% in Commercial Vehicle s as we understand today, unless there is a further change in terms of the final releases which come before 7th of August , 2025 . And as of now, whatever shipments we have made till now, I think what as we see on the finer prints will be charged at this rate unless there is a change in t

erms of the overall picture by the Trump administration.

In terms of what has been the total outflow in terms of cash flow for the Company, it has been close to around -- for our U.S. shipments is at around Rs. 6 Crores, out of which we have received customer confirmation to the tune of almost 50% of full pass on and balance 50%, we are still negotiating with the customers back and forth for the balance Rs. 3 Crores and how much we will need to absorb and how much will need to be paid by the customer. So I think it is still a fluid situation.

I think going forward, we will be having more clarity in the next couple of months as to exact quantum of tariff in terms of outflow from the Company or in terms of the overall basket of the Company is done and how much is being paid by the customer. But as of now, whatever we have clarity, we have 50%, which is being absorbed by the customer and 50% of the balance, we are still negotiating.

To just clarify your exact position to all our North American exports, almost 80% of our exports go into Mexico, which is not there in tariff, and it is getting -- we are just supplying our goods into the manufacturing locations of the customer in Mexico a nd Canada. All these are basically not in tariff. So only 20% of our portfolio to North America is getting into tariff, which is directly getting into U.S.

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Mitul Shah: Just clarification, this Rs. 6 Crores entire we have captured for that time or only Rs. 3 Crores we have taken in P&L, Rs. 3 Crores, we already got confirmation, so not taken.

Naresh Jalan: No, we have not. We have basically not captured anything right now in our P&L. We have captured whatever customer confirmations we have received; we have captured in the P&L and balance we have not yet captured.

Mitul Shah: So Rs. 3 Crores for the time, we have to absorb as part of the...

Naresh Jalan: No, but we still feel that it is receivable. I think we should be -- by end of -- because right now, customer does not also have any certainty in terms of what is going to be the exact tariff. So, I think by end of August 2025, we should have a complete clarity on this.

Mitul Shah: Right. Sir, my question is that in this P&L, we have taken the hit of Rs. 6 Crores or Rs. 3 Crores right now?

Naresh Jalan: No, we have not taken any impact right now of the tariff in the P&L.

Mitul Shah: Okay. And second question on the realization. Sir, as currency is already going adverse or favourable in terms of the rupee depreciation, still our realization on export market as per the presentation has fallen meaningfully. So, is it a commodity pass on or because of this tariff thing or any price... ?

Naresh Jalan: No, it is basically -- Mitul, I think it is -- if you see the last quarter, last quarter currency, if you are looking at it is in last 20 days, currency has again come back. Otherwise, currency year -on-year, there was a decline in terms of last quarter. And also, there has been a steel price decline as far as index is concerned. So that steel price has impact -- the falling steel prices in the U.S. market has brought the realization on the downward trend.

Mitul Shah: Overall, how much would be the impact of steel or how much steel price impact we have taken in terms of realization, both for domestic export roughly per kg basis?

Naresh Jalan: Lalit, can you explain ?

Lalit Khetan: Yes. So, Mitul, the total, what we have presented, Rs. 31 Crores is on account of realization only and that on account of -- basically, that cannot be particularly against the steel and other areas because it indexes the other item. So overall, the realization, it is Rs. 31.65 Crores for the quarter.

Mitul Shah: Per kg, you are talking, sir?

Lalit Khetan: Yes, so per kg, if you look at, Mitul, on the domestic side, we have lost Rs. 8 per kg and on the export side

e, Rs. 5 per kg.

Mitul Shah: Okay. Understood. Sir, last question on this new order of Rs. 500 Crores plus from the export side. We highlighted Rs. 300 Crores from U.S. OEMs. So that is related to EV player like that aluminium business, which we were expecting the trend...

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Naresh Jalan: No, it is -- yes, aluminium forging is still work in progress. And I think we should start seeing revenues from this quarter end or October onwards from that field. But this new order book is from the new OEM from North America market.

Mitul Shah: That is from PV or CV side Sir?

Naresh Jalan: PVs. Miles in the opening statement has already clarified that this new order book, as we had said, our increased focus on passenger vehicle, this entire new order book of Rs. 300 Crores plus is from the passenger vehicle.

Mitul Shah: And from ICE only, right, right now?

Miles Gandhi : Yes, it is from the ICE segment.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital Markets.

Balasubramanian: Sir, on that Mexico facility, I think the machining operations has begun. So, what kind of contributions we can expect from FY '26 onwards? And is there any plan to expand into forging side?

Naresh Jalan: I think in Mexico operations, we are only going to continue to add machining operations, the value add. Forging and castings are going to be shipped from India. And we have just started.

And I think by the last quarter, we are supposed to increase our capacity, and we are going to see significant revenue in FY '27 from our Mexico operations.

Balasubramanian: Okay, sir. Sir, on the EV side, we are investing 3,000 tonnes of press for aluminium EV components. What is the addressable market? And how does this align with global OEM demand shifts?

Naresh Jalan: I think we are very, very bullish about our aluminium forging. And this is our first entry into non-ferrous components. And this is just the start of our investment into non-ferrous. I think once we are able to successfully launch our non-ferrous activity, I think the demand side, there is a huge potential globally in terms of aluminium forging.

So, we think that next level of growth, I think, in next couple of years is going to come from aluminium forging, where we are looking at once we are successful and once we are able to utilize -- move to higher utilization in this current capacity of 3,000 tonnes, we are going to just continue to replicate this capacity.

Balasubramanian: Okay, sir. Sir, on the Rail Wheel s JV side, are we on track to commence the operation by Jan 2026? And what is the current status in the industry of wheel supply side?

Naresh Jalan: I think for our wheel plant, we are well on track, and I think the plant is moving in a great shape. And I think we are on track to submit -- by last quarter of this financial year to submit samples for approvals for Indian Railways and look at getting significant revenue of 40,000 wheels in FY '27 from this joint venture. And I think as everybody knows, this is a complete -- 80,000 -plus wheels are guaranteed to be as an offtake plan. So, we are not worried in terms of capacity utilization in this capacity.

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Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: Thank you for the opportunity. So, a couple of questions from my side. So first is on the P&L, what will be the impact of the inventory correction which have been taken. So, the EBITDA margin is 14.6%. So, if you can help me understand, if I adjust for that inventory problem, what will be the EBITDA margin? And related to that, the warrant money will be coming from the promoter side. So, has any part of it come in the Company? And any timeline , if you can help with and along with the current debt po

sition of the Company.

Lalit Khetan: Dhaval, I would like to address this question. First on the promoter money, we are going to infuse money very shortly as we are waiting for the In-Principle approval s from the Stock Exchanges , I think they are waiting for some formality to be complied with and we are hopeful this will be done shortly, and we expect the money in next 2 weeks' time, Number two, there are no adjustment on account of inventory in the current quarter number, All th e inventory adjustment has been done and accounted for till 31st March 2025, And what was your third part of the question?

Dhaval Shah: Yes. So, I'll just repeat. So, this sharp drop in EBITDA margin year -over-year, so how should we read this margin? So, is it because of a big operating deleverage because of only a 1% overall top line growth versus we were ready with all our capacities as of last year and FY '26 was the year of growth for us and now given the lack of demand, the volumes wouldn't have happ ened? So how should we see this margin trajectory going forward? And also, this 14.6% margin, can you just help me understand the reason for such a drop?

Naresh Jalan: I think, Dhaval, if you go through the presentation and as Lalit has explained in his opening remarks, almost Rs. 40 Crores of effect basically has been in terms of realization in terms of our -- mostly in terms of our export and domestic steel price drop, which has happened. And as you know that we had already shipped this material beforehand. And the consumption of this material has happened in this quarter. And the steel price decrease, which had happened on 1st April had to be absorbed in the cost itself.

And the customer as our -- basically, the trend continues. If there is a steel price drop in the quarter, the same has to be passed on to the customer from 1st April to 30th June. And similarly, from 1st July, there is a new pricing set in. So obviously, q uarter -on-quarter, there is going to be a realization plus currency, both playing together considering March ending. And in this quarter, the currency and raw material pricing, both have affected the realization in our exports as well as there is a drop i n realization in the domestic market also due to steel price decrease. So, both taken together, we have almost had a hit of around Rs. 40 Crores, which has dented the margins. But in terms of overall performance of the Company, the Company still expects steel prices to stabilize and Company to get back into the stable margin regime.

Dhaval Shah: Okay. Noted, sir. And this also regarding -- I think in one of discussions, you were discussing about the accounting for our shipments once it reaches the customer's port. So, is there also an impact because of that in this?

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Naresh Jalan: No, I think that was one -off we have already taken in the month of March , 2025 . And now we have the policy, which was changed, I think that is in prevalence. And I think accordingly, you will see every quarter, the things will continue in the same fashion. I think whatever happened in the month of March, it has been taken as a regul ar precedence, and that is the way we are now, new normal for us.

Dhaval Shah: Yes. So, but in the base year, those revenues were recorded in the other -- so that's why the next 2, 3 quarters, we should see that impact, right? Because in the base year...

Naresh Jalan: No, not 2, 3 quarters. I think it is -- I think what you are seeing now is the worst behind us. And I think going forward, you will see stably things going on an upward trajectory.

Lalit Khetan: Dhaval, I would just like to further add what Nareshji said, there will be now no adjustment on the upward or downward side on account of that accounting norm, change in accounting norm.

And whatever be the market demand and supply, accordingly, the sales will be reported and i

mpact of that is now not there at all.

Dhaval Shah: Got it, sir. And sir, what about the current gross debt, net debt position? How do you see that over the next 2, 3 quarters developing?

Lalit Khetan: So current net debt is about Rs. 1,800 Crores, which was around March , 2025 , when we came out with the margin that remained at the same level. But we expect the debt will go down, which we also said on the call. So at least Rs. 300 Crores to Rs. 400 Crores reduction will be happening in this year. So, by end of FY '26, our debt level will be somewhere around Rs. 1,400 Crores to Rs. 1,500 Crores.

Dhaval Shah: Net debt level?

Lalit Khetan: Yes, we are talking about the net debt on consol idated level .

Moderator: The next question is from the line of Siddharth Bassi from Sass & B.

Siddharth Bassi : Good Evening Sir, thank you for the opportunity. A few questions actually. So, I'll ask a question, wait for an answer and then ask the next. That's the best way to go forward. So, sir, firstly, we have obviously reported a sharp drop in profitability. So, if we were to adjust for the one-time expenses that have happened, the losses on the currency, etc, and let's assume that that would have not happened, what would our profit have been in this quarter? Because you mentioned there was a margin shift due to domestic and export mix. So, what would our profit have been had the onetime machining costs and currency expenses not happened, assuming they will not happen in the future?

Naresh Jalan: So, at the consol idated level, I think on a rough side, on an approximate side, we should have been higher by almost 300 to 350 basis points.

Siddharth Bassi: Okay. So , Rs.17 Crores should have been, say -- what would have been the ballpark number?

Naresh Jalan: Can you repeat the question? It broke down in the middle.

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Siddharth Bassi: So, I'm saying the profitability right now is Rs. 17 Crores. If we remove for the one -timers that have happened, including machine costs, currency costs, etcetera, what would have been our profit number if we take those costs as onetime and they won't happen in the future?

Naresh Jalan: So, you're talking about the PAT number?

Siddharth Bassi: Yes, PAT number.

Lalit Khetan: So, what you have to look at is, we have given you the impact on the price realization and the forex . And that has been higher, so Rs. 45 Crores have been added in the consol idated profitability and impact has to be reduced. So overall profit would have been on the consol idated basis, would have been higher by almost Rs. 40 Crores.

Siddharth Bassi: By almost Rs. 40 Crores. So, we would have been somewhere around Rs. 57 Crores to Rs. 58 Crores.

Lalit Khetan: Correct.

Siddharth Bassi: Perfect. Next question, sir. How did we go wrong on the steel pricing? Don't we hedge our steel and currency because in the future also, steel prices may vary. So, we can't have losses because of a change in steel prices.

Naresh Jalan: I think steel prices, we cannot hedge. I think we are buying steel in India, and there is no hedge we can do in terms of steel pricing is concerned because when we export to U.S. and all the contracts based out of U.S. are based on steel pricing in U.S. So basically, both are 2 different geographies, and we cannot hedge in terms of steel pricings are concerned. So, there is no formula or no place wherein we can hedge the currency. I mean we can hedge the currency, but we cannot create a hedge on steel pricing.

Siddharth Bassi: Understood. So basically...

Naresh Jalan: And basically, one more thing which you will need to understand because it is when the customer consumes this part, that is the time the invoice is ready. So, we need to have the current market situation, we cannot predict when the customer is going to ultimately consume the parts. And it is also second is

that both geographies being different, if we start , we may incur more losses if we start hedging and the dates cross over.

Siddharth Bassi: Understood. Understood. So, sir, next question, when we are exporting to Mexico, this is

basically to understand the tariff impact, are we basically exporting to companies that are manufacturing in U.S., basically U.S. companies and are then exporting back to U.S.? Or are we sending it to our own Plant, which is then exporting to U.S.?

Naresh Jalan: No. We are sending to the companies who have manufacturing base out of Mexico, and they are assembling it into their full assembled part or vehicle and then exporting it to U.S. under USMCA.

Siddharth Bassi: So that -- and the USMCA is obviously, 94% of those goods are not being tariffed anyway. So, we're not in any pressure that way.

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Naresh Jalan: Yes.

Siddharth Bassi: So, the conversation regarding our -- us suffering on the U.S. tariffs is basically misplaced because Mexico auto imports are a part of the MCA, and we are exporting to American or other companies which are selling in Mexico and sending to U.S. So, there is no tariff impact per se on our case.

Naresh Jalan: No. Tariff per se on our Mexican shipments are not there. But per se, out of our North American export, 20% directly goes into U.S., wherein we are suffering this tariff impact. So that's the reason I said that Rs. 6 Crores -- to the earlier question, last quarter, there has been an impact of Rs. 6 Crores on account of tariff.

Siddharth Bassi: Understood, sir, but considering a company of our size, that's a marginal impact versus what the Street is estimating or...

Naresh Jalan: I think Street report -- like for all our Canada shipments, we have FOB shipments. So as such also, we are zero impacted and the customer is picking up this and customer is paying for the tariff to Canada. And similarly, for Mexico operations, all our material goes into Mexico and is shipped to the local locations of the customer in Mexico.

We are not impacted by any tariffs for all our shipments to Mexico and Canada. Only shipments going into U.S. are impacted. I don't know why -- what market is formulating it. But out of our total North America shipments in terms of our exports, 20% of our exports directly go into U.S.

Siddharth Bassi: Understood, sir. Sir, just another question on then is this the worst in terms of our margin performance and our PAT performance? And in the future, considering the market remains as it is, status quo because I am, for me, it's the worst for the market cycle right now. Are these the worst numbers RK Forging is going to give? And can we go back up to the Rs. 70 Crores to Rs. 75 Crores profitability by next quarter or the next to next?

Naresh Jalan: No, I think in terms of profitability, in terms of EBITDA levels, I think with depreciation, if you see at the consolidated level, we have a very high depreciation right now with all the new equipment and other things in place. At EBITDA margin levels, I think this is the worst, which is there behind us. And I think you will see a gradual and a steady recovery in quarter-on-quarter every quarter. And as already guided in our earlier calls also, Company is doing what is required to go back to the old margin days. And I think it is it should not be too long before we get to that place.

Siddharth Bassi: Understood. Just few more questions. Firstly, big compliments to Jalan sir and the family for standing by individual investors and the market for providing the inventory losses from their own pocket in terms of taking warrants at Rs. 2,100. So just a question on that. Since you mentioned 2 weeks may -- we are putting the money, are we putting in the 25%? Or are we going to fully subscribe 100% to the warrants with the Rs. 200 Crores amount?

Naresh Jalan: No, I think to answer your

question, as guided in our earlier call, we are putting in 25% on an immediate basis as soon as we receive Stock Exchange approval. But as committed, before the
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end of this financial year of FY '26, the entire money is going to come into the Company and the entire Rs. 200 plus crores are going to be paid and converted to shares from warrants.

Siddharth Bassi: Understood. Understood. And any, sir, other opportunities in terms of what the business is looking at, which, because I'm assuming with the tariff war happening, it might have opportunities open up, any thing we're looking at on that front?

And secondly, sir, since our exports, since a lot of our money is coming from exports and the European market also and a lot of our CV orders have come from the European market, any view on the market there? And how is it performing? Do you expect an uptick there? Because in the last call, you mentioned that the CV cycle is reaching replacement demand and that there will come a time when orders will be placed. Any views on that?

Naresh Jalan: I think Europe is doing extremely well for us. If you see the last quarter also, Europe performance has been extremely good. And I think what we are seeing right now is extremely good traction from Europe. And I can very confidently say in FY '27, our revenues from Europe are going to equally match North American operations.

So, I think we are not going to be impacted or we are going to be only impacted for next couple of months for our North America sales. But Europe is one of the strongest market for us going forward and is going to make up more than what we are going to lose in terms of overall demand in the North America.

We have not lost any business in North America. We continue to gain market share in North America, but overall market demand per se is down in North America. That is what is reflecting in our sales in terms of our North America operations.

But if the sales come back, I think North America operations are also going to equally do well for us with the new order wins, both in non-auto and auto, which we have gained in last couple of months despite tariffs.

We have won Rs. 300 plus Crores from PV application and rest North America orders are from non-auto segment. So keeping together, I think the flat for the overall exports, we continue to ride on new order wins, and we are extremely confident of doing well.

To answer your second question, what more we are trying to do, we are increasing our wallet share considerably in the Indian railways. And I think I'll be happy to say that we have just received approval a few weeks back to supply the complete undercarriage in assembled form in Indian Railways for passenger coaches, which will give us an incremental revenue of almost Rs. 50 Crores to Rs. 75 Crores in this Financial Year.

And we are looking to do almost Rs. 300 plus Crores of revenue in next Financial Year from only assembled undercarriage for which we have already done and completed capex in previous year, and we were just waiting for final approvals from Indian Railways.

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And the approvals are already in place last few weeks back. And we are expected to supply the development orders, which we have already received from Railways for about Rs. 60 Crores in this Financial Year.

Siddharth Bassi: Sir, why don't we, as a company, disclose these to the exchanges, our order wins, etcetera? It would add more to the investor sentiment per se regarding, especially in tough times and tough markets.

Naresh Jalan: I think as a policy decision, after what had happened in last year due to speculation because of our order win announcement, we had a lot of heartburns with our customers. So, we have taken it as a policy matter to only do order announcements with our earnings calls and

not do midway

any order announcements or anything related to that.

So that is a policy decision we have made. We don't want to antagonize any of our customers in export market or the domestic market. And order wins without customer name also, there are a lot of speculations, and this speculation leads to a lot of heartburns at the customer end. So basically, we don't want to add on to all these problems for us.

Siddharth Bassi: Sir, just one last question. This is more again regarding the markets in terms of, have you been in touch with other mutual funds since over the last couple of quarters, we've seen Aditya Birla and other -- Aditya Birla Sun Life has completely sold out its holdings of RK Forgings and a couple of other mutual funds have also cut positions. Are we in touch with any mutual funds to explain to them how the Company is doing, what the company is all about to get better people on the cap table?

Naresh Jalan: We are always available to meet and receive any investor irrelevant of the sizes they are concerned and irrelevant of the background. We are happy to take them through the performance of the Company, take them through the Plants of the Company. And we are in always touch.

Our IR people are always in touch with the investors. And I think at the right moment with uncertainty, as the uncertainty fades away and as Company performance improves, we are sure that investors will come back. It's a matter of time. I think we are patiently waiting, and I think that's what best we can do.

We continue to work on what is there on the table for us and keep on performing, keep on navigating the tough times with new order wins, new geographies and new business opportunities in these tough times, I think that's what our job and that's what we are doing continuously.

Siddharth Bassi: Right, sir. Thank you so much. Just a couple of suggestions, if you don't mind. Since a lot of lay investors also go through the numbers, it would be great if on a Press Release, A) obviously, you talk about the order wins of the undercarriage and the kind of profitability we expect from it and the revenues we expect in the future.

Secondly, in terms of this quarter, optically, the number of PAT looks really bad and the EPS looks really bad. So, it would be great in the Press Release if you explain that the onetimes, which have happened this time, including the steel impact and the machine depreciation impact

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and the currency impact, our PAT would have been north of Rs. 50 Crores. So that would bring in a lot of confidence in terms of Company 's performance.

Naresh Jalan: I think this your suggestion, what you have given is correct. But if you see our presentation, we have already explained this Rs. 50 Crores, why profit has been impacted. Line item -wise, we have provided details in our presentation with the results. So , if you go through the presentation, you will be able to see this Rs. 50 Crores impact we have mentioned line item -wise, what is domestic and everything. But your suggestion is well taken, and we will ensure more transparency going forward.

Siddharth Bassi: Absolutely. I'm an individual investor, recent new investor in the Company , after seeing that you had an inventory issue and then Mr. Jalan, how graciously he has decided to shield individual investors and retail investors by taking the hit upon himself and the family, shows that the Company really means business, wants to do well. Although I just have 1 lakh shares, but it means a lot that you're giving us the time to small individual shareholders as well. Thank you so much.

Moderator: The next question is from the line of Aditya Agrawal from Old Bridge Mutual Fund.

Aditya Agrawal : Congratulations on a good set of volume display. Sir, my question is on the -- so firstly, on the undercarriage order that you have got, is this

over and above the Vande Bharat order that you won may be last year of Rs. 270 Crores?

Naresh Jalan: Yes, that is over and above. Vande Bharat order which we have received, that is from BHEL and that is a private sector. Now what we have received approval also from Indian Railways and the order of Rs. 60 crores from Indian Railways directly to supply complete assembled undercarriage.

Aditya Agrawal: And sir, what's the status on that Vande Bharat order? Have we started the production? Or are we still in progress on that?

Naresh Jalan: No, we have already started proto manufacturing. And I think we should by October 2025 , we should submit the proto. Design and everything else has been approved by BHEL. Proto submission date is October 2025 , and we are well on track to submit it within October, the proto submission is going to happen. And we have an obligation to supply, I think -- Miles, what is the exact quantum by March 2026 , we are going to supply?

Miles Gandhi: So basically, for the first 2 train sets, that is the first 2 train sets of 16 coaches each, we will have 32 bogeys. So total 64, we need to complete by March 2026 .

Aditya Agrawal: Okay. That's good to hear.

Naresh Jalan: So, the 64 is going to go to Vande Bharat and the Indian Railway order is going to also directly go to Indian Railways, which is going to , we are trying to get that also completed. Our wish list is before March year -end.

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Aditya Agrawal: All right. Sir, my second question is on the newer , much newer segment, castings. So, if I look at the differential between consol numbers and the stand -alone numbers, the amount comes out to be Rs. 78 Crores. So, is this -- this number should all be proportionately to the casting s segment?

Lalit Khetan: Can you repeat your question, please?

Aditya Agrawal: So, my question was on the castings part. So , in standalone, we basically report the forging piece of business. And with the new restructuring we have done, the castings have come in consolidated business. So, this quarter, the difference between the standalone and consolidated is close to Rs. 78 Crores. So should we proportionate the Rs. 78 Crores to the castings -- fully to the castings segment?

Lalit Khetan: Mainly to the casting segment. Majority will be from casting only and a little bit from Mexico .

Moderator: I am sorry to interrupt, sir. Your voice is not clear properly.

Lalit Khetan: Hello. Are you getting my voice now?

Moderator: Yes, sir. Now it's better.

Lalit Khetan: So, I was just clarifying. It's largely through the casting s business.

Aditya Agrawal: Okay. Sir, given that , if I compare this number to last year, last year, this number would have been around Rs. 73 Crores. And given that we have given a very healthy show in the domestic

volumes in forgings. So, what is the kind of ramp -up we are looking in the casting segment? Like what is the current utilization of the capacity? And what is the volumes that has picked up in the casting s part?

Naresh Jalan: Casting, to answer your question, we have the capacity which we had acquired is almost running at 90% plus utilization. I think new capacity, which we have set up is going to go into production or trial runs, I think, in next 2 weeks' time . So, we are hoping to for a higher utilization in casting in this quarter and in next quarter to go almost to a monthly run rate of 6,000 tonnes. So, I think we are looking at almost in the next half to double our top line from the casting s.

Aditya Agrawal: Okay. So casting, you're saying currently running at 90% utilization, right?

Naresh Jalan: Yes. And new facility of the casting s, the addition of the casting facility, which we have done for close to 40,000 metric ton nes is going to go into trial runs in next 2 weeks' time. So that capacity is going to add up to this -- I think alm

ost 2 times the capacity we have new put up. So this is going to create revenue in the next half of the year for us.

Aditya Agrawal: And you are looking at 6,000 tonnes of monthly volume offtake, right?

Naresh Jalan: Yes.

Aditya Agrawal: Okay. So, what will be the full -- I guess, the full capacity after the new addition will be close to 63,000 or 64,000 tonnes, right?

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Naresh Jalan: Almost around, we are looking at 70,000 tonnes per annum.

Aditya Agrawal: So technically, we are looking at 100% kind of utilization from day 1.

Naresh Jalan: No, we are looking at 90%. We have a confirmed order book from castings. And I think we are just waiting for and the entire capacity as soon as it comes, we are looking at in the next half to go to almost 85% to 90% utilization from castings.

Aditya Agrawal: So, if I just may ask, sir, what would be the per tonne realization in the castings business you have?

Naresh Jalan: Lalit, can you -- per tonne, what is the realization in castings?

Lalit Khetan: So, it varies. Right now, it is around Rs. 120 kg to Rs. 150 kg.

Aditya Agrawal: Sorry, sir. Your voice is cracking, really sorry.

Lalit Khetan: Yes. So, it's a range between Rs. 120 to Rs. 150 per kg.

Aditya Agrawal: Okay. And this all will be machined, right?

Naresh Jalan: Yes, 99% of the castings we are supplying is in machine condition.

Aditya Agrawal: Okay. Okay. And just one book -keeping question. This quarter, our other expenses came in around I'm saying for the stand -alone business per se, Rs. 197 Crores other expenses, which was down last quarter -- from last quarter, 5% on a Y -o-Y basis as well as 4%. So, what has driven this driven the downward trajectory of these expenses?

Naresh Jalan: I think you will continuously see downward trend in terms of our other expenses. I think with the kind of cost cutting and other things we are able to do, I think you in terms of processing charges and other things, the way we are right now working on it, you will continuously see a downward trend in other expenses for near future, and that will be the new norms going forward in RKFL .

Moderator: The next question is from the line of Sunny from MK Ventures.

Sunny: Thanks for taking my question. Basically, I think this has been asked before, but I would still like to understand this rate impact and mix impact on the inventory. Basically, while we understand that there is some rate difference in the export and some inventory which is lying in the w arehouse, what are -- there is a Rs. 24 Crores impact on the domestic tonnage due to realization.

But wouldn't that mean that although the realization has dropped, our raw material cost also would have like steel prices also would have dropped, and that impact should have gotten neutralized. So how is this impact of Rs. 24 Crores coming from the domestic volumes? And isn't this like a routine phenomenon in the business or is this like something which has come up one time?

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Naresh Jalan: No, I think, Sunny, to answer your question, in terms of domestic realization, we -- the market did not go up as we had planned the inventory. So basically, you can see that there is an inventory hit and inventory, it is , you are right when you say that whatever steel price decrease happens, it also happens in the with the steel mill suppliers. But steel mill supplier does not give us reduction based on whatever inventories we have in the system or inventories we carry

through. So all that hit has to come into the P&L, and we have to absorb, as suppliers, to the OEMs.

Going forward, yes, we have already started getting new pricing inventories, which you will see in coming quarters, this will not get reflected in the balance sheet in the P&L. In terms of our exports, the realization, the s

hipments which we had already do ne with the previous raw material and U.S. raw material has dropped more than the domestic raw material. And that's the reason we have a higher hit in terms of the overall shipments to the export side. And that is coupled by the currency also.

Sunny: Got it. No, export, I think, is well understood, but domestic was something -- but basically, what you're saying is that you had excess raw material in the opening inventory, which was at a higher cost. And basically, your selling price is determined on th e current running price of steel. And as you basically ran down the old raw material inventory, your cost was to that extent higher, but realization was based on the current pricing, which kind of impacted the margin in this quarter.

Now basically, your current closing raw material inventory and the realization that you're getting from the customer is in line with each other. So that impact will effectively not get carried forward in the future quarters.

Naresh Jalan: Yes, you're right.

Sunny: Got it. And second, on the mix impact, while I understand a higher domestic mix should impact your percentage margins because your export margins in terms of percentage is better. But like how does the mix impact in terms of the absolute EBITDA? How is tha t...

Naresh Jalan: I think in terms of our overall exports, our realizations are at least 150 basis points to 200 basis points higher in terms of profitability from the domestic supplies, which has been impacted basically because of mix change, domestic going higher and expo rts going down.

Sunny: But that -- got it. Got it. Okay. And basically, this Rs. 5 Crores forex loss impact on import of capex of, say, Rs. 5 Crores stand -alone is above EBITDA impact. So basically, net -net, about Rs. 45 Crores of impact would be above EBITDA. And this Rs. 6.66 Crores is coming as part of JV.

Naresh Jalan: JV and it is directly get knocked off in the PBT.

Sunny: Got it. Got it. And would it -- like in terms of the normalized margins, so like if we adjust the 300 bps, approximate 300, 350 bps of margin impact from in the current quarter. So that number comes to about 17% to 17.5%, which is kind of still lower than your erstwhile margin of 21%, 22%. So, is there a pathway to that 21%?

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Naresh Jalan: Sunny, I have answered this question previously also. With the storm we have weathered in previous quarter, and I think you will see a quarter -on-quarter continuous efforts with margins getting improved and we are very hopeful by the last quarter or first quarter of Financial Year FY '27, we should be back to our old days of margins on a standalone basis.

And while casting s business gets consolidated, casting s business, while we will be able to crop a very high level of revenue and utilization with the kind of order wins we have and with the kind of traction we have from the customer, but that will never be a 20%, 22% margin business for us. Casting s will always remain to be a 16%, 17% margin. So on a blended level, we are looking at almost margins, on a standalone, RKFL should get back in next 3 to 4 quarters back to their old margins business.

Sunny: Got it. And just one last question. Basically, your export pricing is on a quarterly basis, but your -- like how often your domestic pricing is with the like how does it get repriced in the domestic market?

Naresh Jalan: Domestic market, it depends on the OEM directly negotiating with the raw material supplier. So we have no role to play in that nor there is any index based on that. It is basically the raw material supplier negotiates directly with the OEM. And as we recei ve information from the OEM, on the quarter basis, it immediately takes an effect. But everything, whatever happens, happens on starting of the quarter and is applicable for the entire quarter. There may be price r

ollover also, there may be a price change also.

Sunny: Got it. So, this quarter, unfortunately, you got caught in the wrong cycle with high inventory and basically on, say, the starting date, the OEMs negotiated a lower price with the steel...

Naresh Jalan: Yes, steel numbers.

Moderator: The next question is from the line of Devang Shah from Asit C Mehta Investment.

Devang Shah: Good evening, Sir. Just to ask you the way earlier we guided with very optimism as far as our revenue top line and bottom line. We can understand, last quarter, there was some kind of

inventory correction. And in the initial remark of your commentary today, you have mentioned some kind of slowdown and certain global -related challenges is impacting the Company's performance. But certain also opportunities also you have shared in this particular call also. So, sir, I would like to know that our aspiration to have some kind of 25% kind of top line growth. And as you have mentioned, gradually, we will come back to our normalcy of a margin of somewhere 22%. So, it will not be too longer also you have mentioned to earlier participants. So, sir, that's what the only question that in this particular financial year, can we able to have a such kind of achievement by the end of FY '26?

I'm not talking about the quarterly performance. I can understand it may have some kind of challenges. But my question is that by the end of FY '26, we can have some kind of possibility of achievement of top line somewhere close to 25% and also come out to some kind of 22% or some kind of plus/minus margin relatively close to that.

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Naresh Jalan: To answer your question, I think in opening remarks of Lalit, whatever he has said is based on tariffs and other things, what are applicable and what is concerning the market and what is our view related to the tariffs and other things. It does not mean th at we are not working or not burning midnight oil to ensure that our performance does not decline vis -a-vis the industry. And as in the past, we have always outperformed the growth in terms of the overall industry, and we will continue to do so.

And as we have guided in our previous call, we have never guided for a 25% growth on a yearly basis, but we have guided for a volume growth of 15% to 20%. And with the kind of capacities and other things are coming in place in next 2 months, and I think as guided in our earlier call, we had clearly said that almost 80% or 90% of our entire project to increase capacity, both in castings and forgings are going to be in place by end of September 2025 .

So once all these capacities are in place, we are looking to have a very healthy second half of the year. And we still believe that this phenomena of market slowdown is not a long -lived situation. And I think for the full year basis, we will be on a growth trajectory in terms of overall volumes in terms of our top line.

And in terms of bottom line, on a standalone basis, we are very confident that every quarter -on-quarter, there will be significant increase, and we will strive to get to the old days of profitability of the Company on a standalone basis. The new capacity, which is getting added in castings, casting will never be a 22%, 23% business for us.

And as guided earlier also, while we will get significant volume and significant top line from our casting s business, which is 100% subsidiary of RKFL, we will outperform the industry, both in terms of volume growth and in terms of profitability in the castings also.

Devang Shah: And my second question, sir, as you already mentioned that due to tariff -related challenges, that's what we are now witnessing as far as general geopolitical situation is concerned. Do you as we come out any kind of solution through terms of trade agreemen ts kind of thing, do you see the situation and the outcome may change in th

e coming quarter as well? That's what something possibility as far as...

Naresh Jalan: I think right now, like I said to earlier question, we have learned to live with 25% auto tariff, which is being , which is in place. And I think we are in process with discussing with all our customers and all our stakeholders for all our U.S. shipments. Again, I would like to stress on that our total North America exposure, only 20% of our shipments go directly into U.S., which is, as of now, last quarter has been impacted by almost a tariff of 25%, which is Rs. 6 Crores. And on a full year b asis also, if you can see the Rs. 6 Crores, if I can -- if I put it on a full -scale basis also, it's going to be Rs. 20 Crores, Rs. 25 Crores on the full balance sheet.

So basically, we are looking at this kind of tariff numbers, and we are negotiating with our customers to offer a 100% pass on. We have almost received 50% confirmation from our customer for 100% pass on. And we are not speculating in terms of how, what th e, if there is going to be an FTA, what changes it can happen and how much time it's going to take. I think it is very difficult for us to do that guesswork .

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And I think we are not looking at or not speculating based on what FTA brings and what , if anything happens on the downward trajectory, it is good for us, but we are getting prepared ourselves with the current numbers, and we are working with our customers on the current numbers. We are just waiting for demand outlook to improve. And as you m ay be aware or you

may be seeing the details, overall auto industry in U.S. is suffering very badly for this tariff - related issue. And I think we will just need to wait on the sidelines and watch how the demand side improves.

Moderator: The next question is from the line of Viral Shah from Enam Holdings.

Viral Shah: Hello, thank you for the opportunity. Sir, some of my questions have been answered. Just one clarificatory question. You said you expect to reach 21% to 22% EBITDA margins by Q4 of '26 or Q1 of '27. Is that correct?

Naresh Jalan: Yes, on a standalone basis.

Viral Shah: On a standalone basis. And then how are you looking at these numbers in the next year? Do you think there is scope for further improvement? Or do you think the stabilized margin should remain at 21% to 22%?

Naresh Jalan: I think as a Company, we are always working to improve margins. And I think with the capacity utilization improving with the kind of new capacities getting augmented by September 2025, our aspiration is to be on the upward trajectory of the margins.

I think with our acquisitions stabilizing, and I think the crankshaft machining plant, which is merged with RKFL, I'm happy to state that from this quarter onwards, we are going to start seeing profitability coming in from there because the utilization level has improved, and we are looking at on a full year basis to get a significantly good top line from those facilities.

So these are all going to be an improvement side in terms of the overall margins. But to be very cautious, we are taking a longer lead time in terms of expectation building in terms of our investors. We don't want to overcommit. And that's the reason we are building in 5 quarters from here, when we -- on a safer side to be hitting those margins on a standalone basis.

Viral Shah: Sure. Sir, my next question is on your expected outflow towards capex and investments in the current year. And accordingly, how are you also looking at the net debt progressively coming down because you also had an elevated working capital last year? So how are you looking at both?

Naresh Jalan: I think Lalit has answered to this question. We are looking at almost Rs. 300 Crores to Rs. 400 Crores decline in our net debt levels on a consolidated basis by end of FY '26. And basically, right now, the current net d

ebt is close to Rs. 1,800 Crores, which is same as what was at the closing of March '25 balance sheet. And we are looking at this year to end somewhere in, anything between Rs. 1,400 Crores to Rs. 1,500 Crores as net debt of the Company at a consolidated level.

Viral Shah: And sir, what is the assumption of capex and investments in this, sir?

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Naresh Jalan: I think in terms of -- Lalit, can you give the exact numbers of investments and capex?

Lalit Khetan: So, coming to the investment part, we have already invested Rs. 370 Crores in the JV. So Rs. 230 Crores more will be invested. So Rs. 115 Crores further will be invested in the JV in next 1 year time. And coming to the capex part, there will be a capex of Rs. 300 Crores to Rs. 350 Crores in this current year.

Moderator: I am sorry to interrupt, sir. Your voice is not clear, slight breaking.

Lalit Khetan: Yes, I think it's better now.

Moderator: Yes, sir.

Lalit Khetan: So, coming back, so capex for the current year is Rs. 300 Crores to Rs. 350 Crores. And I said the investment; we have already invested around Rs. 370 Crores in the JV. Rs. 230 Crores, both partners together will further infuse. So, about Rs. 115 Crores will be our share in the investment.

Viral Shah: So Rs. 415 Crores to Rs. 450 Crores is the kind of outflow that you will have this year from capex plus investments?

Lalit Khetan: Yes.

Viral Shah: Okay. Just lastly, sir, clarificatory, sir, what should be your tax rate in the standalone business this year?

Lalit Khetan: See, tax rate is 25% only. And, but we have not provided for any tax on account of merger with ACIL and only there is a correction in Deferred Tax Asset, which we created in the last quarter.

Moderator: The next question is from the line of Hardik from SP Dara & Associates.

Hardik: Hello sir, very good evening. Thank you for the opportunity. I just had two questions. So first, what is the long-term strategy going ahead for RKFL. So, what I mean to ask is, are there any new products under development or we are looking to consolidate the casting and forging traditional business that has been going on?

Naresh Jalan: No, I think we are working aggressively in terms of new product developments. I think like I answered the earlier question, we have just received approval for complete assembled undercarriage for Passenger Vehicles, and we look at extremely solid set of numbers coming in

next couple of years. And with the Passenger Vehicle Segment growing in Indian Railways significantly, I think there is a lot of work to be done and a lot of revenues to be created in next years , in coming years.

And I think this is a significant milestone in terms of the overall development of these assemblies with mix of forging, fabrication and casting together. So, I think that's one of the game changers, which we have been able to get an approval in a very short span of time. And a development order, I think my marketing people have done an extremely good job by getting Ramkrishna Forgings Limited

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an order which -- worth about Rs. 60 Crores, which we are going to fulfill by March '26 and look at a bigger chunk of business in next financial year.

To be more precise, Railway buys close to around Rs. 1,000 Crores to Rs. 1,500 Crores worth of fully assembled undercarriage per year for passenger coaches. So, I think for next year onwards, this entire -- post this completion of development order, we'll be eligible to supply for the complete kitty. And we have set up a very significant capacity for this. So, we are looking at to do a significant number going forward in next year's onwards in this undercarriage itself. Hardik: Got it. And sir, my second question was, since you said the casting business is a 16% to 17% EBITDA business. So, on a blended basis, what margin

should we expect on the consolidated front for the next 2, 3 years?

Naresh Jalan: Lalit?

Lalit Khetan: So, if you look at the casting plus forging EBITDA margin blended basis, so casting business will be somewhere around -- if you look at the next year, it will be 20% to 22% on the full year basis. And if there is a 500 to 600 basis point gap, so there will be 100 to 150 basis point overall reduction from the standalone to the consolidated number. So suppose we reached to a 22% of EBITDA. So consolidated level, it will be somewhere between 20% to 21%.

Moderator: The next question is from the line of Mitul Shah from DAM Capital.

Mitul Shah: Sir, first question on this Railway JV. As per presentation, this Rs. 2,000 Crores capex is on and nearly Rs. 350 Crores, Rs. 360 Crores equity infusion has already happened. So, what would be the debt component? Or right now, what is the current debt on JV or how much total debt plus equity is invested so far?

Lalit Khetan: So, the construct of JV is 70 -30, 70 is debt, 30 is equity. So, 30% of equity constitutes Rs. 370 crores what we instituted and proportionate amount of about Rs. 900 crores have been debt. So , total is about Rs. 1,270 crores is invested so far in the JV.

Naresh Jalan: Answer to your question -- Mitul, to answer your question, the Rs. 2,000 Crores project investment is in 2 phases. So, first phase will not require the entire Rs. 2,000 Crores. We are looking at close to around Rs. 1,600 Crores to be spent in this first phase, where we will augment the capacity of machined finish 100,000 plus wheels, which will suffice my requirement for Indian Railways up to FY '28.

So, second phase of investment of Rs. 400 Crores, which is going to happen, is going to happen once we have a utilization level of 100,000 plus wheels sent to Indian Railways, then only we will invest the second phase to augment full capacity of 200,000 plus wheels.

Mitul Shah: Okay. So incremental only nearly now Rs. 100 Crores, Rs. 120 Crores equity infusion is pending for first phase and another Rs. 300 Crores could be the debt, right?

Naresh Jalan: Yes.

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Mitul Shah: So, debt is also like a nearly Rs. 1,000 Crores debt on JV apart from our existing, this, Rs. 1,800 Crores net debt.

Naresh Jalan: But I think the JV does not carry risk in terms of RKFL consolidated is concerned. And neither this balance sheet is getting consolidated in RKFL right now. So obviously, this debt is not , - and debt is entirely on plant and machinery and land bank of the JV, which is concerned.

Mitul Shah: And second, sir, just a clarification on this impact we have highlighted in our PBT, mix as well as this raw material thing, nearly about Rs. 40 Crores seems to be because of this raw material thing, as you explained earlier, carry forward inventory at a higher cost material purchased in previous quarters. But this Rs. 11 Crores forex impact is again on the import of the capex . So that would be part of the balance sheet, or we are factoring that capex -related impact also in P&L?

Naresh Jalan: So, I think RKFL on a stand -alone basis is about Rs. 5 Crores, that is above EBITDA. And the balance on the JV, which is there, that is part of PBT. So, I think on the consolidated basis, this

entire quantum of Rs. 15 Crores has been – Rs. 16 crores have gone into the balance sheet.

Lalit Khetan: So, Mitul, further, to clarify, on the standalone basis, everything is part of EBITDA. So Rs. 45 crores EBITDA and you can -- on the consolidated basis, again, Rs. 6.6 Crores of JV also routed through PL only as a separate line item. So, everything has been routed through PL. Nothing has been routed through balance sheet.

Mitul Shah: Okay, sir. Understood. And as we highlighted, about 300, 350 basis impact is at an EBITDA level, right?

Naresh Jalan: Yes.

Mitul Shah: We highlig

hted that impact of 300, 350 basis because of this raw material and we have to pass on the benefit immediately. So that implies nearly Rs. 35 Crores kind of – Rs. 30 Crores to Rs. 35 Crores on an absolute basis. Just...

Lalit Khetan: Rs. 40 Crores plus Rs. 5 Crores, so Rs. 45 Crores, you have to price that by tax of 25%. So it comes to around Rs. 34 Crores. That is 300 basis point only.

Mitul Shah: Post-tax impact we are considering. Lastly, sir, if we assume raw material prices, steel prices doesn't change Q -on-Q in Q2, so can we expect direct this benefit or impact going away and 300 basis type of a jump in profitability Q2 itself? Or we see that every quarter, we may realize just 50, 60 basis and gradually we'll go to this 200, 300 basis improvement overall by Q4?

Naresh Jalan: Lalit, can you answer to Mitul's question?

Lalit Khetan: Mitul, so what I understood from your question, what you were asking next quarter, how the margin will move...

Mitul Shah: Sir, I'll repeat the question. My point is that if the raw material steel prices remain flat Q -on-Q in this quarter, Q2 itself, so can we realize this entire 300, 350 basis benefit in Q2 itself or this

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journey to improvement of 300 basis will be gradual with a 50, 100 basis every quarter improvement till Q4 or next year?

Lalit Khetan: It's not that simple because it depends on a lot of things. So, the domestic export mix plays a big role here, realization and the mix. So, you have seen the mix has changed. If mix moved positive rather from 64 -36, it moved 60 -40, it will have more positive impact. If mix remains like this, there will be no improvement on that count. And certainly, price realization and product mix also have to play a role. But certainly, the inventory correction part will be not there. So, there will be improvement. But it's very difficult to quantify in terms of basis.

Mitul Shah: Okay. And sir, last one thing, again, as we highlighted, our ambition to reach to 21%, 22% EBITDA margin by fiscal end or maybe next year first quarter. So, if we look at the historical peak margin of about 22% and if we consider the inventory -related error in past 1 or 2 years, then adjusted realistic margin would be somewhere closer to 20% as we calculated 200 basis impact of the inventory. So, do you mean that we would surpass that historical peak also in next 3, 4 quarters and will go to 21%, 22%?

Naresh Jalan: Mitul, to answer this question, previously -- like previous participant also asked in terms of our other expenses. If you see, we are working significantly in terms of our cost structure. And there has been a significant reduction Q -on-Q and year -on-year in terms of our other expenses. And you will continuously see improvement in terms of our other expenses. I think it is a journey which we have started.

And I think in next 4 to 5 quarters from here, what inventory related was one -off time issue on a standalone basis with the kind of capacities which we are building in next 2 months, most of the capacities are going to be in place. With this, we are very confident with the kind of order wins we have had in exports and the domestic, we will be able to surpass our previous margins in the next couple of quarters.

Moderator: Ladies and gentlemen, as that was the last question for the day, I now hand the conference over to the management for closing comments. Over to you, sir.

Rajesh Mundhra: Thank you. I would like to thank all the participants for taking out time to join our earnings call. I hope we have been able to answer and address all your queries. For any further information, kindly get in touch with us or with CDR India.

On behalf of Ramkrishna Forgings Limited, we wish you all a very wonderful week ahead. We look forward to interacting with you again in the next quarter. Thank you very much for taking out your time

again. Thank you.

Moderator: Thank you. On behalf of IIFL Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: Nov 2025

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Date: 18 November , 2025

To
The Listing Department
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BSE SCRIP CODE: 532527 To
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Mumbai - 400 051

NSE SYMBOL: RKFORGE

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Earnings Call Transcript – Q2 & H1 of FY 2025-26

This is further to our intimation dated 8 November , 2025 w.r.t Earnings Conference call with Analysts/Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for Q2 & H1 of FY 2025 -26.

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Earnings Conference Call Transcript held with Analysts/Investors on Wednesday, 12 November , 2025 at 18:00 Hours (I.S.T) .

Copy of the same is also being made available on the website of the Company at www.ramkrishnaforgings.com .

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra
Company Secretary
& Compliance Officer
ACS: 12991

Encl.: As above

Ramkrishna Forgings Limited
Q2 & H1 FY '26 Earnings Conference Call
Wednesday, 12 November, 2025

MANAGEMENT:

- Mr. Naresh Jalan – Managing Director
- Mr. Chaitanya Jalan – Whole -time Director
- Mr. Lalit Khetan – Whole -Time Director and Chief Financial Officer
- Mr. Milesh Gandhi – Whole -Time Director
- Mr. Rajesh Mundhra – Vice President -Finance and Company Secretary

Moderator: Mr. Joseph George – IIFL Capital Services Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the Ramkrishna Forgings Q2 FY '26 Earnings Conference Call hosted by IIFL Capital Services Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Joseph George from IIFL Capital Services Limited. Thank you, and over to you, sir.

Joseph George: Thank you, Muskaan. Hello, everyone. On behalf of IIFL Capital, I welcome you all to the 2Q FY '26 Results Conference Call of Ramkrishna Forgings.

I also welcome the senior management of Ramkrishna Forgings. We have with us Mr. Naresh Jalan, Managing Director; Mr. Chaitanya Jalan, Whole -time Director; Mr. Lalit Khetan, Whole -Time Director and CFO; Mr. Milesh Gandhi, Whole -Time Director; Mr. Rajesh Mundhra, VP - Finance and Company Secretary.

Now I'll hand over the call to the management to take the call forward.

Over to you, sir.

Lalit Khetan: Thank you, Joseph. Good evening, everyone, and thank you for joining us on this call to discuss the Q2 and H1 FY '26 earnings.

In Q2, we continued to operate in a challenging global environment, geopolitical tensions and shifting trade alignments which disrupted supply chains, while currency volatility and higher input costs added pressure on margins. Across key international markets, OEMs and customers adopted a cautious stance moderating order volumes and rationalizing inventories. Collectively, these factors created a difficult backdrop for the global manufacturing and automotive sectors, affecting both volumes and pricing across geographies.

Our international business also felt the impact of this tariff and duty on exports from India along with reciprocal tariff imposed by the U.S. on other countries and that has the effect of raising the final retail price for end consumers, which in turn has had a bearing on buying decisions. Thus, sales velocity has been subdued for our international OEM customers.

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In contrast, the domestic environment proved more supportive - strong macro fundamentals, such as steady industrial output, resilient IIP growth, moderating inflation and softer interest rates have contributed to a healthier business climate. The Government's recent GST rationalization initiative has provided an additional boost, helping revive customer sentiment in automotive sector after a period of subdued demand. Lower tax reduced onboard prices across vehicle categories. In recent years, we pursued a strategic imperative to strengthen and

diversify our domestic presence through focused investments and product innovations, particularly in railway and passenger vehicle segment. Domestic business is picking up with good timing given the challenges in global business, and these efforts are now yielding results. The Railway segment is gaining healthy traction with our products being integrated into the bogey assemblies. Our newly launched vertical supplying castings to railways has made a promising start and is well positioned to scale up meaningfully in the coming quarters. Looking ahead, our priorities include the introduction of new product, optimization of capacity utilization and further diversification of our revenue base.

Now let me share some financial highlights for the second quarter. For Q2 FY '26, we reported a consolidated revenue of Rs. 907.53 crores, that is lower by 10.6% on quarter-on-quarter basis compared to Rs. 1,015 crores. The top line was constrained by subdued demand and tariff on exports, which impacted re

venues from international customers.

EBITDA, excluding other income is Rs. 122.54 crores in Q2, lower by 17.5% quarter-on-quarter compared to Rs. 148.61 crores in Q1 FY '26. EBITDA margin stood at 13.5%, lower by 110 basis points from the previous quarter. Profit after tax is negative. We have incurred a loss on consol basis at Rs. 9.5 crores in Q2 FY '26.

In the current quarter, this above loss is basically due to the few factors. One is the forex loss incurred by the Company on import of equipment that is amounting to Rs. 6.77 crore and impact of tariff is Rs. 10.75 crore, which we have to account for in terms of the settlement with the customers. Loss of Rs. 3 crore, we have incurred on account of operations in Mexico operations and a loss of Rs. 4.84 crore been from the JV, again, on account of forex loss on imported equipment. Cumulative impact is about Rs. 25.26 crores on overall profitability of the quarter. Otherwise, this quarter, we could have posted a much better result.

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A few more highlights in this quarter. In August '25, the Board approved allotment of 9,75,000 Warrants to the promoter entity, percent of the promised fund infusion and an amount of Rs. 51.19 crores of 25% of issuance amount has been paid upfront and balance will be paid before March '26.

The Board has approved another proposal today to issue 34,00,000 Warrants at a price of Rs. 588 per share and total amount being Rs. 199.92 crores to Mr. Chaitanya Jalan, our Promoter.

Further, amalgamation proceeding of Multitech Auto and the step-down subsidiary MAL Metalliks with Ramkrishna Casting Solutions Limited is progressing well, and we expect the order from NCLT in Q3 FY '26. So that's on the update from my side.

Now I hand over the proceeding to Mr. Miles, Whole-Time Director to update you on the market. Over to you, Miles.

Miles Gandhi: Thank you, Lalitji. I would like to brief the fraternity here. During the Q2, the Company secured new orders worth Rs. 1,116 crores with a program life of 4 years, excluding the railway segment. Out of this Rs. 1,116 crores order wins, 69% came from the automotive sector worth Rs. 777 crores, 27% came from the railway segment, that is Rs. 296 crores and 4% came from non-auto, that is around Rs. 43 crores.

This reflects our continued progress in our company's diversification strategy. Excluding railways, all order wins were from international geographies. This is worth mentioning. And we would also like to state that for Indian Railways, the Company received orders for the fully finished assembled bogey frames. And with the required approvals now in place, the bulk dispatches have already commenced.

Apart from this, we have also received a very strong demand in castings for the railways, and we have bagged orders worth Rs. 200 crores for the same. That's from my side. Thank you.

Lalit Khetan: Thank you, Miles. That's all from the management side. And now the

house can be opened for the Q&A session.

Moderator: The first question is from the line of Siddharth Bassi from SASS&B .

Siddharth Bassi: I will ask a few questions and I'd like it, if you could answer them one by one. So that will be great. Firstly, regarding the drop in revenue and the drop in EBITDA margin. In the last con call, the management had told us that from Q1 onwards, Q2, Q3, Q4 will be looking progressively better,

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where there'll be an expansion in margins and a growth in revenue. So, what made the revenue drop and the margins reduce?

Because in the last call, you had also mentioned that the impact of tariffs was only Rs. 6 crores on a U.S. customer. So that's nothing compared to our top line. So, management now saying that the tariffs have led to a reduction in revenue. Does seem a little off from the la

st call. So , could

you just explain the disparity, please? And then I'll ask the other questions.

Naresh Jalan: Siddharth, actually assuming that in the first quarter of the year, the tariff was only 25% and post reciprocal tariff of 25%, the tariff went up to 50%. And there was a lot of confusion until mid of September, when the government of U.S. has clarified tha t automotive tariff is only going to be 25%. And that led to a slowdown of dispatches for the customers because they were not prepared to pass on any tariff beyond 25%, which had been agreed by them initially.

Second is that overall , it is tariff -related activity has just not affected U.S., it has affected our Mexico also because overall demand in U.S. has gone down drastically beyond the projections, which we have received from customers. And on a rational approach, we did not want t o continue shipping material and parking them in the warehouse and affecting our cash flows.

That's the reason, as a rational company took a step to cut down on the inventory because if you see right now the projections which the customers or any U.S. is coming out that from first quarter of their calendar year, the situation is going to improve over there in U.S. And that's the reason we took a stand. And after all this clarification came, we have seen, again , the pullback in terms of shipments have started happening.

Siddharth Bassi: Okay. So, you're saying basically that post Q1, so Jan, Feb, March onwards, you're going to see traction in the U.S. market. Now obviously, since they're already halfway through the middle of Q3 as well, what sort of traction are you seeing in Q3? Is it Q3 better than Q2?

Naresh Jalan : Obviously, it is significantly better than Q2.

Siddharth Bassi: Okay. Wonderful. Sir, are we then on towards Q3, Q4 guiding for higher revenues and higher margins, like EBITDA margins upwards of the high like 18, 19 sorts? Or what are we looking at?

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Naresh Jalan : In terms of revenue, we still maintain that with the kind of capacity we have already put in place and capacity up and running. And as promised that most of our capex will be completed by 30th September and capacity in place, we still believe that the proj ections which we had given at the year -end results, means at the March results of double -digit growth, we still maintain that on the full year basis, we will be able to maintain our commentary of double -digit growth for the full year.

Siddharth Bassi: With the higher EBITDA margins than the 15%, 16% range? I think back to proper stability .

Naresh Jalan : We are back to proper stability . So , to your question only, I can very confidently say with half of the quarter gone by, where we can confidently say now that we are, I think, worst is behind us.

Siddharth Bassi: Right. So , one question more. We've been plagued with a lot of onetime losses in the last quarter. Last quarter, there was fluctuation in steel prices and revenue loss on equipment coming in. This quarter also, we

have now seen these onetime losses in terms of equipment, etc. So, Sir, can we now finally put a close to all these onetime losses on next quarter or are we still expecting some of these new customers.

Naresh Jalan : I think, currency is not in our control, Siddharth. If the Rs. 88.63 tomorrow moves to Rs. 91 or Rs. 90-plus, we are basically helpless in terms of managing currency. It is a global event and currency, if it goes down or goes up, I think we cannot control. And these are all notional losses. Basically, this has to be provided in the books.

These equipment, which are like for JV other things, still the equipment have not been put to use, and they are not generating any revenue. But as per accounting standards, we will need to provide for this. But that's the bottom line, how the accounting standards are maintained.

Sid

dharth Bassi: Sir, what I mean to say is have we bought all the footprint that we needed to, so that there is no further transaction of that equipment is taking place because capex is done?

Naresh Jalan : Capex is done, till the equipment is put to use. Any currency, which is being fluctuating, like for a stand-alone side, I can confidently say that we are not importing any more equipment, all capex has been through. But the hit in terms of the JV, which has come, our wheel plant is going to start as per our presentation also, you must have seen we are confident to start operations from March '26 onwards and trial runs to start from January onwards.

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So, post that only we can confidently say that anymore hit is not going to come into the books. But till then, obviously, till that work in progress is there, we will need to continue to take that hit.

Siddharth Bassi: Right. Sir, since you guided that already through middle of Q3, we are certainly profitable, like you mentioned. Any hazard a guess on the EBITDA margins? Is that possible for you?

Naresh Jalan : No. I can only tell you we are back to normal, and I think third and fourth quarter is going to be extremely surprising and extremely on the upside of the results.

Siddharth Bassi: Wonderful. Sir, a couple of questions in terms of the pledging of shares. So, the promoter basically pledged Rs. 200 crores with Tata Capital.

Friends of mine at Jio told me that there was also a conversation at Jio Finance for pledging to take money. So, what was the money used for? Or is being used for?

Naresh Jalan : We have not pledged any shares to Jio Finance. We have only pledged to Tata Capital that is basically to fill up the warrants.

Siddharth Bassi: To fill up the warrant. So, the initial Rs. 2,100 warrant or these ones, Chaitanya is getting right now?

Naresh Jalan : Initial Rs. 2,100 warrants, Rs. 50 crores have been already paid and balance like Lalit has said in his opening statement before the year-end, we have pledged the shares at one time. We do not want to continue on a daily basis, but the full amount has been secured and that payment will be made before March.

Siddharth Bassi: Okay. Sir, just one last question from my end now. Sir because the inventory issue that we have and the management has done a great job in sorting that out, but sir, are our bankers or anyone else concerned in terms of giving us working capital lines or in funding our inventory or we are facing any financial challenges there?

Naresh Jalan : No. We have not faced any funding challenges or any institutional issues from our bankers.

Lalit Khetan: Just to clarify, we are having Rs. 700 crores to 800 crores lines available in my balance sheet as on date.

Siddharth Bassi: Okay. And I really hope that Q3 and Q4 really do bring out dividends for yourself and the shareholders.

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Naresh Jalan : Regarding your hope we're extremely confident that we will come good on

this.

Siddharth Bassi: Wonderful, that calls for celebration next time we speak on call next quarter.

Moderator: The next question is from the line of Sunny Gosar from MK Ventures.

Sunny Gosar : My first question is on the debt levels. So, debt levels have substantially shot up as on September '25 to, I think, more than Rs. 2,500 crores. So, can you give some colour on what has led to this sharp increase in the debt?

Lalit Khetan: Sunny, I will answer this because you can see the profit has been muted.

So, there are no cash accrual happen in the first 6 months. And that has almost gone up by Rs. 600 crores in the 6 months, that is mainly on account of the capex program companies incurred of Rs. 400 crores, and you can see Rs. 200 crores reduction on account of creditors of the company.

So that has led to this level.

But debt level is going to sharply recover in

H2 with the promoter infusing money, Rs. 150 crores coming back from the income tax and certainly the operating leverage improving on account of improved sales and profitability.

Sunny Gosar : Sure. So as per the cash flow statement, the consolidated capex for H1 was about Rs. 485 crores. So , for the full year FY '26, what is likely to be the level of capex outflow? So basically, what's the incremental outflow in H2? And by March '26, what is the likely debt levels that we should see from the current, say, Rs. 2,500 crores, Rs. 2,550 crores, of gross debt?

Lalit Khetan: So Sunny, Rs. 500 crores to Rs. 600 crores reduction we should expect by March '26 from here.

Sunny: And this includes the contribution from the warrant money from the promoter?

Lalit Khetan: Between everything, Rs. 500 crores to Rs. 600 crores should go down till March '26.

Sunny: Got it.

Naresh Jalan : So basically, Lalit wants to say that Rs. 2 ,400 crores is basically leaving aside that we are close to Rs. 2 ,400 crores of debt and likely Rs. 600 crores of debt will be reduced by financial year -end.

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Sunny Gosar : Got it. And in terms of the capex amount, what is the further outflow in H2 FY '26?

Lalit Khetan: Sunny, I think we have already completed our capex from a little bit on the maintenance capex side and a little bit on the completion of the facility we are commencing. So , it should be less than Rs. 100 crores.

Sunny Gosar : And going forward, like now we are at almost 400,000 tonnes of capacity and utilization levels are reasonably low. So , we have substantial like leeway to grow. So , what should be the outlook in terms of capex for FY '27?

Naresh Jalan: Next year, capex will be negligible, less than Rs. 100 crores of capex. And next year, utilization will move to close to around 85%. And I would be glad to tell you the casting facility, which is going to be entire 45,000 tonnes of capacity, which we have installed and we're going to be up by end of this quarter, the entire capacity of 45,000 tonnes is almost sold out in terms of overall capacity.

So, we are going to have an entire utilization of this capacity to the tune of 80% to 85% next year in a mix of railways and domestic and exports. And , like Mitesh in his opening statement has said, that in castings we have got a huge traction from Indian Railways. And this huge traction will lead to very high utilization in terms of the casting capacity and realization improving drastically from our casting facility.

Sunny Gosar : Got it. Got it. That is very helpful. And sir, one last question from my side.

In terms of your guidance for H2. While we understand some of these new capacities will ramp up substantially, what is the assumption that you are making on the underlying markets? Are you expecting them to basically bounce back sharply or remain at the H1 levels because that will also kind of determine what kind of revenue and growth you are able to achieve in the second half of the year?

Naresh Jalan: I think domestic market has really bounced back very sharply post -GST cut. And with the projections whatever, we have till March right now, it is showing a very good traction and I think we will be able to do much better than what market overall grows in terms of with the capacity and with the kind of share of business, we have been able to gain and that is already showing in our Q2 numbers also in terms of our domestic growth. And in terms of exports, U.S. has started and within U.S., the new customer wins, I think in the presentation also we have elaborated that new customer order wins, we have been able to convince customer our marketing has done a good job. And we have been able to pull ahead the

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timings in terms of

ftakes, and we have already started shipping material from this quarter onwards for several of our new order books for North America and oil and gas within North America.

So, all this taken together, we expect and we are very, very hopeful with half of the quarter already gone by this quarter and the coming quarter, we should be doing extremely well in terms of achieving our top line numbers and achieving a full year guidance growth, which we had given initially.

Moderator: The next question is from the line of Mitul Shah from DAM Capital.

Mitul Shah: First question is on margin side, sir, if I look at your presentation, utilization Q-on-Q has dropped from 69% to 60%. So, drop is not very big. So, margin contraction seems to be slightly beyond operating leverage.

So, is there any pricing pressure also?

Naresh Jalan: Mitul, I think Lalit in the previous question has already answered.

Margins, almost Rs. 25 crores hit has come just due to a notional forex loss which we had to book in terms of our imports and equipment. And in terms of exports, there is no margin hit, but basically, lower exports has affected our margin.

Mitul Shah: So, then the second question is on the order wins. This other orders you have indicated about 4 to 5 years lifespan, but this railway. So, this Rs. 200 crore as well as Rs. 96 crore, railway and the Rs. 200 crore from the railway casting. Are these executable in the next 1, 1.5 years?

Naresh Jalan: These are all annualized.

Mitul Shah: Okay. And lastly, on the railway project, Sir, we are about to start the operation in March '26. So, what is further update or any trial runs, or anything is likely to start soon in next 1 or 2 months? Or March '26, we'll start with the trial runs initially and commercial production will start somewhere middle of '27?

Naresh Jalan: January, we are starting trial runs. And we expect and we hope that from March onwards, we start commercial production.

Mitul Shah: Sir, lastly, considering this current global scenario and U.S. -related challenges, what would be our long-term strategy to diversify this on the non-U.S. export side in terms of the client addition or geography addition?

Naresh Jalan: Miles, I would want you to answer this question.

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Miles Gandhi: I would like to state that currently, we are already as you see in this quarter, whatever we have won on the order wins, this has all come from the international geographies. This showcases one thing is that we are adding lot of traction from the international market. And at the same time, we are not only securing orders in North America, but we also secured orders from European market.

If you go with the H1 total order wins, you would have noticed one thing that with regard to Europe itself, we have already backed a lot of orders to this time and taking into Q1, I think Rs. 927 crores worth of orders have come from Europe itself. And at the same time in North America, like Rs. 307 crore came from this PV segment. So this showcases that the Company is working on the diversification strategy. And currently, we have been able to bag good orders as Mr. Jalan already stated, that we are

also able to work in this period, wherein we have been able to develop the samples and PPAP lots all faster so that we can go for a faster launch as this being an alternate purchasing proposal, which we have received from customer. I hope I have answered it.

Moderator: Next question is from the line of Joseph George from IIFL Capital.

Joseph George: All right. So, 1 clarification. You mentioned that about Rs. 25 crores of one-off impacts because of FX and Mexico losses, etc. were there in the quarter. I want to understand how much of this Rs. 25 crores is in stand-alone and above EBITDA?

Lalit Khetan: So, Joseph, if you look at Rs. 4.82 crores of JV is certainly in the consol

and Rs. 3 crores Mexico is also in consol account. The loss on account of tariff on account of forex of Rs. 6 crore is in the stand-alone, and that is above EBITDA.

Joseph George: Understood. So effectively, you're saying approximately Rs. 16 crores to Rs. 17 crores of EBITDA?

Lalit Khetan: Rs. 17 crores standalone EBITDA, yes.

Joseph George: Rs. 16 crores, Rs. 17 crores. Okay. Understood. So that was one. The second thing I wanted to understand was, we have this 25,000 cold forging capacity, which was supposed to be 70% booked by 1 million customers and really there's aluminium forging capacity, which is also booked by a firm order. What is the status of these 2 capacities and the underlying orders? And when should we expect revenue generation?

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Naresh Jalan: Cold forging already has started revenue generation. And I think we are almost at 40% utilization right now. There are bugs, which we are trying to settle down. And I think we are expecting next quarter close to around 60% plus utilization. And going into FY '27, go to around 80%, 85% utilization in the cold forging side, which will be, I think, the peak utilization.

And in terms of aluminium forging, our samples, PPAP and everything has been accepted. And from this month onwards, this current month onwards, bulk shipments have already started. And I think we expect the utilization to go to 85%, close to around March or April of next year.

Joseph George: Understood. The last question that I had was, if you look at the order flow announcements in the last, say, 5 or 6 quarters. I'm just reading out some of the numbers, I'm sure you know them. So, in 1Q FY '25, there was a Rs. 1,680 crore new order flow. In 2Q FY '25, it was Rs. 1,500 crore. In 3Q, it was about Rs. 700 crores. And now in the first half, it is Rs. 1,700 crores, Rs. 1,800 crores.

So overall, in the last 6 quarters, you've received new orders of some Rs. 6,000 crores to Rs. 7,000 crores. I want to understand when will these orders start generating revenues in aggregate? I don't want to get into individual orders across business es.

Naresh Jalan: I think, there are parts of orders in this, which are based out of Europe, they are going to start in phases from next year onwards. And I think, if you consolidate d tell me of the entire order book, you will be able to see the entire order book getting into production from FY '28 onwards.

But already part of the order book has started from this quarter, and that's the reason we are extremely confident to meet our export sales of whatever we did in previous in spite of market being on the slowdown.

And then going forward, from Europe and other places, we are looking at starting sales from first quarter of FY '27 and almost by last quarter to reach 100% of this order book getting into sales.

Joseph George: So would it be fair to assume that all these orders aggregating to somewhere between Rs. 6,000 crores to Rs. 7,000 crores. Say in FY '28, we will have an annual revenue generation of, say, approximately Rs. 1,000 crores, would that be a safe number?

Naresh Jalan: Safe number will be close to Rs. 1,000 crores plus to very safely say, from these order books.

Moderator: The next question is from the line of Sunny Gosar from MK Ventures.

Sunny Gosar : So basically, what I wanted to understand is we have about with the current expansion, about 400,000 tonnes of capacity between forgings and castings. So, what would be basically the peak utilization or peak volumes that we can achieve out of the current capacity? And what is the peak revenue, which can be generated from this capacity?

And my second question is, as the earlier like pre the inventory issue, our margin used to be 20% to 23%. But that had a specific business mix in t

terms of largely forging. Now with the business mix changing to castings and forgings and some B2C products, which include assemblies, what is the new normalized margins we can assume when we reach a reasonable level of capacity utilization.

Naresh Jalan: So, to answer your question one by one, I think at the peak utilization in terms of revenue, if we have the right product mix, which we presume in calendar year '27 by end, we should be having with the kind of order wins, which we have had. This should be any where with the current capacity reach a revenue between Rs. 6,200 crore to Rs. 6,500 crore, depending on the commodity pricing because commodity pricing is directly linked to the overall top line.

In terms of margins, it is extremely safe to say that with the premix of casting and forging and with the kind of growth in terms of B2C axles and all, we may not be able to touch 20% to 23% because that was only for forgings. But in a premix of both the things, we are on the safer side, 17% to 18% margin going forward.

Our aspirational growth still remains to go above 20% plus. But I think it will take some more quarters or year , because kind of value add, we are also introducing in the system. We are hoping that much ahead of our calculated time, we will be able to come to those margins also. But very safely, we can say that in a premix of casting and forging, 17% to 18% margin, w e are going to get back to those figures very soon.

Moderator: The next question is from the line of Saket Saurabh from Sagari Capital.

Saket Saurabh: So, sir, I think I understand that Q2 had a lot of tariff -related disruptions. But you had guided that based on Q1 call led by Q4, the stand -alone margin might start getting back to the 20% -odd level. Now in the updated scheme of things, when do you see that those stand -alone margins of 20% coming up? Is it now Q1 or after '27 ?

Naresh Jalan: In stand -alone, we still see that by Q4, basically, now we have 2 businesses, castings and forgings. Like in my previous answer, I have said at a blended basis, we're looking at 17% to 18% margin. On a stand -alone

basis at RKFL we still are optimistic that we'll be able to come back to those margins by last quarter or maybe by the first quarter.

Saket Saurabh: Okay. Another point is, so one of our listed peers, Bharat Forge said that let's see this entire North America thing seems to be right now too uncertain. But we are confident that we would be back on growth path. I think tariff was more of a disruption rat her than demand disruptor. Is that a fair understanding?

Naresh Jalan: No. I think tariff has nothing to do related with that. Tariff has disrupted demand also in North America. But at RKFL, because of our new order wins and new customer wins over there, we will be able to mitigate the demand disruption in our existing customer with the addition of new customers, wherein we will be able to pull back all those dollars, which we are losing in our current customers because of the demand issue from the new customers.

Saket Saurabh: Okay. Fair enough, sir. Now another question would be, are we say, I think one of the focus areas of the management has been to diversify away from both auto as well as North America and Europe, you already talked about you are making steady headway.

So, any colour on, say, getting into defence or such kind of engineering settings where I think offerings like ours have reasonable demand. So,

any thoughts on that, sir?

Naresh Jalan: We have actually, I think, reasonably done well in terms of our railway. And I think we are going to ride this passenger vehicle and railway boom, and we are very focused right now in improving our railway output and improving our penetration within the railways. And I think that is a huge sector to bring in a lot of traction and new opportunities for

or us.

In our opening call, our marketing head also has elaborated the kind of traction both in casting and in assemblies we have had from railways. And we believe that there is going to be a significant opportunity for us going into next year and year beyond that. So, we would like to first encash that opportunity on a stand-alone basis plus the wheel project, which is going to come into production next year. We are looking at almost 40,000 wheels in FY '27 coming from the joint venture.

So obviously, taken together, we are looking at a big uplift from railways itself into FY '27. So, I think our basket is full, we would like to first move one by one, while we will keep on encashing this opportunity and grow in railways. Defence is also a likelihood going forward, but we are not immediately working anything big on defence to make investors aware. I

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think at the right opportune time post we are done with railways in terms of our growth, we would like to focus on defence.

Saket Saurabh: I think the railway wheels setup that we are coming up, say, and you're projecting around 40,000 wheels. So, what's the revenue uptick that we would expect from that JV? And what kind of margins? Would they be above RKFL stand-alone or the blended 17%, 18%, what kind of margins that we are looking at the JV level, of course, you have I'm not looking at RKFL share right now, but more a JV what's the top line and the bottom line?

Naresh Jalan: 80%, 85% utilization, which we expect to have in FY '28. We are looking at almost Rs. 1,600 crore to Rs. 1,700 crore revenue from that operation and that will be a 17% to 18% opportunity for us in terms of EBITDA margins.

Saket Saurabh: And what kind of utilization you're expecting for FY '27, sir?

Naresh Jalan: FY '27, we are targeting only 40,000 wheels, which is going to be close to around 30% of the utilization.

Moderator: As that was the last question for today. I would now hand the conference over to the management for the closing comments. Over to you, sir.

Rajesh Mundhra: Thank you. We would like to thank all for taking out time to join our earnings call. We hope we have been able to answer and address all your queries. For any further information kindly get in touch with us or with CDR India.

On behalf of Ramkrishna Forgings Limited, we wish you all a good week ahead. We look forward to interacting again in the next quarter. Thank you very much for talking with us again. Thank you.

Moderator: Thank you. On behalf of IIFL Capital Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcript and may contain transcription errors. Certain statements made or discussed on this call may be forward looking in nature and must be viewed in conjunction with the risks and uncertainties that the company faces. The company does not undertake to update these forward-looking statements publicly. Please also note that this document has been edited without changing much of the content, to enhance the clarity of the discussion. No unpublished price sensitive information was shared/discussed on the call.

Call: Feb 2026

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Date: 02nd February 2026

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Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Earnings Call Transcript – Q3 & 9M of FY 2025-26

This is further to our intimation dated 20 January 2026 w.r.t Earnings Conference call with Analysts/Investors on the Unaudited Standalone and Consolidated Financial Results of the Company for Q3 & 9M of FY 2025-26.

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Earnings Conference Call Transcript held with Analysts/Investors on Tuesday, 27 January 2026, at 17:00 Hours (I.S.T).

Copy of the same is also being made available on the website of the Company at www.ramkrishnaforgings.com.

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra
Company Secretary
& Compliance Officer
ACS: 12991

Encl.: As above

Ramkrishna Forgings Limited
Q3 & 9M FY '26 Earnings Conference Call
January 27, 2026

MANAGEMENT:

- Mr. Naresh Jalan – Managing Director
- Mr. Chaitanya Jalan – Whole -time Director
- Mr. Lalit Khetan – Whole -Time Director and Chief Financial Officer
- Mr. Miles Gandhi – Whole -Time Director
- Mr. Rajesh Mundhra – Vice President -Finance and Company Secretary

Moderator: Mr. Joseph George – IIFL Capital Services Limited

External Participants :

- Balasubramanian – Arihant Capital
- Tanmoy Roy – Individual Investor
- Sunny Gosar – MK Ventures
- Aditya Kumar – Old Bridge Mutual Fund
- Akash – NV Alpha
- Devang Shah – Allvest Investment Managers Private Limited
- Saket Saurabh – Sagari Capital
- Lakshminarayanan – Tunga Investments
- Tushar Raghatate – Omega Portfolio Advisers
- Armaan – Blue Sky Fintech

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Moderator: Ladies and gentlemen, good day and welcome to Ramkrishna Forgings Q3 FY26 Earnings Conference Call hosted by IIFL Capital Services Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Joseph George from IIFL Capital Services Limited. Thank you and over to you, Mr. George.

Joseph George: Hello, thank you IIRA. Hello everyone. On behalf of IIFL Capital, I welcome you all to the 3Q FY26 Results Conference Call of Ramkrishna Forgings. I also welcome the senior management of Ramkrishna Forgings. We have with us Mr. Naresh Jalan, Managing Director; Mr. Chaitanya Jalan, Whole time Director; Mr. Lalit Khetan, Whole time Director and CFO, Mr. Miles Gandhi, Whole time Director; Mr. Rajesh Mundhra, VP Finance and Company Secretary.

Now I'll hand over the call to the management. Over to you, Sir.

Lalit Khetan: Thank you, Joseph. Good evening, everyone, and thank you for joining us on this call to discuss the Q3 & 9-month FY26 earnings. I trust all of you have had a chance to review the earnings document that we have shared earlier today.

Q3 FY26 was a mixed quarter marked by a combination of emerging opportunities and continued volatility in the global operating environment. Geopolitical tension, more frequent headlines around tariff actions and evolving trade alignments continuing to affect sentiments. This was further compounded by currency volatility and elevated input costs. Notwithstanding these challenges, the quarter also presented meaningful opportunities, customers across Europe and Asia are increasingly recognizing the strategic importance of diversifying supply chains, creating incremental engagement and new business prospects for us across multiple regions.

In contrast, the domestic operating environment has been much more conducive for growth. Strong macroeconomic fundamentals, including steady industrial activity, resilient IIP growth, moderating inflation and a stable interest rate environment have contributed to a healthier and more predictable business climate.

The GST rate rationalization implemented in September played a meaningful role in reviving customer sentiment in the automotive segment. And following a period of subdued demand and lower tax rates and reduced on-road prices across vehicle category have resulted in a sharp rebound in demand.

Over the past few years, we have been deliberately pursued a strategic agenda to deepen and diversify our domestic footprint through targeted investments, product innovations and capability enhancement. As part of this effort, we also identified adjacent growth segment, most notably Railways and Passenger Vehicles.

The Railway segment, in particular, is demonstrating strong momentum for us. We are currently focused on scaling output and expanding our penetration within this segment. Our products are now being integrated into bogie assemblies. At the same time, we are seeing encouraging traction in the passenger vehicle segment and expect to participate more meaningfully in this up cycle through increasing penetration and expanding the range of products that we offer.

Now let me share some financial highlights for the quarter. For Q3 FY26, we reported consolidated net revenue of Rs. 1,098 crores, higher by 2% on year-on-year basis compared to Rs. 1,074 crores in Q3 FY25. On a Q-on-Q basis, revenues were higher by 21% compared to Rs. 908 crores in Q2 FY26. A strong performance in domestic market supported by

resilient

performance in international market has helped us to deliver 21% Q-on-Q top line growth.

EBITDA, excluding other income, is Rs. 163 crores in Q3, higher by 29% year-on-year compared to EBITDA of Rs. 126 crores in Q3 FY25. On Q-on-Q basis, EBITDA was higher by 33% compared to Rs. 123 crores in Q2 FY26.

The EBITDA margin is 14.9% for the quarter and is higher by 140 basis points quarter-on-quarter.

Profit after tax is Rs. 13.6 crores after exceptional provisioning of gratuity and leave on account of new Labour Code of Rs. 10.43 crores. Otherwise, it could have been Rs. 24 crores compared to INR 21 crores in Q3 FY25.

Our confidence in quarters ahead is due to multiple growth levers, operations have already ramped up, and we now focus on driving higher utilization. Our aluminium forging has been successfully commissioned, and commercial production has commenced. Our casting facility is ready and is under trial run and shall commission commercial production in Q4 FY26. And we remain confident of ramping up utilization levels in coming quarters.

The machining facility in Mexico is nearing commissioning and is expected to become operational shortly, further strengthening our global manufacturing footprint. Additionally, our Rail Wheel joint venture remains on track and with the commencement of trial production anticipated in the end of Q4 FY26.

With that, I would like to hand over the proceeding to Mr. Mitesh Gandhi, Whole-Time Director. Thank you, and over to you, Mitesh.

Mitesh Gandhi: Thank you, Lalit ji. I would like to brief that during the quarter 3, the Company secured new orders worth Rs. 680 crores with a program life of 4 years. Approximately 66% of these orders were from the automotive sector and the balance 34% were from the non-automotive segments, reflecting continued progress in our Company's diversification strategy.

In Q3 FY26, auto orders amounting to Rs. 406 crores is from the CV segment, around Rs. 26 crores is from the passenger vehicle segment, i.e. the PV segment and Rs. 18 crores is from the EV segment.

In Q3 FY26, non-auto orders amounting to Rs. 189 crores, out of the Rs. 230 crores is from the oil and gas segment. Would also like to mention a few more details.

Against our railway business, the bogie assemblies, which is a good value addition as assembly supplies along with our core items, frames and bolsters. Bulk supplies have started going to Indian Railways. With our solid launch and ramp -up, we have qualified for bulk orders and Indian Railways has started showing a demand worth Rs. 2,000 crores itself for the forthcoming year .

I would also like to add upon with the current European Union 'Free Trade Agreement ', this will further help us and Europe will be more keen in buying forged and cast parts from India. And the current duties that are levied will be over and we will become more attractive to the customers over our other competitors. That's from my side. Thank you.

Lalit Khetan: Thank you, Miles. And now I hand over the proceedings for Q&A.

Moderator: Thank you very much. We will now begin the question -and -answer session. The first question is from the line of Mr. Balasubramanian from Arian Capital. Please go ahead.

Balasubramanian: Good afternoon, Sir. Thank you so much for the opportunity. Sir, we have received new orders of Rs. 680 crores and what is the mix between domestic and export? And how does the order pipeline look for Q4 and beyond?

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Miles Gandhi: Out of the Rs. 680 crores order that we have received, mainly this order is coming mainly from the domestic market on the maximum side, around 60% of it is coming from the domestic side, 40% from the export side. Way forward, our order books are still strong. And with all our capacity that

we

are adding up to, this is helping us to fetch more orders and make sure our capacity is utilized in a better way.

Balasubramanian: Okay. Sir, I think domestic revenue also increased to nearly 67% - 68% in 9M FY26 compared to 59% in FY25. And if you look at North America exports has been declined to 55% compared to 71% in last 9 months FY25. How do you look at domestic as well as North America export side over the medium term.

Like we are strategically shifting to domestic because of this tariff and secondly railway business nearly 7.3% of business in 9 month FY26. I think we are in the process of forged wheels JV and bogie assemblies. It's in trial production. And what is the targeted revenue contributions from railway side in the next 3 to 5 years?

Naresh Jalan: First of all , the wheel production, I think it's not part of the strategy right now. Wheel production sales is going to come in the JV and we are right now not building any sales from the wheels right now. Assembled bogie sales, we are looking at a strong sales number. And I think railways, we are looking at double -digit sales in next 2 years' time.

While we continue to grow in other platforms also and improve our capacity utilization, railway is going to form a strong pillar of growth for us and our order book from railways is extremely strong.

And in terms of North America and India premix, I think tariff has nothing to do with the change in premix right now. Overall demand scenario and the build rate in North America has slowed down in the past year. But now we are seeing traction coming back. And I think as the build rate improves, our North America customers and sales are intact and it is going to continue to grow as the build rate improves.

Balasubramanian: Okay, sir. Sir, I think forging capacity utilization came down to 66% in Q3 FY26 compared to last Q3 of 79%. Is it because of the demand softness or ramp -up in new capacities ? How do you look at, I think new capacities of aluminum forging, casting and Mexico machining are under commissioning. So how do you look at utilization levels over the next 2 years, sir?

Naresh Jalan: No, I think right in the opening statement, as Miles has said, every quarter, I think we are going to strongly push in terms of utilization. And

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with the order wins we have, all the new capacities which are coming up has been backed by equal number of orders. Basically, the time taken for approval and stabilization of the capacity, that itself is taking time to get to the real numbers for the capacity utilization.

So, 66% of the utilization, which you see right now is basically on the total capacity, which has already been commissioned. Like for aluminium forging, it is about only a couple of months, we have been able to go for production. And as we ramp up this capacity to full utilization, I think within next 8 to 10 months, you will see full utilization.

Similarly, in cold forging, where we have almost 25,000 tons of capacity, we have right now at a utilization level of 40% because customer approvals and other things are still at one stage, other coming in. So, every month, it's on an improvement. When we close the next financial year, we will be almost at 80% - 85% utilization. So specific to capacities, utilizations are low. And as such, in overall scenario, you are seeing 66% utilization in the overall increased capacity utilization. But if you compare to the capacity, which was earlier there, utilization have remained same or increased from there on.

Balasubramanian: Okay, Sir. Sir, my last question, I think we have planned around Rs. 500 crores to Rs. 600 crores kind of debt reduction by end of this year. How much we have achieved as of now, sir?

Lalit Khetan: So, debt as on date is about Rs. 2,250 crores. So, we have achieved already Rs. 350 crores of debt reduction

on in this quarter. And we hope to achieve this debt number to below Rs. 2,000 crores, maybe Rs. 1,900 crores by end of financial year '26.

Moderator: Thank you. The next question is from the line of Tanmoy Roy, an Individual Investor. Please go ahead.

Tanmoy Roy: Yes. So yes, first of all, congratulations that they are improving on a quarter-on-quarter basis. Just want to know one thing that as we know that our domestic sales is now going up and export sales is more or less a little bit going down only. But the realization-wise, do you think that domestic sales realization can cover up the export sales drop?

Naresh Jalan: No, I don't think domestic sales can cover up in terms of the entire realization in terms of export sales. But I think in the overall traffic, when you see in terms of the order wins which we have had, you will be able to see in coming days, our exports also considerably improving. So, we are looking at upward in terms of realization in overall between domestic and exports together. So, in isolation, domestic also will improve in terms of

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our realization, but we don't foresee any drastic drop in terms of our exports.

Tanmoy Roy: Okay. Good. So, another thing is like you said you are not considering that railway wheel sales in your projection. So, when do you think it can considerably come in revenue from which financial year onwards?

Naresh Jalan: In terms of railway, wheel revenue is going to come from FY '27 onwards itself. But it is because it is in the joint venture, we have not considered it as a revenue in terms of RKFL consol balance sheet, we are not taking it as a revenue right now. We will see post the project is commissioned and commercial production starts.

Tanmoy Roy: Okay. So maybe from Q1, I mean we're anticipating Q1 or Q2?

Naresh Jalan: No. I think commercial production is going to start from Q2 onwards.

Tanmoy Roy: Okay. And how the utilization you are anticipating currently for 74% in total capacity of what you have, right? So how do you see it ramping up over the next few quarters, like when do you see?

Naresh Jalan: I think we have a very strong order book in terms of RKFL between casting and forgings. And we feel that, going forward, we will be able to, as every quarter, improve in terms of our utilization. I cannot put a number to it, but with the order book we have, we are looking at a very strong consolidation and strong performance in terms of our utilization in coming months.

Tanmoy Roy: And the same on the depreciation also, we can consider the current run rate, or it will be increasing from now on?

Naresh Jalan: Can you repeat your question, please?

Tanmoy Roy: So, the more you say a good ramping up on your capacity. So, depreciation also will be in the same range in the coming quarters or it will be like more or less?

Naresh Jalan: Lalit, can you answer the question?

Lalit Khetan: Depreciation is almost going to be in the same range because 1 or 2 machines which are under capitalization. So that will give it a marginally increase. But in Q4, we don't see an increase in depreciation. Maybe from Q1FY'27, a little bit, but that is not significant.

Tanmoy Roy: That's what I was just trying to understand. So more of the machining is already done, I think but not too heavy depreciation from next few quarters onwards. That's what I was trying to understand.

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Moderator: The next question is from the line of Sunny Gosar from MK Ventures.

Sunny Gosar: My first question is regards to the North America business. So, FY '25, we were north of about Rs. 1,000 crores of revenue. And for the first 9 months, we've clocked about Rs. 480 crores, which basically on a 9-month comparative basis is down more than 40%. So basically, if you can give us some und

erstanding of how the business environment in North America is shaping up? How is the Class 8 build rates currently as compared to last year? And what is the overall outlook in terms of the North America business with all the new orders that we have won?

Naresh Jalan: I think, Sunny for the build rate right now, we have seen December, the new order which has come in North America Class 8. I think we need to see how January performs. But from whatever offtakes we are seeing from customers, we are seeing improvement, we are not very optimistic, but we are very cautious right now. But what we can confidently say the worst is behind in terms of the North America sales.

From here, you will see what we have budgeted for is almost 10% Y-o-Y increase, in terms of the build rate and consumption in terms of our exports to North America from our existing clients. And the new clients and the new order wins, which we have added is going to compensate us most of the losses which we have made in this year in terms of the utilization or in terms of the total sales in North America.

So, I think we are confident that in FY '27, we will meet most of the losses in terms of top line, which we have had in North America, which you are seeing in last 9 months. From this quarter onwards to next in FY '27, we'll see almost we are back to normal in terms of the overall business we are doing in North America. It may be not from existing customers, it will be with addition of new customers, which we have already had.

Sunny Gosar: Got it. And in terms of the overall revenue mix, so say, last year we were at about 60% domestic about 40% export. In this quarter our mix is about 70% domestic 30% export. Now based on like the new order wins and the overall robustness in the domestic business environment, how do we see this mix changing, say over FY '27? Because this will also be kind of a key determinant to the profitability considering exports has relatively better profitability as compared to domestic?

Naresh Jalan: So, Sunny, I think with the addition of new capacities of castings and forgings both, we are not looking at going back to 40%, I think, immediately. But to be very, very pessimistic and to be very cautious on it, we are looking at coming year in FY '27 to almost 35% to come from exports and 65% to come from domestic.

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Sunny Gosar: Got it. And this is in spite of the robust domestic environment. So new orders would like significantly compensate for the loss in underlying or the slowdown in the underlying business in North America?

Naresh Jalan: No, I think the underlying business slowdown, which is there in North America, like I said, is going to get compensated with the new customer addition from North America which we have already had and for which samples, PPAPs and other things are in process. And I think we are going

to have full sales from first quarter of next year.

Also, there is a lot of new addition of new customers from Europe, which is going to compensate us in terms of our exports equally from North America. So, I think in totality, in terms of exports, we are very confident that we should be at a strike rate with our increased capacity and increased utilization to be at least to be at around 35% mark in terms of our overall sales.

Sunny Gosar: Got it. This is very helpful. My second question is on the railways business.

The new orders in terms of the bogie assemblies and which we've won, like how is the overall margin profile of this order? Is it like from an overall perspective, accretive to the average company margins? Or like will it be lower than the company average margin?

Naresh Jalan: I think it is a value add, a complete fully locked in assembly in which railway only builds the body. So, we are getting into that, and it's a pretty big market, like Mileshe told in the opening

statement also with this full

approval what we have received by now. And next year, it opens a Rs. 2,000 crores sales revenue for us. It's an annual requirement of almost more than Rs. 2,000 crores for Indian Railways for passenger segment.

So, we qualify to get 60% order. So, this is a highly accretive margin business for us. And I think we are eyeing a big chunk of business going into FY '27 from this, which is going, in my earlier question also I said, for a double-digit growth from only Indian Railways.

Sunny Gosar: Got it. My last question and maybe then I'll come back into the queue. We have significant dependence on the CV side like in terms of our historical performance. What initiatives are we kind of taking to diversify into like non-CV, especially PV, tractors? And where are we in that journey?

Naresh Jalan: I think Mileshe has already answered this question in his opening remarks.

We are significantly eyeing PV as our growth engine for next couple of years. And I'll be happy to share that we have now started receiving orders from 2 large PV manufacturers within the domestic market and 3 from the international market and 1 from EV segment in the export market. So

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overall, we are looking at almost 10% plus revenue in next 2 years to come only from PV. So, probably by FY '28, our 10% of the revenue share is going to only come from PV segment.

Sunny Gosar: Got it. That will be significant de-risking in terms of CV dependence.

Naresh Jalan: Yes. And I think we are working both ways, both in domestic and international market. So, I think both together taken, it will become a sizable business for us in the next 2 years.

Moderator: The next question is from the line of Mr. Aditya from Old Bridge Mutual Funds.

Aditya Kumar: So Sir, I just wanted one clarification, so in the PPT, we have given a slide where we are showing new orders split over the next 4 years. So, are these revenue line items over and above the top line we have achieved in FY '25 or FY '26? Or does that also include renewal of some of the orders that will get their life will get completed in 1 or 2 years?

Naresh Jalan: No. Basically, Aditya, we have tried to give you a consolidated picture on past order wins and how in next couple of years, these order wins are going to get reflected in terms of revenue. And when we say our capacity utilization and the kind of capacity capex, we have done to set up this capacity.

So, this order win basically gives a visibility on the revenue which we are showing in terms of getting into our books in the next couple of years, basically in terms of how the utilization from the new order wins is going to come through.

Aditya Kumar: Yes. So, I wanted to get a sense, like this is the new orders getting converted to top line. This is basically a new top line getting in. So, like in TTM, we have done close to Rs. 3,500 crores of revenue in the stand-alone business. So, this, let's say, in FY '28, if we are looking Rs. 2,700 crores of extra top line, this is in top of that Rs. 3,500 crores top line that we are doing today, right? Should I read it in that way? Or should I read it that it will be below something?

Naresh Jalan: No, no. It is only basically for new order wins. The current business, current top line, which we have already achieved, this is not in line with that.

Aditya Kumar : Okay. And one more clarification on this. In these new orders, does that also include the castings orders for which the new capacity is coming up and aluminum forging on the top line?

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Naresh Jalan: Everything is included. At a consolidated level, this is.

Aditya Kumar : Okay. And one more question is on the gross margin front. So, this quarter, our gross margins have contracted to 45% at a standalone level.

And our EBITDA is almost flat on a Q-on-Q basis. So, on an EBITDA front, we have done a decent job. So, what has led to the gross margin contraction? And on the cost front, power and fuel costs and manufacturing expenses are also lower despite production ramping up. So, what are the reasons for this?

Lalit Khetan: So, Aditya, so on the gross margin side, it's basically result of product mix and a little bit we were having a more rejection in this quarter. So that has led to this reduction in material margin. And hopefully, it will be back to my normal level in next quarter. So that will improve my margins also and overall EBITDA also.

Coming to the power and fuel, power fuel also is a combination of a few things. We have got some reduction in electricity duty, which has been taken care of in this quarter. Apart from that, there has been some efficiency we have built in, in the utilization of power and there is a contribution from renewable power, which rooftop we have put. All these are contributing now. And all this together has helped us in achieving this power and fuel cost.

Aditya Kumar : Okay. And in terms of, Sir, other expenses, other expenses are also quite significantly down over last year?

Lalit Khetan: So other expenses are not significantly down. So, it's marginally down. And that's basically a function of what operating loss on the foreign exchange, which is lower in this quarter and a little bit efficiency in terms of other costs.

Aditya Kumar : Okay. And Sir, if I just may ask like if those rejections were not there this quarter, then what kind of gross margin print we were looking at?

Lalit Khetan: Certainly, it could have been better, I will say, at least to 1%.

Moderator: The next question is from the line of Mr. Akash from NV Alpha.

Akash: Sir, just one question from my side. I think in the last 3, 4 quarters, we have seen quite a big hit in terms of our margins. I just want to understand in terms of EBITDA margins, should we consider as this new normal? Or by when do we expect to touch back this 19%, 20% kind of margins that we used to do?

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Naresh Jalan: I think to be very frank, I think this is not a new normal. I think you will be able to see consistent improvement in margin Q-on-Q. And like from the previous quarter, when I had said that worst is over. I think this quarter, we have made considerable progress in terms of our margins and top line. I think going forward, you will be able to see on a Q-on-Q basis, consistent improvement in terms of margin. And I think I'll not commit to 19%, 20%, but our own internal estimates and working is to get to there as fast as possible.

Akash: Understood. Any time frame?

Naresh Jalan: No, I don't put a time frame to that. I'll not ballpark. For me, every quarter, I would like to get to that, but it is a process, and we are getting there. And I think in coming quarters, you will see significant improvement in margin. And I think very soon, we will be back to our new normal margins.

Moderator: The next question is from the line of Mr. Devang Shah from Allvest Investment Managers Private Limited.

Devang Shah: The way you have explained that we have a significant order book and even North America also, that the worst is over. And also, there is some

kind of railway is also going to add as far as future growth is concerned.

So, by considering all this fact and even you are saying there is an improvement as far as capacity utilization is concerned. As far as top line is concerned, what kind of growth trajectory we can expect moving forward in FY '27 and FY '28 as a percentile?

Naresh Jalan: As a percentage to FY '26, which we are going to end, we can assume to 10% to 15% growth in terms of our top line.

Devang Shah: And for the FY '27 and '28?

Naresh Jalan: FY '27, 10% to 15%. And I think in terms of CAGR

, you can look at 10% to

15% growth year -on-year for next consecutive 3 years.

Devang Shah: Okay. And my second question, as far as tariff related to Mexico is concerned, still there is an overhang is there or as far as our operations are concerned?

Naresh Jalan: No. In terms of RKFL, we have no overhang in terms of tariff from Mexico.

I think we are supplying on DAP basis. So, we don't have any effect of tariff neither we are affected by those tariffs. And in terms of our operations in Mexico, I think if this tariff prevails, it is going to be extremely good. And we are more optimistic if this tariff prevails, my Mexico operations is going to ramp up sooner than what we expect.

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Moderator: The next question is from the line of Mr. Saket Saurabh from Sagari Capital.

Saket Saurabh: So, Naresh Sir, last time during the con -call, during November, you were quite bullish on the turnaround in the export business because the confusion regarding all this tariff and what tariff to be deployed , had created some bit of, I think, disruption, especially in October. But if I look at the exports number, Sir, on Q -o-Q basis, it remained largely flat. And even the North America numbers didn't quite , I think 20 -odd percent up or in fact, slightly lower than that. So, it doesn't really look like more of a turnaround. So is it like, say, improvement that we were witnessing , say, in November, mid when the last con call took place , did not sustain ? So, December it again went down, it got disrupted and then say the Mexico thing impacted .

Naresh Jalan: Just to interrupt you, I have never said and I never give a quarterly update or quarterly statement, or market does not work on a quarterly basis. I think on a sentimental way or in any optimism, it's on a yearly basis, what we look at the market as. For mid -November, I cannot predict for 45 days what is going to happen in terms of exports or neither I can give any view on the same.

Saket Saurabh: Okay. I was just talking about that maybe late December was considerably down vis -a-vis November. That is what I'm trying to understand. That did the sentiment really turn around?

Naresh Jalan: Like I had said to my earlier questions, we are optimistic in terms of our growth in North America, and we still stick to that. And despite tariffs and other things, we still have new order wins from North America, and we are looking at maintaining what we have been doing in the past in terms of our North America sales. In spite of the build rate being down, we'll be able to maintain those sales. That itself is an optimism from our side vis -a-vis the market consideration right now.

Saket Saurabh: Fair point. That's encouraging. And sir, last time, you had told that by Q4, there is a remote possibility that we might come back to that 20% thing. But this time, you don't seem that confident. Is that a fair assumption that maybe that's why we are not committing anything vis -a-vis returning to that 20% thing during Q4? Because last time, we were aggressive on that front, but we might even come back if things go in our favour . So, have things been delayed?

Naresh Jalan: No, I have still answered that question in the past also. We want to get to 20% level as soon as possible. I don't want to put a date to that. As a company, we are very aggressively working internally in terms of our cost

and everything. And we would be very happy to get to 20% or 19% level as soon as possible. But I cannot commit to a date, neither in Q2 conference call, we had optimistically said that as a Company, we are trying to get there. But I have never said that we will get there by Q4.

Saket Saurabh: No, I'm just talking about the sentiment part.

Naresh Jalan: Still sentimentally and optimistically, we want to

get to 19% to 20% as fast

as possible.

Saket Saurabh: Okay. Fair point, sir. And has there been any delay on the government and on the approvals vis-a-vis rail because we are now looking at, say, I think

Q1 commercial production, right? No longer the March state. It's more like trial production, if I look at the presentation right now. So, has there been some delay on that front? And you around 40% utilization year 1?

Naresh Jalan: Next year is the first year, and we are looking at making 40,000 wheels next year. So, there has not been any delay from the government side. Trial production means we have to submit 300 wheels to the Government of India, Indian Railways for their trial. And after successfully utilizing that and then we start bulk production.

So with that mindset, we are working, and we are well on track. That is what Lalit also said on the opening remark that we are on track, and we are starting the trial production. And next year, as per our contract, we have to supply 40,000 wheels to railways, and we still stick to that.

Saket Saurabh: Okay. Fair enough. That's encouraging, Sir. Now coming to the European market. So how do you see that going forward? Because with the FTA coming in and also Europe is not really focusing on manufacturing within its geography because of power and all those issues. So is Europe, likely to say, drive better returns going forward because North America has been our crown jewel so far before, say, last couple of quarters. But how do you see Europe going forward? And what is the likely mix vis-a-vis exports as far as Europe is concerned. So, any thoughts or colour on that?

Naresh Jalan: Miles, can you answer please?

Miles Gandhi: Yes. So, first thing is you very rightly said that yes, North America has been more a jewel in our crown, and I would say that it is still there. And I think the diamond is sure to sparkle more. But you would have also noted with many of the order wins, which we have been announcing over the past quarters, you would have seen that we have brought in significant new business from Europe.

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And Europe has started concentrating a lot on India. And I would say that with the free trade agreement, even the small duties, whatever are there across various other countries, because we are supplying to practically all CVs across Europe, and they are our customers there. So, across various regions and various countries, if it completely gets over, but obviously, we will be more attractive versus our neighbours.

Apart from that, to answer you to your last question, I think we have been very vocal, and we would like to state that, yes. North America, we are winning orders and North America comes back. But the way Europe has been, you would see that at least Europe is also contributing to anywhere against our overall export sales, somewhere between 30% to 35% comes from Europe, that pattern will be visible in the near future.

Saket Saurabh: So, coming back to the mining sector, there seems to be some mining boom, right, with commodities also doing well. So, any traction that we are seeing, say, within the mining sector because oil and gas has done well. Railways is a growth driver. But I think we had some presence even in the mining in the earlier part. I've been an investor for almost 7 years now. So, any mining-driven growth that you are witnessing or order wins?

Miles Gandhi: So, I think, in the opening statement also, you would have already heard that we are already finding a very huge surge in the domestic demand. And I think a lot of this domestic demand is also coming because of the mining segment today. The demand for the tippers and other things are already there.

But at the same time, you would have also seen that we have been making

a lot of announcements with our new order wins in off-highway markets.

And today, we are there with a lot of mining companies and also material handling and farm equipment companies, which contribute to this. And I think that is the reason you would see that our off-highway sales is going high.

Moderator: The next question is from the line of Mr. Devang Shah from Allvest Investment Managers Private Limited. Please go ahead.

Devang Shah: Yes. Good evening, Sir. I want to know the way we are seeing that there is an improvement in the domestic market volume. But in general, there is a realization that has not been improved Y-o-Y basis. So, what kind of realization we are anticipating moving forward? Domestic and even export. Can you throw some more light on that?

Lalit Khetan: So right now, realizations are stagnant, you can see that. And as the commodity prices are also stable, so it will remain like it, only it is likely to

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improve with the improvement in product mix and addition of more assemblies, more value-add products. So, overall realization is likely to improve going forward.

Devang Shah: And any kind of numbers?

Lalit Khetan: No, I don't think we can put a number there, but you will see that improvement.

Moderator: The next question is from the line of Mr. Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: I just want to understand a bit more about the domestic market. In terms of what kind of products you actually make, can you just give a mix of products, like front axle beam or knuckles or crankshaft, what is the mix? And has it changed 9 months of this year to the previous 9 months of last year?

Naresh Jalan: I think product-wise, it is very difficult for us to tell you anything right now. And we would not like to discuss product-wise. But overall, I think every product is important for us, and I think every product is driving the growth for us.

Lakshminarayanan: Any change in the mix?

Naresh Jalan: No, I think product line-wise mix change, I think it is extremely difficult for us to say. I think we are only adding new products and adding new capacity. I don't think we are displacing any products like front axle beam or anything. Product mix in terms of part families within the part family, there may be changes in terms of weight range. Sometimes we get a higher weight range products in the same product family or sometimes we get lower range weight range in terms of product family. That's the change basically happens within the product mix.

Lakshminarayanan: And in terms of the visibility you have in the domestic market for a calendar year 2026, which segments you actually see stronger velocity, whether it is CV or PV or earth moving or tractors?

Naresh Jalan: I think in terms of the domestic market, we are seeing traction both in entire automotive segment and off-highway segment. Both are showing great traction. But for RKFL, I think the biggest chunk of traction is going to come from Indian Railways. I think that's the next level of growth, which is going to come from Indian Railways in FY'27. And while our continued journey on in our existing business is going to continue to grow, but the significant growth is going to come from Indian Railways.

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Lakshminarayanan: In terms of your competition, right, has there been anybody who is giving space for you to grow?, because earlier, I understand that there is some consolidation taking place. Now that consolidation is behind us. So, whether we are winning market from somebody else? Or how is the growth coming across?

Naresh Jalan: No, I think in terms of Indian Railways, we have been able to identify new products, and we are offering new opportunities or new growth

assemblies to Indian Railways, which is benefiting Indian Railways in terms of cost reductions, and we are a

iso gaining traction. So, I don't think there is any other. In terms of automotive segment, we will not be able to exactly say that from whom we are getting business or anything, I think each customer, we have been able to increase our wallet share. And this wallet share is helping us to increase our domestic share of business within the auto segment.

Lakshminarayanan: Sir, my question is more to do with, do you also see consolidation taking place, because I think after the top 5, 6 forging companies, I think the next are getting smaller is what I was thinking. So, I just want to understand your views on that.

Naresh Jalan: I think I have no view on this.

Lakshminarayanan: Got it. Sir, one more question. So, there is what we've been told is that in the commercial vehicle also, in the MHCV segment, there is a movement towards trailer segment and not the heavy tonnage vehicles. And because of which the market tonnage-wise in terms of forging is also making some shift. So, is that something which you also see?

Naresh Jalan: No. I think market is divided now into 2 different zones. One, you rightly say is trailer market, but they are basically on the long-haul side. I don't think that is growing significantly. I think the consolidation and the growth is coming from the tipper vehicle, which is mostly being used in the mining segment and construction segment.

Moderator: The next question is from the line of Mr. Tushar Raghatate from Omega Portfolio Advisers. Please go ahead.

Tushar Raghatate: Thank you for the opportunity. I just wanted to know my question is on the Railway segment. You mentioned in the past regarding the undercarriage opportunities. I just wanted to know our prospect on the undercarriage. And in order to increase the wallet share, are we seeing any acquisition in the spring sales or in the brake in order to increase the wallet share or any pantograph or railway crossing? your view on the railway visibility going forward.

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Naresh Jalan: No, I think in terms of acquisitions, I think we always look for acquisitions. I think the right opportunity right now, we are not talking about or we are not in the verge of any acquisitions. But yes, if any specific opportunity comes, we would obviously like to look at it. But right now, there is nothing to speak about.

But in terms of increasing our wallet share, in terms of making assemblies, I think we are doing it in our own, while we source the springs and other items which are required to complete the assemblies on an individual basis from the manufacturers within India. But in case tomorrow, any opportunity arises, we are open to any acquisitions at the right price, right make.

Tushar Raghatate: Okay. Sir, on the wheel set facility, your capacity is big compared to the demand side of India. On the export front, what are your views? And how are you placing your product in the export market for a high-speed rail? That was the question on the Railways. Secondly, sir, on your view on the defence side, defence forging, maybe aerospace or defence side, any acquisition or any intent to enter into that segment?

Naresh Jalan: To answer your first question, I think in the railway wheel side, we are already in discussions with a lot of import customers in the export market. And I think there is a huge traction, but I think we are going step by step. This year, we will be able to make 40,000-plus wheels, which we are going to sell to the domestic market only because of the obligation of the agreement which we have with Indian Railways. And post that, I think we will approach the international market when we next year are looking to make more than 100,000 wheels in the next year.

I think once we start these operations, I think we will have customer visits and approvals process starting. And I think by the time we are ready

with

our capacity to go to 100,000-plus wheels in the next year, we will have

the customers in place. But there is a lot of traction in the overseas market for wheels. And I think we will be able to encash this very fast. Second to answer your defence, we are working very aggressively right now in terms of making components within our existing capacities for aerospace. And like post our commercial production of aluminium forgings, we have already started trials of titanium and other alloys. And we have installed these capacities already furnaces which are required for titanium and other alloys for aerospace. And we have already started bidding for defence contracts in the space of these new alloys. And I think we still have not got any orders. But yes, I think we are likely in the next coming days or years or months, we should be in track to get a

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significant portion of business in new alloy business, in terms of titanium and other things from our existing facility for aerospace.

Coming to acquisitions, I think like -for railways, we are open to any acquisition. But right now, we don't have anything which we can speak about or which any concrete details are there available.

Tushar Raghatate: Fair enough, Sir, on the export front, North American Class 8 truck order near 20,000 to 25,000 per month. I just wanted to know your view, is it the bottom of the market? And secondly, Sir, the Europe FTA, which is happening, do you see that as a hedge against the entire export market? Or do you see a very good opportunity in terms of increasing your share in the Europe or with the existing customer, the wallet share?

Naresh Jalan: Miles, can you answer this?

Miles Gandhi: So, I will start with your second question first with regard to the European FTA. I think I just replied to a while back that I think this will always help us to become more attractive because end of the day, there are small duties, but you would have already seen that we have already gained a lot of business from Europe in the past quarters. And I think we have started already giving them and the ramp-up plan has also been given in the bigger numbers. But obviously, if today, duties are not there as compared with other competitor countries, we will always be more attractive. And India has always been a favoured destination on Europe when it comes to things from forgings or castings. And I think that is going to help us for sure.

Coming back to North America, I think one thing we would like to restate once more is that, see, the worst seems to be already over, as Mr. Jalan already said. And currently, even the numbers, the way the numbers are showing seems that there will be a good demand coming forward. And I think there has been a lot of projections with regard to the American demand even with the commercial vehicle.

But obviously, there has not been a great utilization of the fleet and other things in the past. But now with the way the market is showing, I think the numbers are very encouraging, and we look forward to at least coming back with the numbers in the coming quarters soon.

Tushar Raghatate: Fair enough. Sir, my last question on the EV front. You mentioned in the past, you are interested to increase the EV share to the total portfolio. Any comment on that, Sir?

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Miles Gandhi: You would have already seen that we already informed today that around Rs. 18 crores of further business we won from the EV segment. And I think we are already working in EV a bigger way. And whatever we are getting the traction is from North American OEM who are into the EV space. And plus, we also are doing today with the commercial vehicle industry with regard to the EV space, I think we are the prominent player. Whoever is making the EV vehicles tod

ay, we are the primary supplier. So, if they are growing with the numbers, what they are getting from the market and also from the government with regard to the green policies, I think we are the beneficiaries indirectly. So, our EV numbers are also increasing

accordingly.

Moderator: The next question is from the line of Mr. Armaan from Blue Sky Fintech. Please go ahead.

Armaan: I said, I just want to have a clarification. Like in last call, we told that for the full year basis, we still maintain our commentary of double -digit growth for the full year, right? But in 9 months, already, it's just around 1% only. So, are we still holding to that guidance?

Naresh Jalan: Yes. We're still holding to that guidance.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for the closing comments.

Rajesh Mundhra : Thank you. We would like to thank all for taking out the time and joining our earnings call. We hope we have answered all your queries and for your satisfaction. We would like for any further information, get in touch with us or with CDR India. On behalf of Ramkrishna Forgings Limited, we wish you all a great week ahead. We look forward to interacting again next quarter. Thank you again very much for talking with us. Thank you.

Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcript and may contain transcription errors. Certain statements made or discussed on this call may be

forward looking in nature and must be viewed in conjunction with the risks and uncertainties that the company faces. The company does not undertake to update these forward -looking statements publicly. Please also note that this document has been

edited without changing much of the content, to enhance the clarity of the discussion. No unpublished price sensitive information

was shared/discussed on the call .

Call: May 2026

REGISTERED & CORPORATE OFFICE

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Date: May 11, 2026

To
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

BSE SCRIP CODE: 532527 To
The Listing Department
National Stock Exchange of India Limited
“Exchange Plaza” C -1, Block G,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051

NSE SYMBOL: RKFORGE

Dear Sir/Madam,
Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Earnings Call Transcript – Q4 & FY'26
This is further to our intimation dated April 22, 2026, with respect to Earnings Conference call with Analysts/Investors on the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2026.

Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Earnings Conference Call Transcript held with Analysts/Investors on Monday, May 04, 2026, at 16:00 Hours (I.S.T).

This intimation is also being uploaded on the website of the Company at www.ramkrishnaforgings.com.

This is for your kind information and records.

Thanking you,

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundhra
Company Secretary & Compliance Officer
(ACS 12991)

Encl.: As above

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Ramkrishna Forgings Limited

MANAGEMENT:

- Mr. Naresh Jalan – Managing Director
- Mr. Chaitanya Jalan – Whole -time Director
- Mr. Lalit Khetan – Whole -Time Director and Chief Financial Officer
- Mr. Milesh Gandhi – Whole -Time Director
- Mr. Rajesh Mundhra – Vice President -Finance and Company Secretary

Moderator: Mr. Annamalai Jayaraj – 360 One Capital Market Private Limited

External Participants :

- Annamalai Jayaraj – 360 One Capital Market Private Limited
- Balasubramanian – Arihant Capital
- Aditya Kumar – Old Bridge Mutual Fund
- Ayush Goyal – CAVI Capital
- Kiran Naik – Mody Fincap
- Darshil Jhaveri – Crown Capital
- Sunny Gosar – MK Ventures
- Kumar Saurabh – Scientific Investing
- Vinil Shah – Dalal & Broacha
- Saket Saurabh – Sagari Capital
- Kiran Garge – Knightstone Capital Management LLP
- Kunal Bhatia – Dalal and Broacha
- Kushal – Asian Broking

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Moderator: Ladies and gentlemen, good day and welcome to the Ramkrishna Forgings Limited Q4 FY26 Earnings Conference Call hosted by 360 ONE Capital Market Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Annamalai Jayaraj from 360 ONE Capital Market Private Limited. Thank you and over to you, sir.

Annamalai Jayaraj: Thank you. Welcome all the participants on behalf of 360 ONE Capital Market for Ramkrishna Forgings Limited Q4 FY26 and FY26 post -results conference call.

From the management, we have with us today, Mr. Naresh Jalan, Managing Director; Mr. Chaitanya Jalan, Whole -Time Director; Mr. Lalit Khetan, Whole -Time Director and CFO; Mr. Milesh Gandhi, Whole -Time Director; and Mr. Rajesh Mundra, Vice President Finance and Company Secretary.

I will now hand over the call to the management for opening remarks to be followed by the question -and -answer session. Over to you, sir.

Lalit Khetan : Thank you, Jayaraj. Good evening, everyone and thank you for joining us on this call to discuss the Q4 FY26 earnings. I trust all of you have had a chance to review the earnings document that we have shared with you. In Q4 FY26, the global macroeconomic environment turned incrementally more challenging, although conditions continue to vary significantly across regions and sectors. While the quarter commenced on a relatively stable footing, carrying forward momentum from the prior period, the outbreak of conflict in Middle East adversely impacted operating conditions towards the latter part of the quarter. As a result, the energy price volatility, persistent inflationary pressures, and renewed supply chain disruptions created uncertainty for a certain business environment. In contrast, the domestic macroeconomic environment remained relatively favourable . India continued to stand out as one of the fastest -growing major economies, supported by resilient consumption, sustained government capex, infrastructure activity, and improving manufacturing momentum.

Against this backdrop, we are pleased to report an improved performance in the fourth quarter, enabling us to end FY26 on a strong note. Volumes in domestic market have been strong.

Following the GST rate rationalization in September, there has been sustained momentum in domestic auto industry in India. This resulted in sustained momentum in wholesale volumes with all segments such as M&HCV, tractors, PVs reporting double -digit growth in the fourth quarter. As we had indicated, the Railway business has been a strong pillar of growth. We have taken steps to deepen our footprint and enhance capabilities in this segment in recent years. These are now paying dividends as the share of business from railways grown to 7.5% of revenue in this year against 4.6% a year ago.

Now let me share some financial highlights for the quarter. We reported consolidated revenues of Rs. 1,216.78 crores, that is higher by 28% on year -on-year basis compared to Rs. 947.21 crores in Q4 FY25. On a quarter -on-quarter basis, revenue was higher by 11% compared to Rs. 1,098.52 crores in Q3 FY26. Strong performance in domestic market supported by resilient performance in international market helped us to deliver solid top -line growth on a year -on-year basis as well as on Q -on-Q basis.

EBITDA excluding other income is Rs. 208.19 crores in Q4, higher by 111% year -on-year compared to EBITDA of Rs. 98.5 crores in Q4 FY 25. On Q -on-Q basis, EBITDA was higher by 27% compared to Rs. 163.37 crores

in Q3

FY26. The margin improved to 17.1%, higher by almost 220 basis points quarter -on-quarter.

Profit before tax is Rs. 64.33 crores in Q4 FY '26 compared to Rs. 29.69 crores in Q3 FY 26, reflecting a 117% quarter -on-quarter growth. Profit in the consolidated accounts has been impacted by around Rs. 10.4 crores due to elimination of profit of Rs. 5.9 crores from the subsidiaries and loss of Rs. 4.5 crores from the Mexico subsidiary. Otherwise, the net profit could have been much higher on the consolidated basis.

On the full -year numbers, we reported consolidated revenue of Rs. 4,238 crores for the full year FY '26, that is higher by 5% on year -on-year basis compared to Rs. 4,034 crores in FY '25. EBITDA stood at Rs. 642.70 crores for FY '26, that is higher by 15% year -on-year compared to Rs. 559.56 crores in FY '25.

Profit before tax is Rs. 112.58 crores in FY 26 compared to Rs. 148.79 crores excluding exceptional item in FY 25, that is lower by 24% year -on-year.

Additionally, our rail wheel joint venture remains on track with commencement of production anticipated by Q1 FY 27. With these growth levers firmly in place, we are confident that from the next quarter onwards, we will return to further improved operating trajectory and look to sustain the momentum throughout FY 27.

With that, I would like to hand over the proceedings to Mr. Miles Gandhi, Whole -Time Director. Thank you. Over to Miles.

Miles Gandhi: Thank you. During the Q4, the Company secured new orders worth Rs. 594 crores for the program life of four years. 56% of these orders were from Automotive segment and balance 44% were from the Non-Automotive segment, reflecting continued progress in Company's diversification strategy.

Out of the Rs. 594 crores, Rs. 334 crores came in the Auto sector, of which Rs. 323 crores came from the CV sector and Rs. 11 crores came from the EV sector. And in the Non-Auto sector, Rs. 258 crores came from the energy segment itself and Rs. 2 crores from the off -highway. That's from my side. Thank you.

Lalit Khetan : Thank you, Miles. So over to Jayaraj.

Annamalai Jayaraj: Operator, you can go for Q&A.

Moderator: Thank you very much. We will now begin the question -and -answer

session.

Annamalai Jayaraj: Before somebody joins from the question queue, sir, how is the demand shaping in US market, sir? I was asking how is Class 8 volumes picking up in the recent times?

Naresh Jalan: I think Class 8 trucks are very, very strong right now. I think since last 3 months, we are seeing destocking happening in our warehouses in North America. And I think we are looking at fresh revenues coming in from this quarter onwards from North America Class 8 trucks in significant manner.

Annamalai Jayaraj: And you expect this to sustain for some time, sir, at least a year or two ?

Naresh Jalan: I think at least for 2 years. For calendar year, it is good to say that it's going to stay till third quarter of calendar year '27.

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Moderator: Thank you. We have first question from Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Good evening, sir. Thank you so much for the opportunity. Sir, on the wheel set plant, mentioned it will be commencing from Q1 FY '27 onwards. Whether we have submitted 300 trial wheels and for the approval? And from Q1 onwards, what kind of run rate we can expect quarter -on-quarter basis in terms of volume?

Naresh Jalan: No, I think 300 wheels we are supposed to submit in the month of June or July. I think when Lalit said we are going to commence production, it means we are starting the plant, I think probably by end of May or June, wherein we'll start manufacturing wheels and commercial production will start immediately.

So, we don't need to wait for 300 wheels to

get approved. Once these 300 wheels are supplied, we can continue supply. This year, we are looking at supplying almost 40,000 wheels from that plant to the Indian Railways.

Balasubramanian: So, this will start from the coming financial year onwards, right, sir? The 40,000 wheels will reflect FY '27 onwards?

Naresh Jalan: FY '27 onwards.

Balasubramanian: Okay, sir. What kind of utilization level we can expect, sir, out of 2 lakhs? So, the 40,000 will be delivered in this financial year itself, right?

Naresh Jalan: Yes, 40,000 will be delivered in this financial year.

Balasubramanian: So, I think then it will solve the whole industry problem. Is it the right way to understand, sir?

Naresh Jalan: I don't know about the industry problem. I think as per our contractual obligation, we are supposed to supply 40,000 wheels. We are gearing up to supplying 40,000 wheels in this year.

Balasubramanian: Okay, sir. Sir, on the diversification side, I think we are targeting 10% plus kind of revenue from PV in the next 2 years. Also trying to be a primary supplier for EV, CV makers and aerospace alloys trials also we can. Trying to understand like what kind of specific defense or aerospace contracts we are focusing on and what kind of contracts we are focusing to get post aluminum forging commissioning side?

Naresh Jalan: No, already I think post commissioning of aluminum forgings, we have already started bulk supplies to EV suppliers, EV equipment manufacturers globally in terms of the needs of aluminum forgings. And

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we are also developing few more aluminum forgings from that facility to supply to these CV manufacturers globally.

And in terms of other alloys, we are looking at getting into aerospace. We are exploring opportunities to set up a capacity to manufacture titanium and other stainless-steel products. So, we are bidding for several opportunities within domestic market as well as global market. But right now, we don't have any contract per se to basically have any realistic numbers to this. We are already in talks with several OEMs globally and within India to buy higher alloy material basically for aerospace activity.

Balasubramanian: Yes, sir. Sir, on the capacity utilization side, the forging utilization, it's mentioned nearly 70% in Q4. But if you look at last year Q4, it's 83%. But

if you look at cold forging, the capacity utilization is almost 40% kind of range. Like if you could share how we are going to ramp up to 80% to 85% kind of range by FY27?

Naresh Jalan: No, I think vis -à-vis last year when you compare, you have to also take in account the capacity of 8,000 ton press line and other addition in terms of overall forging capacity which we have had. And basically, this capacity utilization is going to happen from order book already in place. We are very hopeful that this year we will have a much better utilization vis -à-vis the last quarter.

And in terms of cold forging, we are at 40% because approvals in cold forging is mainly to the passenger vehicle sector. And this is taking more time in the global market to get approvals in place. As and when approval gets in place, utilization will improve. And to be putting a timeline to it, I think we are not able to do that. But we are pretty hopeful by this year -end, we should be having close to around 75% to 80% utilization from cold forging also.

Balasubramanian: Got it, Sir. Thank you, sir. Thank you so much for the detailed explanations. All the best.

Moderator: Thank you. The next question is from the line of Aditya Kumar from Old Bridge Mutual Fund. Please go ahead.

Aditya Kumar : Hi, thank you for the opportunity and congratulations on a good set of numbers, sir. Sir, my first question is on the presentation that you have shared. So, it has been showcased that Rs. 1,550 crores of new orders will be e

xecuted in FY27. So, does that include castings also or is it only forgings stand -alone business that it is showing?

Naresh Jalan: No, it is consolidated - forging and casting together.

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Aditya Kumar : Okay. So how much of that, so how much castings volumes are we expecting this year because we are sitting on significant capacities of 78,000 tons and earlier also, we have indicated that we have an order book for that. So how much are we expecting this year?

Naresh Jalan: We are looking at almost 85% to 90% utilization in casting over the quarters, in coming quarters in this year.

Aditya Kumar : 80% to 90%. So close to around I would say 65,000 to 70,000?

Naresh Jalan: Close to full utilization, I think. Very safe to say that close to full utilization this year.

Aditya Kumar : Okay. So that's great to hear. So that's basically around if I take that number, then that's basically around incremental Rs. 900 crores of revenue from castings?

Naresh Jalan: I will not put a number to it, but we are safely looking at almost 85% to 90% utilization in the full -year basis. But it may not come in the first quarter itself, but gradually over next two quarters because samples, approvals and other things are taking some time. So, we are looking at by first half almost to reach there.

Aditya Kumar : Sure, sure. So, I came to that number because of the realizations that has been shared on the presentation. I came to that number on that basis. So, what kind of margins can we expect here, sir?

Naresh Jalan: No, for margins for castings?

Aditya Kumar : Yes.

Naresh Jalan: For castings , I think Lalit, you will be able to tell better, Lalit.

Lalit Khetan: Margins in the casting will be somewhere around 15% to 16%, Aditya. And in terms of what you were asking in terms of top -line growth, see 62,000 tons is the capacity and we have already produced 26,000 for the last year. But that's the production. In terms of sales, sales is always lower due to the machining mix. And we expect another Rs. 400 to Rs. 500 crores of revenue for the full year from the casting business on that account.

Aditya Kumar : And , on the cash flow part, so what kind of capex are we looking at this year and what is the debt target, net debt target for FY27? Because I feel most of the investments have been done now and with good business outlook going ahead, we should be looking at debt reduction if you can help us understand that.

Lalit Khetan: Certainly, we are looking at a quite significant debt reduction in this year on the back of promoter funding and good performance. All this, so we are looking to reduce the debt by at least Rs. 400 to Rs. 500 crores in this year.

Aditya Kumar : Okay, And one bookkeeping question, sir. So as mentioned in the presentation, there is some casting business sitting in the standalone business and some sitting in the consol part or the subsidiary. So out of the 16,600 tons that we have sold this year, how much of that would be in the standalone if you can help me on that?

Lalit Khetan: So standalone business commenced just on 31st March commercial production. So, nil from the standalone on FY26 .

Aditya Kumar : Okay, Got it. And just one last question, sir. This is on the other business. So, we also started one trailer axle business a few years back. If you can help us, give us some update like what kind of revenues have, we clocked from that trailer axle business in FY26 and what's the progression there and what kind of market share and target we are looking for in FY27?

Naresh Jalan: So, I think in trailer axle, we roughly had an around Rs. 120 crores business from there in last year. Roughly, exact figures I don't have right now. At a market share, I think we are at about 4% or 5% market share. In two years,

we have been able to make good amount of inroads and satisfaction and this being a first B2C business for us. I think we are pretty satisfied with the performance of getting into around 4% to 5% market share. And I think this year, we are looking at almost doubling this business to Rs. 250 crores and to a market share of about 10%.

Moderator: We have next question from Ayush Goyal from CAVI Capital.

Ayush Goyal: So, my first question was regarding the presentation. Like in this quarter's presentation, the order that has split over the next 4 years for financial year 2027 is Rs. 1,550 crores. And in the last presentation, it was Rs. 2,200 crores. So, like there's a Rs. 600 crores reduction. So, have any of the orders been revoked or something?

Lalit Khetan: No, no. So, Ayush, how it works. So, it was incremental order. So last presentation what you see for that was incremental order for FY26 which has gone. So residual order has come here in FY27.

Ayush Goyal: Okay. So basically, the order was executed earlier than expected?

Lalit Khetan: No, no. I mean, so see what you are looking at FY28, again it is Rs. 2,800 crores, but Rs. 1,100 crores incremental over FY27. You understand that?

So, there was some adjustment every year. I hope you understand.

Ayush Goyal: Okay. Yes, got it, sir. And like with the new added capacity in the Press segment, how do we expect the utilization to improve going forward? Like quarter -on-quarter, what percentage can we expect?

Naresh Jalan: No, on a full -year basis, I think it is not right for us to say quarter -on-quarter. It's very difficult because of the approvals and other things. But it is safe for us and better for us to say that by this year -end, this financial year -end FY27, we are looking at almost 85% utilization in our press plant.

Ayush Goyal: Okay, that's great. And one last question I had. Like with the rising commodity prices, what effect does it have on our P&L? Like when we book an order, so we take an order on the spot price, right?

Naresh Jalan: No, as earlier also expressed, all our pricing is based on pass -ons. So, I think with a quarter lag, we pass on all the price increases of commodities. Basically, mainly for commodity for us is steel. Steel is pass -on for us every quarter.

Ayush Goyal: So largely our margins will be not affected by this?

Naresh Jalan: No. Other commodities like consumables like gas and other things are basically which affects our bottom line. So, that is on a yearly basis we are discussing with customers, and I think most of our customers agree with the current scenario because of this geopolitical issue. And we are expecting compensation on account of all these geopolitical issues in terms of price increases to come to us soon.

Ayush Goyal: Okay. Thank you so much, Sir. That's all from my side.

Moderator: Thank you. The next question is from Kiran Naik from Mody Fincap. Please go ahead.

Kiran Naik: Thank you for giving me an opportunity, sir. Sir, can you give me a rough idea what will be the revenue growth in FY27?

Naresh Jalan: No, I think we will not be able to give any number to FY27. But with the current order book and with the current capacities in place, we are looking at continued growth trajectory, and we are looking at a healthy growth in FY27.

Kiran Naik: Okay. And EBITDA margin for '27?

Naresh Jalan: It will continue to, I think with what if you have seen quarter -on-quarter 200 basis points we have improved in terms of our EBITDA margins. And I think with the current scenarios in place, we are looking for healthy growth in both our top line and the bottom line of the company.

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Kiran Naik: Okay, thank you, Sir.

Moderator: Thank you. The next question is from Darshil Jhaveri from Crown Capital. Pl

ease go ahead.

Darshil Jhaveri: Hello, good evening, sir. Thank you so much for taking my question, sir. Firstly, congratulations on the great set of results, sir. Sir, just wanted to, like, confirm like in terms of casting when we are saying we'll be at near full utilization. So, did I hear correctly, sir, we could do nearly Rs. 900 crores of additional revenue from that, sir?

Naresh Jalan: No, no, we have not put any number to it. I think Lalit has clarified out of the 70,000 odd tons of casting capacity, already current utilization we are getting a significant revenue. Additional casting capacity which has come in the by end of March, this is going to create at the current commodity levels, Rs. 400 to Rs. 500 crores revenue in the coming years.

Darshil Jhaveri: Okay. So, the new March capacity would be around Rs. 400 crores - Rs. 500 crores. And sir, sorry but I'm a bit new to the company. So, when we talk about the wheel sets, so we are expecting to do around 40,000 wheel sets. So, what are the unit economics of it? Like is this on a similar margin that our company does on a consolidated level and also in terms of what is the selling price? So, could you help me with that, sir?

Naresh Jalan: I cannot give you the selling price, but I can tell you that the wheels are in a similar trajectory of the forging business we do right now. And it is a new capex and we have set up a capacity for 230,000 wheels. This year railway offtake guarantee is for 40,000 wheels which we are getting ready to supply in this financial year.

Darshil Jhaveri: Okay, okay. So, is this like on a broad basis the incremental revenue would be how much from the wheel set, sir?

Naresh Jalan: So, I think selling price, it is right now very difficult for me to tell you because the contract was awarded two years back. So, we will need to have a real-time pricing done with two years of inflation and other things to capture and get to the new pricing. So, I will not be able to give you exact number right now. But we should be anything between Rs. 400 crores to Rs. 450 crores roughly in terms of revenue from the wheel plant.

Darshil Jhaveri: Okay, okay. No, that's fair enough. Yes, yes, that's it from my side, Sir. Thank you so much.

Moderator: Thank you. The next question is from Sunny Gosar from MK Ventures. Please go ahead.

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Sunny Gosar: Thank you for taking my question and congratulations on a good set of numbers for the quarter. So, my first question is on the overall peak revenue potential. So, we've almost now expanded to about 400,000 tons of capacity. So, assuming a normalized utilization and adjusting for seasonality in the business, what is the peak volumes or peak revenue if you can give some colour either on one of them over the next two to three years we can achieve with this current capacity that we have already set in place?

Naresh Jalan: No, I think Sunny, putting a revenue number I think it is difficult. Revenue number is absolutely dependent on the commodity pricing. But in terms of utilization, we are looking at almost 80% utilization this year in terms of our capacity. Means close to around go to around 350,000 tons of overall forging and casting put together in terms of our utilization. And I think that's, that's the ballpark we are working with.

Sunny Gosar: Got it. Got it. And second question is in terms of the domestic and export mix. So, this year our domestic performance has been very strong with strong CV demand and the mix which used to be about 40% to 42% export and 58% to 60% domestic have seen a swing towards higher share of domestic. So, based on the current visibility in terms of the order book or customer discussions that you are having, how do you see this domestic - export mix moving over the coming one or two years and how does the domestic -export mix impact the overall

margins? Does, does higher export mean better margin profile and how is the outlook on that?

Naresh Jalan: So, I think with the current trend in the overall overseas market and with the new order wins in the European market, we are expecting in next two years our export mix to significantly improve. And I think historically which was 60 :40, I think we are looking at going above 40 in terms of our export volumes in the overall scenarios, current scenarios.

And export is always highly remunerative than the domestic market. So, we are very confident with the current order book and with whatever is playing around in terms of the overall global market and the demand side, we are very confident that our margins also will considerably improve going into coming quarters.

But it may not happen immediately, but into going onto next eight quarters, roughly two years, our margins should be significantly improved with export volumes better than previous of 40%.

Sunny Gosar: Got it, got it. That's very helpful. And my last question is around the capacity and the capex. So basically, our utilization in the last quarter was around 65% to 70% and we have already expanded capacity. So how do

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you see the capex intensity for say FY27 and FY28? Because we've spent about Rs. 800 crores plus of capex over the last two years. How will that number look like say in the next two years?

Naresh Jalan: Sunny, this year we are looking at more of consolidation. I think with the contribution in JV, I think we are not looking at cap ex and maintenance. We are not looking at capex of more than Rs. 300 to Rs. 400 crores maximum to the tune of Rs. 400 crores. That also may be most of may get into only value adds and our contribution into the joint venture. And most of our thrust will be in terms of debt reduction. Lalit has already given a ballpark of close to Rs. 400 crores to Rs. 500 crores of debt reduction over this financial year.

I think this year by this financial year -end, we should be anything above 80% to 85% in terms of our existing capacity utilization. From wherein in FY 2028, we are looking for further capex to grow the business into the next level. But we have not yet basically frozen any capex plan for FY 2028 right now. So still, we are talking to customers and getting their feedback in terms of what next to do in terms of the overall capacity requirements.

Sunny Gosar: Got it. And in terms of our cash outflow, whatever contribution had to go for the JV, has that been paid for or there is more equity that is yet to be?

Naresh Jalan: Some more part is left. I think Lalit can give the exact number.

Lalit Khetan: Yes, about Rs. 50 crores will further go, Sunny, in this year.

Naresh Jalan: So, taken that Rs. 50 crores, Sunny, that the ballpark number is around close to around Rs. 400 crores of capex is taken into account of that Rs. 50 crores.

Sunny Gosar: Got it. This is very helpful and all the best for the coming quarters and the year ahead. Thank you so much.

Moderator: Thank you. The next question is from Kumar Saurabh from Scientific Investing. Please go ahead.

Kumar Saurabh: Yes. Sir, I have one question on the aluminum capacity which is there. In

terms of realization or margin, how is this business?

Naresh Jalan: Commodity price itself is close to around Rs. 400 per kg. So obviously realization per ton is going to be always higher because of the commodity pricing. Margins are close to around 14% to 15% at the absolute numbers.

Kumar Saurabh: Okay, okay. So almost similar to our current business. So, it should not.

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Naresh Jalan: No, in terms of contribution, I think it is much higher because 14% to 15% you get on the Rs. 400 per kg also. So overall I think contribution is much higher than the current ones

Kumar Saurabh: Okay, okay. And sir, I think currently our all -total fixed asset is around Rs. 4,000 crores and historically I think if we take a blended fixed asset turnover, it's somewhere around 1.5, 1.6, which takes us to almost Rs. 6,000 crores revenue. I'm not looking for exact number, but ballpark kind of number. So, like do you have any plans that when you want to utilize this full capacity given, we have done with major capex and now you know this is time to reap all the capex which we have invested?

Naresh Jalan: So, we are looking at during this year, I think by third quarter or fourth quarter to reach close to around 80% -85% plus utilization in terms of our overall capacity.

Kumar Saurabh: And sir, historically when we shift from let's say you know say 70% kind of utilization number to our peak utilization number, historically we have had higher margins. So do you see possibility, I know you have said that and this quarter also we have done well on margin and you know you are expecting it to improve. But do you see possibility of going back to the previous highest utilization peak margins?

Naresh Jalan: I will not put a number to it, but we are very confident of continuing to improve in terms of margins. And I think that is what best we can guide for right now. And we continue to work on margins, and I think rest I think in terms as utilization improves, as we start delivering the numbers, margins are going to be much better than what is expected.

Kumar Saurabh: Great, great. And sir, I think in our business in casting and forging, energy is a major cost item and given whatever is happening globally in terms of you know the whole energy thing. So, do you see any major pressure on the raw material, on the expense side because of energy or like how do you see it panning out?

Naresh Jalan: Raw material is completely pass -on for us. With a one quarter lag, it's completely pass -on for us. So, we don't get affected by the raw material increase. But in terms of other consumables, a major consumable in terms of commodity is gas for us post the raw material. To the earlier question also I've answered, with the current geopolitical issues, we have gone back to the customers in terms of force majeure clauses. And we are very pretty hopeful that the customer will compensate us to the maximum possible in terms of the gas energy price increase.

Kumar Saurabh: Great. Thanks a lot, Sir. I'll come back in the queue. Wish you all the best.

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Moderator: Thank you. The next question is from Vinil Shah from Dalal & Broacha. Please go ahead.

Vinil Shah: Hello, sir. Good evening. Thank you for the opportunity. So, my question was in respect of realization for our forgings. So even if we take our annualized capacity utilization, we are already close to 70% or 74% capacity utilization as per our presentation if we take the annualized installed capacity. But yet our realizations have been poorer than the Q4 of FY 2025. So even if we move forward with a higher capacity utilization, how do we plan to improve our realization of Rs. 1lakh per ton, sir?

Naresh Jalan: No, I think realization also is affected by the commodity price. I think realization is directly linked to the commodity price. And if the whole year as you must have seen that raw material price has continued to decrease. So, with the decreasing trend of raw material pricing vis -à-vis FY 25, that is

the effect which we have had. In terms of product mix, I think we have had a much better product mix in the second half of the year of this financial year. So, I think we have done much better than what presumably would have been with the current commodity price if the product mix would not have been what it is right now.

Vinil Shah: No, sir, because my confusion was because our export realization has increased from Rs

. 1.77 lakhs to Rs. 1.85 lakhs?

Naresh Jalan: Both the things, I think export realizations are always much better. And if you see the previous year, exports were higher than this current financial year as a percentage. So, as the export grows, automatically the overall realization is going to be much better than what it is currently there.

Vinil Shah: Alright Sir. Thank you. That's all from my side.

Moderator: The next question is from Mr. Saket from Sagari Cap.

Saket: So, first question is pertaining to the non -auto order wins. So almost INR250 -odd crores order has come from energy segment. So, can you just explain what exactly what kind of order is this within the energy space?

Naresh Jalan : Milesh , can you answer this question, please?

Milesh Gandhi: Basically, as you know, energy storage has become the latest trend with the market. And we have received a lot of orders from companies which are very doing very good in energy space in the North America market. And they have a very ambitious plans with regard to the energy storage devices. And these devices actually require a lot of forgings and castings

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as a mix in order to go forward there. So, we have received a good order book on account of it and that's what we have reflected in the order books.

Saket: Okay. Thanks for the clarification. So, sir, last time when we talked about the turnaround within the US business, so we talked about largely the new customers or the new wins which were helping us come back slowly on growth. And that also shows up in the numbers, almost Q -on-Q there has been a growth. Now going for FY27, with the tariff behind us now. And as Naresh sir also talked about coming revival of demand as far as Class 8 trucks is concerned. So, do you think FY27 could be a normalized year from a US export or a North America exports standpoint or it would be an even a growth year given that you know Mexico , I think likely to go live in a couple of weeks or couple of months .

Naresh Jalan: I think it will be a growth year vis -à-vis previous year in terms of our overall North America performance is concerned.

Saket: That's great to hear, sir. Sir, now another question that I have is pertaining to I think mainly for CFO sir. There is a given in the notes of the results, there has been some loss provisions that we have made vis -à-vis tariffs that some of our customers have had to bear. So can you explain something pertaining to this ECL, what exactly is this?

Lalit Khetan: See, so we have made a provisioning of ECL for Rs. 42 crores in this quarter as basically this is in light of income of electricity duty which we got order in the last quarter, and the income has been recognized as exceptional income. So, but we did not wanted to carry it into our profit. And so, on a prudent basis considering the current economic scenario and whatever the volatility we have in the global environment , we just provided as ECL on our receivables for this Rs. 42 crores amount. This amount is totally receivable, but still we got this headroom to provide for this. This will help us in future only.

Saket: Okay, so thanks for the explanation. Now coming back to the shipping time. So how is the shipping time, is it now back to normal especially for our US side or is it still on the higher side and how's the cost now for shipping cost right now?

Naresh Jalan: Shipping cost has gone up by about 15% to 20% and the days have increased by almost 15 to 20 days.

Saket: Okay. So, sir, because last time when this happened, a lot of our floating inventory ended up becoming on our books. So right now, how is that floating inventory right now? Is it in line or do you think that should be fine going forward?

Naresh Jalan: It is in line.

Saket: Okay. And sir, do we have

any West Asia exposure in terms of clientele or revenue?

Naresh Jalan: No, no revenue and no exposure.

Saket: Okay, sir. And thanks. Sir, last question is you have elaborated a bit on the titanium and those kind of alloys where RK Forgings is foraying into and it's good to know because again aerospace is gaining a lot of traction. So, but these are also long gestation period because approval timelines are quite longer.

So, when do we think that this would end up say adding something substantial to our top line or at least will start reflecting say in the order book? So, any sense or colour on that?

Naresh Jalan: I think in terms of order book, I think by this financial year -end, it will start reflecting in our order book. But in terms of our revenue I think it will take additionally 12 to 24 months because these are long lead items to make also and get approvals. So, we are we are not looking anything in terms of our revenue before FY29.

Saket: Okay, sir. Now specifically to the EV segment because it is now kind of making some sort of a comeback, right, both across Europe as well as even US had a reasonable quarter. So now how are those EV focused order or revenue looking up? So, are we looking at say much better contribution from them going forward?

Naresh Jalan: I think EV is performing extremely well for us both in the domestic market and overseas market. And I think as our diversification strategy and as well as our dependence on ICE to decrease the same, we are already working very aggressively to improve our passenger vehicle portfolio which is mainly constituting of EV segments only. So, I think, we have already guided for a 10% revenue in two years' time to come from basically passenger vehicle segment.

Saket: Okay. So, 10% PV is synonymous with 10% EV as an overall level. Is that is it a fair understanding?

Naresh Jalan: Fair understanding.

Saket: Okay, Sir, thanks, Sir, for responding and best of luck for the coming quarters.

Moderator: Thank you. The next question is from Kiran Garge from Knightstone Capital Management LLP. Please go ahead.

Kiran Garge: How much revenue did we generate from railway assembly undercarriage for the full year?

Naresh Jalan: Can you repeat the question, please.

Kiran Garge: How much revenue did we generate for the railway assemble undercarriage for the full year?

Naresh Jalan: We will not be able to give you exact component by component revenue achievement. But we have achieved a significant portion. Railway business as an overall 7.5% is overall in terms of our railway business which is performing and we are looking at double digit almost to achieve the number by this year from railways.

Kiran Garge: Okay, thank you.

Moderator: Thank you. The next question is from Kiran Naik from Mody Fincap . Please go ahead.

Kiran Naik: Sir, thank you for giving me an opportunity again. Sir, can you tell me from where you are buying aluminum which is your raw material for forging?

Naresh Jalan: We are buying from Hindalco.

Kiran Naik: Hindalco. Only one supplier you have or you import also?

Naresh Jalan: We basically are customer directed buy.

Kiran Naik: Okay, okay. Thanks, Sir. Thank you.

Moderator: Thank you. The next question is from Kunal Bhatia from Dalal and Broacha Stock Broking Limited. Please go ahead.

Kunal Bhatia: Yes, hi, sir. Thank you for the opportunity. Sir, I just had a clarification

question. You mentioned that this time around you'll be having almost an 80% utilization on your capacities of 350,000 odd tons. But how what is your say your target which you are expecting in terms of the overall sales volume?

Naresh Jalan: Sales volume I think every quarter -on-quarter you'll see significant improvement. But I think in terms of percentage is very difficult to say. But we are very confident whatever we'll

I make we'll be able to sell that.

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Kunal Bhatia: Okay. Sir, because even in the last conference call if I'm not wrong, we had mentioned an upper limit of 10% to 15% kind of growth for FY 27 and FY28 in terms of a CAGR?

Naresh Jalan: I think with the current order book, we are very confident of surpassing. We are not trying to put any number to it right now. But I think with the current geopolitical issue going on, it is a risk also. But with the current order book, we are very confident of growing. So, but with the capacities in place, we are looking at achieving those tonnages in terms of our production plans, and we are very confident to sell those.

Kunal Bhatia: Okay, okay. So, it's fair to assume that we'll be growing the higher upwards of the 15% number.

Naresh Jalan: I will not put a number to it, but I think we are looking at a decent and very good growth in FY 27.

Kunal Bhatia: Okay. And sir, ballpark on an 80% kind of utilization levels, what is the kind of leverage in terms of margins that kicks in assuming every other thing remains status quo?

Naresh Jalan: So, I think the current margin which we have been able to achieve in the fourth quarter, I think now it's here to stay and it we are going to do better margins than what we have achieved right now in this quarter. So, I think as the capacity utilization economics of growth continue to scale and everything remains as where it is and we are able to pass on the energy price increases which have happened

We should be at least 100 to 150 basis points better than what we have done right now. But it all depends on whether we have been we are able to pass on the energy price increases.

Kunal Bhatia: Okay. Sir, but you would have some fair bit of an idea from your current months' export, say in April, May, have you been able to get those better or a higher realization?

Naresh Jalan: I think we have not yet been able to pass on the energy price increases. We already are in discussions, and I think discussions are in advanced stage. So, beyond that I think it is very difficult for us to say anything that whether by when we will be able to get. Whatever we will get, we will be able to get from 1st April onwards. But exactly how much and by when, it is very difficult for me to tell, because it is industry -wide which it is going to happen. It's not going to be happening for us as an isolated case. But whatever the customer approach OEM approach takes, it is to be

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happening in the industry -wide space. So, I think we'll wait for some time before we can comment on it.

Kunal Bhatia: Okay. And sir, my final question. I am not asking you for a particular number, but in terms of volume on the export basis side, looking at the current situation, how has been say the month of April which is already gone by? Was it better than March?

Naresh Jalan: I think I will not be able to give you reflect on the anything on the current numbers. But I can only say this year FY 27 export volumes are going to come back and it's extremely strong. So, we are very confident of doing much better exports than our previous in terms of overall mix of percentage to sales. We are going to do much better than what we have done in previous years and quarters.

Kunal Bhatia: Okay, okay. Sounds good. Thank you, Sir. Thank you so much.

Moderator: Thank you. The next question is from Mr. Kushal from Asian Broking.

Please go ahead.

Kushal: Are there any plans to increase ring rolling capacities?

Naresh Jalan: No. I think there is no plans right now in this financial year to increase the ring rolling capacity.

Kushal: Okay, thank you, sir.

Moderator: Thank you. The next question is from Mr. Aditya Kumar from Old Bridge Mutual Fund. Please go ahead.

Aditya Kumar : Sir, just one clarifi-

cation. The orders that you have won of Rs. 323 crores on the CV part, how much of that would be domestic and how much of that would be exports?

Naresh Jalan: Milesh?

Milesh Gandhi: You repeat the question please.

Aditya: Yes. I was asking the Rs. 323 crores order that we have won on the CV side, what would be the split between domestic and exports?

Milesh Gandhi: Against the Rs. 323 crores, in the CV more than 50% of it is export and around 50% is from the domestic.

Aditya: Okay, okay. Thank you. That's it.

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Moderator: We have the next question from Mr. Kushal from Asian Broking. Please go ahead.

Kushal: Just again regarding ring -rolling, as I'm seeing here it's at 121% utilization.

So, does it affect in any way negatively crossing the capacity.

Naresh Jalan : No. Basically, it is 121%. If you see the history also, ring -rolling has been operating at more than 100% as always and it does not affect in terms of the life of the equipment or in any way.

Kushal: Thank you, sir.

Moderator: Thank you. As there are no further questions in the queue, I now hand the conference over to management for closing comments. Over to you, sir.

Rajesh Mundhra : Thank you. We would like to thank all for taking out the time and joining our earnings call. We hope we have answered all your queries and for your satisfaction. Would like to further inform that get in touch for with us or CDR if you have further information required. We look forward to interacting again next quarter. Thank you again very much for talking to us. Thank you.

Disclaimer: This is a transcript and may contain transcription errors. Certain statements made or discussed on this call may be

forward looking in nature and must be viewed in conjunction with the risks and uncertainties that the company faces. The company does not undertake to update these forward -looking statements publicly. Please also note that this document has been

edited without changing much of the content, to enhance the clarity of the discussion. No unpublished price sensitive information

was shared/discussed on the call .

Call: Jul 2026

RAMKRISHNA FORGINGS LIMITED

Date: 30th July 2026

To,

National Stock Exchange of India Limited BSE Limited

Listing Department Department of Corporate Services

Exchange Plaza, Bandra Kurla Complex Floor 25, Phiroze Jeejeebhoy Towers

Bandra (East) Dalal Street

Mumbai 400 051 Mumbai 400 001

NSE Scrip: RKFORGE BSE Scrip: 532527

Dear Sir / Madam,

Sub.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 {"SEBI_Listing Regulations"}-Earnings Call Transcript - Q1 & FY'27

In continuation to our intimation dated July 17, 2026, and July 25, 2026, and pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call for Q1 & FY 27 held on July 24, 2026 at 4:30 PM(IST). The same is uploaded on the website of the Company and can be accessed through the following weblink

<https://ramkrishnaforgings.com/ing-call-transcript/>

Request you to take the above information on your record.

Thanking you

Yours faithfully,

For Ramkrishna Forgings Limited

Rajesh Mundra

Company Secretary & Compliance Officer

ACS12991

Encl.: As above

Certified

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CIN NO.: L74210WB1981PLC034281

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Ramkrishna Forgings Limited

Q1 FY27 Earnings Conference Call

July 24, 2026

MANAGEMENT: MR. N ARESH JALAN – MANAGING DIRECTOR

MR. C HAITANYA JALAN – WHOLE TIME DIRECTOR

M R. LALIT KHETAN – WHOLE-TIME DIRECTOR AND CHIEF FINANCIAL OFFICER

MR. MILESH GANDHI – WHOLE-TIME DIRECTOR

M R. RAJESH MUNDHRA – VICE PRESIDENT -FINANCE AND COMPANY SECRETARY

MODERATOR : M R. DINESH KUMAR – 360 ONE CAPITAL MARKET LIMITED

External Participants:

■ Pranav Jain – Ageless Capital Finance

■ Siddhaant Lodaya – Sanshi Fund

■ Kaushik Jhawar – AK Investments

■ Hardik Chheda – Lark

■ Mitul Shah – Pantomath

■ Vinil Shah – Dalal & Broacha

■ Abhishek Jain – CRIS PMS

■ Aditya Kumar – Old Bridge Mutual Fund

■ Viral Shah – Enam Holdings

■ Kumar Saurabh – Scientific Investing

■ Jayesh Gandhi – Harshad H. Gandhi Securities Private Limited

■ Geetarth Tandon – Green Portfolio

■ Bharat C. Shah – BCS Capital Ideas Private Limited

■ Harsh Shah – Marcellus Advisors

- Saket – Sagari Capital
- Karan Gupta – CAVI Capital

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Moderator: Ladies and gentlemen, good day and welcome to Ramkrishna Forgings Q1 FY27 Earnings Conference Call hosted by 360 ONE Capital Market Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dinesh Kumar from 360 ONE. Thank you and over to you, sir.

Dinesh Kumar: Thank you. Welcome to all the participants on behalf of 360 ONE Capital Market for Ramkrishna Forgings Limited Q1 FY27 post-results conference call.

From the management, we have with us today, Mr. Naresh Jalan, Managing Director; Mr. Chaitanya Jalan, Whole-time Director; Mr. Lalit Khetan, Whole-time Director and CFO; Mr. Mitesh Gandhi, Whole-time Director; and Mr. Rajesh Mundhra, Vice President Finance and Company Secretary.

I will now hand over the call to the management for the opening remarks to be followed by the question-and-answer session. Over to you, sir.

Lalit Khetan: Thank you, Dinesh. Good evening, everyone, and thank you for joining us on this call to discuss the Q1 FY27 earnings. I trust all of you had a chance to review the earnings document that we have shared earlier today.

The global macroeconomic environment remained mixed during the quarter with geopolitical developments and evolving trade policies continuing to shape business sentiment across major markets. While the resurgence of the West Asia conflict remains an overhang and tariff negotiations can arise once again, operating conditions have become more stable, compared with the heightened volatility, which we witnessed over the past few quarters.

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While customer activity across key markets has remained resilient, demand across the commercial vehicle ecosystem has strengthened further, supported by healthy production schedules and greater policy clarity around regional supply chains.

Robust GST collections and healthy consumption trends reflect the underlying strength of the domestic economy. Reflecting these favorable market conditions, we are pleased to report another quarter of strong operational and financial performance.

The momentum established in the latter half of FY26 has carried into the first quarter of FY27, driven by robust domestic demand, improving export volumes, and disciplined execution across our increasingly diversified business portfolio.

Our international business recorded further improvement during the quarter, led by stronger demand from North America, alongside improving customer engagement and order execution across Europe. While tariff-related developments remain an area of close attention, the operating environment has become considerably more stable, providing greater visibility and confidence across our export markets.

At the same time, we are expanding our presence across passenger vehicles, electric vehicles, and advanced materials, including aluminum and specialty alloy forgings, broadening our addressable market and creating new avenues for long-term growth.

Operationally, the quarter witnessed continued progress across several strategic priorities. The integration of our casting operations has now been substantially completed, and we remain focused on scaling production, while improving operating efficiencies.

Production ramp-up across the new forging and casting facilities

continues as planned. With the majority of our strategic capital expenditure now behind us, our focus has decisively shifted towards sweating these assets through higher utilization, improving asset turn, and generating stronger operating leverage.

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With cash flow set to strengthen, we remain committed to prudent capital allocation, and we will seek to reduce leverage while ensuring that adequate capital is deployed towards growth investments and maintenance capex.

Let me now briefly share the financial highlights for the quarter.

Consolidated revenue for the quarter stood at Rs. 1,217 crores, which is flat quarter-on-quarter, and it has registered a growth of 19.84% year-on-year.

EBITDA excluding other income stood at Rs. 218.47 crores, that is up by 47% year-on-year and 5% quarter-on-quarter, while EBITDA margin improved to 17.96% from 17.11% in the previous quarter, reflecting better operating leverage and improved product mix.

Profit before tax for the quarter stood at Rs. 65.34 crores versus Rs. 23.9 crores year-on-year, and while profit after tax for the quarter stood at Rs. 46.88 crores versus Rs. 11.7 crores year-on-year, reflecting a growth of 172% and 297%, respectively.

With that, I would now like to hand over the proceedings to Mr. Mileshe Gandhi, Whole-time Director, who will take you through the order wins during the quarter. Over to you, Mileshe.

Mileshe Gandhi: Thank you, Lalit ji. It has been an exciting quarter in terms of order wins.

The company continued to witness healthy order inflows during the quarter, reflecting sustained customer confidence in our manufacturing capabilities, engineering expertise and execution track record.

During First quarter FY27, we have secured business worth Rs. 278 crores with a program life of four years from automobile segment. The company also won new orders worth Rs. 15 crores from Metro segment of Indian Railways. Out of Rs. 278 crores, approximately 82% of these orders are in passenger vehicle segment, and 18% from two-wheeler segment.

We continue to witness encouraging traction across both, our existing customer base as well as our new customer engagements, supported by

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our expanding manufacturing footprint and broader product portfolio.

Our diversification strategy continues to make steady progress. While commercial vehicle remains our core business, we are seeing increasing opportunities across passenger vehicles, electrical vehicles, energy, mining, off-highway, and railway segments. The share of our non-automotive business in our order book has continued to improve, reflecting our strategic focus on building a more balanced business portfolio.

Demand continues to be supported by healthy investment activity across infrastructure, industrial manufacturing, and commercial vehicles. While customer discussions across North America and Europe have become increasingly constructive compared to a year ago.

We remain confident of sustaining healthy order momentum and building a strong foundation for long-term growth. I would like to mention we are looking to new ventures within the boundaries of forgings and casting business in non-ferrous products, manufacturing products from aluminum, titanium, Inconel, and nimonic grades, for aerospace, robotics, and semiconductors.

We are seeking to leverage our advanced manufacturing capabilities with our participation as a strong engineering company in high-technological sectors, which have been traditionally dominated by global players. We

are confident to create a strong impression.

That's from my side. Over to you, Lalit ji. Thank you.

Lalit Khetan: Thank you, Miles. Now, Dinesh, you can open the house for Q&A.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Pranav Jain from Ageless Capital Finance. Please go ahead.

Pranav Jain: Hi, sir. Thank you for the opportunity and congratulations on the results.

Sir, my first question is on the wheel JV. Sir, just to understand the TAM, so the other than the 80,000-wheel offtake that we had with the Indian

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Railways, how do we plan on utilizing the remaining capacity? And just in addition to that, the 80,000 wheels that we are supplying, the wagons for that will be made by Titagarh, or will be made by the Indian Railway production houses themselves?

Naresh Jalan: In terms of the wheel, we have an 80,000 confirmed order from the Railways, and Railways are going to use these wheels for manufacturing of passenger trains, locomotives, and Vande Bharat. So, these are the three contracted for these 80,000, so wagon does not come into this. Additionally, to that, our JV partners have an obligation of close to around 25,000 wheels, which takes us the utilization to close to 1,10,000 and for the balance wheels, I think these 1,10,000 wheels manufacturing will take us till end of FY28. And beyond that, we are already working with our export customers and other beyond Europe and North America where we see lot of traction in terms of wheel requirements. And we would not like to name the customers right now. Very soon, I think we will be able to tell our investors in terms of broader wins from the export market in the wheels plant.

Pranav Jain: Sir, just a follow back to that. Sir, 25,000 from, you're saying with the JV partner. Sir, considering the amount of wagon capacity they have, ideally, they require more wheels, right? So, what's stopping us from supplying more to them?

Naresh Jalan: Basically, they can only buy wheels for the private sector wagons, which they manufacture. For Indian Railways, supplies are FOC basis, which Indian Railway supplies to them in casting. The cast wheels, which are manufactured by Indian Railways by themselves in Bangalore are basically used for manufacturing wagons and are supplied free of cost to the wagon builders for use into manufacturing wagons.

Pranav Jain: So, sir, this segment, what is the annual demand when it comes to India as a market?

Naresh Jalan: I will not be able to comment on that. So, basically, how much is the wagon wheel demand, or casting wheel demand, I am not aware.

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Pranav Jain: Got it, sir. And, sir, just one last question, sir, on our other businesses of forgings and castings. Sir, going forward, we expect utilization to improve throughout the next three quarters since we had guided for higher utilization by this year end?

Naresh Jalan: Yes, I think gradually you will see every quarter, Q-on-Q, there will be considerable utilization. I think in the first quarter we have done extremely well in terms of our overall utilization and top-line growth. And I think similarly you'll see every quarter this is going to get reflected.

Moderator: Thank you. The next question is from the line of Siddhaant Lodaya from Sanshi Fund. Please go ahead.

Siddhaant Lodaya: Yes. Just wanted to get the timelines on the Rail Wheel project, because we said it will commence in first week of May, the trial. And also, on the Mexico acquisition that we've done, because in the last call we had discussed that this will also start somewhere in May. So, how's that panning out?

Naresh Jalan: First, in terms of RKTR, Rail Wheel plant, already trial production has

started, and I think we are expecting to submit samples in the month of August, first 300 pieces of wheels to Indian Railways for their testing and trial. And post the trials, we will be able to comment on bulk production. But with our working right now, we expect bulk production to start, hoping to full-fledged supply to Railways for their contractual demand by September or October latest from month-on-month basis. In terms of our Mexico project, production has started, and I think from third quarter you'll see some significant revenues from Mexico. Already this quarter, I think close to around Rs. 6 crores revenues have come from Mexico in terms of our top-line. But sign

ificant revenue is to going to start

clocking in our books from third quarter of this year onwards.

Moderator: Thank you. The next question is from the line of Kaushik Jhawar from AK Investments. Please go ahead.

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Kaushik Jhawar: Yes, thanks for the opportunity. Firstly, great set of execution. I mean, we have been seeing Ramkrishna Forgings for last couple of years. I mean, we are going through some pain period. Looks, like, now we are heading for a good growth. So, I have two questions, mainly what are the target ROCEs for this year and next year, sir?

Naresh Jalan: Lalit, can you take this one?

Lalit Khetan: Yes. So, see, ROCE is just coming back to our old levels. So, this year what we are looking at somewhere between 12% to 15% ROCE this we will end, and next year in FY28 we will target 20% ROCE.

Kaushik Jhawar: Great, great. And secondly, sir, how much of the revenue are we expecting from exports market because we are coming from a de-stocking year?

Naresh Jalan: So, we are looking at almost 35% revenue on a consol balance sheet coming from exports, for a full year basis.

Kaushik Jhawar: Little bit quantification, it will be highest revenues till now whatever we have seen.

Naresh Jalan: It will be highest ever revenue for RKFL in this financial year for ever done in terms of exports.

Kaushik Jhawar: Okay. That's great. And lastly, I have question that two to three years back because of export share were high, you were making 22% margin. Do you see that possibility happening in this year?

Naresh Jalan: As an entrepreneur, we always see possibility of higher margins. Who does not want to earn higher margins?

Kaushik Jhawar: Yes, but execution-wise, sir?

Naresh Jalan: Execution-wise we are looking at higher exports. Environment is challenging in terms of the overall energy prices and other things, shipping costs and all these things. So, we would not like to guide the market in terms of profitability. What we are looking right now is continued growth in terms of balance sheet. And as we have already shown in this quarter, we have improved our margin by almost 100 basis points quarter-on-

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quarter. This growth in terms of margin and improvement is going to be a continued work, and we are putting all our efforts in the right direction to ensure that we are back to our old profit levels.

Kaushik Jhawar: Okay, great. Thanks. And lastly, you mentioned that you are venturing into aerospace and semiconductor. Can you also throw some light?

Naresh Jalan: I think as Miles has updated that we are already working very aggressive.

We have already started working on aluminum forging and we have started bulk supplies in aluminum forging. So non-ferrous now becomes the next lever of growth for RKFL and it is a journey, which we have just started. So, I think it is at least 12 months to 18 months before we have a significant revenue or product lines from this section. But we are very aggressively working on non-ferrous products of aluminum, stainless steel, Inconel, and other things for aerospace, semiconductors, and

robotics.

We have already started, we would not like come up with customer names and other things, but we have already started quoting for lot of RFQs from this sector and accordingly we have already planned our equipment other things in these directions.

Moderator: Thank you. The next question is from the line of Hardik Chheda from Lark. Please go ahead.

Hardik Chheda: Yes. Sir, my question was little bit in terms of margin only. More than one quarter out for the rest of the three to four quarters, could you just guide a broad range for where the margin will be for the next full year?

Naresh Jalan: No, I think, I would not like to give a range in terms of the margin for the full year, but I can only assure you that you will

see continued

improvement in terms of margin every quarter now. Like Lalit in his opening statement has already said that we are concentrating on sweating the assets right now, and this increase in utilization and plus with export product mix moving up, I think you will see much better margins.

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Our intention and our aspiration is to go back to the old margins, which we were already achieving. So, I think sooner or later we will touch that margin, but I cannot give how many quarters it may take to get to that margin.

Hardik Chheda: No problem, sir. Got it. And, sir, in terms of margin, what would be the factors, which could aid the margins more than what you're targeting or what could be the risk factor? Like, if what goes wrong, the margins can come down and vice versa?

Naresh Jalan: Only risk, which we are looking at is the geopolitical issues, which is leading to shipping delays. Because of this shipping delays, there is lot of working capital pressure, which may increase, as well as the prices of the energy. Energy is one of the biggest ingredients in overall our forging setup, may it be for steelmaking or whether it is for forging as such. So, energy happens to be one of the biggest cost levers, and with the war if it goes escalates and energy prices goes beyond control, I think that is one of the major risk, which we are running in terms of our profitability.

Moderator: Thank you. The next question is from the line of Mitul Shah from Pantomath. Please go ahead.

Mitul Shah: Thank you for the opportunity. Sir, I have broader question on the overall based on this last three-four months West Asia crisis, sir? What is our experience in terms of the inquiry level or consumer behaviour on that side, particularly from the non-US geographies in terms of the opportunities, as well as challenges for auto as well as non-auto segment, and the inquiry level has gone up significantly or anything?

Naresh Jalan: Mitul, I think we are quite optimistic for next seven quarters, means next two years, FY27 and FY28. We are confident with the current order book, which we have, I think Miles's statement states very clearly, we are flooded and we are very, very in exciting times right now in terms of overall demand, in terms of existing products as well as new products, and in terms of new RFQ inflows, which will cater to new order book going forward.

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So, we are in pretty exciting times. War is a cost and I think in terms of demand, we don't see any deflection in demand. I think we are seeing incremental demand coming in and that's actually the biggest challenge, which we are facing right now going forward.

Mitul Shah: Okay. Great, sir. Second question on this as we all know that commodity cost as well as freight cost has gone up significantly in this quarter. So, would you like to highlight anything in terms of the quantum or basis point

where we are not able to pass on the full commodity impact to the customer? What is the industry-wide scenario in which are?

Naresh Jalan: , I think Mitul, commodity is a pass-on for us with a one quarter lag. So, commodity whatever increases happen in steel, steel is the commodity for us, which is the major basic raw material. That is a pass-on for us. Separate to that, gas and other things, I think that is a cost we will need to work with because this is so much fluctuating, I think customers are not prepared to go ahead and pay that.

Shipping cost, it depends. Right now, we are seeing some abnormal cost increases but gradually we are hoping also that to stabilize because when we started this quarter it had already come down. But this is roller coaster. I think we are working with customer how to absorb this cost, but we do not have a definite answer for this.

Mitul Shah: Yes, sir. Exactly same question I was asking about

commodity that

because of the lag effect, this quarter we were not able to pass on completely, right? We would have this benefit with lag reflected in coming quarter?

Naresh Jalan: Yes, that is steel price. Only steel price.

Mitul Shah: Steel commodity, yes, correct. And lastly, sir, on this casting production in terms of metric ton has gone up significantly between the quarter. So, can you highlight more details on this as well as any update on the cold forging side?

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Naresh Jalan: Casting production, Mitul, had started last quarter. I think you must have seen March press release, stock exchange releases we have sent. The casting plant was capitalized last quarter. So that production has started coming and still the plant is work-in-progress in terms of overall capacity ramp-up, you will see gradual increase in production from casting plant, casting capacity over the next three quarters.

And in terms of cold forging and other things, I think we are working diligently in terms of improving the capacity utilization. I think by almost third quarter we will be more than 70% capacity utilization in cold forging.

Moderator: Thank you. The next question is from the line of Vinil Shah from Dalal & Broacha. Please go ahead.

Vinil Shah: Yes, good evening and congratulations on a good set of numbers. So, my first question was related to margin. So, our gross margin has increased by 535 basis points Q-on-Q, but our EBITDA margin has grown by 85 basis points Q-on-Q. So, if my understanding is correct, even with our volumes not growing significantly Q-on-Q, the entire improvement in EBITDA margins is purely because of increase in our prices and not any operational leverage. So how do we think that this EBITDA margin improvement is going to play forward? Like, we cannot be having price revisions every quarter, right?

Naresh Jalan: No, I think, it is wrong to say that this is only because of price revision. I think because of the better product mix and other things, that is the reason there is increase. I think that gross margins traditionally it has increased, while the EBITDA has not increased mostly because of the energy cost, shipping cost, all these costs we have not been able to pass on.

That is one of the major reasons. Otherwise, if this cost whenever it stabilizes, you will see significant improvement in EBITDA margin also.

Moderator: The next question is from the line of Abhishek Jain from CRIS PMS. Please go ahead.

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Abhishek Jain: So, sir, first of all, congratulations for the great set of number in a tough time. My first question on the export market, we have seen very strong numbers Y-on-Y and quarter-on-quarter. So just wanted to understand

the outlook ahead, basically what is the guidance of export growth for the FY27, and how is the improvement in the Class 8 trucks orders in the U.S. and improvement in European business?

Naresh Jalan: I think, we are looking at one of the best years in terms of the overall export revenue in terms of RKFL is concerned, both from geographies of North America and Europe. We would not be able to comment on Class 8 truck how it is behaving and what exactly it is resulting to, but in terms of RKFL order book, and traditionally what we are seeing in terms of our existing customers and the new customers, we look at extremely healthy growth and maybe it is not wrong to comment that we should have one of the best years in terms of our overall export in this financial year.

Abhishek Jain: So, as the base of the export is low, so can we expect the 22% to 25% growth in export in this year?

Naresh Jalan: Yes, we are looking at almost 20% plus growth in terms of exports.

Abhishek Jain: Got it, sir. And, sir, in the domestic market, realization has seen a very sharp jump in quarter-on-quarter, so is it because

of the change in the mix

in the non-auto segment or higher revenue from the casting business?

Naresh Jalan: No, basically, it is a mix of change of revenue from higher mix, because of the demand we have been able to improve our utilization, and we have been able to choose much better margin products and much better realization product. And that is one of the reasons that we have been able to have a higher realization in the domestic market.

Abhishek Jain: And in the domestic market, what is your guidance for the volume growth in this year, sir?

Naresh Jalan: I think domestic market continues to be robust and the demand looks to be extremely good. And with the rainy season almost I think by September

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going to be, next half looks to be extremely exciting in terms of the domestic demand.

Abhishek Jain: Great sir. And sir, if I see the subsidiaries' numbers, so we have seen a sharp improvement in the EBITDA margin. Now it has moved to the 21% versus 16% in the last quarter. But depreciation cost has increased. So, just wanted to understand what is the reason of the sharp margin expansion in the subsidiary's companies, and what is the reason of the increase in the depreciation cost?

Naresh Jalan: Lalit, can you take this question?

Lalit Khetan: Yes, sure. So, see, margins are, I will say little bit better, or I will say marginally better in the subsidiaries in this quarter than the previous quarter. There is no such sharp increase but due to the higher elimination, you are seeing this 21% margin, but margins are 50 basis point to 100 basis point higher than the previous quarter in the subsidiaries. And certainly the depreciation is increased due to the capitalization in the Q4 in the subsidiary also. Whatever the projects we were doing, has been completed. So that's why the depreciation has gone up and it will continue at this level in the upcoming period.

Abhishek Jain: Got it, got it. And my last question on the aerospace defense segment, so just wanted to understand how much the current contribution from this business, and what kind of the numbers you are looking from this business, and you're also establishing a capacity for the titanium and other alloys. So, if you can throw some light over there because that is a high-margin business and the ASP would be at a higher side. So, if you can throw some light over there?

Naresh Jalan: I think we have zero exposure right now to any aerospace activity right now. Next, we are already in terms of quoting in RFQs and other things. We are looking at in next two years to build up an order book in terms of aerospace and semiconductors and robotics and other things. And we are already putting and establishing capacities to manufacture Inconel and titanium products. So, it is a work-in-progress.

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Moderator: Thank you. The next question is from the line of Aditya Kumar from Old Bridge Mutual Fund. Please go ahead.

Aditya Kumar: Thank you for the opportunity, sir, and congratulations on a really good set of numbers. Sir, I'm sorry I joined the call a bit late, but when we are getting into products like titanium and Inconel, do you think there will be a good amount of period that will go into approval of these products and capability building? And if that is the case, then what should be the timeline we should have in our mind that when these products will be operationalized and start contributing to the top line?

Naresh Jalan: Any meaningful contribution, I think it's at least two years from now. So, I think, I replied to the earlier question also, we have zero order book. We have started quoting in RFQs, and we have started building parallelly capabilities as in work-in-progress in terms of our manufacturing of Inconel and other steel. Already, aluminum, we already have in place, and we have already

started production, we have already gone into bulk production in aluminum forgings.

But in terms of stainless steel and other things, that is work-in-progress. I think significant portion of stainless-steel forging will start happening, because we have already got some order books from fourth quarter of this financial year. But in terms of Inconel and other things, I think it is still work-in-progress, and it will take at least eight to 10 quarters from now.

Aditya Kumar: Okay, okay. And if we have to build capacities on this front for Inconel and titanium, what is the capex that we have in our mind that can go into building these capacities?

Naresh Jalan: No, right now, we already have capability and capacity, only heating arrangements are being made for heating this steel. Other than that, I don't think there is any going to be major capex in terms of the current RFQs we are handling. There will be no major capex, it may be in the tune of Rs. 10 crores to Rs. 15 crores or at the most Rs. 20 crores to get away with the capex immediately. When we go into significant portion of the business and significant ramping up capacity, then we may need to do additional capex.

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Aditya Kumar: Okay, okay. One last question, sir, on orders. We have got Rs. 278 crores of orders from the auto segment. So, is this all domestic that we have got, or what geography we have got this from?

Naresh Jalan: Miles?

Miles Gandhi: Out of Rs. 278 crores, this entire business is from domestic, because the two-wheeler business of around 18% that I stated is also a domestic brand, and the 82% order for the passenger vehicle segment is also for the domestic market.

Aditya: Okay. And correct me if I'm wrong, is this two-wheeler business, the crankshaft business that we are doing from the machining facility that we have in our Gurugram business?

Miles Gandhi: Yes.

Moderator: Thank you. The next question is from the line of Viral Shah from ENAM Holdings. Please go ahead.

Viral Shah: Yes, thank you for the opportunity, sir. Sir, my first question is would it be possible to share the gross and the net debt numbers?

Lalit Khetan: So, Viral, we have shared this gross and net debt number last time and we have been able to improve upon the net debt by another Rs. 100 crores in this quarter. So, last quarter, if you remember INR1,900 crores was the net debt, and it is Rs. 1,900 crores of net debt this quarter.

Viral Shah: Okay, so this quarter is Rs. 1,900 crores. And how are you looking at this number, sir, by the end of the year?

Naresh Jalan: Lalit, you can answer it.

Lalit Khetan: Yes, we have already guided in our last call, we will reduce at least Rs. 500 crore of leverage in this financial year and we are on track of that.

Viral Shah: Okay. So, by the end of the year, we should be down to Rs. 1,500 crores of

net debt?

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Lalit Khetan: Yes.

Viral Shah: Sir, secondly just related, sir, what will be the capex outflow this year, as well as the capex outflow, as well as the investment towards Rail JV?

Lalit Khetan: Investment towards Rail JV, the first phase is almost complete, another Rs. 20 crores to Rs. 30 crores from our side will go, and total guidance for the capex in this year is somewhere around Rs. 350 crores.

Viral Shah: Rs. 350 crores. Okay, perfect. Thank you. That's it from my side.

Moderator: Thank you. The next question is from the line of Kumar Saurabh from Scientific Investing. Please go ahead.

Kumar Saurabh: Congratulations on great set of numbers, sir. I think the rate at, which we are growing, and I think you told in the last quarter also, we'll be hitting 80% utilization by FY27 end. My question is, is that the peak utilization? And if that is so, then after this, sir, what is our next capex plan for further growth since we'll reach peak in one, 1.5 years?

Naresh Jalan: No, I think we are looking at lot of activities right now. We have already explained in the opening statement, and Milesh has already categorically explained that we are looking at already working with customers in aerospace and other verticals. And our entire plan is to ramp up our fresh manufacturing, or new augmentation of any capacities, which we think of is going to be into these verticals. And we will only announce any major capex by end of FY28 when we have a clear visibility in terms of order book and approvals in place in these verticals. And I think till then we can do away with small capex, and I think we are good to go for next two years of significant growth path with the current capex we have already done.

Kumar Saurabh: Got it, sir. Then the debt reduction should continue in FY28 also should be less, I mean, FY27 you said Rs. 1,500 crores, so maybe Rs. 1,000 crores of net debt should be expected by FY28?

Naresh Jalan: I think, debt reduction, leverage reduction, I think in the opening statement also Lalit has very clearly said our company's endeavor is to continue to have the reduction in leverage in terms of our overall debt

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exposure while company continues to grow. So, I think we are not looking at a zero-debt company, but we would like to keep debt into a significant check in terms of our overall leverage and continue to grow the company.

Kumar Saurabh: Great, sir. And last question, sir, our gross margins were great, but as you said because of energy and transportation fuel cost, little bit of margin hit had happened. So how things are progressing in Q2 so far, do you see any improvement there in the market conditions?

Naresh Jalan: No, I think we have not seen any improvement in terms of market conditions. You are well-aware of the current geopolitical issues and unless this geopolitical issue has some conclusion, I don't think we are going to see moderate energy prices or shipping cost.

Moderator: Thank you. The next question is from the line of Jayesh Gandhi from Harshad and Gandhi Securities Private Limited. Please go ahead.

Jayesh Gandhi: Most of my questions have been answered. Only one question is with the net block that we have currently, what kind of sales can we generate if say we are doing, I mean, if we are working at 100% capacity?

Naresh Jalan: Lalit, can you answer this question?

Lalit Khetan: I could not get the question. Can you repeat the question?

Jayesh Gandhi: Sir, with the net block that we have currently, closer to Rs. 3,700 crores, what is the sales at 100% capacity that we can do, generate in this this kind of net block?

Lalit Khetan: So, the kind of, net block right now we are having, a little bit of net block is under capitalization of casting, all we can certainly looking at asset turn of 2.5 on this. So, if you look at asset turn of 2.5, it will be somewhere

around Rs. 9,000 crores of sales on this if we have a 100% capacity utilization.

Naresh Jalan: But I think it is very difficult to have 100% capacity utilization. It is safe to say that we will have almost 75% to 80% of capacity utilization before needing our next capex.

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Moderator: Thank you. The next question is from the line of Geetarth Tandon from Green Portfolio. Please go ahead.

Geetarth Tandon: Sir, my first question is any plans to avoid the one quarter lag that you see in the steel prices? Basically, the purpose is to, if you plan to hedge the prices quickly, and if you avoid passing on to next quarter, that would be helpful in increasing margin for the continuous quarter's basis?

Naresh Jalan: No, steel price cannot be hedged. Steel price, I think there is no hedging system for steel price. Alloy steel price is bought on spot quarter-on-quarter. Every quarter there is a price, which the

steelmakers declare and based on that that is bought. It means, basically there is no hedging policy in terms of steel price.

Geetarth Tandon: Okay, got it. And sir, ring rolling capacity is already at 127% utilization. So, any plans to add that?

Naresh Jalan: No, we have no plans to add any capacity. We are looking at almost peak utilization continuing at least for next two to three years because of the current order book.

Geetarth Tandon: Sure, got it. And, sir, just wanted to understand, like, if you plan to add any further capacity, so what are the factors based on which you add?

Because you are adding a pressing line at 60% current utilization and the pressing line is going to increase. So, based on the current utilization would be reduced. So, overall, just wanted to understand what are the factors based on which you decide?

Naresh Jalan: Basically, we decide based on the order book and customer confirmation, which we have. In terms of utilization, I think the press line, which we evolved to put does not happen overnight or over one quarter. It takes at least four to five quarters from now for the capacity to be in place by when we will be almost around 80% utilization in terms of the press capacity.

Moderator: The next question is from Bharat C. Shah from BCS Capital Ideas Private Limited. Please go ahead.

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Bharat C. Shah: Yes, Naresh ji, namaskar. This is Bharat speaking. One of the most important things that I felt in this quarter, or rather this year has been improvement in the working capital. So clearly Lalit ji, what you were saying, that seems to be now finally falling in place. So, operational cash flow after working capital at about Rs. 840 crores last year and probably is highest in the history of the company. And just wanted to understand how do you visualize things ahead?

Lalit Khetan: So, Bharat bhai, see, certainly the focus is on further improving the working capital days, because in this quarter there was a little bit elevation due to this West Asia crisis, shipping cost or transit time. But with the time it will further improve and certainly this journey to improve the working capital days in overall working capital, it will continue and our focus will be to further optimize the same. I will not give any target to that, but certainly we will keep on working on that.

Bharat C. Shah: No, improvement, Lalit ji is a forever exercise. Improvement, learning is a forever exercise. But if there is a tangibility to that, then there is a purpose, and then there is a greater way to measure it and greater way to achieve it actually. So, some kind of target in terms of how much improvement in working capital we are seeking to achieve would give a little bit more clarity?

Lalit Khetan: Bharat bhai, coming to specifics, certainly we will take baby steps. We

have internal targets certainly. As we have set the target to improve debtor days by at least five to 10 days, inventory days by another five days, and increase the creditors' days by another 10 days. So, all together it will be certainly 15 days to 20 days of improvement. If this has to happen, this cannot happen in one or two quarters. It may take one year and everything remaining static, or it may take little bit more. So, we have to keep on working towards that.

Bharat C. Shah: So, you are saying that in this year, 12 days to 15 days, next year also 12 days to 15 days?

Lalit Khetan: You should plan for 10-day for each year, Bharat bhai; if you want to do it that way, you should take 10 days this year and 10 days next year.

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Bharat C. Shah: Okay. Naresh ji, earlier we were very confident and hoping for turnover of close to Rs. 8,000 crores by the fiscal '28. Now in between lot of this tariff upheaval occurred, there were internal upheavals, and finally I think hopeful

Ily all those things are behind us. Now, when do you think we should be hitting that target of Rs. 8,000 crores?

Naresh Jalan: I think Bharat bhai, with all what has happened in past, I think we are one-year delayed. I think with last year's performance and now continuing improving on that performance, I think we have got delayed by one-year and I think we are on track right now with FY29 target as Rs. 8,000 crores.

Bharat C. Shah: Okay. Which means roughly 25% compounded growth from the last year turnover?

Naresh Jalan: Yes.

Bharat C. Shah: Because last year it was Rs. R4,200 crores, so Rs. 8,000 crores means 24% to 25% growth.

Naresh Jalan: Yes. Around 22% to 25% CAGR we will have for next three years.

Bharat C. Shah: And Naresh ji, this time clearly when we get bitten once, we become twice shy. But I suppose there is a large opportunity, we have strength and capability, we have product portfolio, we have client relationships and there is improving market. So would you say that probably the best phase of Ramkrishna Forging hopefully should begin now, given also the fact, although internal upheavals also would have taken some energy for us to get over. And, therefore, if all of this is behind, mentally we are more resilient and overall opportunity has become better outside, and we are better prepared, would you say probably this is the upcoming the most interesting period for Ramkrishna?

Naresh Jalan: Bharat bhai, I think, I can confidently tell you, best period for RKFL has just started and I think in coming quarters, coming year, you will see much more traction in terms of growth, in terms of improvement in balance sheet.

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I would not like to comment on profitability other things, but I can tell you one thing very confidently that every quarter you will find significant improvement in the overall balance sheet of the company and overall parameters, which you measure each and every parameter of working capital or utilization or inventory days, everything you will find significant improvement in coming days and quarters.

I think for next three-four years we are extremely confident the visibility what we have that RKFL will be one of the best performers in terms of overall demand side absorption and creating a new brand for itself in these coming years.

Bharat C. Shah: Sure. But if I have to be...

Moderator: Sorry to interrupt, Mr. Bharat Shah. May we request you to return to the question queue for any follow-up question?

Bharat C. Shah: No, I just need to complete this question. If I have to express any bit of skepticism about it, given the fact that we've gone through challenges,

what are the factors Naresh ji now you believe gives us far greater confidence about our destiny than, say, what was the case one year back, 1.5 years back?

Naresh Jalan: So, right now Bharat bhai working in terms of passenger vehicle, oil and gas, and nonautomotive sector like earthmoving equipment's are giving us extreme confidence and we are looking at tangible growth, which really shows company in the non-auto sector growth or non-CV growth, and the kind of order book, which we have been able to make over last couple of quarters in terms of our passenger vehicle, I think next two years are going to be exceptionally exciting in terms of our PV growth, and this is going to be the next lever wherein there is going to be transformation in overall RKFL.

Moderator: Thank you. The next question is from the line of Harsh Shah from Marcellus Advisors.

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Harsh Shah: Yes, congratulations sir on the great set of numbers. I just have one confusion, sir. So, all you know, everything railway-related opportunity is catered through the JV, right?

Naresh Jalan: No, no, no, I think you're wrong. JV is only for manufacturing of wheels. It is doing nothing else except m

anufacturing of wheels. Rest, railway, everything is isolated standalone RKFL. RKFL has its own significant order books for railways, which we are working and continuously growing. Wheels JV is only going to be part and parcel of manufacturing wheels, nothing else.

Moderator: Thank you. The next question is from the line of Vinil Shah from Dalal & Broacha. Please go ahead.

Vinil Shah: Yes, sir, actually I would like a more insight into the export growth that you are anticipating. So, could you just give us a color of what segment, or what kind of customer base we are getting there, because you're not commenting on the Class 8 truck growth, but could you just give us a color of how the growth is coming from the export market?

Naresh Jalan: So, I think, I would not be able to comment in terms of the customer's name or brand of the customer. Basically, you can very well see in our presentation also, in Europe and North America both the places we are growing. And new order wins from the existing customers, as well as new order wins from the new customers, both are giving a very big jump into the next year or coming quarters in terms of our overall intake in terms of the order book. So, we are very confident in terms of our export demand and deliverables.

Vinil Shah: Okay, sir. And, sir, in the domestic product mix that you said that it has improved, could you give us a color about that as well, in what segment are we getting a higher margin that our product mix has been better?

Naresh Jalan: No, I think in terms of margins I would not like to comment on individual sectors or individual places. I think overall company margins have been shown. We don't earmark any particular sector in terms of margins.

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Moderator: Thank you. The next question is from the line of Saket from Sagari Capital. Please go ahead.

Saket: Yes. So, sir, one quick question regarding the order book. So, I think we have got around Rs. 228 crores from PV. So, within this, what percentage would be electric vehicle because last time I think almost the entire exports PV was towards the electric vehicle if I recall. So, any color on this, sir, any EV portion in this passenger vehicle?

Naresh Jalan: Miles, can you reply?

Miles Gandhi: This order, which we have announced, this is not from a PV, sorry, this is completely from the EV, but that is from the domestic side EV, this brand is within the Indian market and actually our requirement is for the

domestic manufacturers.

Saket: Yes. So just to be clear, sir, now that you've clarified this, so our entire passenger vehicle order book be it domestic or exports, everything is geared towards electric vehicle, is that a fair statement?

Milesh Gandhi: No, that is not a fair statement. We have both the sides. We are also there serving customers who are into the ICE side, and we are also serving customers who are in the EV.

Saket: So, what would be the breakup, sir, ICE versus EV within the order book?

Milesh Gandhi: In our passenger vehicle segment, I would say around 50%-50%, we are serving both the things.

Saket: And within exports almost 100% is EV, is that a fair statement?

Milesh Gandhi: Currently whatever you would have been seeing sales has been more to the EV, but our bulk supplies to the ICE side also starts, and I think we have a fair acquisition within the 50%-50% range whatever I stated, you will be finding similar numbers coming in the future.

Moderator: Thank you. The next question is from the line of Karan Gupta from CAVI Capital. Please go ahead.

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Karan Gupta: Thanks for the opportunity. Just one question, sir, if you could comment on the realizations in the casting division, which have come off quarter-on-quarter. What is the reasoning behind that, and how do you see these going forward? That's it from my

side.

Naresh Jalan: No, this is one-off, I think because of the new capacity, which has come up, just to have some utilization improvement, we have done some components, which did not give us the exact right realization. I think with coming quarter, you will be able to see the realization back, or more than what we had reported previously.

Moderator: Thank you. The next follow-up question is from the line of Geetarth Tandon from Green Portfolio. Please go ahead.

Geetarth Tandon: I was asking, can we sustain this 54% of gross margin we booked in this quarter for going forward, or are we looking to go back to the 50-odd percent we were doing before?

Naresh Jalan: No, I think this margin is sustainable margin and you will see improvement on it going forward.

Geetarth Tandon: So, any further gas problem sorted?

Naresh Jalan: I think, already the energy price is at peak when we have this balance sheet in place. So, obviously, I think, God forbid we don't see the energy prices crossing those levels again.

Geetarth Tandon: Got it. So, any improvement in energy prices, we would be seeing increase in margins to a certain leverage will be kicking in. Got it. Sure, thank you.

Moderator: Thank you. The next follow-up question is from the line of Bharat C. Shah from BCS Capital Ideas Private Limited. Please go ahead.

Bharat C. Shah: Lalit ji, while clearly in the first quarter margins have improved by about little less than 1%, compared to last quarter. But I would have thought that rupee depreciation should have helped us, plus gross margin having improved significantly, really the improvement in operating margin has come from internal working and operating leverage and productivity

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gains, or it is simply due to mathematics of the rupee depreciation and stuff like that and gross margin improvement?

Naresh Jalan: Bharat bhai, rupee depreciation is entirely passed on. I think currency gain is for us every quarter we have to pass on, all our contracts are currency pass-on basically. So, we don't get any significant benefit on the currency, either depreciation or appreciation, we are not affected. So, both the sides, we don't run a risk of currency.

Bharat C. Shah: And this is true for all contracts?

Naresh Jalan: Basically, yes, that is true for all contracts for RKFL. I don't know for other

companies, for RKFL, currency is pass-on every quarter.

Bharat C. Shah: Okay. This was not I was aware of. Thank you.

Lalit Khetan: Currency depreciation in the quarter was only 1% to 1.5%.

Bharat C. Shah: Yes, but our margin also increased by only 1%.

Lalit Khetan: Yes.

Bharat C. Shah: It's only on a part of the business, exports being just the part. Okay. No, I got it. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take that as the last question. I now hand the conference over to the management for closing comments.

Rajesh Mundhra: Thank you. I would like to thank all of you for taking the time and joining our earnings call. We hope we have answered all your queries to your satisfaction. Would like to further inform that you can get in touch with us or CDR if you have further information, which required from us. We look forward to interacting with you next quarter. Thank you very much for joining the call. Thanks very much.

Moderator: On behalf of 360 ONE Capital Market Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.